

KFin Technolog. (KFINTECH)

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compliance.corp@kfintech.com February 17, 2023 CS&G/STX/MQ2023/ 14

1) National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Scrip Symbol: KFINTECH 2) BSE Limited

Phiroze Jeejeebhoy Towers ,
Dalal Street,

Mumbai – 400 001

Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the LODR Regulations

Dear Sir / Madam,

Further to our letter reference no. CS&G/STX/MQ2023/03 dated January 27, 2023 , pursuant to Regulation 30 and other applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("LODR Regulations "), please find enclosed herewith the transcript of the Earnings Conference Call held on February 13, 2023, in respect of the unaudited financial results of the Company for the quarter and nine months ended December 31, 2022 .

The transcript can also be accessed on the Company 's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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"KFin Technologies Limited Q3 FY23 Earnings
Conference Call"

February 13 , 2023

MANAGEMENT : MR. SREEKANTH NADELLA – MD & CEO

MR. VIVEK MATHUR – CFO

MR. AMIT MURARKA – HEAD INVESTOR RELATIONS

MODERATOR: MR. ABHIJEET SAKHARE – KOTAK SECURITIES
LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Q 3 FY 23 Earnings Conference Call of KFin Technologies hosted by Kotak Securities Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr.

Abhijeet Sakhare from Kotak Securities Limited. Thank you and over to you Mr. Sak hare.

Abhijeet Sakhare: Thank you Michelle. Good evening everyone. Welcome to the Earnings Conference Call of KFin Technologies Limited to discuss the 3Q FY23 performance of the company and share industry and business updates . We have senior management with us, represented by Mr. Sreekanth Nadella – MD and CEO, Mr. Vivek Mathur – CFO and Mr. Amit Mura rka – Head (Investor Relations).

I would now like to hand over the call to Sr eekanth for his opening comments, after which we will take your questions . Over to you S reekanth .

Sreekanth Nadella: Thank you Ab hijeet, very good afternoon to one and all. This is S reekanth . I lead up the organization as the Chief Executive and thank you so much for giving your precious time this evening.

Over the next half an hour, we would walk you through in terms of our performance for the quarter as well as for the nine months ending 31st December and would leave the floor open for questions for the la tter half of the call.

Given this is our very first Earnings Call , I would like to take this opportunity to walk you all through a little bit about our journey so far. Some of you might have heard about it, but we believe it's important to set some context . As an organization , KFin Tech has been in existence since 1985 , long years in making . Started our business with rendering issuer solutions, which is effectively what you call a share transfer registry in today's world. Slightly latish entran ce into the mutual fund started in 1995 , and ever since managed to claw back some amount of lost time by winning quite a significant number of mandates.

Sometime around 2010, as the asset classes started expanding beyond the traditional asset classes of equi ty, debt, and into mutual funds, the alternatives have started to expand and KFin Tech as an organization which is largely a technology and a platform driven solutions provider, has expanded its solutions into all other asset classes as well starting 2010 .

We also took extreme pride in starting probably the first international foray for an organization of this style , based in India by starting our business in Southeast Asia, domiciled in Kuala Lumpur, in Malaysia, and thus started our international expansio n especially from Southeast Asia standpoint.

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Around 2017, we have secured the license to become the second central record keeping agent for National Pension System . Over a period of time, we have expanded our footprint to a respectable 7% of the total mark et share over the last 4 years and I will explain more in terms of what has been the specific and the growth associated with that in time to come.

2018 marked a very important year for us in terms of General Atlantic controlling stake buyout which spawned 3 definitive transformational items :

- One of that was a technology transformation .
- Second was the creation of an independent board and a fit for purpose management .
- The third being largely acquisitive by nature by outlook , which has resulted in KFin Tech buying out the Sundaram BN P Paribas RT A business back in 2020. Last year we have acquired Hexagram, which is a Fund Accounting Administration platform which giv

es us the very unique ability to be one of the only RT As in the country who can handle both the asset side as well as the liability side of the book of a fund manager.

2021 also was an important year for us with Kotak Mahindra Bank acquiring sub-10% stake in us and of course the December of 29 of the previous year , momentous day for KFin Tech when the Company got successfully listed on the National Stock Exchange and the BSE . That's largely our journey so far.

To sum it all up , Investor Solutions broad business which covers the domestic mutual funds, international solutions in Southeast Asia and beyond , alternatives and the wealth management associated platforms and the National Pension System. Issuer Solutions to the share transfer registry piece of work and the Global Business Services which is more an outsourcing sort of work that we do for specific clients in the mortgage space and some amount of F &A outsourcing as well as the general ledger accounting outsourcing for the Middle Eastern banks.

Quickly moving on just in terms of what is this organization at a very high-level glance, we are the largest investor solution provider to the Indian mutual funds in the form of the number of asset management companies we serve . 26 out of 46 asset management companies are KFin Tech's clients , of these 41 are operational at this point in time. Of the 41, 24 are KFin Tech's clients. We manage a total AAUM of Rs . 12.7 trillion and one that is expanding fast year after year.

Our win rate had been 15 out of 22 in the past x number of years exemplifying the growth that is contributed not just by the client's growth , but as well as new clients getting added and ergo driving the expansion of our overall AUM as well as equity AUM.

Our overall market share for equity is 35% . In terms of SIP monthly inflow, which is the bellwether and the sticky retail book, which tends to compound over a period of time, stands at 41.6% for the period ending December 2022 . Overall number of folios if you add up between Investor Solutions and Issuer Solutions, KFin Tech has close to 225 million folios which makes KFin Tech amongst the largest registrars in this world.

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Issuer Solutions we have a 49% market share when you count the market cap of the Nifty 500 companies that KFin Tech services. Even by count, KFin Tech has a little around 43% market share of the total number of corporates listed on the Nifty 500 , overall base is about 5100 clients, and we add little around 150 odd corporates every single quarter, be it listed or unlisted together. Whilst investor solutions on domestic funds and issuer solutions have been our traditional businesses, KFin Tech has had expansions into international and other investor solutions which have been the fastest growing businesses .

Today we manage 33 international clientele between Southeast Asia and beyond. In the case of Central Record Keeping Agencies, we have one of the three CRAs and we manage close to 0.9 million subscribers, which accounts for 7% of the total market share.

On the alternate investment funds, we have about 348 AIFs secured marks about a third of the total AIFs which has a composition of full -scale model of T A plus FA plus value -added solutions. Some of these are purely for regulatory and compliance requirements on stamp duty . Overall, beyond the statistics , we have been an extremely innovative company at the core .

Launched over 20 products , many of these are monetized directly or indirectly contributing to the growth of our clients. In terms of volumes of transaction, KFin Tech manages as many transactions as the industry does at this point in time. In terms of ESG rating, we are rated as the second best corporate in the country, rated A and we pride in tracking our internal security scores of our infrastructure, which stands at a

very impressive 770 + as of December.

Our growth largely has been on the back of very simple keep it simple, but then executed well effectively by maintaining our market leadership through excellent delivery, through relationship with our clients and that we believe we can do only and only through very effective technology investments and process innovation. We continue to expand internationally, organically as well as inorganically in the form of acquisitions and none of this is truly possible without retaining strong talent. As you would see that , KFin Tech continues to invest in talent both in terms of additional new account as well as in terms of retention of key personnel. We have also significantly enhanced our sales capability, our products and transformation innovation capability over the past 12 months.

Broadly, in terms of our highlights for Q 3 and the 9 months ending December, we continue to maintain our growth trajectory with a combination of growth on the traditional businesses as well as faster expansion of the younger businesses. Overall, Q 3 revenues grew by 12% year -on-year, EBITDA grew by 9% , margins for the Q 3 stands at 42.9% , our PAT has grown 79% year -on-year and margin stand at 28.4% , the PAT margin at 28.4% for the Q 3. For the period ending 9 months, our revenue grew 17%. EBITDA growth was at 5% year-on-year and margin stand s at 29.9% for the cumulative period of 9 months, even as t he PAT has grown by 42% and margin stands at 25.8 % . As I said, our business is broadly composed of domestic mutual funds, which has a total share of close to about 68% and the rest of the business on the issuer, international , alternatives, et cetera constitute the remaining 30% + . Our mutual funds business overall AUM continues to expand faster than the industry. For example, our AAUM has expanded by 8.5%

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year-on-year as against an industry growth of 5.4%. Our AUM market share on the other hand has expanded by a full 100 basis points from the previous year, which now stands at 31.7 percentage , that's a substantial market share gain in twelve -month period , even as the market has expanded our equity AAUM market share is at 35%.

Through this period, we have also won a new mandate of Old Bridge Capital even as one of our erstwhile client Navi has chosen to partner with CAMS in terms of the new management intending to align on broader corporate relationships. Issuer Solutions, which is one of our faster growing businesses, has grown over 40% year-on-year as last quarter-on-quarter broadly. We have added 128 clients, making our total client base to 5000 plus. Close to 0.8 million investor folios have been added, making it one of the largest registrar in the country, even as a market share in terms of NSE 500 Company stands at 49% for Q3 versus what was 43% for Q3 FY 22. International Investor Solutions we have added 33 clients. We have a total of 33 clients at this point in time, which stood at 22 for the previous 9 months ending December 2022. We have won our first client outside of India and Asia into Canada for providing full scale fund administration services for two funds of this client. We believe this would be a good seg way for us to expand into the western part of the world where Fund Accounting Administration is a fairly large addressable market with a \$6 billion + ticket size. We started our operations in Gift City in February and we have already boarded 6 funds in there, 4 being Gift City Domiciled and 2 international funds.

On the alternatives one of the asset classes, we are very, very excited about in terms of the growth prospects as well as the value that we can offer to the asset managers and to the distribution network and to the investors. 47 funds have been added in Q3 alone, taking the total number of funds to 348 for the period ending December

2022. Our market share stands at 33% versus what

was 30% in the previous year, and our AAUM correspondingly has grown 28% year-on-year and 3% quarter-on-quarter. Our spectrum of services for alternatives also has grown beyond the traditional transfer agency work with the acquisition of Hexagram where now we render end-to-end solutions of transfer agency, fund accounting administration, entire stack of digital onboarding and all the other value-added solutions.

National Pension System, we continue to add sizable numbers with each passing day, our market share stands, 7% as already called out. We look at expanding not just the market share, but also creating the market itself quite substantially. We have launched a corporate specific product called "Futura". We have been adding a little around 100 odd corporates every single quarter even as we intend to transition from e-NPS model into the corporate model through very specific and targeted solutions we believe will help the corporate employees to subscribe to National Pension System through that platform.

Overall mutual funds itself, from an India performance standpoint, as one can easily read from the public domain has been seeing sizable growth this year for the period ending 2023, 5% year-on-year 3% quarter-on-quarter, little subdued compared to the past three years broadly. As I've

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already explained, in comparison to 5.4% of industry growth KFin Tech had grown over 8.4% which effectively marks much higher net flows into KFin Tech service funds.

Equity AAUM stands at 35% for KFin Tech even as the overall growth had been 12% year-on-year, KFin Tech's growth also had been similar, slightly higher than 12.4% standing at 12.8%. SIP inflows I have already called that out, KFin Tech's number overall share of the wallet is about 42% even though overall equity AAUM stands at 35% and the overall AAUM stands at 31%.

The retail book which is usually sticky and compounding is something that we believe will overtime help KFin Tech's overall AUM share to increase beyond where it currently stands today. In terms of the number of folios and number of transactions however, we have near parity in the industry in terms of the total number of transactions we process as well as the total number of folios we manage, both in terms of overall AUM as well as on the equity side of things, which effectively speaks about, again a lot of retail book. And in terms of the other asset classes, even as the overall AIFs register continue to expand, our win rate doesn't necessarily justify the revenue. It should be higher, as we believe many of the AIFs will go on to launch their funds into the coming months and quarter, which effectively should drive the revenue higher up from where we are today.

Now, given we operated every asset class in a decentralized manner, number of demat account expansion is very important for us, as that impacts our revenue for issuer solutions which has grown over 40% as I have already called out. Increase in the number of clients as well as the much broader retail participation helps issuer solutions grow, even as technology enabled products and platforms we created for the corporates at large has been helping us to drive our value-added solutions as well.

International Mutual Funds, specifically on the Southeast Asian side, we see the opportunity size if you add up the geographies of Singapore, Hong Kong, Malaysia, Philippines, Indonesia, and Thailand to be around \$1.3 trillion, which has reached over two times the size of India and KFin Tech renders both Transfer Agency and Fund Accounting Administration services in this part of the world. A very young nascent business, one that has been growing quite rapidly,

notwithstanding the fact that last year the Southeast Asian markets market-to-market has come down by over 5

%. Our win rates and a pretty significant pipeline will hopefully auger well in terms of the growth that is potentially possible into the coming quarters in this line of the business.

Our own business highlights : overall AAUM, as I said has increased by full 100 basis points compared to 9 months of the previous year from 30.7 % to 31.7 %. Overall equity AAUM market share on the other hand, is stable at 35% , for the quarter ending December, we stand at 31.7 %, 35% on equity and overall mix of equity to our AUM stands at 56%, which has seen expansion by a little around 240 basis points for the previous year. In terms of the SIP, overall inflows both in terms of the folios and in terms of the value, we stand close to 42%. Folios itself has been growing much faster than the value, which I'd like to believe over a period of time will catch up with the total value itself. In terms of our transaction volume, we have seen a significant rise in the overall volumes by a little over 15% in mutual funds and if I aggregate all the businesses

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together, it is at 28% increase in volumes across our lines of businesses. This if you read in the context of our overall operations and the productivity we drove , with a net headcount reduction during this period, it's largely on account of the technological transformation we were able to bring to clients . Partnering with C AMS on the MFCentral, we have launched the CAS API together as partners in this journey and in times to come, all commercial and non -commercial transaction APIs will also be expanded and extended to all the digital and the fin tech ecosystem in the country, which we believe will add a certain amount of revenue base for both the organizations.

Issuer solutions has moved as I said, we've added about 12% year -on-year and about 2 .5% quarter -on-quarter. Full year expansion has been over 13% , in terms of the number of clients itself on Nifty 500 from December 2021, wherein the market share was 35% , today it stands close to 40%. In terms of number of folios too has expanded from 37% to 43%. The market cap of the Nifty 500 has moved from 42.9% to 49%, speaking volumes about the quality of the clientele and the wins we've had through this period, even as the revenues have seen close to 40% growth during this period .

We have seen an expansion of our international clientele from 22 to 33. This is largely on the back of our acquisition of Hexagram, which has added international clients as well as organic growth of KFin Tech's own all clients. Overall, AUM itself has seen a slight dip , that's largely in the context of the market -to-market reduction in most of the operating geographies in that part of the world. But we believe that is sporadic and probably a one -time dip in the market that should correct itself in time to come. Even as the transaction volumes during this period has increased 4-fold from 0.9 million to 4 million between FY 20 and December FY 2023 .

In terms of other solutions, broadly alternatives, our revenues have grown AIF little around 42% and our AUM also has expanded , in terms of the operating AUM has expanded little around 28% year-on-year, fund administration has moved from 23 to 32 during this period, from March to December 22 that is, which also has 8 international clients between Southeast Asia and Canada, so to speak.

In terms of pensions, we have gone live with the state of Madhya Pradesh the previous year , we have nearly doubled our subscriber count from 0.45 to 0.9 million nearly doubled both the subscriber count as well as our revenues during this period on the National Pension System, even as we have added a sizable number of corporates and POPs during this period of time.

That's broadly the business highlights. I would request Mr. Vivek Mathur to walk you through on the financials.

Vivek Mathur: Thanks Sreekanth.

On the financials, if you look at quarter ended FY 23 and 9 months ended December 31, 2022, the revenue has gone up by 17.1% year -on-year and quarter -on-quarter it has gone up by 12.1% in terms of last 9 months versus this period 9 months. If you look at Q 2 to Q3 within the same

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financial year it has gone up by 5%. It's largely backed by the increase in domestic mutual fund business by about 5% quarter -on-quarter .

Issuer solutions has gone up by 6% quarter -on-quarter . International and other Investor solutions has gone up by about 11.5%. If you look at year -on-year, the domestic Mutual Fund has gone up by 11%, Issuer solutions about 39%, International and other Investor solutions by about 46%.

This includes the integration with Hexagram and besides other businesses of AIF and pension and Southeast Asia business so overall growth is 46% year-on-year.

On the global business services there is a growth of 7.7% for the year, while there is slight dip in the quarter-on-quarter of about 5%. That's more because of the FX gain that we have that we see the year-on-year increase, while the number of seats that we have been operating with for the mortgage servicing business still remain the same. If you look at the EBITDA, the EBITDA has gone up by about 5%. But if you see quarter-on-quarter it has gone up by 13.6%. On a year-on-year basis if you see the same period of 9 months in same period of 9 months last year, that growth of 5% is there. But if you see year-on-year it is 9% same quarter last year versus same quarter this year. However, our EBITDA margin continue to be in the range of 40% to 45% as we maintain, it's 39.9% for 9 months ended December '22 and for the quarter it is 42.9%.

Typically, Q1 and Q2 see the stress of increments and expenses coming in.

As the business grows and revenue grows in Q2 and Q3 it catches up and that's how Q3 FY 23 sees an EBITDA margin of 42.9%. PAT has touched 42% growth year-on-year. In terms of quarter-on-quarter it is 11.4%. But as compared to last year, same period, same quarter it's 78.6%. PAT margins have touched 25.8%, while for the quarter it is 28.4%. We maintain healthy cash flows of about Rs. 229 crores. Therefore, the EPS on a diluted basis has gone up by 29% from 3.15 for this quarter and 9 months is 8.20.

That sets very high-level summary of the financials and we are happy to take questions now, Abhijeet over to you.

Moderator: Thank you very much, sir. We will now begin in the question-and-answer session. We have the first question from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani: Congratulations on the numbers and thanks for the meeting call summary that you gave regarding the business. Sreekanth couple of questions; first is if you could talk about Navi. I thought that was a recent mandate. What made them go to the competition, that's one? On telescopic pricing, what we understand is that prices because of the telescoping nature are already there's no scope for further reduction. But the regulator comes out and has made some statements, your thoughts on pricing. Is there any scope for pricing to still come down? Vivek, one question to you is on Hexagram, what was the revenue number this quarter? Because it was not there last year this time, could you call the Hexagram number separately? Thanks.

Sreekanth Nadella: No, Navi is not a new client. Navi took over Essel. Essel was KFin's client back in the day and with the change in the management of the organization, KFin Tech manages the Fund

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Accounting Administration side of the business for Navi. It is possibly due to segregation duty typically, if you've seen Indian mutual fund industry, we don't do TA and FA together. It could be possibly for that reason.

So, it's not a new client. Second, in terms of the yield compression, see, telescopic pricing is what it is. To that extent, as the value overall corpus increases, clearly there is an expected certain amount of compression that is to be seen. In terms of the regulators commentary if you see, I think the request or the counsel sought on the consultation paper, it was largely with a view to stop or at least to manage miss selling, if I may, in terms of investors' money being moved from one fund to the another with a view to secure higher TER. The very specific purpose, as stated was that although it has no bearing on the registrar's operations, our operations and the cost and et cetera continue to be disengaged with on the selling side of the fund, so to speak. We believe that beyond the telescopic pricing, we may not see any additional yield compression.

Vivek Mathur: Yes, on the question related to Hexagram revenue, it was 8.8 crores for the 9 months ended December '22.

Aejas Lakhani: Got it, thanks. Sreekanth, just follow up on that, in renegotiations that you would have had with recent clients, has there been any pressure on yields when you've been having these conversations? Just on the international piece you had mentioned earlier that you won some geographies, sorry some new clients in different geographies so when do those go live? I mean, should we expect something in the next quarter or will it be in the year '24? Thanks.

Sreekanth Nadella: I'll answer the second question first. We have already gone live with our client in Canada. In the last meeting we've had earlier in the previous year, it was still under negotiation and early parts of transition. We have successfully gone live as of January for two funds, for the client based in Canada. In addition to that, I think in the Southeast Asian side, of course, we continue to look to expand our operations into Thailand subject to necessary regulatory approval. So, that is yet to happen. In terms of the contract renegotiations here, our contracts are largely now this question is very specific to domestic mutual funds. It doesn't happen with any other business. In fact, most of the businesses, the price actually goes up. The contract negotiation itself is a factor of the contracting terms, which is anywhere between 3 to 5 years, depending upon which client you speak with, depending upon any amount of significantly higher growth or maybe even lower

growth for that matter, we take certain steps to partner with our client so as to enable their growth faster. So, short answer, can yield compression be possible at the time of contract renegotiation, the answer is yes, but by and large it would be minimal in comparison to the telescopic pricing and related impact.

Moderator: Thank you. We have the next question from the line of Devansh N from SIMPL. Please go ahead.

Devansh N: In case of employee cost, can you share the headcount as on March '22 and March '21 and December '22?

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Sreekanth Nadella: Yes, just give us a moment, please. The dates you're looking for March 2022 last year beginning we were at 5,440 and December, for the period ending the previous month, we were at 5,300.

Sorry, what was the other period that you asked for?

Devansh N: March '21?

Sreekanth Nadella: March '21 was 4,900.

Devansh N: Okay, so over here, what is the annual appraisal cycle for us?

Sreekanth Nadella: Typically, it is April, like any other Indian corporate. Yes.

Devansh N: Okay because if I exclude the employee cost, if I look at ex-ESOP cost, there has been a significant increase. Can you help us understand where it's coming from?

Vivek Mathur: Yes, in terms of employee cost the increase is largely related to a reset for the IT employees that we have. There is integration of Hexagram that has an additional cost of all the employees cost

coming in and the regular increments that we give. We have also seen increase in replacement cost during the year based on the demand supply situation that we experienced. We have seen an average cost going upwards of 20% in terms of replacement cost. This is all besides the ESOP cost, which is exceptionally different for this year being the IPO year and the vesting happening this year. These are the main reasons for increase in employee cost.

Devansh N: Okay, but let's say if I look at standalone and if I exclude the ESOP cost, it was 52 crores in December '22, and December '21 was 36. No change in employee cost. The cost increase at ESOP is actually 50%, 44%. Sorry.

Vivek Mathur: Yes out of 44%, you can take about 9% to 10% increase in the average increment that was there for that was given in April. You look at the reset of employee costs for IT folks was across the industry, almost doubled in some cases. In cases where you really need skilled employee, and as a Company which is heavily into technology, we need to retain talent, and therefore we had to increase the salaries for those employees. Although we have taken some corrective actions in terms of resetting the engagement with external resources, the consultants that we used to hire, so we have cut down cost on that front while retaining the talented employees and therefore the increase in cost. We believe this is not recurring in nature. This was one time reset that was necessary given the market demand and supply situation in this area. This is something which we will see is already easing out. Now we see in the last quarter, the cost is actually stabilized. It is not going any further and we do expect that in the coming financial year we will not see something like this happening.

Devansh N: But even if I look at QoQ, what we hear is that now there has been lot of firing that has been happening globally but if I look at our QoQ employee cost ex-ESOP even that has increased 20% QoQ. So, I'm just confused.

Vivek Mathur: QoQ the employee cost has come down.

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Devansh N: Ex-ESOP, excluding ESOP cost? ESOP cost is 16 crores for this quarter than 30 crores last...

Vivek Mathur: That's the impact of the increase that we have done visibly last year if you see. Last year there was no reset of IT cost, this year there is a reset of IT cost so it will have that impact until the financial year ends. You will continue to see this impact on quarter-on-quarter because of the one-time reset that was done. It is not that it will have only one quarter impact, it is a reset of the entire cost. Amit you want to add anything.

Amit Murarka: Yes so I think you are referring not really sure in terms of the numbers, on the employee cost for the quarter we had 72.5 crores versus 76 crores in the last quarter. That's a 5% decline and if I reset the number, based on basically excluding the ESOP cost then basically still my cost is down by 3% because my ESOP cost was 1.6 crores for the quarter and last quarter it was 3.1 crores. Excluding the ESOP cost also the overall employee cost has been down on a quarter-on-quarter basis as well. Like what Sreekanth and Vivek was mentioning, that there are a couple of reasons why on a YoY basis for the full 9 months, why the cost has gone up for a couple of reasons in terms of the reset in the IT salary, the addition of the Hexagram team as part of the core team, and then the investment that the Company did in terms of setting up the whole sales

organizations in terms of basically beefing up my AIF and the Fund administration team in India and the n also adding up people in terms of for the Southeast Asian business as well. Some of these elements have added up to the cost on a YoY basis against which the matching revenue we are yet to see. I mean, we are already seeing a lot of traction in terms of buildin

g up the

pipeline for the international market as well as the number of mandates that we have been able to add in the AI F business. That is all because the last one , one and a half years, the way the team has been built and the organization that we have set up in these some of the new and the younger businesses, that is something that is adding up to the cost. We'll see the corresponding revenue in the subsequent period as we go along.

Moderator: The next question is from the line of A jox Frederick f rom Sundaram Mutual Fund. Please go ahead.

Ajox Frederick: Sir, my question is on the international solutions. I noticed that the A UM has come down but still we were able to do very well on the year -on-year numbers. So, what is the revenue model here? How are we pricing the client? It is on AUM or transactions or how do we do it?

Sreekanth Nadella: Yes, please read that as international and other investor solutions that also includes revenue pool coming from AIF business as well and National Pension System .

Ajox Frederick: Okay.

Sreekanth Nadella: The international business itself , yes the AUM has come down because of mark -to-market reduction in most of the operating geographies there. Yet there has been an overall revenue increase close to 45% in the overall international piece. Alternate investment funds have contributed to 42% + growth. Wealth management pensions have grown nearly about twice as KFin Technologies Limited

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past in the previous quarter. The International Mutual Fund solutions itself has had 5% growth , despite a mark -to-market reduction in the AUM .

Ajox Frederick: Which means that the yields have gone up for that international invest based solution ?

Sreekanth Nadella: That's correct. Broadly, our asset mix and the yield, our yield is roughly about 5 basis points in international operations and overall asset quality has improved more towards equity and also some of the clients who have been transitioned into later part of the year. Now we have full year's revenue coming in.

Ajox Frederick: Got it. That's very helpful. Just one question on the ESOP , what's the pending ESOP outlay we have probably for the next quarter or for the next year ?

Vivek Mathur: The ESOP pool is almost 85% utilized. So, the balance pool is about 15%. As and when the board decides to do anything new, it will come up. As of now, it's 85% utilized.

Moderator: Thank you. The next question is from the line of S onal Minhas from Prescient Investment Management. Please go ahead.

Sonal Minhas: I had a question to understand your debtor cycle when compared to your leading competitor, which is C AMS . I just want ed to understand the business practice at the nuts-and-bolts level to understand why there are such high debtors in this business compared to the only competitor we have. We need to compare to them and what are we doing to actually bring this down or is this like a business kind of a call that we've taken this is what we basically would go ahead with. The second part I think there is that there are also some write -offs we do take on a quarterly or yearly basis on these debtors. I wanted to understand since we are dealing with high quality mutual funds, asset managers, EMCs and wealth managers, what is the need to actually write down those receivables at the end of the year?

Vivek Mathur: So, thanks for your question. As you would know, about 68% of our business revenue comes from mutual fund. There is still 32% of the b usiness, which is non domestic mutual fund, and about 14% of the business comes from issuer solutions, which is the listed and unlisted clients that we service for folio management and corporate actions. That is where the DSO cycle collection period is muc h higher. It's upwards of 90 days on average . That is what puts stress on the overall DSO while there are 5100 corporates that we service everybod

y has got a different

cycle in terms of so we do unbilled revenue accounting , besides the b illed revenue accou nting to accrue for revenue , while the actual bill may get raised on a quarterly basis or half yearly basis or yearly basis. That's how the impact of actual collections versus outstanding is reflected there. As far as mutual funds are concerned, they are r egular p layers . There may be some delay. We actually have a 40 days normal period, credit cycle period with the mutual funds. Usually, they pay on time and in some cases where there are some negotiations going on, not just on mutual fund, but on large VAS product, that comes into play in terms of trying to put pressure to hold back some payment, which results in some delay. But that's exceptional in nature. That's not a regular feature.

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Sonal Minhas: Even if you just assume 40 days for mutual funds, isn't that on the higher side? Because if we talk about financial intermediaries and you are being one of them, when I compared to, let's say, other companies, typically financial intermediaries on the nuts-and-bolts businesses in the entire chain, they don't have such high working capital days when you're dealing with high velocity kind of transactions or kind of financials with companies. So, please help me understand why even 40 days?

Vivek Mathur: Why I'm saying 40 days is, let's say 1st of December to the day the bill is raised it takes about 35 days from day one to the actual billing days. Once the bill is raised, then the credit period is not more than ten days. I am taking 30 days of the period of the month itself to say you are processing, you're working, you are processing the transactions, but the actual bill is raised after 30 days, then ten days of credit period. Five days you take to raise the bill and another five days you give credit. That's why I'm looking at credit period. It's not from the day the bill is raised, we give 40 days.

Sonal Minhas: The second part was just to understand, is there a way in which the cycle should be reduced or is there an intention to reduce the cycle over time, just to understand.

Vivek Mathur: Yes. We are working with our team and the corporates to reduce the payout period from 90 days to 60 days and eventually coming down to 30 days. But it is a journey where clients who are specifically unbilled clients, where they pay based on their convenience, or unless there is a corporate action, they don't bother to pay. We are now sending reminders and formal reminder notices. There are regular follow-ups, engagement in terms of selling them value added services, at the same time we request for payment. So, there is enhanced focus. This period used to be much higher in the past. We have now brought it down considerably and we expect that between now to next year when we meet, there will be substantial improvement in the DSO.

Moderator: Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities Limited. Please go ahead.

Abhijeet Sakhare: Just a question on OPEX, we are coming out of a fairly, strong growth as far as OPEX is concerned, not just for you, but more generally at an industry level as well. Now that the revenue outlook is probably a little more muted or a lot more volatile, given the AUM linkage, what is your visibility? Or let's say flexibility, to put it that way, to kind of manage OPEX more in a much more better way, so that the operating leverage or the margin trajectory remains within a fairly guided range?

Vivek Mathur: Abhijeet for your question, we are constantly working on cost optimization initiatives. We have given up two floors in Selenium head office. We are now at the end of December, almost flat in terms of headcount as we were last year, December. Whatever increase that we have seen during the year has been normalized by taking a

ction in the last quarter of the calendar year. This will flow into Q 4 as well. There are constant initiatives being explored to cut down on cost. Having said that, we stick to our overall guidance on 40% to 45% EBITDA margin, so whatever stress we have seen because of the AUM movement or because of any pressure coming because of KFin Technologies Limited

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reduced VAS revenue as compared to what we're expecting and augmentation in terms of investment in technology that we have done, we constantly look at all the parameters to ensure that we maintain that range of 40% to 45% EBITDA margin having said that, Amit Murarka himself is leading many of these cost initiatives that I talked about. I have talked about two or three. We are constantly looking at enhancing VAS revenue. There is a strong pipeline of VAS revenue that will emerge in terms of culmination of contracts and revenue in quarters to come. Therefore, we are not depending purely on AUM based fee. There is a strong pipeline even in Southeast Asia as we know, it takes time. We are working both and what I want to say is we are working on both revenue as well as cost side how we can add more value to our client by giving value added services. How we can win back clients in the issuer solutions both from new IPOs as well as from existing clients of other RTAs. Through our value proposition we are constantly looking at, how do we optimize cost both in terms of headcount and operating expenses. Like what I mentioned to you that although the cost reset was done for IT employees where the cost went up but we have taken a parallel action in terms of reducing dependency on outsourced IT manpower. That's how these initiatives being taken, results in maintaining the EBITDA margin that we really want to grow over a period of time. I hope I am able to answer your question.

Abhijeet Sakhare: The second one is on capital allocation. I think there was a comment earlier in the day from Sreekanth around potential M & A opportunities. Some more color around, some more details around which are the potential areas you're looking at. I think account aggregator was one space that you had previously mentioned as well, but that space anyways, I don't know in terms of

pricing rationality, if you have any strong views there and in terms of generally how it adds to your overall revenue diversification efforts as against, let's say, paying out higher dividends. Sreekanth Nadella: Sure. First of all, as an organization, we want to be focused largely on asset management space first and foremost, and hence dabbling into other businesses which may seem incidental and ancillary to this business, but we believe that we would want to play to our strengths, which is to kind of drive more and more depth as well as breadth into the asset management space. Within this space already every asset class is important for us and expanding geographically for the same asset classes is the second most important thing. The third thing is expanding the scope of services across the same asset classes, across multiple geographies is the most important thing for us. Basically, if you were to put an X, Y axis those are broadly right, every asset class as many countries as possible, every scope of service that is possible to be rendered for X and Y axis is truly what we are very keen to do. In terms of capital allocation our M & A strategy had been and will continue to be. For example, when we acquired Hexagram, that was to add a layer of a service which we had hitherto never used to do, which is the fund accounting administration side of things. We're looking at scope of services on the issuer solutions, for example, where there are more domains and tricks of business for example, are there things that we can do to provide credible, to give solutions like ESOP Administration for example, or investor relations

side of things. Or if you look at ordinary investment funds, both the TA and FA aside, the entire administration layer, especially if you were to move to GIFT City and so on and so forth. I do not believe that we are intentful at the moment to look at insurance and others not our forte. We want to be a more focused asset management space. Account aggregation, yes, where we continue to be interested that's more from the standpoint of value addition we can render to the KFin Technologies Limited
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entire wealth management and asset management space and not just by virtue of an AA itself. We believe it will be a reasonably commoditized business over a period of time, accepting of course, the value-added component as a TSP that you can render to the asset management space. Vivek Mathur: So, Abhijeet, just to add to what Sreekanth mentioned on your question on capital allocation to dividend policy, we believe that if we can create future modes through acquisition rather than paying out is always a preferred mode. However, the board reserves the right along with the shareholders to decide what is the balancing act the board wants to play on the dividend payout. But it's always our preference to create value for shareholders through constant evaluation of available M & A opportunities in the market. That's what Sreekanth alluded to that we continue to evaluate, but in those areas where we feel that we need to get into.

Moderator: Thank you. We have the next question from the line of Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil: Could you please provide the absolute number for legal professional expenses? The reason I'm asking is that over a period of time, this is one of the component that dragged our margin. Will it be possible for 9 months or Q3 of FY 23.

Amit Murarka: Legal and professional fees. For the quarter, I mean, for specific number we will come back to you.

Sarang Sanil: Sure. Also would it be reducing as a percentage of revenue going forward?

Vivek Mathur: So, there is an increase of about 11.4 crores in the legal and professional expenses year-on-year for the 9 months period ended. It's obvious, as I mentioned that we have taken certain actions where we are reducing our dependency on external help and therefore this number is likely to come down quarter-on-quarter.

Sarang Sanil: Sure. Also, regarding the three litigations against the Company that mentioned the DRHP any recent update on that. Also, what is the material amount related to this litigation that could impact our business?

Vivek Mathur: I don't know which litigation? Specifically, if you can mention which litigation.

Sarang Sanil: There are three against the Company. Those are related to IPO issue Yes Bank, IDFC.

Vivek Mathur: Okay. There is nothing. We have filed discharge application in all the cases. We don't expect any liability on the Company or its existing directors. It is something which is related to past where the corporate veil is lifted and the people who are in charge at that point of time are held liable. Whatever may happen in terms of the court taking its own decision, there is nothing we expect as a result of that happening on the Company. As far as the status is concerned, there is no change in status. There is a new date which we get, so far I have seen it in the last three years. There is no decision or hearing which has happened, except that we filed discharge application that is yet to be argued and decided upon.

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Sarang Sanil: Sure. So, my final question , any reason as to why the margin of data processing business segments have been volatile over the period?

Amit Murarka : I think that is something that we reported as part of the financials and all , the data processing it includes all the different t

he line of businesses which gets clubbed into the data processing. If

you look at the mutual fund , issuer solutions across all these businesses, we are kind of similar.

gross margins is something that we run within the range of around 40% to 45% .

Moderator: Thank you, ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Abhijeet Sakhare for closing comments , over to you, sir.

Abhijeet Sakhare: Thank you all for joining the call today. Goodbye.

Sreekanth Nadella: Thank you.

Moderator: Thank you . On behalf of Kotak Securities Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

CIN: L72400TG2017PLC117649
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compliance.corp@kfintech.com May 12, 2023 CS&G/STX/ JQ2023/20

1) National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Symbol: KFINTECH 2) BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street,
Mumbai – 400 001
Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the LODR Regulations

Dear Sir / Madam,

Further to our letter reference no. CS&G/STX/JQ2023/09 dated April 28, 2023 , pursuant to Regulation 30 and other applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“LODR Regulations ”), please find enclosed herewith the transcript of the Earnings Conference Call held on May 08, 2023 , in respect of the audited financial results of the Company for the quarter and financial year ended March 31, 2023 .

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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Earnings Conference Call

May 08, 2023

MANAGEMENT : MR.SREEKANTH NADELLA MD&CEO

MR.VIVEK MATHUR CFO

MR.AMIT MURARKA HEAD INVESTOR RELATIONS

MODERATOR : MR.ABHJEET SAKHARE KOTAK SECURITIES
LIMITED

KFin Technologies Limited

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Moderator: Ladies and gentlemen, good morning and welcome to the KFin Technologies Q4FY23 Earnings Conference Call hosted by Kotak Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhijeet Sakhare from Kotak Securities Limited. Thank you and over to you.

Abhijeet Sakhare: Hi, good morning everyone. Welcome to Earnings Conference Call of KFin Technologies Limited to discuss the 4Q FY23 performance of the company and share industry and business updates. We have the senior management with us today, represented by Mr. Sreekanth Nadella, MD and CEO, Mr. Vivek Mathur, CFO, and Mr. Amit Murarka, Head, Investor Relations. I would now like to hand over the call to Sreekanth for his opening comments, after which we will take the Q&A. Sreekanth, over to you.

Sreekanth Nadella: Thank you so much, Abhijeet. Very good morning to one and all. Good Monday. We will start with a quick overview about KFinTech. My sincere thanks for talking to this organization. This is our second analyst call. I would still want to reiterate, take this opportunity and explain a little bit about our organization before I dive into the overall business performance. We continue to

be the largest investor solution provider, registrar and transfer agent in India and one of the largest in the world, especially in terms of the number of folios we manage. Between mutual funds and equity, we manage close to 23 crores folios, which is amongst the largest in the world. More specifically on the mutual funds, we manage about 26 out of the 45 fund houses, equating to 12.8 trillion rupees of AUM, translating to a little about 32% of the overall AUM, a number that has, over the past three years, have been continually increasing.

We have also had the privilege and honour of being chosen by most of the marquee fund houses who have launched their operations over the past decade. We won 15 out of the last 20- 21 odd asset management companies that have launched their operations in the country. The equity mutual fund AUM market share, too, has been continually on the rise. In fact, it has increased with over 600 basis points from FY20 from 28.8% to close to 35% now. Being in the industry of mutual funds and asset management, retail SIP book is one of the most important parameters everyone tracks to. Again, another metric our clients have been at the forefront of growth, we have added market share moving from 39% to close to 41% in the past two years.

Issuer Solutions is the place where KFinTech had originally started its business long back, 35 years back, to be precise, and we continue to be the market leader with about 47.3% market share in terms of, when measured in terms of the companies that are listed on the NSE500. And our total client, close to over 5,300 clients, including several unlisted and listed companies, becomes the backbone of this company's growth in terms of having it spread out in terms of every single corporate, every line of business that we deal with. While these two have been traditionally the growth engines of this organization, over the past three to four years, we have carefully and purposefully orchestrated several new growth engines, given financial services is likely to be the next step. We have also since then found opportunities of higher growth in

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various areas, that includes international expansion as well as asset class expansion into alternatives, pensions, private retirement schemes and on the bond market as well.

We have been

at the forefront of the technological innovation, launched over 20 new products which are very relevant to the industry. We have also since then been extremely intentful in terms of having our organization run in a manner which is fully compliant with ESG standards. In fact, as per the previous assessment we have got conducted, we were rated A, and amongst the second-best company in the space that we operate in the capital market.

I will quickly gravitate into the highlights of the business performance for the quarter and also will take this opportunity to quickly sum up the yearly performance as well. For FY2023, KFinTech had registered a revenue growth at about 13% year-on-year. EBITDA margins were at 41.4%, PAT margin at 27.2%. Q4, specifically the revenue growth year-on-year had been about 1.3%. EBITDA margins were at 45.8% and PAT margins at 31.1%.

We have seen opportunities of productivity driven through large-scale technological transformation initiatives that have concluded in H1, which have resulted in terms of EBITDA expansion and PAT expansion into the second half of the year, which have since then, compared to H1, have improved the overall year's numbers both for EBITDA as well as the PAT numbers.

We have seen a growth across, it is a secular growth across all lines of businesses.

Domestic Mutual Funds, which continues to be the largest line of business, the AUM has grown 7% year-on-year, whereas the industry's growth was at 5.5%. This helped us increase our market share from 31.2% to 31.6% in terms of the AUM itself. We have implemented the first-of-its-kind big data platform called Digix across several large asset management companies. And we have also been lucky to have several premier marquee asset management companies. In fact, we now have a fourth client from KFinTech who have entered the category of the top 10 asset management companies by size. If you recollect, we had two AMCs in the previous year and it has now swollen to four. While Domestic Mutual Funds and issuer solutions, as I said, are the bellwethers for this business, we are also very happy to inform you that our faster growth in the younger businesses has reduced the dependency on the larger business, which effectively translated into the revenue coming from non-mutual fund businesses to have increased from 26% to 29% in the fiscal year 2023. One of the primary contributors being the issuer solutions, which has crossed this major milestone of a INR100 crores turnover in the previous year, which marked close to 30% plus growth on the revenue, including the OPATs over 32%. We have added 180-odd corporate clientele during the Q4 itself, taking the total client base to 5,363.

We have also been successful in effectuating transitions and transfers from other RTAs in this space, including that of Varun Beverages, Devyani International, Castrol India, Union Bank of India, and several others. In total, we have added about 1.4 million investor folios during the Q4 FY2023, which brings the total folio count to about 110 million. All of this will augur well into

this year as there is a compounding effect in terms of revenues because of folio expansion. International investor solutions is one of the areas that we've been very, very intentful in terms of growing. We have in FY2023 a total client base of about 41 clients, which used to be 32 in the previous year.

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This has resulted in the overall revenue growth, which basically has a number of close to 35% increase in the previous year, a 65crore number compared to that of the 48crore in previous year, which also includes the international business and the alternatives and pensions within this. We have seen growth up north of 35% both in the case of pensions and in the alternatives, 46% in fact in alternatives and 80% plus in the national pension system.

The Southeast Asian business, on the other hand, giv

en the markets have been reasonably tepid, we lost some amount of AUM. But despite that, we have managed to maintain the revenue in fact for the previous year as we expect to have a much better year going into FY2024. We have added around 63 funds, fund managers to be precise, in FY2023, taking the total number of funds to 411, the market share of 57% for AIF.

As we all know, KFin renders both transfer agency and fund administration services for all alternatives and today has the largest market share in all the GIFT city funds, in fact is one of the few players in the country who has funds in Canada, Singapore and other parts of the world as well and a business that we are very interested in growing into the coming months and years. We have, in the case of national pension system, have outgrown the industry substantially. We have grown our subscriber base by 28% year on year compared to 15.6% of the industry. We effectively translated it into the overall subscriber base well into close to a million, 9,50,000 plus number, which was the 7,00,000 number in the previous year.

So that marks a substantial growth and a continued expansion of subscriber addition both through the intermediary channels as well as through the direct channels. This growth, as we have already informed back in the day, KFinTech looks at its growth strategy both organically and inorganically. We continue to demonstrate our intent to add significant value to our clients and to our investors through identifying opportunities of buy versus build where it makes more sense for us to buy. So one such thing was when we have invested minority stake in the country's first and the largest account aggregator called OneMoney.

We are very bullish in terms of the overall prospects in the medium to long-term prospects of the account aggregation, what it could do even as there is a significant intent from the government of India in order to expand a data-driven economy, which today not just includes financial services data but also GST data and possibly medical records data, so on and so forth. We believe the opportunities will be enormous.

At this point in time, we have definitive use cases to add value to our current client both in asset management and in the wealth management space. And OneMoney, of course, is a premier account aggregator when it comes to the lending space, which also helps us to add a substantial business case and a client case, which hitherto was not a traditional client base to KFinTech, which is on the lending side, if I may. We have since then also acquired through a 100% buyout of WeBile company, WeBile Apps company. It is a tech company based in Hyderabad, which specializes in UI, UX, AI, ML-driven platform creation.

The particular company in question was also instrumental in creating MF Central, as we know today, in terms of its entire journey and the workflows associated with that. It is a very important acquisition for KFinTech in the context of adding a substantial tech base with the relevant domain

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knowledge to enhance KFinTech's own overall tech and transformation capabilities to render unequivocal services to the entire asset management industry, including that of the new acquisition, such as OneMoney, so to speak. Both the entities are based in Hyderabad and have seen sharp growth in the recent years. Broadly, in terms of the industry performance itself, Mutual Funds itself had a performance in terms of the year, I would probably call it, in the context of a highly volatile market and a market which ended flat from 31st March previous year to now at an overall growth of 5.5% year-on-year, and as I said, Kfintech in this context had grown over 7%.

Equity AUM had grown over 10.5% during this particular period of time. There had been a

continued inflows into equity through the SIP retail channel. This augurs well for the industry. Thi

s also reinforces the trust in terms of India's equity and capital markets by the investors who continue to invest through this route, which is both sticky as well as a very efficient investment structure for all the investors.

The monthly SIP inflows have continued to grow from March 2020 to March 2023. In a matter of three years, the numbers have moved from roughly INR8,300 crores to INR14,000 plus crores as a run rate ending March. This provides the necessary stability that is required both for the MF industry as well as for the capital markets. The folios, the total SIP count across AUM have been steadily on the rise, and as I said, through this steady rise at the industry level, we have been fortunate enough to have clients who have been outgrowing the industry, quite substantially helping overall market share to increase.

On the other asset classes, there has been a marked increase in the number of alternate investment funds. Over 25% plus new funds have been added in the fiscal year 2023, and the total number of demat accounts, too, have expanded substantially by over 27% compared to FY22-FY23. The pension subscriber base itself, as I had already called out, has increased by 13.6%.

Given KFinTech operates across the asset classes, equity, bond, alternatives, mutual funds, India and abroad, a continued expansion and financialization of the capital markets, I'd like to believe, will also very well for the organization and its clientele along the way. Our opportunity size for international business continues to excite us. As we all know, KFinTech has an office in Kuala Lumpur with clientele based in Malaysia, Philippines, Hong Kong, and now soon to start in Singapore.

We have also received in-principle regulatory approval from Thailand, and as we go through the next steps in terms of the regulatory approvals within India, we are intentful of starting Thailand operations in time to come subject to the regulatory approvals. The overall market size is nearly two times that of India, and with a strong affinity to have both transparency and fund administration to be provided together. The complex business environment out there, one that we have been there for the last five to six years and we believe we have created successful modes for us to be able to now expand far faster than how we could for the past four years of our inception, which started from zero today to have over 41 clientele.

And as a summary for the year-end, I have also mentioned in the previous quarter that we have signed up with Canadian Fund Administrator. We have gone live since then, and we have also

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added some alternative funds from Singapore and soon to start hopefully other geographies as well. In terms of the KF performance in the domestic mutual funds, our growth of 7% over 5.5% of the industry at the overall AUM level. Equity AUM has been about 8.7 percent year-on-year compared to our higher industry growth during this period. We have had fewer NFOs compared to the overall industry, which I hope will change into this quarter and the subsequent, which will augur well for us into this fiscal year, even as the previous year has concluded. The overall market share continues to expand both on the AUM or equity AUM SIP life count as well as the values, so to speak.

In terms of, if you see a comparison, the highest growth in the AUM, four out of the top seven AMC's in the country had been from KFinTech in the previous year. In percentage terms, six out of the top seven asset management companies who have registered the fastest growth in AUM had been with KFinTech. We are also very, very excited in terms of the launch of our premier financial services company in the country, Bajaj launch to happen this year. And to the roster of KFinTechs, we very, very warmly welcome AI-Bajaj's launch of initial funds into this year, hopefully in the next quarter or

so. Issuer solutions, we continue to expand the corporate clientele by a good margin. The IPO market had been a little tepid in the previous quarter, but we have seen that pick up now.

And we all know that the registry revenue is not just from IPO, but largely from the folio maintenance and the corporate actions, which are largely dividend declarations, buyback of shares, rights issue, and so on and so forth, all of which have seen a steady growth in the previous year. And I'd expect similar trend to continue into this year.

And with any luck with more IPOs happening, we would love to believe that we can continue to expand far faster into this line of business as with the others. We have also been privileged to be awarded as the Asia-Pacific Stevie award in the gold category for innovation and digital transformation for financial services, digitally transforming the IPO subscription model. This is in the context of KFinTech managing the country's largest IPO ever, LIC of India, and

successfully creating several platinum standards in terms of technological solutions that were meted out during that process.

We have won this award in Vietnam across Asia-Pac level, competing with some of the largest technology companies based in the world, including from that of India. So we take this opportunity to thank you all for supporting your faith in us to continue transformation. Quickly moving on to the international solutions, I briefly called out that today we have about 41 clients. In the previous meeting, you would have heard a number of 32. The Expansion is largely on the back of winning several large funds in GIFT City, the newer alternative funds in Singapore, and the Canadian funds that I had already spoken about. Our pipeline for the East Asia and in general beyond the India borders continues to be pretty large, and one I'm hopeful will see a faster traction in terms of conversion. Some of these geographies have longer and protracted procurement cycles, if I may.

That's notwithstanding, several deals are planned for hopefully in the months to come. Overall, we have seen a continued expansion in transaction volume and the clientele, though the AUM

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itself has slipped compared to that of FY2022, given that mark-to-market erosion in the stock market in most parts of the Southeast Asian economies in the previous year, and hopefully that trend will change in this year. In the case of alternatives, we have added close to 144 AIF schemes in the previous year, marking this as the single largest expansion of a business in a single year for us, close to a 46% increase in revenue and a higher than that increase in terms of alternatives. Several of the funds are yet to launch, and as that launches, it helps us to further improve our revenue base in this case, as well as drives an amount of optimization driven through scale that we will accomplish with more funds getting planted.

Fund administration is a very, very important area of business for us. We have acquired Hexagram 1.5 years back, successfully integrated. We have seen growth and expansion in revenues up north of 30% in the previous year for this clients, and even our client-based addition moving from 23 to 28, so five new clients we have added successfully in the previous 12 years.

With that, I would hand over to Vivek to cover the financial performance of the company, and then we'll leave the floor open for questions. Thank you.

Vivek Mathur: Thanks, Sreekanth. On the financial performance of the company, as you would see that overall revenue for the year has gone up by 12.6%. It was backed by moderate growth of about 7.7% in domestic mutual fund revenue. Issuer solutions grew at 28%. International and other investor solutions growth was about 35%. However, quarter-on-quarter, you would see a downfall of 2.7% that's largely driven by a movement in equity AUM, and the ove

rall domestic mutual fund

clients did not have much of NFOs during the quarter, as well as for the year, as compared to the industry. But we see that this is momentary as NFOs will continue to come out in the market from our clients in the current year.

Issuer solutions had good corporate actions in Q3 as compared to Q4, so there is a marginal dip because of that as well. However, on the expense side, we witnessed growth of about 20% year-on-year because of higher salaries for our IT folks, IT team in the first two quarters. And we quickly acted in terms of optimizing our expenses in the balanced two quarters. And if you see, quarter-on-quarter expenses for Q4 over Q3 has come down by about 6.8%, and other expenses have come down by 9.2%. So, overall EBITDA went up by 3.9% quarter-on-quarter. We ended the EBITDA margin at 41.4% for the year, and for the quarter it was 45.8%. So, we believe that the trajectory in terms of our ability to optimize expenses if there are headwinds on revenue is demonstrated what we have done in the last two quarters, and we will continue to do that in the coming year as well.

So, EBITDA margins are well within the range of 40% to 45% that we believe is sustainable.

41.4% is within that range. Last year was 45%. And PAT margin and overall profit after tax has gone up. There is a healthy growth of 31.8% year-on-year, while on quarter-on-quarter it is 6.8%. So, overall return on equity is at 25.8%, and we are sitting on cash and cash equivalents of about INR310 crores, which we believe is sufficient as we look for organic and inorganic growth. And diluted EPS has gone up by 23% year-on-year.

Happy to take questions now.

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Moderator: Thank you. Our first question comes from the line of Pranuj Shah from JPMorgan. Please go ahead.

Pranuj Shah: Hello. Yes, thank you for the opportunity and congrats on the quarter. So, three questions from my side. First is, on the international AUM, I understand you mentioned that year-over-year the impact was largely due to MTM, but even quarter-on-quarter there has been some pressure. So, is there anything that you're seeing from a flow perspective that is impacting this, both on the AIFs Management and the international solutions?

And second, related to that is your take rate essentially for the international business has increased. So, can we expect further such increases going ahead and what would be the trajectory here? I have another question. I will just come back on after these two.

Sreekanth Nadella: Thank you. So, on the international AUM, I had commented about an overall year-on-year dip in the mark-to-market of the AUM. So, KFinTech, the overall AUM that we were managing, let me just give you the specifics. We were managing an overall AUM of INR64,000 crores in the previous year, which had dipped to INR55,000 crores to INR56,000 crores in the current year. That dip was largely on account of mark-to-market is what I had called out.

However, that had not resulted in any revenue dip. So, we continue to have flat revenue for the previous year. This is in the context of the way our commercials are structured for international are different from that of India. So, while the mark-to-market was the primary reason, we have started seeing green shoots in April already. So, the overall AUM has a potential to grow, not just because of the current markets to move up, but also some of the transitions which have concluded in the previous year will start adding the AUM into this year.

The second question in terms of the take rate for the international and the alternatives, so we have added clientele across the stack, whether it is the international business in Southeast Asia, even into the West in the form of Canada, etcetera, and into alternatives. We believe the market in both these particular geographies, as well as the investment class, is quite substantially large

and this potentially is the tip of the iceberg. So, I find it currently gives us the confidence to believe that we would be able to repeat the performance, probably even better it as the time goes.

Pranuj Shah: Okay, so you do think that this yields currently at a cap rate at 5 basis points, but this can move up going ahead also?

Sreekanth Nadella: It is possible, yes.

Pranuj Shah: Got it. Thanks a lot. My second question is on SEBI regulations, which as per news reports, they might charge AMCs to pay brokerages out of that Tier. So, do you see this as a headwind to your potential margins or the revenue that you charge to AMCs?

Sreekanth Nadella: The commissions that are paid to the brokers, as is the fee that is paid to the registrar, such as ourselves, all goes out of the total expense ratio. So, to that extent, what gets paid to the brokers has no correlation to what gets paid to a registrar or to a fund accountant or to any other entity that an asset management company contracts with in order to get a certain set of services

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delivered to. It is early days in terms of the quantum and the nature of expense ratio cuts, if any at all. I'd like to believe that the conversation has nothing to do with the registrar's fees at large.

Pranuj Shah: Brokerage, I'm talking about brokers as in during transactions. So, that you don't see as a headwind currently? If it impacts the margins of AMCs, that could have a knock-on impact on to KFin's numbers potentially?

Vivek Mathur: Yes. So, every time there is a market event, clearly there can be some stress at an overall asset management level. But we need to understand the nature of our engagement is very different.

Today, we operate at a highly productive cost base, providing some of the top-class services at probably the lowest price point. Today, cost per folio, in the case of mutual fund industry, is roughly INR27 per year per folio. You compare that to any other industry, which runs into hundreds of rupees, whether it is just opening a Demat account or bank account or any of those things at all. The cost itself has already been optimized to a point where further optimization in terms of the pricing is going to be great.

Sreekanth Nadella: Yes situation way back in 2018, for example, when there was an expense ratio cut. And you would notice that there was no direct correlation in terms of our revenues or our basis points incurred by that particular event. Likewise, there are certain events that also work in the favor of asset management companies, which may not necessarily pass down to the registrars too. It's broadly an independent conversation, which is entirely based on the value we add and the work we render for the client to have their single largest piece of work, which is the operations for this particular industry to be managed by us.

Pranuj Shah: Got it. Thanks a lot, Sreekanth. That's extremely helpful. I have another question, but I will come

back in the queue. Thank you.

Moderator: Thank you. Our next question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes. Hi. Good morning, everyone. Firstly, just on the domestic mutual fund business, could you throw some insights after, how do you say, for example, if you get a INR1,000 crores AUM in existing scheme versus the NFO, how does your realization change between the two?

Sreekanth Nadella: Yes. So, I think it's probably more an academic question, and there is no difference in the revenue that KFinTech generates, if a INR1,000 crores were to come from NFO versus through business as usual operations. Okay. It is our contract and commercials are largely based on the asset class, which is equity, debt, and liquid, and ETFs. And for each of these, there is telescopic pricing, which means that up to a certain threshold of an AUM, there is a certain rate. And as the AUM breaches that,

there are certain volume discounts that are automatically baked into the contract.

So, in the example that you have cited, whether the INR1,000 crores come from NFO or through any other form of channels, say one-time investment or through SIP, it makes no difference in terms of the revenue that we generate. However, the revenue itself will be different between client-to-client and between threshold of AUM to another threshold of AUM.

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Prayesh Jain: Got that. And while you've spoken about the revenues of each of these segments, could you also talk about the profitability of each of these segments in the sense that, what would be the EBITDA margins in each of these businesses, domestic financial solutions, international, and global business solutions?

Sreekanth Nadella: Yes. So, we don't necessarily provide the business-level margins. But it's largely also because significant amount of our costs across the industry, especially on the technology and infrastructure side, with a significant increase in both the regulatory requirements, as well as in general, the requirements that are pertaining to cybersecurity, data privacy, resilience, so on and so forth. But broadly, most of our businesses, at the entity level, before allocating any overheads tend to be around, 60%-odd.

Prayesh Jain: Okay. So, in a way, is it fair to assume that while the revenue contribution of domestic mutual funds is at the highest levels, and the profitability will also be at the highest level? And what is the order of profitability share of EBITDA for each of these businesses? Could you share that in, if not in direct terms, but at least some indication as to which ranks where?

Sreekanth Nadella: So, I've already called that out in terms of broadly, most of the businesses tend to gravitate between, 50% to 60%, and all of them are in a cluster. The international business gives us the highest yield, as was answered in the previous question, right? I mean, in India, it's roughly about 3.8 or so. For international operations, it's over 5. Businesses of, corporate registry and mutual funds are of, similar character. It provides us hedge in terms of having businesses, not all of which are directly related to the market, right?

In the case of corporate registry, it's more driven by the number of folios, corporate actions, so on and so forth. In the case of our national pension system, it is subscriber driven. Our value-added solutions and services of technology are purely tech solutions, so to speak. So, there are various different parameters, each of the businesses thrive, and obviously, the margins associated with each of these would fluctuate based on which year that you're talking about, but broadly, the cluster would be between 50% to 60%, and the international business having the highest yield, if I may, compared to the other businesses.

Prayesh Jain: Okay, got that. Yes, that would be all for now. Thanks.

Moderator: Thank you. Our next question comes from the line of Abhijeet Sakhare from Kotak Securities Limited. Please go ahead.

Abhijeet Sakhare: Hi. So, the first question is, again, on the mutual fund RTA business. Are there any major contract renewals in the offing for this year that can pressure the realizations, or if you could just directionally guide us on the yields on the MF RTA business?

Sreekanth Nadella: Sure, Abhijeet. Our overall yield, we continue to be around, between 3.8 and 3.9 for the previous year, ending 31, March, and as we all know, the overall yield of the company is, in some sense, a weighted average computation at an AMC level, so to speak, right? Each asset management company has a different rate, different structure, based on their focus on a specific asset class

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versus others, as well as the quantum and size of the fund itself, given the large funds tend to enjoy a telescopic pricing driven lower yield, in some form or shape.

We believe that over the last five years, if you see our trend, it had been the variance of the basis points had vastly been around the same number between, 3.8 to 4. We believe we'll be able to maintain around the same yield curve this year as well. We have one contract that's up for renewal in this year.

Abhijeet Sakhare: Got it. And just from an understanding point of view, are you seeing any discussions around, let's say, differentiated pricing, whether, be it a customer who's coming through a direct channel versus an intermediated channel, or maybe, let's say, a unique first-time investor versus a repeat investor, any of those discussions starting to come into the discussions with your clients?

Sreekanth Nadella: No, Abhijeet, not yet. I think it's very early days, and there's just a lot of speculation. I think we should wait for some clarity. Expense ratios capped at the size of the fund house to GST to new investors being treated as a new, irrespective of whether you are from P30 or B30. There are a lot of discussions that are, all of this will manifest itself in the form of consultation paper at some point in time, which will further be debated, and some changes may happen sometime during the year. But it's very, very early days. With our clients, the conversation is largely business as usual, how to drive the growth, how to expand the overall AUM and the market share by providing value-added solutions. Our conversations have been largely focused on business and not overtly be worried about items that are beyond our control and of which timelines are not definitive at this point.

Abhijeet Sakhare: Got it. Second one, on your presentation, you make a couple of references around data lake projects. So just broadly, could you talk about revenue model here, one-time versus recurring, what's the demand versus what's being currently serviced, any sort of broad numbers here?

Sreekanth Nadella: So Digix is a big data platform we've created, first of its kind, as well as architecture with frugal engineering and something that is fit for purpose for this industry and something that is definitely scalable into the product, BFSI circle itself beyond the asset management space. The platform created in collaboration with AWS, who is also our strategic partner for all things Big Data. We have since then implemented for one of our largest clients. And we have recently, in the month of March, signed up with one of the largest wealth managers in the country, who also happens to have an asset management company.

The revenue model is twofold, a one-time implementation cost, which is largely dependent on the lineage and the legacy of the data in terms of architecture that the asset manager or the wealth manager has, which is basically the continuum or the number of years. And the quantum of data itself, as well as the use case that they would look at us for us to be developing it. So that is effectively a one-time fee. And there is a recurring annual maintenance, which is largely rendered in a SaaS model to the clientele, which is to provide end-of-the-day cutting-edge analytics, both on the side of sales, marketing, and distribution, on the compliance, as well as the delivery and operation side, so to speak.

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We have since then also embedded the layer of account aggregation into this for the data and the information to be far more useful than it ever was before. So it has already seen a lot of that. We have implemented within KFinTech first within ourselves in the previous year. And after its proven success cutting across petaflops of data that we put on ourselves, we have found a sweet spot for all asset managers and wealth managers in the country and beyond.

Abhijeet Sakhare: Got it. I have a couple of more. I'll come back to the operator.

Moderator: Thank you.

Our next question comes from the line of Prithvish Uppal from Asian Market Securities. Please go ahead.

Prithvish Uppal: Yes, thank you for taking my question. Firstly, just wanted to understand what has been the contribution from value-added services, and especially you touched upon the Digix platform as well. So just how the trend is shaping up over there and overall revenue, how much would that contribute?

Vivek Mathur: Yes, VAS revenue contributes to 5% over total revenue, and currently it ranges between 5% to 6%. But we expect that with the demand, as Sreekanth mentioned about value-added services like Digix and Data Lake ramping up, and there are more value-added services products that we are planning in the issuer solution space as well, we expect this percentage to go up. Sreekanth, do you want to add on?

Sreekanth Nadella: No, that's about it. Thank you. I think the quantum was asked and you have answered that. So as the overall revenue base expands, the percentage on that, of course, the value-added solutions increases. VAS, to be clear, cuts across every line of business. It is not specific to mutual fund

alone. On the corporate registry side, we provide cutting-edge platforms of insider trading, electronic AGM, electronic voting, so on and so forth.

In the case of mutual funds, it could be platforms such as Digix and extended CRM, ORM solutions for our clientele, apart from taking care of the entire mobility stack for them, that is building their mobile apps and websites, so on and so forth. It also cuts across alternate investment funds and into our global solutions as well. So it is broad-based and secure across every single line of business, and we constantly find opportunities to create solutions which have an impact across the industry and across the geographies.

So, this is a new line of business in some form and shape for us recently, right, and we have articulated 4-5% of our total revenue pool to come from this business. And a good part of this business also compounds into annual revenue, especially on the AMC side, which provides an amount of stability to the company.

Prithvish Uppal: Okay, so understood. My second question is with respect to your global fund business, the international MF business. So, I'm thinking, despite mark-to-market connection in the AUM, you mentioned that revenue was more or less, as it has actually increased. So that would mean, from a yield perspective, the yield at the charging that would have gone up, and if you could just somewhat elaborate on in terms of how, the pricing is maybe different from how we charge to

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domestic MF. Is it on a similar sort of pricing model, or is it different across different geographies?

Sreekanth Nadella: Sure. So we have created, in some sense, we have taken this model to these countries in some form and shape, which is that it did not, exist. And of course, some of the lessons that have been learnt from the markets over here, compared to other cities, we didn't want to replicate the same challenges. So, we have a few things.

One is, yes, we have provisions in our contract to increase the price and not necessarily discount the basis points as the AUM increases. So that is one definitive difference between the market here in India, as well as coming compared to the other markets. So that is a goal and an explanation that is possible, which we have been trying successfully to effectuate year after year. Second, there is also a minimum price at a fund, at a scheme level, given we have set an amount of efforts and, a scheme's non-make it, in order for us to render our services. So even though the AUM had come down in the previous year, revenues remain flat for these two count, for these two reasons. One, primarily a basis point expansion, and two, and more importantly, a minimum fee per scheme that we charge, irrespective of the quantum of t

he AUM scheme that we have.

Prithvish Uppal: Okay. So, on the pension side, so, previously it was disclosure, the segmental result, especially on the pension side, we were, it was on the negative side. But now, with the changes in terms of the segmental disclosure, we have reported a positive number for, the entire international and other, the international other investor solutions. So, just wanted to understand, has the pension business turned profitable from this quarter or when do we expect that to happen?

Vivek Mathur: Yes, the pension business continues to grow in terms of market share, number of subscribers, revenue has been, has grown year-on-year by about 83%. But it is still not turned profitable. So, at an EBITDA level, so we have yet to reach scale to become profitable. But we do expect that with the kind of growth that we are experiencing, in terms of number of subscribers, we will be, able to achieve that kind of breakeven in the current financial year.

Amit Murarka: So, just to add, as we business and all, we will see the operating leverage kicking in. I mean, on a year-on-year basis, while my revenue growth has been 83%, my losses have already reduced by half, almost 50% this year. So, as we go along and we see more scale coming into the business and all, we will see this business to start contributing profits as well.

Prithvish Uppal: Okay. So, this is just one last question on the data keeping side. If you could split the international and other investor solutions revenue into the pension, AIF, and the global fund of business, that could be very useful?

Vivek Mathur: So, largely, the revenue comes largely from Southeast Asia business in the international side. And that is about 80% of the total business revenue comes from that. Then we have, other businesses which are related to pension and AIF, which is the balanced fund. As you know, pension is a very small business. So, large part of the growth is coming from the AIF and PWM.

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Moderator: Thank you. Our next question comes from the line of Anand from White Oak Capital. Please go ahead.

Anand: Thank you for the opportunity. A couple of questions. First is, from investment perspective, do you see any significant need which can impact, our operating expense for over the next couple of years? And second, from international business perspective, over, let's say, next two, three years, where do we see this mix to be given our current standing? And from profitability perspective, what would be the next expectation or, let's say, next two, three years?

Sreekanth Nadella: Thank you, Anand. Anand, I think the first question was any sizable capital investments planned. Is that the first question?

Anand: Yes. So, we have cash. We might have some inorganic growth plan. So, that is one part. And from investment perspective, like low cost of business, is there any major investment in any particular segment which might need to hire as well? So, you can comment on both of those things.

Sreekanth Nadella: Yes. So, the years that have gone by, in fact, we have had, substantial, capital expenses that we have incurred, in the context of, creating the data structures that are required for our products and platforms, as well as the entire infrastructure that was required for the field that we are in deciding into the coming three to four years. So, a good chunk of investments in the case of IT infrastructure has already taken place.

And we have, some more to happen this year as we also modernize the end user computing for us to be able to successfully gravitate towards a hybrid work environment, which effectively translates in the form of, mobility platforms, collaboration platforms, and laptops, so to speak. So, there is some expense, capital expenses planned for that. Not beyond that, we do not have any large, capex planned.

M&A continues to be a very, very important

focus area for us. And, as I called out in the previous year that, we were looking to have a couple of acquisitions this year that we have concluded already. We are looking at, through this year as well, and probably, sizable, bigger than the current acquisitions we've had in the previous year. So, to that extent, yes, I think expect some money on the M&A, hopefully, to be expanded this year.

Other than that, in terms of pure opex, I believe, we do not have any sizable or material deviationaries we required. In the last two years, we have expanded our sales and marketing teams beyond India, which had been one of the contributing reasons for our fast expansion into our international overall clientele as well as revenue. That has now become a business as usual expenditure that is the sales teams that we have created within Thailand market, Philippines market, Malaysia, and now in Singapore. So, to that extent, this will not be differentiating or a variable cost that we will be building for this year. And you had another question. My apologies.

Anand: Yes, it was on the international business. Where do you see this mix of domestic versus international evolving, given our current standpoint and with the current visibility? And from

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profitability perspective, also, what will be the mix of revenue versus profitability two to three years out for international business?

Sreekanth Nadella: In terms of revenue mix, three broad components in that, right, international and other asset management solutions. The international itself, truly. Then the alternate investment funds and the wealth management, and then the national pension system. Of these three, we believe the first two have the highest revenue potential, both in terms of the addressable market, as well as the potential to have, margin structures, which are more commensurate to our line of business. Pensions, any which way there are some, I think we'll have to wait and watch this space given how the government is looking at national pension system versus old pension system.

But given our growth had largely been on the all-citizen sector, we continue to be optimistic about it. In terms of the proportion of the revenue to come from each of these segments, I believe that there would be a similar growth trajectory, especially into this year. Alternate into the next year, it may change more in favor of international business as the full year's revenue for the deals that we are winning and the transitions, those will conclude, will kick in.

But for now, the number of alternate investment funds we have won are signed up and yet to launch into this year. And the new ones we are signing up is quite substantial. So, I'd like to believe that, we will continue to maintain similar mix of revenue among these three categories into this year. Even as into the medium and long-term perspective, I would expect the international business to be significantly higher than that of alternative national pension system combined.

Anand: Okay. And last question, if I may squeeze in, from international business perspective, fair to say

that the runway of opportunity here might be much more beyond the next couple of years. And if you can give us a more structural sense of the business, given that at this point, then you're kind of unique in that geography as an India origin player. So, what is the structural scope of opportunity here?

Sreekanth Nadella: Yes. So, we're nearing the top of the hour, so I'd be brief and probably we can pick this up offline at length. But very succinctly put, it's a, it's a \$6 billion industry, right, beyond India. So, business that we are in, and that is a totally addressable market. Splitted between East and West, East is largely a transfer agency opportunity, which is where, KFinTech have been for the longest time. West is largely a fund administration opportunity, whi

ch is where we have started making big moves after acquisition of Hexagram and having started delivering fund administration solutions for several alternative funds in India, in Singapore, in Canada, and other parts of the world. So, together, that's the business opportunity we look at. And we, our aspiration, our intent is to be the first Indian company to be globally relevant in this space.

Moderator: Thank you. Our next question comes from the line of Devansh Nigotia from SIMPL. Please go ahead.

Devansh Nigotia: Thanks for the opportunity. So, in case of employee cost, if you can help us understand in terms of count, how the count has shaped, and were there any one-off costs in the last quarter? Because

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the 10% Q-o-Q de-growth seems quite significant. And what is the median increase of remuneration we are ex

Sreekanth Nadella: Our employee payroll costs for the previous year, have seen an overall 20% plus growth compared to the year before that. I think there are two broad reasons. One, of course, is, I called out about our expansion of sales and marketing development teams, product and platform development teams. So, we have been adding, certain functions, which were much smaller, back in the day, given, KFinTech, that largely was in the domestic space, largely looking into the domestic mutual funds and into the issuer solutions.

Now, as we expand other asset classes and other geographies, it is quite obvious that we need to have the, feet on the street, on the ground in each of these parts of the world. So, the head count of a different, skill set of employees was one of the contributing factors in terms of the payroll cost.

The second one, of course, is the inflation itself. Now, the previous year, India, across the globe, has seen inflation in the form of, salaries, expanding quite substantially. We were not immune to that either. But as we moved into the H2, we have seen two opportunities. One was, of course, a normalization of the wages, which I'd like to believe has happened and continues to happen eventually.

And second, we have driven a very different software services companies operating model in our IT, which effectively means it operates in a pyramid model as against a pod structure and, product or a platform layer. So, basically, we brought the best practices of our IT services work to deliver IT to its clients the similar way our IT in KFinTech renders its services to its internal customers, which is the domestic mutual funds registry, so on and so forth. So, we have transformed our business model into a pyramid-driven structure, which has helped us reduce the overall cost, at an hour level in conjunction with the normalization of, wages.

So, those two together have helped us optimize our wages. Into the coming years, we are still deliberating. You know, we have not yet closed out the numbers, but I'd like to believe, as always, we will continue to be an employer, who will be, market-relevant and be in the top region of it. It is very important for us to have the domain knowledge as we expand fast and do with it as classes create top leadership and expand beyond countries to have best-in-class talent.

Devansh Nigotia: And there has been a significant jump in the international customer count, Q-o-Q. So, if you can just elaborate a bit more on that, with geographies that it is related to. And also, we've made inroads in Singapore recently. So, what do you think, how much that business can scale up?

Amit Murarka: Devesh, I mean, if you see on the sequential basis, the number has gone up because we have just repurposed the classifications and trying to consolidate our international operations. So, between the previous quarter and the current quarter numbers, if you see the gap is majorly because, I mean, we have included the gift-city client also in terms as part of, the Q4 numbers. But on a 32 to 41, pure

ly because, I mean, those many number of clients have added into the international business because the Gift City was, we just started in Feb, the Gift City operations and Hexagram

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also we have consolidated only in the last year. So, hence, the more comparable number is March versus March rather than looking at the numbers from December versus March. But as Sreekanth mentioned, we have been adding, the clients both, in gift city as well as in the overseas market as well. So, yes. So, that is how the numbers are.

Devansh Nigotia:

Sreekanth Nadella: Yes, this is not an acquisition. So, we have added clients in Singapore, two funds to be specific. And so, Hexagram acquisition, as we all know, is something that adds color and character of clientele in India and beyond. So, the clients that we have added in international, partly are KFinTech direct clients in the form of transfer agency work, both for mutual funds and alternatives. That's where Singapore comes into picture. It also includes clientele that Hexagram from a fund administration standpoint has won, which is, again, Asia and beyond. And also, of course, the Canadian funds that we spoke about in conjunction with Gift City funds. So, it is a combination of, Gift City plus the international funds and also a combination of transfer agency and fund administration contract that we have won during this time.

Moderator: Ladies and gentlemen, we have reached to the end of the question-and-answer session. And I now hand the conference over to Mr. Vivek Mathur for closing remarks.

Vivek Mathur: Thank you very much, everyone, for joining this call. And we look forward to remain engaged quarter-on-quarter. Thank you very much.

Moderator: Thank you. On behalf of Kotak Securities Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2023

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compliance.corp@kfintech.com August 04 , 2023 CS&G/STX/ SQ2023/ 15

1) National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
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Scrip Symbol: KFINTECH 2) BSE Limited

Phiroze Jeejeebhoy Towers ,
Dalal Street,

Mumbai – 400 001

Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the LODR Regulations

Dear Sir / Madam,

Further to our letter reference no. CS&G/STX/SQ2023/05 dated July 21, 2023 , pursuant to Regulation 30 and other applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("LODR Regulations "), please find enclosed herewith the transcript of the Earnings Co nference Call held July 31, 2023, in respect of the standalone and consolidated unaudited financial results of the Company for the quarter ended June 30, 2023 .

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

"KFin Technologies Limited Q 1 FY24 Earnings
Conference Call"

July 31, 2023

MANAGEMENT : MR. SREEKANTH NADELLA – MD & CEO

MR. VIVEK MATHUR – CFO

MR. AMIT MURARKA – HEAD - INVESTOR RELATIONS

MODERATOR: MR. ABHIJEET SAKHARE – KOTAK SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q1 -FY24 Earnings Conference Call of KFin Technologies Limited, hosted by Kotak Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijeet Sakhare from Kotak Securities. Thank you and over to you.

Abhijeet Sakhare : Hey, thanks a lot. Good morning, everyone . Welcome to the Earnings Conference Call of KFin Technologies Limited to discuss the 1Q FY24 Performance of the Company and Share Industry and Business Updates.

We have the Senior Management with us today, represented by Mr. Sreekanth Nadella -- M.D. and CEO; Mr. Vivek Mathur -- CFO and Mr. Amit Murarka -- Head - Investor Relations.

I would now like to hand over the call to Sreekanth for his opening comments, after which we will take the Q& A. Sreekanth, over to you.

Sreekanth Nadella: Thank you so much, Abhijeet. A very good morning to one and all.

As always, I will start the presentation with a quick overview in terms of the organization , KFin tech, as several new shareholders have participated in our organization in terms of wealth creation. So, welcome onboard to one and all.

We continue to be the single largest investor solution provider to the vast majority of the asset classes within this country. In mutual funds space, in the form of the maximum number of asset management companies, which stacks at 26 out of 45 asset management companies in the country today.

In terms of alternate investment funds, about 36% of all the funds are being serviced by us, issuer solutions where we manage close to 5,500 plus clientele with the market share of 47% cutting across market cap of NSE500, together managing a folio count of close to 230 million plus, that puts us among the largest not just in India but among within the world as well.

Quickly deep diving in terms of the mutual funds, our win record is something that we have set certain benchmarks back in the day, having 15 out of 22 asset management companies that have launched in the country. In this quarter, the country's largest financial services company, Bajaj Finserv which has also launched its asset management company , we won this mandate in the previous year, has gone operational with the launch of four funds this quarter.

Our market share in terms of the equity AUM is close to 35%. Our company in terms of the monthly and closing SIP continues to be running at about 40% of the total inflows into the KFin Technologies Limited

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service funds, even as newer AMCs have launched and we expect the market share to continue to expand from here on.

In terms of issuer solutions, very interesting space as we've been the first registrar in the country, having handled more than 60% of the IPOs within this country, will continue to handle a majority of them on the main board even today.

Several corporate actions have been conducted. We have been chosen to be the partner for Jio Financials and several others, which I will do a deep dive on.

Our international and other investor solutions is the fastest growing sector for us over the past three years, as we have since become the only market license intermediary, especially registrar and transfer agent who has presence beyond India, we are currently present in Malaysia, Philippines, Hong Kong and Singapore, in addition to being India apart from servicing clients in Canada and a few other parts of the world.

We have become the second central record keeping agent for the administration of National Pension System. We have cr

ossed the million -subscriber mark into the previous month, making us the fastest growing CRA nearly twice the speed of the industry.

In terms of the alternate investment funds, we had a market share of no more than 7% in 2020. Today, it is about 27% of brands as among the fastest growing fund administrator in the country. Our innovation and the tech labs are at the forefront and we believe are the reasons for the differentiated growth vis-à-vis the industry .

We've launched several new products, in addition to the 20 that have been launched in the previous year, at least half a dozen new products are in the pipeline to launch into the next four to six weeks.

In terms of the hyperscale transaction volume, we process a little lower one and a half million transactions every single day, little over a trillion plus rupees transit through our system, inbound and outbound, making us a critically important institution as has been accorded by the countries regulator in the previous year.

We have since then been ESG rated at Level -A, putting us the highest rating for any registrar, not just in India, but within the world, and we track to our security given the quantum and the gravity of the volume of the transactions that we process and the significance to the capital market structure. In terms of security, we track to the platinum standard of Big Five Security Score where we effected 790, which we have just reached 800, putting us amongst the best in the country as well. That's a quick snapshot about our organization.

As I quickly deep dive into the highlights of the previous quarter, we had purposefully orchestrated to be a diversified business model over the past five to six years. Diversification in what sense, in terms of the asset classes, not just the dependent on mutual funds, but expand into KFin Technologies Limited
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security markets of equity and bond markets, alternate investment funds, pensions, private retirement schemes. While seated not just be a single geography focus in terms of the cyclicalities will hit us, ergo expand geographically, and that's exactly the path that we have orchestrated for ourselves over the past five years even as our younger businesses have already taken near about 30% plus of the total share of revenue as against nearly 4% again five to six years back, that provides a very good headroom for as we are concerned.

In the quarter that had gone by, our revenue has grown approximately 8% year -on-year, EBITDA growth had been about 13% and the PAT had grown at 16% year -on-year, with the PAT margin at 24%. Both PAT and EBITDA margins have seen near 200 basis points expansion year -on-year.

Q1 traditionally being a lighter quarter for the Financial services, especially in the business that we are in, we are extremely happy to inform the investors that we have clocked revenue profile pretty much same as what we have for Q4 of the previous year, which effectively means that as we move into Q2 through Q4, the growth would accelerate and so will the revenue and the margin profile.

We have since then also carefully orchestrated certain value -added solutions, which is something that is completely devoid of any market reverence which is largely on the technological solutions that we are working on, including their own big data platforms such as Digix and Quest. The value -added solution revenue has grown 16% year -on-year and we are confident that it will cross 20% as we move into the coming quarters.

In terms of the mutual fund business itself, our average AUM has grown 14.5% year -on-year vis-à-vis 14.2% growth for the industry, which means that we continue to have accelerated growth vis -à-vis the broader industry in itself, and we believe that into the coming quarters hopefully we should see a greater traction given the quantum of NFO several of our clients have launched and are set to launch, in addition to the

fact that the country's largest financial services company, Bajaj Finserv, which is our client has gone live in just the previous month. And as that happens, the market share in AUM hopefully will continue to expand as well.

Our second larger line of business in terms of the issuer solutions, we have added about 160 clients into the previous quarter. We continue to add near about 10 to 15 clients every single day either in the space of unlisted or listed clients, and the base obviously in terms of the expansion of the retail investor adds us to our revenue profile as our folio -based revenue expands even as we look forward into the coming three quarters for a significant corporate action -driven revenue as well. Folio count has been stable. It hasn't seen a sharp rise, that is largely in the context of the Q4 of the previous year, had seen a decent exodus of retail investors, but again into the later part of the previous quarter, we have seen the numbers expand, which is again going to augur well for us into the coming quarters. We have in the previous quarter managed about four out of the total seven main board IPOs, including that of Mankind Pharma, Cyient DLM, IKIO Lighting and the Nexus Select Trust REIT, reaps several large IPOs are due to be launched into the coming quarter in addition to corporate actions and the value -added solutions.

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Our international investor solutions, we have expanded our clients count to about 48. We have won one new client in Malaysia and Singapore each in the previous quarter, and one of our existing clients in Philippines has added a substantive number of new funds into our overall service domain, which is something that would add I'd like to believe a sizable revenue and a material impact on the investor solutions revenue as we move into the quarters and the transition begins.

We have also since then won our maiden contract for fund administration in Thailand, which is of that of one of the largest bank -based asset management company in Thailand. In due course subject to the approvals from the regulators, we will be setting up our office in Thailand. That notwithstanding, the current contract could be delivered in its current form without necessarily having an office in Thailand as well.

So, very, very excited to start a brand new geography, which is probably the largest in Asia after India and China and there are several asset management companies and a very large scope for alternate investment funds including for that of fund administration.

In GIFT City, our market share is at 60%, more often than not, every second and every three out of five funds are being serviced by KFin Tech which we have clearly emerged as a differentiating service partner who has full comprehension of the GIFT City rules and regulations, and to have the ability to handle both the transfer agency and the fund administration solutions by virtue of our acquisition of Hexagram into the previous year, making us the only RTA who has the ability to have scaled solutions for all types of fund administration.

We have a total number of funds are at about 416 AIF, domestic at about 37%, close to market share. We have won several new funds and we're very excited to onboard several private equity funds, which has a much larger corpus than a typical AIF and that is a new competency vertical that we are growing. As we move further deeper into the East and hopefully our journey into the western part of the world this year Europe and America would augur very well as we develop competencies to manage hedge and the alternate hedge and the private equity funds where our AUM year-on-year has grown by 42% in the alternate investment funds.

In terms of the new contracts for Hexagram, we have won 21 taking the tally to 21 clients in India at this point in time and making us probably the only entity who can have handle

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at scale for mutual funds, for alternatives for insurance companies and banks as well.

I quickly summarize the National Pension System. We have crossed a million-subscriber base into the month of July. So, as of the quarter ending June, we were just a tad bit shy of a million-subscriber base. We have grown nearly two times, that is 24.1% we have grown year-on-year vis-à-vis 12.9% the growth of the industry in the pension, this is largely on the back of several technological innovations and solutions that we have orchestrated to drive growth in the intermediary-driven pensions as well as in the governmental sector. We are very hopeful to have some strong government sign-ups since the coming quarter given the stage we are in at this point in time.

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Quickly move on in terms of broad brush of the mutual fund performance within India, the previous year had seen good growth, just a shy of about 7-odd percent. But the last quarter had seen sizable growth moving the AUM from about 40.5 trillion to 43.1 trillion for the quarter ending June 2023. We all know and what is available in the public domain is that the mutual fund sector in India is expected to touch nearly about 100 trillion, that is 100 lakh crores into the next six to seven years, which means it is more than 2.5 times expansion that is possible, and given we are one of the two service providers in this industry, we expect to go along with the industry wise, providing several cutting-edge solutions for our clients to grow faster as compared to the industry.

In terms of the SIP flow, which has been at the forefront of the growth of the industry, it has been consistently clocking 14,000 crore plus per month kind of a number for the past four to five months. The SIP aum is expanding based on the number of NFOs that have been launched and we have in the horizon in the next quarter, we believe the number will continue to expand at a much, much faster rate. This is a very important metric to track given it is a retail SIP flow which is the bedrock for growth. It is sticky. It is something that provides resilience for the industry, especially when there are any macro headwinds that may come where the institutional money could be expanded rather quickly. The overall folio count has moved from about 90 million to about 150 million in just a matter of three years.

This is all the good performance metrics in terms of the mutual funds, and as I said, several new asset management companies including that of Bajaj Finserv and Old Bridge which is here to launch, I'd like to believe will help us to have an expanded market share even as we grow along with the industry.

On the other asset classes such as alternative investment funds, the number of AIFs that are registered, licensed and have started their operations has been growing quite substantially. We have grown 23% year-on-year from the number of AIFs and 4% quarter-on-quarter, which obviously has contributed to the revenue. Even as I believe that several of these funds which have launched in the very recent quarter would add a faster growth of revenue rate, commence rate to that of the growth of the number of funds that we added.

The number of demat accounts, as I said, have grown in the previous quarter by 25% year-on-year as last year saw on the amount of its orders of the retail participants into the broader markets. This augurs well in terms of the folio-based revenue that we hope to see into these in the next three quarters, even as the corporate actions we believe will be strong when the corporate profitability of India is pretty high at this point in time.

Moving on, in terms of the market share, the overall AUM, as I said, we continue to expand year-on-year. We are at 31.3% on the overall equity AUM, a marginal tip of 0.1%. This is in the

context of some of the NFOs which haven't fructified into t

he Q4 of the last year, which have

since then have, and even we have a higher proportion of equity, which is about 56% of the total asset classes and the subdued market performance of Q4 meant there has been a very, very

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marginal erosion in terms of the market share even as the overall numbers as I said AUM has grown 14 -1/2% compared to 14.2% of the industry itself.

Moving on, in terms of the corporate client list, as I said, we are growing 12.2% year -on-year and about 3% quarter -on-quarter. We have also orchestrated several transitions from other registrars into the previous year, notably including that of Union Bank of India, Castrol, so on and so forth, and we have several in the pipeline even as we have IPOs that are yet to be launched into the coming months.

We have been appointed and as a matter of pride, we've been the service partner for Reliance Group for the past 30 plus years. And as Reliance has orchestrated Jio Financial Services, we have been identified as we are here from a corporate registry standpoint, and we have also heard recently publication of news in terms of the joint venture with BlackRock to drive the asset management industry.

Managed four out of the seven main board IPOs as I've already called that out and 82% market share as per the issue size in the main board IPO for the quarter that had just gone by. So, it's not just the number of IPOs, but also the size of IPOs, which matters a lot, especially in the context of the folio count and that is where we have had 82% market share in the previous quarter.

Our investor solutions for international from Q 1 of FY23 to Q1 of this year, year -on-year, we have moved the numbers from 32 to 48 clients. Part of that also in the context of having Hexagram winning several clients in terms of fund administration in the Asian markets. So, total RTA work which has been traditionally had been doing 36 in count and fund administration which is the forte of Hexagram which now also of course services like is about 19. The overall AUM itself has seen a little bit of dip again largely in the context of under performance of the Asian markets into the previous year, even as we have seen a steady rise into the past two to three months. And as I've already called out, the expansion of 28 new funds of the largest AMC that we have in Philippines augurs well for us in the coming quarters. As we have seen, the volume has started to steadily rise and we have two AMCs who were under transition in the previous year have just gone live in the month of July, which means the revenue pertaining to those as many, many companies will start to kick in from Q2 onwards.

The AUM for alternatives itself has expanded 41.4% even as the number of funds has expanded close to 50% year -on-year Q1. And in the context of several new funds which have been licensed and are ready to launch would only add for the revenue profile. We continue to believe that alternative investment funds will have a very, very strong and outperforming growth compared to any other asset classes, including that of the mutual funds into the coming years. And in addition to that of the passes that is the ETF growth which also had seen a stellar growth over the past few years had stellar growth over the past years if I may.

Fund administration where we have acquired in the form of m Power coming from Hexagram and several other platforms, etc., is a very critical cog in the journey line that KFin tech has for itself, which is truly especially to be the first entity from India to be a global fund administrator.

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And we cannot be one unless we have a very strong fund administration platform and capabilities in addition to that of a transfer agency services and platforms. In the last four years, we believe we have gone strength -to-strength both in terms of acquisitions as

well as the client addition and

the asset classes that we serve within this from mutual funds to insurance companies to banks to private equity and hedge funds and across the geographies including Canada, Hong Kong, Singapore, Philippines and Malaysia and Asia to India, within India also GIFT City.

I've called out pensions already. We continue to expand our profile without much noise, very steady growth 25% -odd and as the base value increases, it steadily pushes us from a negative EBITDA business line where we have negative EBITDA, and that is largely a factor of the scale itself. And as we are moving the scale we believe that into this year national pension system will turn profitable and as we move away into the further quarters, we would start seeing the contribution to our broader book coming from the pensions as well.

I've worked at this point in time and hand over the program to Vivek to quickly cover the Financial performance.

Vivek Mathur: Thank you. Sreekanth. On the Financial performance, our revenue from operations went up by almost 8% year -on-year, largely due to almost 11% growth in the domestic mutual fund revenue

and about 15% growth in the international and other investor solutions. The issuer solutions revenue year -on-year came down by about 4%, largely because there were lesser corporate actions in the first quarter of this financial year as compared to last year's same period.

On the global business services, there was a marginal dip of about 70 seats which resulted on the RTA side whereas the mortgage business continues to grow in terms of servicing. But overall about 8% growth on the revenue. EBITDA continues to grow at about 13% year -on-year and the EBITDA margin has been growing as compared to last year same quarter which was 37%, this year first quarter was 38.8%. While our guidance on full year basis of 40% to 45% EBITDA margin remains intact, we catch up during the rest of the quarters as we see the growing revenue and the growing AUM and the increased market share across businesses.

On the profit after tax, there is a growth of 16% year -on-year, and that is again a reflection of both the increase in revenue as well as cost management. Our expenses went up only by about 4.6% year -on-year as compared to the same period last year. Overall, the PAT margin is healthy, has grown to 23.9%, almost 24% against 22% last year same period. As Sreekanth mentioned, there is healthy increase both in revenue as well as PAT margins, and as a result of that, the diluted EPS has gone up from 2.2 to 2.51 year -on-year.

We remain cash surplus company with almost 320 crores of cash and cash equivalents, and that money will be used in terms of the aspiration to go towards acquisition on setting up businesses across Europe and US besides the growth in Thailand that Sreekanth talked about. That's mainly on the financials.

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Moderator: We will now begin the question -and-answer session. We have our first question from the line of Faisal Zubair Hawa from HG Hawa & Co. Please go ahead.

Faisal Z. Hawa : Is there any way that this can be disrupted by a blockchain -based system also which could cost much lesser and are we also looking at some alternatives?

Sreekanth Nadella : See, I would answer in this way. Newer technologies are always important to bring the cost to shove down as in India processing millions of transactions a day and trillions of rupees worth of transactions each and every day. We have been steadily reducing the cost to serve within the industry over the past decade plus to -date, We believe that this industry is already served at possibly the lowest anywhere in the world. I think a typical cost per folio for an entire year is just about Rs.30. You compare and contrast that to any other industry, including demat accounts or bank accounts, accounts where you will run into hundreds of rupees.

The technologies that

we have already embraced and adopted are cloud and native mobility solutions. Blockchain itself is a very complex solution and it is not a software, I just want to clarify that it is not something that KFin tech alone or any other entity alone can embrace and say that look, now, I have a better solution to do it. Blockchain works on trust, blockchain works on an integrated solution which requires not just the registrars but also the stock exchanges, the depositories, the distribution network, the asset management companies, the clearing corporations, everybody to be on the same platform for a blockchain to run for the very simple reason that any transaction that we process today necessarily goes through all of these hoops. Right? So, for example today you were to buy us in, one unit of a mutual fund of any fund manager, you will need the bank, you will need the clearing corporations, you will need payment aggregators, KRAs, registrars, depository so on and support. So, unless there is a solution which is top -down which requires the entire industry to be elevated to a blockchain we believe that it is not a software that can just be implemented to gain efficiencies. There is a working committee currently constituted by the country's regulator, where we are part of it. There are discussions ongoing. In time to come we will see in terms of how the blockchain could be broadly adopted by the entire infrastructure required in capital markets.

Moderator: We have our next question from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani : First question is that in the issuer solutions business, if you were to look at it from a revenue per folio , we used to earn about Rs.8 to Rs.9 which has tapered lower. So, could you comment is there anything there, because the revenue per folio is much lower?

Sreekanth Nadella: Yes, most certainly. See , the revenue per folio is the currently there are 5,000 clients, as I said roughly and the unit pricing that is a folio pricing for each of the entity is a negotiated rate, this is not a regulated rate so to speak. And hence the total cumulative folio rate that you see in any quarter on any given day is a factor of where there has been more retail expansion in terms of the client base. For example, if I were to have 10 clients where the unit price is Rs.15 and another 10 clients where the unit price is say averaging around Rs.8, now the retail expansion can happen in any way, which I cannot redetermine, in the example that I just took, if there has been a much broader retail expansion amongst the clientele who have had a smaller unit for you as compared

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to that of the entities where I have a better pricing mechanism, it is possible that the overall average tends to come down for that specific period. Now, as we move into the next month or the next week or the next quarter based on the results, if the other entities at that point in time have a broader retail expansion, the unit price will again go up. So, all I would say is that this is a point in time and this is a market-driven number, this is not a negotiated number, this is not discounts if I were to clarify that if that's what you have in your mind, this is a play in terms of the market dynamics, which would move up and down into various months and the quarters.

Vivek Mathur: I would just add to Sreekanth, the issuer solutions revenue comprises of three components. One is folio-based revenue, second is corporate actions and third is the various value-added services that we offer like e-voting, e-AGMs and all. So, in fact our folio revenue based on the new clients has actually gone up. There is reduction in the overall average revenue per folio because of lesser number of corporate actions in the first quarter as compared to the previous year same quarter, and that's the impact that

at you would have seen about 4.4% reduction on year-on-year quarterly reduction.

Amit Murarka : Just adding more to this, while Vivek was alluding that while my specific folio revenues has gone up by 6%, almost year-on-year basis in the first quarter and as we move into the subsequent quarters and all, these corporate actions which typically happens in the Q2 to Q3, which last year was a little different year, I mean wherein we have preponed of several corporate actions in the first quarter of FY23 which we are not seeing and this is more a normalized year compared to the last year. As we move along into the subsequent quarters and all, I mean this thing would get normalized and you would see the average numbers would pan out similar to what we had last year numbers.

Aejas Lakhani: On the international piece, could you speak a little bit about, you've had a few wins, when does the revenue traction start to build from that, I heard you mentioning it earlier that 2Q onwards.

So, could you just give some sense of the existing wins, how revenue scale ups will take place there and other businesses that you're chasing in the region?

Sreekanth Nadella: Look, we should look at the international business or most of, I guess, the kind of work that we do into two components. There is an existing client base which has already been transitioned and has been in steady state delivery, so that is the base revenue, the recurring annual revenue annuity, however you would like to call it. The second component is the wins that we have typically take anywhere between three to six to maybe sometimes some complex transitions can go up to even eight to nine months of transition. Now, I had called out that two such deals, which we have won in the past, the transitions have been completed in the month of July earlier this month, and hence that line of revenue will kick in immediately from this month onwards... when I say this month, I'm talking about August onwards, right. Then we have deals which we have signed in the recent past into the last two to three months which need to be transitioned into KFin for the revenue to kick in. That is the recurring revenue, even as there will be a certain one-time revenue for the transition itself, which effectively means there is a revenue stream that we will get even for closed deals. Let me call out the sizable ones, the deal that we have won in Thailand is that of our fund administration work for the third or fourth largest bank-based asset

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management company in that part of the world. This is our first client. And we have had conversations including that of demos, we had to re-platform our entire solution to meet the requirements of the Thai regulator and the Thai business equilibrium. And for that we took the past X number of months and have proven to the satisfaction of the client that our solution works just as well in Thailand. Now, the transition for that would start pretty much immediately, and we believe that it is a four to five months transition as I said for which there is a one-time episodic revenue we will get, post which there is a recurring annual revenue. As far as the additional funds that we won from the largest client that we have in Philippines is concerned, the transition has already begun for those funds. The additional revenue that we will get will be on top of the new flows that will happen into those funds from here on, which means that is again pretty much immediate, whereas there is a significant near about \$15 billion worth of assets lying with the same schemes in the current context which are yet to be transitioned. Now, the moment that happens, that would also kick in as additional revenue. So, long and short of it is, there is not a significant lag or lead time for all of these, some of these revenue would be recurring revenue for the contracts that have been transitioned

and some of the other deals, it will

be the transition revenue because we just won and we are in the process of transition even as all the old and existing deals will continue to provide the recurring annuity revenue if I may.

Aejas Lakhani: So, if I were to reiterate what you're saying is, you're saying old wins where the months of transition are over will start now, the new wins which you have won, the transitioning income will be there for the next few quarters before they move to recurring. Is that understanding

correct?

Sreekanth Nadella: Absolutely correct.

Aejas Lakhani: Couple of other things, on the employee cost side, so I just want to understand that has there been increments in this quarter and is this the new normalized employee cost base?

Vivek Mathur: So, this is a nominal increase that we have given to retain certain talent and give for market corrections, and the actual increments will take place from July and that impact you will see in the next quarter which will not be abnormally high, but there will be some impact.

Aejas Lakhani: Vivek, a follow up on that is I remember there were these episodic increases to retain talent that took place in the previous year because KFin tech was going through its own employee upgrades from a pay perspective. So, is that behind us or is some part of it still continuing.

Vivek Mathur: That's already behind us. That was an abnormal increase as you know, for IT and engineers to retain them that was in the range of almost 50% to 60% and that had a one-time impact on the cost. Now, it is running. So, that's behind us. This is a nominal increase that you give in the range of 7% to 8% per annum to maintain the task force that we have. So, that impact will come in the next quarter, but nothing abnormal is going to happen like it happened last year.

Sreekanth Nadella: I'll just add some more color to that if I may. On the IT front for example, even as there were average comp increases that were accorded because of the overall wage inflation that happened

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not just for us but across the sectors in India and abroad. We have since then rationalized the total headcount itself down by nearly 120 people, which is roughly a 14% rationalization of IT manpower headcount. So, what you're really seeing is an increase in average comp largely offset by productivity gains through either better automation or if it comes to technology through better bottom of the pyramid management as we move into tier 2 cities, for example, we have since we last spoke, expanded our operations in Bhubaneswar quite sizably, and provides us a very strong resilient player of committed workforce at a lower price point and therefore overall impact on the payroll would be marginal to that extent. So, it's not just the increase of comp that should be looked at in terms of the overall cost expansion that would be forecasted, but also what are we doing to drive the productivity and take the headcount out, which to a large extent negates any impact on the payroll cost.

Aejas Lakhani: What I understand is the annual increments will take place from Q2. This was more to retain a certain part of the tech team and incrementally you are setting up centers in tier 2 locations like Bhubaneswar where the cost structure is lower. Is that understanding correct on the employee side?

Sreekanth Nadella: Absolutely. And it is not a future activity. We have already completed that activity. So, we have today about near 100 people, which we are doubling up and hopefully we will soon start moving the operations, not just IT into other locations as well. The answer is yes, and it's already done, I mean, we are continuing to progress in that.

Vivek Mathur: One more addition to that is integration of WebileApps that we acquired; their employee cost is also included in this quarter.

Aejas Lakhani: Just on the other expense

s, you've been investing ahead of the curve in technology. How are we thinking about that line item for '24?

Sreekanth Nadella: For '24 our journey line for innovation is very, very interesting and substantive actually. While the overall quantum of the cost could be similar, we are doing it materially differently from the past, largely driving through partnerships with the industry. For example, since we last spoke, we have created a strong partnership with AWS and with several other industry participants, whether it is on the data center side, whether it is on the application layer, whether it is on the data layer, and basically taking the burden of the cost and the innovation together, but at the same time taking to the market together so that the power of compounding comes together, right.

We have a series of assets as early as I think 15th August for the Independence Day we have launches lined up, which are several very cutting edge, first in the industry, not just in India but across the world if I may. Very excited to make our own little mark in terms of the financialization of the country. So, we have created a hot site for our DR capabilities significantly enhancing and creating a benchmark of standards if I may within the country, as has been duly recognized by the regulation as well. And in addition to just the hardware expansion, the technology is associated with that. It is truly the products, platforms and the data monetization that would I believe drive the revenue pools into the coming years even as the quantum of investor base expands. So, we have about five new products or platforms into the alternative

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investment space. Couple of them in the corporate registry space especially with the regulation on PIT with the regulation on insider trading, so on and so forth, solutions that needed to be created in the country are created at this point in time. Likewise, in the case of the mutual funds

too, where we believe the market share expansion is important, our clients growth, in addition to processing we need to help them grow and that's where I guess a decent amount of our tech solution spend also is going. Not to forget the important aspect of geographical expansion, as I said, as we move into Thailand and we need a platform that's ready. So, the last few quarters, for example, some amount of effort and burn has already been baked into creating the platform for a country. At any given point in time, these solutions will have a long-lasting economic impact for the company as we have the ability to then expand the client base on the same platform.

Aejas Lakhani: Could you just speak about the Rs.130 crores payout that is due, is it in October?

Vivek Mathur: Yes, that's right. And that is some thing which is subject to the board approval, which will come up in the next board meeting. Subject to the board deciding to approve that, we will repay Rs.134 crores in October.

Moderator: We have a next question from the line of Devansh Nigotia from SIMP L. Please go ahead.

Devansh Nigotia: Just wanted to understand in case of number of folio, let's say if Reliance demerges the separate company, then how does that changes our revenues and number of folios count?

Sreekanth Nadella: It changes, it adds to a completely new revenue pool for us. So, for example for the question that you asked, there is a one-time fee that we have agreed with the client for the demerger activities which is quite complex and needs to be done in a time-bound fashion. Beyond the demerger activity fee itself, the folios that get created within the new entity, that is the Jio financial services will yield the revenue for the agreed unit price that we have with the client.

Devansh Nigotia: So, does that mean that the folio income actually doubles in that case, except the corporate action income?

Sreekanth Nadella: It will go to commensurate to the number of new retail holders into the new entity, yes.

Devansh Nigotia: And in terms of international, it's still not clear that the number of clients have increased significantly, but how will it translate in terms of the revenue flowing in? And also if you can share your outlook for the next two years in terms of revenue growth, what are our aspiration in international business?

Sreekanth Nadella: See, the international today is largely limited to Asia, right, and we are calling it international, it is largely Malaysia, which is the largest geography for us followed by Philippines, we have one client each in Hong Kong and Singapore and we just won one in Thailand at this point in time, right? It is a fair question in terms of the quantum or the number of clients may seem not commensurate to the revenue pool, especially when you extrapolate that in the Indian context, right? I mean, 25 asset management companies in India are giving about Rs.600-odd crores of KFin Technologies Limited

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revenue, whereas that's not the same case in the case of the countries that we are working there.

So, this goes back to the growth path itself if I may, right. See, as we start a new country, right, and especially when we started our journey just about 4.5 years back or 5-years back to go beyond India, we needed to create one platform which never existed, so that took us a couple of years to do so. And starting pretty much bottom up in countries where outsourcing was never done before. In all these parts of the world that I spoke about, the entire delivery continues to be done in-house. We have in fact orchestrated this model of how we do it in India in those parts of the world. Now, as one would expect, typical to such complex models and generational shift of doing probably the one of the most mission critical work for any asset manager, the larger asset management companies did not initially participate. Ergo, though the number of client base is very large, many of them are the smaller and medium tiered funds. If you were to compare in India, for example, comparing with the top three, top four AMCs probably in the bottom leg of the AMCs, you would understand how different is it the AUM profile, revenue profile is associated. Now, that's one of the reasons why the revenue does not look commensurately as high as the quantum of the clients. Second is the fact that as we win, there is a transition revenue, but the run revenue will always be higher as you would expect. So, we are constantly seeing transitioning multiple clients at a given point in time, which means that we truly never had a full year revenue of all the clients put together. What has started to change in the last one-half to two years especially after COVID is the participation of the large AMCs in discussions with us in negotiations and one of that in fact, as I said has just fructified in Thailand, which is one of the largest asset management companies there where we have just signed the contract or the letter of award just about last week, speaks about the transcendental shifts in terms of the larger AMCs now part taking the journey of the RTA model which we have orchestrated. So, very simply put, the past four years the growth from nil to where we are today marks obviously exponential growth, albeit on a zero basis. From here on, the growth would largely come in the form of larger asset management companies, who are now signing up, many of whom can easily give a revenue profile which can be not a percentage but multiples of the current revenue itself. As I said, you compare the country's largest AMC with that of probably the 30th or the 35th and you see that one such contract you win is going to multiply your revenues two or three, four and not 20% or 30%. So, that's the way the international would expand. Now, while that is on the Asia side, as I

clearly mentioned, our intent into t

his year is to move to west. We have made sizable progress

both in terms of our understanding of the market, customization of the products and platforms, so on and so forth, and probably into the coming quarters we'll have something more clear to explain, but broadly speaking, as I said earlier, our intent is to be probably global fund administrator of repute from India, and to be the first one from it.

Moderator: We have a next question from the line of Pranuj Shah from JP Morgan. Please go ahead.

Pranuj Shah: First question was what is the attrition rate for your business in the second half of FY23 and in the first quarter of FY24?

Sreekanth Nadella: Sure. I think the H2 of FY23, the attrition had tapered down to close to 14%, leaving overall yearly average of 22% for the year that had gone by. Q1 of this year, it was marginal at 4.6% was the attrition that we have seen.

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Moderator: We have a next question from the line of Abhijeet Sakhare from Kotak Securities . Please go ahead.

Abhijeet Sakhare: First question is on the MF RTA business. So, we see like 1% or 2% decline QoQ in terms of the realizations. So, firstly, if this decline sort of indicative of what is built into the slab -based pricing or there has been some form of renegotiations that have happened during the quarter?

Sreekanth Nadella: It is a combination of all. One is if you see the growth profile of my clients for the Q1, there was a good quantum of growth that was generated by the larger asset management companies vis-à-vis the medium-tiered AMCs. Now, as we know the yield that we get from the larger AMC by virtue of telescopic pricing kicking in will always be lower than that of when compared to smaller and medium tiered AMC. So, where the growth comes, it's not just the overall growth, but which AMC/AMCs are giving growth is very important as well. And as I said in Q1, the growth we have seen were largely coming from the larger AMCs and our growth yield that was associated was slightly lesser.

Abhijeet Sakhare: Should we expect like a step change or a more drastic impact sometime during the year from any of the contract renewals or nothing this year?

Sreekanth Nadella: No. So, there is no question of any step change and as you are aware and we have already articulated earlier, every year even that slab change or any renegotiated contract level impact on the revenue is largely under 1% or rather the revenue that you see every year for example probably shows under 1% of revenue that had been forgone because of those discounting if I may. There is no step change. There will be an impact as AMCs move from slab -to-slab and as they grow faster, but all of that impact would be very, very marginal in the context of the growth that we have seen.

Abhijeet Sakhare: So, second one , just coming back to the international business, while I'm sure pricing is not the only driving factor, but it would help if you can give us a sense of where does your pricing come to versus the current incumbents if at all, or if you have any understanding of what's the overall cost of an in-source model and where does our value proposition come in, in terms of the cost reductions?

Sreekanth Nadella: Our yield from our international business at this point in time is slightly above five basis points, right, which marks near 25% higher yield as compared to that of Indian AMC scenario at this moment in time, point number one. Our growth, as you rightly said, is not just based on the pricing, also the style of commercials, for example, we have minimum fee that we derive irrespective of the growth of an AMC within that part of the world. Now, these are some of the things that we obviously have learned in terms of the mistakes that we've done here in terms of the contracting over the last 35 -years, which helps us in terms of whether there is a market downturn or etc.,

given our costs not go away, there is a minimum certain amount of fee that we charge. Point #3, the yield coming from the international market we believe will expand over time. As our services have now started expanding in two different angles, one, for the same client for whom we were only delivering transfer agency work, we are now also delivering fund

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accounting and fund administration work, which typically could be anywhere between 3 to 4 basis points when it comes to mutual funds. So, that means that if today if I'm drawing five basis points from a client X delivering only tier services, should I go on to also render FA services that I may become anywhere between 7 to 8 or 9 basis points. So, the yield per client can grow as my overall service portfolio has increased for the same set of clients. Point #4, in terms of the asset classes itself, while the mutual funds give you a more rationalized structure simply because of the volume, the alternative slab clearly gives you a higher number. And globally, if you see the fund administration business, it is anywhere between 7 to 15 basis points, I mean that is, of

course, for the larger entities such as JP Morgan and BNY Mellon, State Street, etc., what they charge to the asset managers, and whilst we aren't there, we believe that our journey is firmly to that direction actually.

Moderator: We have our next question from the line of Pranuj Shah from JP Morgan. Please go ahead.

Pranuj Shah: Sir, did you already address the question?

Sreekanth Nadella: I think the question was what was the attrition in H2? We were at about roughly 14%, Q1 of this year it was much more rationalized, I think we are at 4.6% is attrition that we have seen in Q1.

Pranuj Shah: So, like if you were to look at your employee cost, obviously you had explained in detail earlier why it is risen. So, this should be the base we should take from here on, right, going ahead?

Sreekanth Nadella: Yes, so subject only to business development that we would do. So, there are areas that we want to grow. See, it's not a mature business, in the sense that we're not just running the same thing over and over again. We are intentful of growing much faster, we are intending of expanding geographically in asset classes. An entity like that will continue to invest on two critical components -- product innovation and platforms -- to basically address the new markets, asset classes, etc., And second in order to make sure that those reach the end market, certain amount of money will be on the business developmental activities. So, if we were to run our core business without any adventure or intent to expand our profile, then yes, our cost in fact won't even be the same where they are, they will even come down, but we've been incurring sizable expenses for driving growth into the future. So, broadly like -to-like cost for the same set of operation, I would expect to see a 10% dip as we have seen year -after-year largely on account of the productivity that we drive, even accounting further payroll increases because of wage inflation. However, our overall cost has seen slight increase as you would see, but that's largely on account of the business development, innovation, etc., expenditure for the new lines of businesses products and platforms that we are acquiring.

Pranuj Shah: And the last one was on the international and the other AUM piece. I think you already talking about the yields earlier that your international is north of five basis points. But if I see on the total overall piece, I'm getting it around 4.5 for your international plus other AUM. So, fair to say that the AIF fees, and pension fees command a much lower yield as compared to the rest of the businesses.

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Sreekanth Nadella: Very true. See pensions, commercial model itself is very different, right, Pensions,

we are not an

RTA, we are a central record keeping agency, CRA, under again licensed by the Pension Fund Regulatory Development Authority of India. The CRA has contracted rates with the regulated which are pretty much sacrosanct. It is not negotiated by the client in the form of POP or the PFM, right, or at an investor level so to speak. It is a flat fee; it roughly averages to about Rs.90 - 100 if I may, right, for every subscriber for every year. So, the growth out there is only and only in the form of adding the number of subscribers. There is no discretion in terms of charging higher or lower fee. There is no discretion in the form of value-added solution what have you. When you calculate the yield if it is divided by the AUM that we are managing for the pension funds then, it is not even a direct correlation because we are not charging on the AUM, but it is charged per consumer.

Pranuj Shah: So, the decline in this quarter would be entirely on the basis of the pension, not on the international, and the AIFs. Is that the correct understanding?

Sreekanth Nadella: That is correct, yes.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the call to Mr. Abhijeet Sakhare for closing comments. Over to you.

Abhijeet Sakhare: Thank you all for joining the call today. Have a good day.

Moderator: On behalf of Kotak Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2023

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compliance.corp@kfintech.com October 29, 2023 CS&G/STX/ DQ2023/ 22

1) National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Scrip Symbol: KFINTECH 2) BSE Limited

Phiroze Jeejeebhoy Towers ,
Dalal Street,

Mumbai – 400 001

Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“LODR Regulations”)

Dear Sir / Madam,

Further to our letter reference no. CS&G/STX/ DQ2023/0 2 dated October 10 , 2023 , pursuant to Regulation 30 and other applicable provisions of the LODR Regulations , please find enclosed herewith the transcript of the Earnings Conference Call held on October 23, 2023, in respect of the standalone and consolidated unaudited financial results of the Company for the quarter and half -year ended September 30, 2023 .

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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“KFin Technologies Limited

Q2 FY '24 Earnings Conference Call”

October 23 , 2023

MANAGEMENT : MR. SREEKANTH NADELLA – MD & CEO

MR. VIVEK MATHUR – CFO

MR. AMIT MURARKA – HEAD INVESTOR RELATIONS

MODERATOR : MR. ABHIJEET SAKHARE – KOTAK SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Q2 FY24 Earnings Conference Call of KFin Technologies Limited, hosted by Kotak Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after

the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference call is being recorded.

I now hand the conference over to Mr. Abhijeet Sakhare from Kotak Securities. Thank you, and over to you.

Abhijeet Sakhare: Hi, thanks a lot. Good morning, everyone. Welcome to Earnings Conference Call of KFin Technologies Limited. To discuss the 2Q FY24 performance of the company and share industry and business updates, we have the senior management with us, represented by Mr. Sreekanth Nadella, MD and CEO, Mr. Vivek Mathur, CFO, and Mr. Amit Murarka, Head Investor Relations.

I would now like to hand over the call to Sreekanth for his opening comments, after which we will take the Q&A. Sreekanth, over to you.

Sreekanth Nadella: Thank you so much Abhijeet. Very good morning and a warm welcome to everyone who joined this conference. I start the conference with a fair amount of optimism and a lot of confidence as we move into the second half of the year. Clearly the results of the quarter that had just gone by hopefully has instilled some amount of confidence in you as well. As always, I will spend about 20 odd minutes explaining a little bit about our results and just as importantly how we look at the rest of the year and then going forward I would hand over to Mr. Vivek Mathur who will cover the financials.

Specifically talking about the organization and its strength and its current scale of its operations, we continue to be the largest investor solution provider to the Indian Mutual Funds from the standpoint of the number of asset management companies we manage. We continue to manage about 60% of all the operating AMCs, 25 out of 46 to be specific. We're managing now close to INR15 trillion of assets under management spreading across these asset managers.

For the quarter that had just gone by, we again had our overall AUM growing ahead of that of the overall market. Our win rate in the mutual funds business continued to be impressive, even as the overall assets under management coming from the equity component is about 55% of our total AUM, occupying a market share of about 34%. SIP monthly inflows about 40% plus. As always, the SIP monthly flow is a very, very solid and scientific indicator in terms of where we expect to see the overall equity AUM over a period of time, even as the secure retail book continues to progress.

From a folios standpoint, KFin Tech today manages near about 23 crores of folios in the country, across mutual funds and corporate registry, making us not just the largest in India, but one of the largest in the world. When you de-duplicate the number of folios, the number of unique investors that we manage would be little around 90% of every investor who invests in this country.

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The other large business we have in the form of issuer solutions, we have improved our market share substantially to now about 47.5% in the form of the market cap of the companies that we render our RTA services to in India. We have continued to add more and more listed and unlisted companies. So today we manage about 5,693 corporates. We have added significant IPO both this year and then we are well positioned in terms of the pipeline of the mandate that we have won, but the companies who are yet to go public, which means that into the coming few quarters, there is more traction to gain.

While mutual

funds and issuer solutions continue to be our larger businesses, as we've been maintaining, it is the other younger businesses, which is largely our international business, fund accounting administration for alternatives, for mutual funds, for pension funds, for insurance clients, so on and so forth. And our pensions, you know, truly have been the ones who have been growing much, much faster. We have grown a little over 48% year on year in terms of revenue for this younger business, as against 16 odd percent for the mutual fund business.

So it clearly speaks about a factor of, you know, two to three times the growth of the larger businesses. Given the sizable addressable market that exists out there, we hope to maintain this track record, which over a period of time would continue to reduce the dependency on one large business, providing the resilience that is required in terms of having too much exposure to a single asset class, to a single country, so to speak. Not just the country, but even from a business line standpoint it's not just the transfer agency.

We are uniquely positioned to be the only large entity who can manage both the transfer agency and the fund accounting administration side, which is the only asset side of a fund manager. We have assessed ourselves on the ESG to be rated A the previous year. The rating for this year, the assessment for this year is underway and then we hope to get the result into early part of November. We hope to maintain and improve our ESG rating which we are very, very passionate

about in terms of driving a business in a very sustainable manner.

Also glad to inform you in terms of expansion of our product and portfolios over the past quarter. We have added several cutting-edge products and platforms for the betterment of our end clients, for the investors, for the distributors, India and abroad. One of such platform is called The Guardian, which is the country's first and the only platform which fully integrates AI with that of account aggregator constructs into insider trading platform to be able to provide a very, very compelling solution.

One, for every asset manager to be able to report their trades and manage the internal compliance and two, for the regulator to be able to monitor should they so wish to. Quickly going into the quarterly performance, financially we have grown our revenue from operations at a consolidated level at around 16% year on year. That's translated into two times that of the EBITDA multiple at 32%, with the overall EBITDA margin standing at close to 45%.

The PAT grew at 28% year on year, and the overall PAT margin stood at 29.3%. This marks an impressive growth both in terms of top line as well as cost optimization. Whilst much of the margin expansion had also happened in terms of the younger and the faster businesses contributing, it is also the more mature businesses' contribution, especially in the form of the

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technological transformation that we've been able to render also helped us to improve our margin profile.

Talking about the domestic mutual fund business, overall AUM at 20.5% year-on-year, we have grown as against the industry average, which was closer to it. So we've grown alongside the AUM. On the equity side, there has been a slight dovetailing that of the industry and not necessarily equating the industry growth. And that is a factor which we hope would change rather soon even as several of K Fin's clients have large new fund offerings scheduled to happen to the upcoming quarters.

For monthly SIP inflow stands at 40%, which is a very important factor. SIP itself has grown leaps and bounds to now touch close to INR17,000 crores per month, not just providing the resilience to the AMCs, but also to the overall capital markets of India at this point in time. We also have six of the top 10 asset managers

with the fastest percentage of growth in AUM with

KFintech. Some of the growth of our younger and the medium tiered AMCs has been truly the hallmark for the growth of KFintech over a period of time.

And of course, we will see the cyclicalities, the fund performance, what have you. And it is very heartening to note that despite slightly behind growth on the equity side, our overall revenue has grown near about 16% and the income has grown about 18%, so to speak. On the issue of solutions, 172 corporates have been added in the Q2, taking a total count close to 5,693.

Every single day we are near about three to four clients and we believe and firmly believe that as the years grow all of this would add a significant amount of resilience to the earnings of this company. We've been appointed as the RTA for the State Bank of India, which is a matter of pride for us. And we have also managed the top three IPOs in terms of the funds raised this year, and four out of, and six out of the top 10. Our market share has expanded by 1.4%, 140 basis points from 46% to 47.4% in this particular quarter as compared to that of the previous quarter. This is for the companies that we manage the registered work in the corporate registry side. We have, as I said, a pipeline of several more IPO mandates that have been won and into the coming quarters as the companies find a suitable time to launch their IPOs, we firmly believe would help us to continue to maintain not just impressive win rate and ratio solutions, but also the corresponding and the coming to return venue associated with that. On the international investor solutions, we continue to add more clients.

Our total clients base at this point in time stands at 50. Very happy to inform you that our first client in Singapore, we have gone live in the preceding quarter, and we have two more clients, one of whom is under the final leg of the contracting and under the process of the transitioning. We have also won our maiden contract in Thailand in the form of Bank of Ayodhya Public Company Limited, which happens to be the fourth largest Asset Management Company. KFintech would be providing the fund administration services for this particular client. And the pipeline in Thailand has opened up quite dramatically in just a matter of a few months, even as we have been chosen to be the first such third-party player to be running the solutions in Thailand. We have also won another contract with one of our existing client to manage the

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distributor platforming and two more LOIs, a Letter of Intent received in Malaysia for F A and RTA solutions.

We believe that into the coming quarter we would close the contract and initiate the transition soon after that. On the alternatives front, we have continued to extend our market leadership. Today we manage 37.2% of the total number of funds launched in India, totalling to about 434 that we manage. The overall AUM for the alternatives has been steadily on the rise and it has grown 36% year on year. And in terms of beyond the alternatives itself, we also do a significant amount of wealth management platforming and solutions.

And on the fund administration side, we've won the first general insurance client in India. And also are extremely proud to be chosen by the LIC Pension Fund Manager for us to be transforming their fund administration as a solution, even as they continue to be one of the top performing PFMs for national pension system. Outside of this purely from a technology solution standpoint we continue to maintain our position of being a market leader in terms of providing digital solutions at scale, big data and cloud are two very, very important topics for us. For a company that sits on near about six petabytes of data, it is that obvious that we need to get our strategy correct. Very happy to inform you that

at much of our data is already cloud provisioned. We are rewriting our application layer into the cloud as well. Into later half of November, we would have launched the country's first cloud enabled and a fully satisfied alternate investment platform, not just for India, but for the world.

On the national pension system, our subscriber base grew 24%, even as the overall subscriber base at a country level has grown 11.5%, which means that we've been growing two times that of the industry natural pension system, which helped us to improve our market share from 6.9% to 7.7%. That is 80 basis point increase within the year. And we continue to drive our growth through significant value that we add to the corporate clientele, to the points of presences and into the eNPS as a platform.

So we continue to be very committed to the cause of driving pensions as a theme, even as the financialization goes into the country, so that individuals are protected from their retirement standpoint by a very concerted and a cohesive financial planning which covers primary and secondary markets, mutual funds, alternatives and pensions.

The overall industry performance itself had been nothing short of spectacular. As many of us know, there has been a near 20% rise in the AUM, in the mutual fund industry over the past six to seven months. It is extremely welcoming and heartwarming. And of course, I firmly believe, as also is the expectation of the industry in terms of reaching 100 trillion AUM over the next four to five years.

This growth not just signifies but also gives confidence in terms of the potential more than doubling of this particular asset class and hence the growth of the asset management companies and also their agents such as KFinTech to partake in the growth along the way.

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Same is the case with the alternatives. Substantial growth near about, I think the last quarter itself the overall capital that had been committed and drawn down had been a little low. I think that's largely in the context of the rising US yields as well as inflationary pressures. That's not withstanding the overall alternatives industry has grown very, very rapidly, nearly six times over the last three years alone, from near about INR800 crores to now close to about INR3 trillion. I think this has been a phenomenal run and I think it's still the beginning of the growth that we are about to see.

What is also important for us, given we are the only intermediate in the country who cuts across every asset class, the growth of DEMAT accounts and the IPO is something that we also track very, very closely. There has been a significant rise in the preceding six months and the DEMAT accounts have increased near about 25% -26.4% year-on-year and that obviously the expansion of retail investor base offers well for a business model like that of ours.

And the continued expansion of the individual investors always helps more money to move away from savings into investments, more money away from real estate and bullion such illiquid investments into what is more liquid and long-term wealth generating assets such as financial services.

Overall, mutual fund investor, or AUM, I've already called out in terms of our growth, we have grown 20.5% year on year in terms of AUM, even as in this we have grown at 20.3, slightly lesser in the case of equity, which effectively means the amount more money has gone into the debt money market and the passive, so to speak.

SIP market share, we have grown 18.5% year -on-year, and that is a very, very important metric we track to. Not just do we track, but we also do everything we can to improve the inflows into the SIP markets through technological innovation.

So with that, I would quickly hand it over to Vivek to cover the financial highlights of the company and then we will leave the floor.

Vivek Mathur: Thank yo

u, Sreekanth. On the overall financial performance, the revenue from operations on a year-on-year basis for the half year has gone up by 12%, but same period, you know, same quarter last year versus this year, it has gone up by 16%. Sequentially q uarter -on-quarter, the revenue from operations has gone up by 15.1%. You know, overall we are now at, we did about INR390 crores of revenue in the first half of the current year, backed by the stellar performance across various business lines that Sreekanth explain ed.

Now, the overall EBITDA margins, if you see, EBITDA itself has gone up about 23% year -on-year. And if you look at same period last year versus this year, same quarter, it has gone up by about 31.8%. Sequentially, it has, EBITDA has grown by 33%. And now, i n this quarter, we have got an EBITDA margin of 44.8%. And for the half year, current financial year, it is 42%. So there is a jump across revenue and EBITDA margin.

Both as a result, not only of the increased revenue, but also in terms of containing cost. So both in terms of employee costs and other expenses, we have been able to maintain trajectory with

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investment in IT and automation. It has not gone through the roof and we have been able to maintain it to increase the EBITDA margin.

Therefore, overall PAT, if you see, has gone up about 22.7% year -on-year. Same quarter last year to this year it has gone up by 28% and quarter -on-quarter it has gone up at 41.5%. PAT margin has also improved in this quarter to 29.4%. For the half year it is 26.8% and you know sequentially also it has gone up.

Overall the performance I would say is you know good for the half year ended FY '24 for the quarter and sequentially quarter -on-quarter we are now having a cash -in-cash equivalent balance of INR374 crores as we speak and the diluted EPS has also gone up to 6.11 versus 5.05 same period last year. And that is all something where we continue to remain invested in building future in going to new geographies and launching new products.

As far as the segmentation is concerned, domestic mutual fund continues to remain at around 70%, 71% of total revenue. Issuer solutions, the revenue is about 13% of the total revenue from fee services. International as well solutions are 10.5% of the overa ll revenue and GBS has come down to about 5% of the revenue.

So this growth, coupled as I was explaining, the employee benefit expenses, if you see, are just about 1.6% increase year -on-year, resulting in a better EBITDA margin and PAT margin. So that covers the financials. We are happy to take questions now.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Pawan, an Investor. Please go ahead.

Pawan: Sir, may I know what is your dividend policy, sir?

Vivek Mathur: So the dividend policy is stated that you know it comprises of decision of the board considering various factors such as investment for future in IT, geographical expansion, investing in developing new markets and new businesses and in the process, whatev er surplus funds are there, the Board will take a call in terms of when to declare dividend.

You know, declaring dividend is easy in terms of paying back but creating future moats in a growing company is equally important. So Board will take a call in times to come in terms of when to declare dividend. There is a dividend shaded policy in the same lines as I mentioned to you, which is approved by the Board.

Moderator: We have a question from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani: Yes, hi. Congratulations on a good set of numbers. Sreekanth, could you just spell out that, you know, some of the wins that you have had in the international geographies. You mentioned that, you know, Singapore client will also go on -stream. Malaysia is als

o in the process. So I just want

to get the sense that, are these all under that one -time charge before they move to the recurring basket?

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Sreekanth Nadella: Hi, Aejas. Yes, short answer is, yes. These are a combination of transfer agency and fund accounting clients. The Singapore client that had gone live is for transfer agency work for mutual funds, it's a master-feud mechanism that happens in Singapore. The clients in Malaysia that we are the one we signed and two more LOIs that we have received for large fund -- large asset managers in Malaysia are effectively on the RTA work again, right?

And the one in Thailand, as I've already mentioned, the Bank of Ayudhya is for fund accounting administration. All of these clients, there will be an initial transition phase followed by a go-live. From a pure revenue standpoint, the transition itself will be charged as a one-time and the run component will be on certain basis point, charge basis, right?

The fund that has gone live in Singapore already as I said the transition is complete and we've completed a record time in about seven weeks and we are live as of October 2nd.

Aejas Lakhani: That's wonderful to hear. The next one is, if you could just quantify that you've been making significant tech investments ahead of the curve, like you've spoken about even in your initial remarks. So what is the quantum of investments we have made for the year? How should we look at it for the rest of the year? And how should we think about this number in the year ahead?

Sreekanth Nadella: So I would classify the investments into two buckets. I mean, probably just to make it easier and palatable. So one is the, pure infrastructure and hardware component of it all, as a company that's growing and the data that doubles near about every 14 to 15 months off late, it is a significant amount of hardware consumption that is required for us to do it.

So, corresponding to that and commensurate to that, it was our movement of datacentre away from an in-house managed into a Tier 4, platinum standard datacentre that we moved about two years back. We continue to expand infra cost in the form of servers and routers and the end user computing at a decent scale.

And as we move a lot of our data and application layer into the cloud, we intend to bring down the capex requirements over a period of time, as much of it will be cloud provision. That of course will have a countervailing effect in terms of opex going up, even as we pay more to the cloud service provisioning.

So to that extent, we've got a budget the previous year to the tune of about INR80 crores and this year we have slightly expanded that and that covers component of hardware as well as a significant amount of products and platforms that we develop. Only if there is a substantive product development which has a significant economic value over a long period of time, do we capitalize some component of it? So all of it put together roughly, I think INR60 crores was for the previous year and we'd like to believe that we'll spend similar amount this year as well.

And the share, and probably if I may suggest I had one important factor from that in terms of what is the outcome, of course in addition to rendering better solutions and services to the existing and the new clientele, but the pure revenue that we could generate on the value-added solutions and services, backing on the top of these products and platforms has risen from 5% to 7% over the last 24 months of the total company value.

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Aejas Lakhani: Got it, that's clear. And these elevated costs or these higher costs will remain for FY'25 or will they start to moderate out in '25 given that you've been spending a lot and bulk of it would be over?

Sreekanth Nadella: Yes, short answer is yes. We expect

moderation of infra spend in '25. We are hoping to close out much of the application rewrite to be on cloud by end of fiscal 2024 into early 2025 and by which time much of the work would have moved away from on-prem to the cloud, at which point in time we would not be needing too much more infrastructure in the form of servers, if I may, but the end user computing, some requirements will be the same, as for example, the laptops, etcetera, will tend to get aged every three years or so, but that would definitely come down, I'd like to believe, by a factor of anywhere between 25% to 33% of the total spend.

Aejas Lakhani: Got it. And just two more questions. One is, you spoke about the issuer solution business as well, just wanted to understand the elasticity of pricing here. We do earn between INR8 to INR9 or INR10 per folio, just as a theoretical number of broadly what we do. So is there a scope that we can increase the pricing element there, or is it a function of several things which still ensures that we are in that band only?

Sreekanth Nadella: So price increase in corporate registry clients happens, unlike in the case of mutual funds, if I may and that's something that we orchestrate every year right in the sense that it is not easy to take all 5,500 clients and then do a price increase. So per year of course and this is all based on when the contract comes up for renewal as and when the contracts are coming up for renewal

we are pushing for a price increase.

In some cases, it is genuinely warranted. For example, if there is a folio increase for a particular client and a loss increase over a period of time, there is a genuine necessity for us to increase the price and then we orchestrate the same. So, what you might not have seen is a singular increase and that's what you would see if you were to trigger a price increase across all the clients at one go. But given it doesn't work like that, typically about 7% to 8% of our clients we look to have a price increase after negotiation about 5% to 6% eventually turn out to be a price increase scenario. At the overall level you may not see a tangible increase, but every year there is a price increase because of the IPOs that happens.

Aejas Lakhani: Got it, that's clear. And you know, could you speak a little bit about your acquisitions, they've been doing quite well in terms of your cross-sells, even a little bit about account aggregators. So currently, as you have acquired these smaller entities, you have retained those teams and are letting them do their job. So could you just speak about, now that they are fully integrated, what is the elements that you all talk about? Is it very strategic? How does the cross-sell between clients happen? A little more on that.

Sreekanth Nadella: Sure thing, thank you. That's a great question. And our M&A strategy is conceptualized with a view to drive one of three factors. The first one is to drive demographic reach and geographical expansion. One of the other parameters is to drive and add new product and portfolio solutioning into our arsenal of things that we do. Three, to drive depth into an existing business.

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If I may, the third one is I wouldn't say less important but then is of less focus. If I may, in the sense that when you talk about depth, what you're talking about is consolidation. Buying few other companies who are in the same space that will add up to your revenue. So as a philosophy, we are not very interested in just increasing our book by buying revenue. We are looking to increase our business and grow and add a lot of value to our clients by the first and the second parameter, that is the product and the platform expansion and the geographical spread. This anchors back to our overarching goal of being a global fund administrator of scale. In order to do so, we need to have geographica

I presence. In order to do so, I need to have enough number of product and platforms in our arsenal, which are relevant, not just in India, but globally in whichever geographies that we belong to and then want to expand into. So in that context, expansion such as an acquisition, such as Hexagram, for example, which we have acquired 100% two years back, was done only with the singular focus of achieving those two objectives. Wasn't because the company was large or it was profitable, so on and so forth, right? But we have bought that because we believe that it will add the right kind of talent that is required and the platforming that is required to be able to provide holistic services and chase a much larger addressable market, right? And then, we also have been reasonably successful in converting many of these organizations we have acquired, from slow to moderate growing companies to fast growing companies and negative EBITDA companies into a positive EBITDA companies in just a matter of 12 to 15 months. So that had been our strategy, and then it's been working well.

We also firmly believe in a technological cohesive. So when we acquire a company, very, very dispassionately we evaluate and understand, should we have a complementary platform, do we shut ours down or do we keep the one that we have acquired? And that kind of a focus is very important tactically because that helps us in optimizing our tech, platforming and the vision in terms of the architecture that you would want to keep for a long period of time.

We continue to look for more opportunities as we speak. And of course, we have some amount of cash on the books. And there are, at any point in time, we continue to monitor and basically evaluate three to four target acquisitions. Hopefully in time to come we have something substantive and meaningful to announce.

Aejas Lakhani: That's very helpful, thank you for that elaborate answer. And just one follow up, you mentioned the move to tie-up tier2 cities from tech infrastructure, so that is the Bhuvaneshwar setup that you were referring to, right?

Sreekanth Nadella: That's correct. So Bhuvaneshwar, of course, we started about a year and a half back largely to have a tech campus, which we have now expanded into the operation campus as well. We are in the process of setting up a pretty decent-sized captive unit in gift city. Because we manage international operations, gift city enables us or allows us to have a captive centre in gift city. So today, for example, my international business has near about 800 to 900 people's worth of work that gets delivered. So we'd like to believe that Gujarat would be the next tech centre. We have also identified a campus in Vijayawada where we will be expanding our tech headcount

there as well. So as a strategy, we believe that tier 2 offers not just a compelling entry price point, but more importantly, the retention that is required, the stickiness and the commitment, and in general, the value that we're able to get from some of these cities, honestly, had been far superior to that of tier one cities. So we continue to expand our footprint and we have put ourselves certain goals.

We believe over the next three years, we would love to move at least 25% of our total count into Tier 2 facilities.

Aejas Lakhani: Okay, that's very helpful. Thank you so much. All the best.

Sreekanth Nadella: Thank you.

Moderator: Thank you. We'll take a next question from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi, good morning. So, just a few questions. First, if you can, split your revenue on the international and investor solutions between international and maybe the domestic wealth and AIF business. While you give the split, it seems that there has been a sharp offtake in revenues from the domestic and non -mf investor solu

tion business. And since the funds have broadly moved, or incremental fund additions have broadly moved in line with previous historical trends. I just wanted to get some sense of how asset in any upward revision on the realization in that part of the business.

Second, on your yields in the domestic mf business, it was stable quarter -on-quarter. But could you give some color on what could have been the movement assuming the overall equity mix, let's say, would have remained flattish, quarter -on-quarter? And last, your other expense, when you give some guidelines on the tech cost. If you can give some color or guidance on your FY'25 or 26 trajectory on the other expense side?

Vivek Mathur: Thank you. On the international and other investor solutions, if you see the large part of the business in international is global fund solutions and that is something which comprises of the Southeast Asia business and what we are doing in terms of Singapore and now getting into Thailand. And that part of the business is large enough. Other pieces, the alternate investor, the AIF and PW M and PMS services that we do.

In terms of the numbers, that business itself, both these businesses comprising, it's almost 90% of the entire investor -- international investor solutions business. Among themselves, it's about half-half in terms of the share of revenue. The alternate business revenue has actually doubled as compared to almost double, 93% growth over same period last year versus this year. So it has grown from INR7 crores to about INR14 crores. So that's the big piece which is growing and catching up on the Southeast Asia revenue.

And as the Southeast Asia revenue itself grows, the other buckets which are pension business and the hexagram and weble piece integrated into it, are still, the other businesses are still smaller. These are the two businesses which are growing. Does it help answer your question?

Dipanjan Ghosh: Sure, well, it is a number of 93% and I appreciate that. Just quarter -on-quarter, my understanding is there has been a significant jump in this alternate revenue. Just really get some sense, I mean, is it like new funds got on boarded at higher realizations or some old funds that have been, changing slabs or the fixed -rate slabs or something. I mean, just wanted to get some color on that.

Sreekanth Nadella: So it's a combination of all of them as you rightly said that is no one thing I think it's so we have won a substantive number of alternatives mandates over the past 12 months and as you are aware the process of the launch of a fund itself takes time just because we want a mandate doesn't necessarily translate to revenue because the fund then has to get operational, they have to have capital commitments and the drawdowns need to happen, all commercial models are tagged to obviously get a drawdown level, right?

So to that extent, I think the means that we've had in the previous year, various points in time, different people have gone live, different funds have gone live and that has been contributing to our growth in the past two, three quarters. And we continue to have at least another 70 more funds who are yet to, go live and draw down. So which effectively means as they start to do going live into the next quarter or so, we hope to see the revenue to continue to increase at a similar pace, even as the AUM of the existing funds also will grow.

So it's effectively a combination of funds and the mandates that we won in the previous year having gone live. Now, the funds that we already had and who had gone live earlier, so they're AUM going up. That is the second contributing factor. And three, we have been adding a significant number of value-added solutions to the funds. So it's not just the AUM-based basis points, but also the digital onboarding platform, which is, which was the first t

ime in the country

that was introduced by us in terms of at a scale which has the ability to onboard, residents, non-residents, individuals, non-individuals, who have you. And that's been contributing to the revenue.

Last but not the least, earlier on our contracts used to be, some of the contracts used to be a fixed fee per scheme per month kind of a model, which we have successfully managed to convert all of them into a basis point model. So, I would put a combination of reasons for the, I think striking growth that would happen with this for the past two quarters.

Dipanjan Ghosh: Got it, Sreekanth. Sreekanth, would you kind of highlight on what proportion of your incremental business is basis point linked since you mentioned that you have been able to transition a lot of them? Or let's say going...

Sreekanth Nadella: Everything, there is no fixed fee contracting we are doing so we completely junked that process of fixed fee contracting so it is only basis point accepting. If it is on the fringe, a close-ended fund with just a handful of investors, at which point in time, it doesn't justify for us to have a basis point. Probably accepting those few schemes which fall into that contour, everything else is basis points.

Dipanjan Ghosh: Got it, thanks. On my next two questions, if you can.

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Vivek Mathur : Yes, Dipanjan on your IT expense, see we spend around 20% to 22% of our revenue on IT spends. And as we continue to innovate new products, while the chassis is ready, you still need to invest to grow new and configure for new geographies and new businesses. I don't expect that this overall spend will grow beyond 20% of revenue. Within that, there is a small part which goes to capex about 30% of it goes to capex, the rest of it is usually charged out to the P&L. And we see that as we grow, this percentage will keep coming down as the revenue grows. Does that answer your question?

Dipanjan Ghosh: Yes, that's fine. And lastly on the yield from the domestic M F business, there was a flat quarter-on-quarter. But actually, there was a mixed change towards in Favor of equities. So let's say hypothetically there was no mixed change in favor of equities. What would have been the yield trajectory broadly? I mean, I doesn't think it would have gone down, but if you can just quantify or give some color on that.

Sreekanth Nadella : Yes, so on the contrary, I think the mix, as I've stated earlier, overall AUM grew 20.5% ahead of the industry, right? But our equity grew behind the industry curve overall a little bit. I think it was largely because of certain amount of active growth that we had seen and a fewer NFOs of KFinTech service d clients. So to that extent, our yield actually would have gone up, if the mix was more in favorable as against what it is today. Right, and I think the mix of course, the overall blended yield at an RTA level itself is a combination of where the growth comes from, that is which asset management company, where it is coming from, as well as which asset class. So it's a combination of both, as well as of course, the pricing conversations. So I think, it's fair to say that, as much as we've been partaking in the journey of our client growth, providing the necessary support that is required where in terms of certain prices discounting, we kept the yield pretty flat and something that we hope to keep for a foreseeable future.

Dipanjan Ghosh: Sorry, if I can just squeezing one more question, when there's a new NFO launched by let's say, one of your fund houses, do you get any one-time revenue out of that or is there a particular cost that you incur? Can you give some color on the unit economics of an NFO for you guys?

Sreekanth Nadella: Sure. I mean there is a certain amount of NFO pricing, but it is not very material in the context of the overall business, if I may.

I would -- the unit economics of that, obviously there is a significant amount of costs that we incur because what happens is, in a very short period of time of the NFO, let's say, five days to seven days or eight days, there we expect a significant volume of both physical as well as the virtual.

So we have to obviously tap up to meet that spike for that interim period. And the time we have available these days, especially with the regulatory changes is precious little in terms of getting all the activities done, which means that the -- there is a certain amount of cost that goes up.

Compensating, a portion of that cost will be a certain amount of pricing we charge at an application level, largely that is the modus operandi in terms of commissions.

And as I said, while there is a certain amount of revenue, I wouldn't put a top dollar on it. It's not very much either in the context of the overall fee -based revenue that we own.

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Dipanjana Ghosh: Thank you, Sreekanth and Vivek and all the best.

Sreekanth Nadella: Thank you.

Moderator: Thank you. We have a next question from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Hi everyone. Thank you for the opportunity and congratulations on a good set of numbers. First question is again on the international and other investor solution. Although, you did mention that there was a good jump in the alternatives, what I want to understand better that we are seeing an increase in the revenues after six quarters of revenues being between the INR15 crores to INR18 crores bracket. So is there any one-off component, one-off in terms of whether the platform fees are kind of pushing up these revenues and what could be the sustainability of these revenues?

Sreekanth Nadella: I'm sorry, let me rephrase the question and see if I got it right. So, you're asking if the revenue for non-domestic mutual fund business, is it sustainable, is that the question?

Devesh Agarwal: No. So I'm asking in international and other investor solutions, the INR22 crores revenue that we have for the quarter, I'm assuming that they include some platform fee, which is more like a one-time fee. So what I wanted to understand, would we see this revenue line item will have volatility going ahead? And there would be a quarter where we see a spike, because of you selling more of platform-based, what do you say, offerings to the clients. Or rather, I would say, I want to understand what is the component of annuity and one-time fee within this INR22 crores?

Sreekanth Nadella: I understand. Great question. So actually the component of episodic one-time fee is marginal. In the overall investor solutions, the other international investor solutions book. As Vivek had explained, it comprises of three smaller yet faster growing businesses of Alternatives International and the pensions.

Pensions, there is no lumpy historical revenue, same is the case with Alternative Investment Funds. Even in the international funds too, there is a transition revenue we get, which is a one-time bill, but there is a recurring run revenue as well. In fact, the recurring run revenue component is much higher than that of one-time transitional revenue we get.

Outside of this, there is a very small component of fund administration platform, which we license it out. That component is, again, very, very small in the overall scheme of things. And even if there were to be a certain amount of lumpiness that may come, if it is a very large order we've been, there is a maintenance, there is an AMC that persists. It is not a one-time sale. So there is a recurring revenue that we get and it's between 20% to 30% of the contract value for every year that the client continues to use the product from there on.

Vivek Mathur: Just to add to what Sreekanth mentioned, Devesh, out of the

is INR22 crores, less than INR2 crores

is one-time revenue, but that's the nature of business. Unless you get one-time revenue, you won't get recurring AMCs. And that is something which we aspire to get every quarter. You

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know, next quarter we may get another win, which may be another INR2 crores to INR5 crores. But we want to grow this business, not just by one-time, but that forms the basis for recurring revenue.

Amit Murarka: So just, Devesh, one more point here. I mean, what Vivek was alluding, as we keep adding these new contracts, right, so part of the revenue comes as part of the implementation cost and all, that's the one-time revenue, but that's, it's beyond, the nature of the business and the way these contracts are structured.

So, for instance, I mean, the LIC contract that we won, that is something that not been reflected in the first half numbers and all. So as we move along and we start implementing the project for LIC, those revenues would start kicking in towards the second half. And as we go live, the recurring revenue would start accruing from the next year onwards and all. So likewise, the case with the other contracts that would come as we go along into the other quarters.

Devesh Agarwal: Understood. Secondly, on your international RTA business, now for some quarters we've seen that the AUMs have been around that flatline of INR55,000 crores. So, we just wanted to know

where we are in terms of recognition of the new clients and from when can we see an increase in this market?

Sreekanth Nadella: Yes, sure. So that's the combination of factors unlike in the case of Indian markets, which continue to stay above the water amongst global turmoil. That unfortunately wasn't the case with many of the Asian markets. But again, that is a cyclical and I'd like to believe that into the coming months, quarters it will start to see a significant turnaround because no market in the world would continue to stay down for too long. These are fast growing emerging economies with more rapid financialization that's happening.

So of the AUM itself, obviously will grow on a factor of three different counts, right. The existing clients getting more inflows which is something that we have seen happening in the past few months.

Two, the markets going up and hence the mark-to-market that is still to be received and seen and we believe that in a situation evolves for better hopefully if we see the sunny side of the ongoing wars we should see a dramatic pullback which will help us.

Three of course, wins and transitions of new clients. As I said we have already gone live with our client in Singapore and we have added 22 funds of a very large asset manager, who's my current client in Philippines. And that AUM would start moving into it as we started the transition into the previous month. So, you will very soon start to see the AUM going up in the international space.

Devesh Agarwal: I understood, Sreekanth. And on the third bit, in addition to Philippines, are there more clients that we can highlight wherein we are in the transition phase? And probably over a year period, we are expecting them to go live?

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Sreekanth Nadella: Yes, absolutely. Not one, in fact. There are four -odd clients who will go live into the next quarter to two, depending on their varying points in time. We received two LOIs, which I've already called out, and the result of which we're hoping to receive into the next few weeks, the transition of which also will start.

We have also improved the turnaround times of the transitions, right? Unlike in the past, where it used to take about six months to eight months, these days the transitions were able to wrap-up within three months to four months. And that's largely a factor of our own growing maturity into

these markets and the fact that the platforms subsume a wide variety of existing business rules and logic in a particular geography, which means that adding an incremental client and transitioning will take progressively lesser time.

And just another important factor to note, I think the AUM that's being reported is for RTA alone, from our fund accounting. So we do not want to end up double counting, right? So let me put it this way. If I am rendering transfer agency work for a particular client, and let's say, the AUM is INR20,000 crores, and if I'm also rendering fund accounting for the same client, we are not adding another INR20,000 crores, so I will get basis point yield for TA and FA separately. So that's one small thing that you would want to note, that the AUM itself does not necessarily be the only decision factor because the yield that is coming out because of enhanced services is higher in some sense.

Devesh Agarwal: Understood. And lastly, sir, on account aggregator, there were some issues in terms of RBI not giving approval to acquisitions. Any update on that? And what is our thought process in entering into this space of account aggregator? That will be the last question from me.

Vivek Mathur: So Devesh, we are still pursuing that with RBI in terms of following it up to increase the majority stake. It is still a work in progress.

Devesh Agarwal: Any likes in terms of what has been the issue?

Vivek Mathur: There is no issue which has been reported to us and it's simply, whatever has been stated in terms of our stock exchange filing is the only communication we got from RBI. We are trying to seek in-person meeting with them and which is likely to happen later this month. We will update you once we have next update about it.

Sreekanth Nadella: So, Devesh, just add some color to that. The account aggregation, we, as I have already explained back in the day when we were doing the investment too, was of our interest in driving TSP solutions, not so much of just pure account aggregation data movement itself. So from that standpoint, our current investment pattern renders itself phenomenally well for us to build technology solutions, leveraging the account aggregator data for our clients.

And those clients could be asset managers, wealth managers, end investors, and in some cases, even regulators as we build. For example, a Guardian has been built on top of account aggregation using AI technologies to be able to provide even the regulators an opportunity to drive certain compliance aspects such as insider trading, for example, right.

So we believe that our objective has been very well met through this. And of course, we continue to pursue the RBI in terms of understanding as to what next steps we could do to continue to go ahead and do the majority acquisition from now.

Devesh Agarwal: Understood, sir. Thank you so much, that's all, and all the best.

Moderator: Thank you. We have our next question from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Good afternoon, sir. Congratulations on a good set of numbers. Sir, I have just two questions.

So, firstly, on the issuer solution business, we have seen a material increase in our revenues in this quarter. So, could you give us more light in terms of the unit economics in the IPO business?

Like how does it help in increasing the revenues over there?

And also on the newer contract in the LIC pension fund business, what is the quantum of revenues which we can expect in that contract over the coming years? That will be the two question.

Sreekanth Nadella: Sure. So the unit economics of corporate registry from an IPO standpoint, so there are three components of revenue for a corporate registry, right? There is a folio maintenance fee, which obviously is a factor of number of folios multiplied by a certain unit

price. You have then the

corporate events and corporate actions, which is effectively different declarations, buybacks, rights issues, rights bonds, so on and so forth. And then there is a component of an episodic and revenue of IPO itself.

Our revenue pool, substantial amount of revenue comes from the combination of the first two factors, which is the portfolio maintenance and the corporate actions and the corporate events, which includes also managing events, such as ATMs, so on and -one support for any issue at all. The IPO revenue itself, again, going back to the NFO kind of analogy, if I may, in the case of mutual funds, it's not very substantial, okay?

But what an IPO does for us, of course, is the recurring revenue, because once a client, once we onboard a client from an IPO standpoint, the entire full year maintenance of that, which is a recurring annuity revenue, is what is more critical.

You may see a very small, maybe up to, depending upon the number of IPOs you do, and also the quantum and the size of participation of such issues anywhere between 1.5% to 2% of our revenue of corporate registry could be impacted because of that one-time particular thing. From an economic standpoint, obviously it will add much of that particular revenue down into the bottom line as well. Okay, that's on the issuance services. And my apologies, the second question, I think, can you repeat that?

Lalit Deo: Yes, the second question was on the LIC pension fund contract.

Sreekanth Nadella: Yes, so that's a landmark, win for us. You know, we won against, contesting with several other competitors. It's a contract which allows us to deploy the full process of the Mpower platform,

which as you would know, was a platform we acquired when we have invested in Hexagram, right?

And it takes care of your front, middle, and back office pension fund activities, starting from trade management all the way back to computing NAV. And to that extent, full glory of all of this will be implemented for our client. We just signed it the previous week, and joint announcement has been made. It is a seven-year contract.

And for the basic services, we would render, from a quantum standpoint, it would be about INR25 crores plus contract. And we -- it will give us opportunity to add several value-added items on top of the committed contract that value over the period of time. And with that, of course, there are several other large PFMs that we are working, looking to implement this long-term.

Lalit Deo : Sure, sir. So this 25 crores plus contract, that is on an annual basis, right? Or is it like over the period of seven years?

Sreekanth Nadella: No, it's an over the period.

Lalit Deo : Okay. And sir, this last follow-up question on the issuer solution business, this is where you mentioned that this quarter, they were like, the revenue built up was also based on some of the corporate actions like the AGMs and all. So does that mean that, going ahead in the quarter three

and quarter four, the revenues, we could see some seasonality also factoring in this segment, like it could remain flat, or do you believe that the growth will remain, continue to remain in this issuer solution business?

Sreekanth Nadella: No, so we do -- we are expecting a growth in Q3, Q4 as well. There is no seasonality within that. There is still a robust pipeline of IPOs that are to go live. There are several large corporates who are our clients, where the merger conversations are going on, that also helps. We are also in the process of transitioning some clients in the case of corporate registry, either from a captive registry business or from our competitors.

So all of this and with obviously continued participation by the retail investors will help us. Corporate actions, given the stellar performance of corporate India into this quarter, we hope to

see more corporate actions and dividend declarations and buybacks being issued by many of the corporates, that we continue to add more revenue to that. So, short answer, I don't expect a flat quarters up ahead from a registry standpoint.

Lalit Deo : Sure, sir. Thank you, sir.

Moderator: Thank you. We have our next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: yes. Hi. Just one number question is, if you could just share the headcount number for this quarter and last quarter. And the other one is that, when we look at the international business, the revenue

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run rate has almost doubled from about a couple of years back. But when do we start seeing margin numbers also kind of, inch closer to let's say, double digit levels as well?

Sreekanth Nadella: Thanks, Abhijeet. The margins have already improved for the international business, but probably it won't be as visible because unlike the mature businesses, there is a continuous process of business development and innovation, much of which we expense it out. When I'm talking about innovation, I'm talking about the addition of new features to an existing platform or onboarding new clients, adds a certain amount of one-time cost, which obviously is not recurring in nature.

So when you have a business where we are adding 100 odd funds, in alternate days or, two to three clients, every half year, so on and so forth, there is always that one-time cost that you will pay, and which obviously tapers down. But next year, again, if you win more clients, you will see that one time. So, ergo, it looks as if the margin improvement hasn't been there.

What really is important to note is the unit economics at a contract level, where we have started to see a sizable improvement in terms of a margin. But, at an overall account level, you would, at an overall business level, you're not able to see.

As I said, because there are historical one-time expense that are required to onboard a new client and then the features that we have paid. We believe that, as I mentioned back in the day as well, the international business renders itself to a greater margin in capacity as against much of the domestic work. And the unit economics prove of the direction.

Abhijeet Sakhare: Got it, Sreekanth. Just one small follow up. Is it still fair to assume that these contracts on the international side, some of the larger global players are still sort of keeping out? Because either they lack the local presence or the contract value itself is not very attractive for their size and scale?

Sreekanth Nadella: Sorry, your question is about international fund administrators not playing a role in India. Is that is your question, Abhijeet?

Abhijeet Sakhare: No. On the your international presence, right, like the TIFA contract that you're winning, the competition from some of the larger global players still seems it's not as active as one would have expected or if you could maybe correct that opinion, if that's not correct. But if that's the case, is it because the contract values are quite smaller for their size and scale? And if they also lack some of the local presence that you have in these countries as well?

Sreekanth Nadella: Again, I'd like to think it's a bit of both. Of course, I won't be able to conjecture in terms of why they haven't been able to, but the point is each of those geographies by themselves are not very, very large. For someone to go through the pain of customizing your entire platform to subsume the rules and regulations of the local regulator and the local business requirements have and to generate enough amount of written right.

And that is where the large administrative, the international administrators, this is just my outside in view, honestly, probably will have a significantly higher cost structures and probably may not

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find the ROI attractive enough. But for us, our engineering practices are frugal and our go-to-markets speeds are much, much faster.

And given that, we're able to find an ROI. And more importantly, our aim and goal is different, which is, as I said time and again, to be a global fund administrator. And to be so, we can't be picking and choosing only few geographies because there is enough to learn from every single country, both in terms of the features and solutions set, which we successfully use for helping the growth of clients in some other geography. I'd like to believe that's one of the differentiator that we've been able to add over a period of time, which is to bring the best of what every country has to offer for some other country as well.

So the global fund administrators still do not find the transfer agency work probably very attractive for the amount of time and effort they will have to expend and the investments they'll have to make for each of those countries. But they are reasonably content with the fund accounting side of it, from what I could sense of it.

Abhijeet Sakhare: That's very clear, thank you.

Vivek Mathur: Abhijeet, you had another question about employees. So average headcount in the first half was 5,271 versus 5,306 in the first half of last financial year. So we have actually come down by 35 employees in terms of average headcount for the current financial year.

Abhijeet Sakhare: Thanks, Vivek.

Moderator: Thank you. We have a next question from the line of Megh Shah from Prospero Tree Financial Services. Please go ahead.

Megh Shah: Yes. So you mentioned that the margins from international business is higher than that of domestic business. So what is the margin range from international business?

Sreekanth Nadella: Sorry, let me clarify that point. I mentioned that the margin expectation from international is higher and it will be at a unit economics level. The reasons largely being the yield that we derive is higher in international compared to that of domestic. Second, we do not have any volume-based discounting or telescopic pricing as we call in the domestic mutual funds. That's the second item.

The third item is the ticket sizes are at least 7x to 8x larger than that of India, which effectively means fewer amount of transactions to process for a like-to-like area, which requires reduced effort if I may, and hence reduced cost. So those three factors typically contribute to higher unit economics, unit here being at a contract level.

But the overall EBITDA at this point in time is slightly lower than that of the domestic mutual funds, and that's largely as I said, because we are constantly winning clients and that requires a one-time historical cost every single year and the business development expenses and the setup expenses for the new country as we expand from country to country. So broadly, we expect to

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drive at least 4% to 5% more BU EBITDA margin as compared to domestic funds in time to come.

Megh Shah: Okay, I got it. And my next question is, from what I understand, the mutual fund business has limited growth, limited to the industry growth and the other segments have more growth potential than the mutual fund business. So does the company target any specific revenue share among the mutual fund and non-mutual fund business like 50% - 50% or so? The revenue share among mutual fund and non-mutual fund businesses?

Sreekanth Nadella: I am afraid, I am not sure, I understood the question. When you say revenue, are you talking about the revenue mix to change for Kfin tech? Is that the question?

Megh Shah: Yes, the revenue mix?

Sreekanth Nadella: Yes, it is going to change, and it has been changing. If you look at Kfin Tech, four years prior

to this, this entire 50% of new revenue pool that you see today, which is the international, the alternatives, it was zero, right? So from a base of zero, we managed to orchestrate a 30% plus. Now, that also includes certain tech solutions as well, itself, it's a change in the mix, and we believe that over a period of time, this will expand.

The growth of the 30% pool had been faster than that of the other pool, which also is growing quite well, of course, right? A 15%, 17% growth is not small. But relatively, these businesses have been growing in a factor of 2x or 3x. So mathematically, obviously, over a period of time, it will gravitate towards near 50%, 50%.

And if our plans to go international hit a huge milestone with few large wins, it's a matter of

time, I'd like to believe that the component of revenue from India would even be lesser than that of the international. And of course, that is subject to, as I said, a few change in budget timing.

Megh Shah: Yes, got it. That's pretty clear. My last question is the issuer solution business. What is the number of listed companies out of the total number, which is roughly around 5,700? What is the number of listed companies?

Sreekanth Nadella: So about, we manage a little around 550 plus listed companies.

Megh Shah: Okay, yes, got it. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the call to management for closing comments. Over to you, sir.

Vivek Mathur : Thank you very much for attending the call and asking us the questions. If there are any further clarifications, we are happy to take your questions either on email or on call at the email address given on our investor website. Thank you so much for joining today.

Moderator: Thank you. On behalf of Kotak Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

CIN: L72400T G2017PL C117649
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compliance.corp@kfintech.com February 03, 2024 CS&G/STX/ MQ202 4/19

1) National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Symbol: KFINTECH 2) BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street,
Mumbai – 400 001
Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“LODR Regulations”)

Dear Sir / Madam,

Further to our letter reference no. CS&G/STX/ MQ202 4/09 dated January 18, 2024, pursuant to Regulation 30 and other applicable provisions of the LODR Regulations, please find enclosed herewith the transcript of the Earnings Conference Call held on January 29, 2024, in respect of the standalone and consolidated unaudited financial results of the Company for the quarter and nine months ended December 31, 2023 .

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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“KFin Technologies Limited
Q3 FY '24 Earnings Conference Call”
January 29, 2024

MANAGEMENT : MR. SREEKANTH NADELLA – MD & CEO

MR. VIVEK MATHUR – CFO

MR. AMIT MURARKA – HEAD IR

MODERATOR : MR. DEVESH AGARWAL – IIFL SECURITIES LIMITED

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Moderator: Ladies and gentle men, good day and welcome to KFin Technologies Limited Q3 FY24 Earnings Conference Call hosted by IIFL Securities Limited . As a reminder, all participant lines will be

in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devesh Agarwal from IIFL Securities Limited. Thank you and over to you.

Devesh Agarwal: Thank you, Muskaan. Good morning everyone and welcome to the Q3 FY24 earnings call of KFin Technologies Limited. From the company, we have Mr. Sreekanth Nadella, MD and CEO, Mr. Vivek Mathur, CFO and Mr. Amit Murarka, Head Investor Relations.

I would now hand over the call to Mr. Sreekanth for his opening remarks which will be followed by a Q&A session. Thank you and over to you, Sreekanth.

Sreekanth Nadella: Thank you so much, Devesh. Very good morning to one and all. It's a great day, bright start to our new quarter. I thank my management team who are part of the call as well as everyone who's contributed to the continual growth of our organization. Over the next 20 -25 minutes, I would cover the broad business highlights. I would at which point in time, hand it over to Mr. Mathur to cover the financial aspects of it and we'll then leave the floor open for questions.

I believe the investor presentation could have been circulated broadly. The results that were declared the previous week. On Friday, we continue to deliver to our promise and commitment of meaningful growth, profitable growth and a growth that is sustainable and one that is getting de-risked with each passing day.

Risk here being the cyclicalities that a market brings, the cyclicalities that a particular asset class may bring, the cyclicalities that any particular geography or a country could bring. As I had explained back in the day, our strategy had been to be able to diversify in to every financial asset class.

You would recollect that we are the only entity in the country who manage the capital markets from the standpoint of issuer services on the equity and the bond markets, mutual funds, alternate investment funds, national pension system, private retirement schemes and we do this in India and in Malaysia, Philippines, Hong Kong, Singapore and now Thailand to start.

Just a quick overview in terms of the financials that we have delivered thus far. The Q3 will be ending December 2023. Our revenue clocked growth of 16% year -on-year and EBITDA growth at 21% and a margin percentage nearing 45% and a PAT worth of 25%.

This is despite certain one -off episodic expenditure that we continue to incur in the context of our aspiration to deliver similar solutions and value proposition to many other countries beyond India. If you were to adjust it for the one -time such expenditure, we believe our growth would have been higher than what is currently clocked in. We are extremely satisfied with the growth

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of the controllable components of the income, especially the value -added solutions which has grown near about 60% year -on-year and today occupies near about 6% plus of the total revenue profile and one that is growing really fast.

This is where a significant amount of the company's effort had been to be able to create differentiated solutions for our clients especially in the form of data, cloud, the API infrastructure, the analytics associated with that and the entire CRM stack so to speak.

Our share of non -domestic mutual fund business as I've called out in terms of the de -risking strategy that we've adopted stands at 31%

for the period ending 31st December and one that is continuing to grow faster than the more mature businesses of mutual funds and insurance solutions. Mutual fund business itself had grown on the back of significant net flows into the industry, a massive spike in SIP which is a very very important parameter to judge the health of the financial asset class because that is the sticky retail investment book that has nearly doubled over the last 1.5 years or so.

KFintech on the other hand continues to grow while industry itself has been growing. We have been outpacing the industry in the context of having several more clients in the industry and also the faster growth profile of our clients. For example, 6-out-of-the-10 fastest growing asset management companies are with K Fintech.

We have been playing our little role to help our clients grow faster than the industry. We are yet to clock revenue from some of the newer asset management companies which have gone live in the recent past that includes Bajaj Mutual Fund and Old Bridge which has just gone live in the preceding quarter. Our overall AUM grew at 22.7 % vis-a-vis 22.2% for the overall industry. We have gained about 30 basis points of market share in the preceding quarter on the overall AUM standpoint.

From an issuer solution standpoint which is the other larger and the traditional and the vintage

business that we have, we continue to expand our profile of the corporate clients. 170 new clients have been added in the preceding quarter taking the number closer to 6,000. Our market share of the NSE Finance companies by market cap stands about 46.5%. Added near about 5 million folios as we all know our revenue profile for the issue solutions is a factor of a unit price on the number of folios. Hence, expansion of IPO market, expansion of retail investor participation into the company, all of that goes on to help our business to grow in a fairly secular manner. We have managed near about 46% of all the main board IPOs from the standpoint of the market share which is a very critical parameter to be considered in terms of the revenue growth of any organization. We have managed five out of the top ten IPOs. We have also orchestrated several transitions from the industry into the organization even as we are hoping to hear some positive news from several others in the coming quarter. Outside of these two, it's an actual expansion story that had been differentiating K Fintech.

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The last we spoke the total number of clients we had were 50. It has now been increased to 54. In the last meeting, I have spoken about two letters of intent received from two clients from Malaysia, one of which has been converted into a signed contract and transition has begun. One of the other has transitioned in the form of a letter of award for the contract which should be signed in the coming weeks. Four of the transactions which started in Q1 and Q2 are due to go live into February and March, which effectively means the revenue for four additional contracts will start to kick in into the Q1 of Fiscal '24-25 onwards. We are hopeful to see a turnaround of the markets in Southeast Asia which as we all know have been reasonably tepid with the market-to-market gains, hopefully to be received into the Q1 onwards. Our growth in the international market hopefully will grow much faster than what it had been thus far. This particular segment of international and other financial asset classes that includes alternatives and pensions has grown near about 30% year-on-year, as against 17% for mutual funds and about 20% plus for financial solutions for the same period year-on-year. We continue to win several alternate investment funds. We have added two new GI FT City clients in Q3, taking our total tally to about 16 and we continue to have land and expand in the existing client

portfolio which helps us to win a new scope of work for an existing client in Malaysia and one in the Middle East as well.

Our intent to grow the fastest growing asset class currently in India which is alternate investment fund, you know had been paying us rich dividends. We today have 455 funds of which there are at least 100 plus funds which are yet to draw on the capital which is a critical trigger for our revenue which effectively means that our revenue growth of nearly doubling from the previous year to now, you know will only expand as many of the other funds who have already signed up with us start drawing the capital and investing from there on.

We have won several new clients. Some of the names include additional funds coming from Nippon, M OPE GIFT and ASK so on and so forth. And I had been saying and I'm very excited to share with this news of a brand-new platform we have created called XAlt which is the only at-scale cloud solutioning alternative specific platform that has been created which is a fully integrated transfer agency fund administration solution overlaid by digital CRM and analytics. We believe that this is a game-changer initiative and a platform that will help us to add significant value to our client and their investors and the entire distribution of fraternity along the way and this platform is also multi asset multi geography multi lingual as well and multi-currency which effectively translates it to be a platform that is ready for the world and not just India, but made in India nevertheless. The last of the asset class we are looking to is the national pension system.

We have been outpacing the industry by a factor of two for the past three years. We have grown 25.3% year-on-year whereas industry grew about 12% broadly. We have expanded our total market share close to 8%. We all must recognize that we started this line of business just about

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4.5 years back and from nothing at all today we are nearly 10% of the total pension subscriber base and most of it coming from the private sector where it is not mandatory so to speak. We

continue to double down our interest and investment into the national pension scheme as we believe it is one of the very important asset classes every Indian should invest in to take care of their retirement plans.

Quickly moving on the overall India performance it is not lost on anybody so I would not dwell too much into it except to tell you all that every asset class whether it's equity, IPO markets, bond markets, mutual funds, alternatives and every parameter points to an elevated interest levels, participation by the broader population of the country, expansion of FII, FDI investments into the country, as well as certain demographic dividends that are helping us and will continue to help for a foreseeable future.

For example, every single year about 75 lakhs new invest or new Indian citizens turn major earlier being minor which effectively translates to many of them wanting to invest in financial asset classes as a strong participant in the capital market ecosystem and somebody who's doing pioneering job in driving ease of doing business for new investors onboarding them and providing the ease to transact.

We believe that you know several new millions of investors will come into the industry as has been the case over the past two to three years. And a lot of that would flow in the form of SIPs which is a very sticky retail book and that I think is the harbinger of far greater growth for the entire industry and not just mutual funds, but including for equities and the alternate investment fund as well.

The registration of the new alternate investment funds with SEBI had also been a significant expansion. There's been 20% jump in the new funds that have registered a year-on-year. And that's sizable, if you speak in the context of number of funds itself and the amount of capital that

they could draw down is obviously a factor of the value proposition each other fund manager has to offer. We are privileged in order to have some of the largest and the marquee asset managers of the country being both our clientele as well as investors in some form or shape. KFinTech's growth very specific to mutual funds had grown about 22.7% as I already called out compared to 22.2% in the industry level. We continue to have even a sequential growth of 5.5 vis-a-vis industry at 4.7% on the overall AUM. There has been a slight reduction in the equity component of our market share that is largely on the back of several of our clients driving a paradigm shift in the form of assets to be a significant growth factor both for the client themselves and for the end investors so to speak.

So, it is a very welcoming paradigm shift, not a paradigm shift, but a shift that augurs very well for the industry as low-cost expense ratio products help the investors and the broader participation of them into the market from here on. We have managed near about 45% of all the NFOs and near about 50% of the fund mobilization that happened in the industry came from KFinTech's clients which is obviously very good in the context that we manage 32% of the total market share.

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Fund mobilization however is at 50% of all new funds that have happened in the industry into this quarter. I hope and I wish my client will have far greater number of NFOs and a successful one to get into the coming quarters. The transaction volume continued to expand at a faster pace as compared to the AUM which is understandable.

That just explains the nature of the business and that is one of the critical reasons why we've been continually investing in technology infrastructure cloud computing capabilities to be able to future proof our business to make sure that our clients are best served in the industry not just in India across the world.

Today we are happy to also tell you that four out of the top ten asset management companies are with KFinTech. Just about six quarters back we had just one, I think, to today we have four of them. With this continued faster growth and the velocity of our clients we hope to have a parity into the next two to three quarters so to speak. MF Central a joint initiative created with CAMS and us has gained significant traction into the previous quarter.

We had about 7 million, 6.5 million hits in Q3; and one, that's been going faster and the value proposition together what we're able to offer to the industry is expanding with each passing day whether it is loan solution, business solutions such as loan against mutual funds to cash API's to being able to provide investor the best in class services is what this initiative is all about to drive ease of doing business and we believe we have a lot more to offer in times to come together.

On the issuer solutions just quickly going back the market capitalization as I've already called out, as of December 2023 is about 46.5% in the Nifty 500 clients. We continue to add both listed and unlisted companies and orchestrate transitions. We have recently transferred Usha Martin Limited group from one of the competitors into KFinTech and we're in conversation with some

more and hopefully they're fructified into the coming quarter.

On the international business as I've called out, we've added four new clientele and with the market turning around in many parts of the Asia I hope that we'll have a faster growth and traction. As we speak there are close to \$20 million worth of pipeline that is there and has passed the technical and the functional round, meaning, they are into the commercial round and should anytime fructify. There would be a step-up growth into the international business in which we hope to see in time to come.

Our acquisition of the fund administration company called Hexagram has been helping us, direct growth into the organization as well as its significant impact of helping KFinTech to be the only provider who have a fully integrated, made in India, TA, FA and additional platform together offering absolutely unparalleled solutions and services with a single point of contact and someone who can deliver all the services that are required for a fund manager.

Alternatives, I have already covered that space. On the value-added solutions I just want to take a minute and call out our growth of 60% year-on-year is something that I hope to maintain as a trajectory into the coming quarters and years.

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Happy to announce that in just the last one week to ten days itself, we have signed three medium to large-sized contracts purely in the space of tech that is the data lake creations for our and other clients as well and we are expanding, taking these offerings beyond the traditional asset management space into the broader BFSI sector including other capital companies as well.

So that is a news that augurs well given the context of the number of companies which are into the lending are quite substantially larger than the number of companies who are in the asset management space. We are also nearly done with our wealth management platform which we hope and a spire will be the platinum standard for the wealth management industry in times to come. With this I would hand it over to Vivek to cover the financial performance.

Vivek Mathur: Thank you, Sreekanth. So, the financial performance has been strong in this quarter and YTD ended December 23. We have seen an increase in revenue by 16.3% while in the domestic mutual fund business the average AUM went up by more than 19%. The revenue went up by about 14% so we had the telescopic pricing impact.

Although the overall yield still remains range bound it is about 3.8 bps. So, we operate in 3.5 to 3.9 bps sort of a segment, and this is something which continues to remain strong and as Sreekanth mentioned VAS revenue continues to grow.

Overall, even on sequentially on quarter and quarter also there is a growth of 4.7% and our business mix continues to remain similar as we have been mentioning about 66% from domestic mutual fund and then about 3.4% within mutual fund because of VAS services so overall about 69%. Issuer solutions continues to be about 15% to 16%. International and other investor solutions is about 10% which was about 8.8% last year same period of nine months.

Within that, we are seeing that the overall businesses in AIF and wealth continues to grow it is about 5% as compared to about 3.8% within that 10% and rest is about GFS and small businesses like NPS and Weble. And there is tremendous growth in terms of segment business as AIF has outgrown all other businesses. It has grown off in terms of year-on-year growth by almost 86% as compared to rest of the businesses growing in mid-teens a little higher as compared to the AIF business.

We continue to remain focused on growing our international and other investor solutions business as Sreekanth mentioned. We are we have got new mandates in the current quarter besides the last quarter even in the current quarter which will actually get fructified in terms of contracts and you will see exchange information being filed as and when we get the letter of mandate. So, we remain buoyant about the international business growth.

Overall expenses have also gone up in terms of overall expenses there is a growth even on quarter-on-quarter there is a growth if you see, and we feel that the overall expense growth is more fuelled by our people's strategy of getting best of the talent and retaining them.

Overall expenses have gone up by 7.4% year-on-year and 3.3% quarter-on-quarter and that is something we feel the retention bonus paid to the employees and attracting more employees in

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growing businesses like AIF and also because number of transactions have gone up substantially as Sreekanth earlier mentioned.

We have strengthened our audit and surveillance team, and we hired more people there besides hiring more people in AIF operations. So, within the quarter, we would have hired almost more than 120 people in these businesses and support functions to make them stronger which has resulted in slightly higher employee cost, but that is not something which will continue ever after. This is sufficient to take care of the growing volumes.

As a result of that the EBITDA has gone up and touched 43% versus 39.9% last year same nine months period and it's almost in -- touching distance of 45% for the quarter. PAT has gone up by 23.7% year-on-year and about 9% sequentially quarter-on-quarter and we are now at 28.2% PAT percentage and quarter ended with 30.6% PAT percentage.

Diluted EPS has gone up to INR10, which was INR8.2 last year. Now we are sitting on cash and cash equivalents of more than INR313 crores. This is after repayment or buyback of the RPS of INR134 crores, which was paid out at the end of November 2023. So, we have strong cash flows, strong balance sheet.

Net worth has gone up INR2,062 crores which was INR870 crores last year so it's an 18% growth on net worth. Almost INR200 crores up as compared to last year. DSO continues to be in the range of about 65 days, 66 days and we are putting measures to improve it.

Although the overview is just 26 days, but we are getting more rigorous because the diversity of our business into, not just domestic mutual fund, but corporate industry and AIF with new client wins. We are trying to reduce it further internally putting that discipline in. So, this was more about the financials.

Happy to take any questions now the floor is open.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Abhijeet from Kotak Securities. Please go ahead.

Abhijeet: Hi, good morning everyone. Thanks for the opportunity. The first one is on the international slash alternate business. So Sreekanth if you could just again you know simplify for us and maybe break down the revenue pipeline in this part of the business. I think one number that you mentioned \$20 million seems like a strong growth runway from where we are today. So little more color here and numbers if possible?

Sreekanth Nadella: Thank you Abhijeet. Very good morning. Yes so, in the international business we have two important, I mean three factors rather. So, winning the deals and obviously hitting the revenue has a certain lead time as I explained back in the day. The last three, four quarters that we have been announcing about the new wins.

Four out of those wins you know are turning into revenue generating you know accounts starting late this quarter into early into the coming quarter. And they are medium-sized asset management

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companies which will add a decent amount of revenue growth into the coming year point number one.

Second the deals that we have announced in the previous quarter one of them have converted into contract which means that the transition you know has just started. And the other one which is one of the largest integrated asset managers in the form of both private and public mandates in Malaysia.

That contracting process is underway which will be concluded hopefully in the next two to three weeks. And then we will go on to initiate the transition for that which will be a small it will be a short burst activity so to speak. So that's the second.

The third in terms of the pipeline we have a sizable number of clients

as is evident you know 54

clients. But obviously the revenue profile you know in comparison to Indian clients isn't as substantial as is evident.

That's largely a factor of the size of the asset management company you know whom we have as clients today. Given we are relatively new in almost all of these geographies you know probably the longest vintage we have is about 4.5 years in Malaysia and some of the other countries are just you know two years.

It is but understood that the large asset management companies you know would want to see certain amount of track record, continued performance as well as what we are doing with the regulator for each of those local geographies. And then you know is when they would start having serious conversations with us.

Happy to state that the current pipeline and the clients we are talking to are mostly amongst the top 10 asset management clients in that in each of those geographies so to speak. Although a

win in each of these client mandates you know would have a force multiplier effect. It will hopefully, will drive a multiples of revenue growth as against percentages of growth. So, the \$20 million is largely in that context. So, the last you know large contract we had one happened to be the third largest bank-based asset management company in Thailand called Krungsri Asset Manager. The transition is underway and is expected to conclude by end of you know this fiscal.

And given that we are managing one of the largest one out there, many of the top 10 are having very serious and engaging conversations with us to be able to render value-added solutions, both in terms of transfer agency and fund administration at a country level. So it is that pipeline that I was talking about.

So, it is not an early-stage pipeline, but a mid to advanced conversations with the client, sometimes the contracting process is a little protracted in that part of the world. But you know given now we have a track record of nearly five years. Never lost a single client and I've been adding at least two to three clients every single quarter.

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There had been a substantive interest in almost every single geography in that part of the world. In addition to starting operations in Thailand, we are going to start operations in Singapore even as we have some clients there already. We are working with the regulatory process to be able to secure alignment to both to set up the office as well as start in-country operations in Singapore.

Abhijeet: Okay, thanks Sreekanth for that. Just a follow-up here on the international side, like how do we look at the investments that are going into in terms of lead lag? Because I think the margin number that you record, I'm not sure how reflective it is about the underlying operating numbers in this part of the business. But it was a decline sequentially there. So, at what point of time this business starts to deliver somewhere close to 15% -20% sort of margin numbers?

Sreekanth Nadella: That's a great question. So, the way to look at this Abhijeet is at a client level, not at a geography level. We cannot compare the growth market to that of India scenario where we have 60% market share, many of the clients being there for the last decade to two. And a new client addition you know takes at an amount of time at least three to four to five years in India for example for them to make any meaningful corpus, for me to make any meaningful revenue out of it.

Whereas in that part of the world or any new country for that matter, a client level margin is what we look at. And in almost all cases you know we are tracking to anywhere in the range of 35% to 40%. But at an entity level international may look a little less because a continued expansion into newer geographies, continued expansion of technological capabilities, of platforming capabilities, the tra

nsition cost that we incur as we migrate a client from incumbent including their own captive to KFinTech.

So those costs tend to vitiate you know what is otherwise a profit profile which I think is pretty good. And I'll give you a leading indicator to that for example is the basis point. In India, our blended yield as you have seen is roughly about 3.9 and had been fairly stable for us for the past X number of quarters. The same for my international business is 5.2 basis points right. So, pound to pound the yield is higher. The number of transactions one would expect will be substantially lower than when compared to India right.

Because these are high ticket size low volume countries such as Singapore so on and so forth. And go at every client level the margin is healthy. But when you aggregate at an overall entity level it looks like lower because of continued investments into you know new geographic expansion.

Abhijeet: Thanks a lot for that. And the last question is that in this context I think the core business the MF RTA as well as the issuer solutions business that they have been delivering very solid margin improvements. So just wanted to understand, what is the level of operating leverage that is available there. In the sense can these businesses grow at you know mid to high single digit expense growth on a sustainable basis?

Sreekanth Nadella: We are just like in the case of international to in domestic side Abhijeet we are futureproofing or you know endeavouring to future-proof our business for volume expansion. We've seen a volume expansion of north of 20% -30% and that volume expansion actually adds much higher

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amount of data storage cybersecurity related costs. The engineering environment management

etcetera that is required for our core operation.

So, it actually transfers to a far higher quantum of engineering efforts and work and maybe even cost at our end as compared to the transaction volume that you see in the industry. The expense that you have been seeing that has slightly gone up in the last two quarters which I would expect we will continue to invest. And as we all expense, all of it out most of it at least.

And ergo these are not necessarily investments that are on the balance sheet, but already knocked into the P&L even at the -- at 45% of the EBITDA numbers. These investments are required to future-proof our businesses right. I mean the investments we made three to four years back for example have been continually driving the operating leverage right reducing the pure play operations cost the risk associated with that and hence the margin profile continues to stay put. The investments that we are making now are the ones that are going to help us into the next five to seven years. Because what we are now doing is not incremental changes, but a complete re-architecting and step-up chart changes that we're making to the overall platform and solution which will have fast you know reaching consequences and driving operating leverage into the coming years. So XAlt is one such classic example right.

So, we did not go on to make incremental changes for existing platform, but we built bottom-up in a manner that our ongoing operating costs will be low. Our dependency on the large enterprise solutions where the licensing costs tend to spiral out of control very soon comes on over a period of time.

Abhijeet: That very helpful Sreekanth. Thanks a lot.

Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: Thanks for the opportunity. Starting with the international business wanted to understand, what is the mix of FA and RTA business do you see in this business in the next five years? That's the first part and the second part is on the XAlt business you know this is a platform which has

significant growth opportunity not only in Southeast Asia, but in other international markets as well. However, this is a mature market with you know well-entrenched operators in this business already.

So, what are the differentiators for your XAlt platform that you think will help differentiate and penetrate clients, hedge funds or other asset managers. So, if you could start with those two questions on the international side before, I go to some other questions.

Sreekanth Nadella: Thank you. The current mix of TA to FA in terms of the number of clients is about 31 clients are TA and 23 are in FA. FA thus far broadly had been platform only service that is by virtue of our acquisition of Hexagram. The TA however broadly is a full-service model like how we deliver it in India today to all our mutual fund houses whom we manage today. We in terms of

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the overall revenue mix as against the client mix you know it would be around 80% would be TA revenue and about 20% would be FA revenue.

The differentiation or what is the value proposition we have to offer for FA right I mean I think the question I heard was that as a platform-play we are not looking at ourselves as a pure play platform right for FA, which was the case with the acquisition that we made.

Hexagram broadly was a platform-based company not necessarily rendering a service layer on top. I could equate that in the case of TA for example to our platform which is called K Bolt, and that platform also could be given out just as a platform too right probably not so much in India, but outside the country. But we also have our entire processes and people and the risk management everything associated with it and the governance and hence we charge a certain basis-points, and which translates to participation of the growth of the industry.

So, we are replicating the same model in FA, so it is no longer just platforms. Wherever we already have platform sale we are upselling the service layer. All new clients all new geographies we are pitching for a full-service model it is still possible that the client could be interested only in the platform and not the service and in some cases, it could only be the service and not even the platform.

The value proposition we have to offer is manifold. First off are you right there are several entrenched players especially in mature markets such as Singapore for example or in Europe and US, but probably not so much in other geographies such as you know emerging Malaysia and in major Thailand, Philippines some of these markets do not have entrenched players.

But let me drive the answer in both cases, even in the case of mature markets, the value proposition we have to offer is that we offer both FA and TA and the entire digital stack which most others do not point number one.

Number two, we today are able to deliver at five to six basis points all of the solutions and more

as compared to a typical fund administrator who could be charging anywhere between eight to eighteen basis points depending upon you know which fund administrator and which AMC you're talking about which means that I have a value proposition to optimize the cost to serve of most fund managers by a minimum of 25 % to 30 %. So that is the second big value proposition. Third is in terms of our go-to market and speak to market rather you know given we are at heart a tech company at this point in time we are able to create solutions for our clients which you know most of the fund administrators do not do because they are purely fund administrators where we are a full-scale digital company so to speak.

For example, you know we have created the first of its kind a simple WhatsApp based distributor empanelment where you could onboard 30,000 - 40,000 distributors in a single day. Now these are alien concepts to most of the other operating

geographies beyond India and we're able to take these solutions at scale and be able to provide value to those clients.

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Fourth, while the entrenched fund administrators are there, they are more focused on the large fund managers because the quantum of the AUM is quite substantial and ergo the return that they derive out of that is quite high.

Whereas we see a large market of several boutique small to medium fund managers who we believe are charged very -very high, you know anywhere to the tune of 15 basis points, if I may. And also, are underserved because they are not the largest out there and that offers a phenomenal amount of space for a player like us to start with small medium-sized entities as we have already done in the case of mutual funds and then expand into the larger alternatives. I hope I answered your question?

Supratim Datta: That is very helpful and very elaborate answer. Thanks a lot for that. On the cost side, I want to understand that you have been making investments in this business you know to drive and rightly so because it requires, future proofing.

Also, I wanted to understand given the focus on tech and the tech lifecycle is getting shorter. Are these investments more recurring as compared to one-off and that is how we should think of it that you know it should continue at a similar level rather than, there being a currently there being a step up and going forward there being a step down in cost. So just if you could give your thoughts on this?

Sreekanth Nadella: So, I think the answer is part of it is yes and part of it is no. The big-ticket expenditure which is one time and not recurring and you know it may be reset maybe once in a decade kind of scenario is effectively the brand-new platform creation right. For example, the XAlt platform that I spoke about for alternatives or the platform that we have now created for Malaysia, Philippines, Hong Kong, Singapore, Thailand.

Now these are all one-time creation or now the entire cloud strategy that we have implemented over the last two to three years you know whereby we moved much of our data layer onto the cloud much of our API infrastructure onto the cloud you know that is also one time and we are right now in the midst of the journey to take our mutual fund platform to be the most digitally advanced TA platform not just in India honestly you know anywhere in the world.

That is a one-time expenditure, one-time investment not a recurring one at it. Now these are big ticket items, these are generational shifts. As an industry and as an organization we are 35 years old into this and what we've been able to do is add incremental enhancements into the platform. But we believe the time has now come at least in the context of the growth. We have seen in the industry and what we expect in the future to completely reset it, right. And hence it's a one-time and it's a big-ticket item no doubt and we've already spent much of it and expense off and some more to happen.

Whereas there are several other recurring items which is a continual as you rightly said the tech lifecycle has come down, so we create a lot of new features, products, solutions. Some of these are revenue generating in their own, right, for example, today 6% of my revenue is coming from value-added services. Those value-added services are on the back of those platforms and

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solutions we have created. So, these are not just purely cost items, but they are recurring revenue generating items for us, right.

If I were to put a quantum to it, I'd like to believe that anywhere about 60% odd would be a one -

time investment of the tech spend that we are doing currently maybe 40% of what we've been incurring. Could be a repeat expenditure, but again, a lot of that

would continue to drive revenue

profile and not just be a pure cost consumption for us.

Vivek Mathur : I'll just add to what Sreekanth mentioned. We continue to spend almost 19 % to 20% of our revenue in terms of IT, opex and capex. Capex is just 5% out of this 20%. The rest is all opex and we believe that, as a growing company we have to invest in technology and as you rightly asked the question that isn't it recurring. We feel that as the volume goes up in terms of revenue the percentage will keep coming down, but we will continue to invest in technology. So, this 15% to 20% of our revenue we will continue to incur on IT.

Supratim Datta: Got it. And so, 15% to 20% on that elevated revenue base or once the revenue base increases that proportion goes down?

Vivek Mathur : Yes, so last year for 9 months ended December '23, we spent almost 22% of our revenue. This year we have spent 19% of our revenue. So as a percentage it will keep coming down, but the quantum will also keep going up as the overall revenue goes up.

Supratim Datta: Understood. That's very clear. And my last question is on the M F RTA business and AUM growth. So, your overall AUM you have been growing ahead of the industry, but when I look at the equity AUM that has been growing slower than the industry at least this quarter it has been going slower than the industry. So, any particular reason behind this? I understand this is driven by your mutual fund partners, but just wanted to understand why is there a difference and could this gap be reduced going forward?

Sreekanth Nadella: Sure, I can take that. No there is no reason. This is just the cyclic alities that I was talking about, right. In 2020, our market share of equity I'm sorry in 2018 the market share of equity was 26%. In '23 it rose up to 35%. So, there is a nearly 800 to 900 basis point expansion that we saw in a matter of three years at that point in time, right. And now it is slightly less.

Now that basically is a reflection of the fund performance, right. I mean you will have, if you look up the fund performance itself of various schemes of various fund managers in the quadrants if you put Q1, Q2, Q3, Q4 you would realize there is a constant movement of certain funds from one quadrant to the second to the third to the fourth based on the fund performance broadly.

And that would obviously drive the inflows of both SIPs as well as the lump sum into that particular scheme which obviously will then roll up into that particular client. So, 26 to 35, 35 now down to 33.5 and in the next two three quarters it could go up again. So, there is no reason I believe this is the cyclical ity that we would see. It is possible that in the next eight quarters it can easily go to 38.

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I mean it is very hard to predict. There is no underlying reason excepting the fund performance of the clients and sometimes the fund performance could favour some large asset managers, sometimes it could be for other asset managers. So, we expect this to the cycle to continue and hopefully in the next one to two years our market share would expand than reduce a little bit.

Supratim Datta: Sure, that's very helpful. Thank you.

Moderator: Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani: Yes, hi Sreekanth. Congratulations to the team on the numbers and thank you for the detailed explanations. Two questions, one on international and one on domestic. The international question is Sreekanth, thanks for clarifying that the yield that your partner charges 8 bps to 18 bps and you're charging 5 bps to 6 bps.

So, we understand that scope and what I've understood from your previous calls and this one is that the mid to boutique are the ones that you're chasing directly whereas the larger ones you are chasing through

a custodian partner et cetera.

So, I just wanted to understand that is there a specific conflict that arises because the custodian is like, okay you're going direct, and will you come after my lunch is there any sort of a conflict in that? And also, specifically a big the international piece AUM de-grew this quarter for about 3% to 4% whereas the AIF piece, AUM grew 8, but revenues declined 3% sequentially. So, could you just explain that specific aspect as well? That's on the international.

Sreekanth Nadella: So, I'll clarify the point on the custodians and on to begin with. We have partnered with two custodians in the Asian region. And the custodians there usually also provide fund accounting, right. And our partnership with them is largely for very specific mandates from the asset managers, who want a single entity to provide transfer agency fund accounting custody all

together , right .

And given we offer TA, and the custodies offer custody and FA so this partnership is extremely limited for that very specific purpose of mandates where we need to have a joint go -to-market strategy , right ?

Outside of that , there is no conflict and there is no anybody stepping on somebody else's door . So, we would as much as partner with a custody to bid for a particular deal . We could easily be competing with the same entity for the next deal where the fund manager does not necessarily insist on a single entity to provide all three solutions under the hood.

So, to that extent it had been an extremely harmonious relationship that we maintain with all of them , right. Now this is more for mutual funds as we are very intent full of growing our alternative space quite substantively especially say in the context of Singapore. In Malaysia it is probably not very large , but in Singapore it is quite large. There is a case in Thailand. There the custody and all is not something that we know we need to work with , because there they look at

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TA and FA as one unified provider which is where my point about large fund administrator came to picture , right .

In all those in almost all those cases , it is the same administrator who provides both TA and FA and custody is a completely different line of business. So , depending upon which asset class you look at we will our partnerships work for that particular purpose.

But yes , in the case of a single bid it is a partnership in the case of non -single bid where it is no expectation that in all these which has been rendered under one vote . We compete with them and then as the track record had been showing we've been winning at least a couple of international mandates every single quarter . And hopefully large ones are going to happen this quarter.

Now in terms of the growth itself yes , the market there had been typically we all know for example the Hong Kong market wasn't the brightest and it was the case of Malaysia and others. So, to that extent there had been a little bit of AUM degrowth , but that had not necessarily resulted in any degrowth of revenue in the case of international business which had grown about 7%.

But the overall the line of alternatives and international and the pensions there was a slight sequential degrowth , that was on the back of the previous quarter alternate investment funds year-on-year had grown near 100%. This quarter we had grown 86% so to speak.

So, a lot of fund s mobilization in alternatives happened last quarter lot of new funds we won the preceding quarters went live in the previous quarter , but probably little less of that happened in the quarter three , and that was the only reason why there was a slight sequential reduction .

But the alternatives brought on in the capital commitments are on the significant upswing into the later part of the quarter and as we see into this quarter , we expect the trend to reverse very

, very soon.

Aejas Lakhani: Got it this is very clear . I think this is what you were alluding to when you said the controllable components of the income , this is clear. Thank you for that . And the second is on the domestic business , Sreekanth is -- how is the competitive landscape shaping up ? Could you speak a little bit about that as competition in lieu of , the stance that you have taken and the investments you are making has that landscape shifted changed your comments about it , and what in your opinion are the keys risks to KFIN's business today? Thanks.

Sreekanth h Nadella: Thank you . The competition landscape , one thing that we've always been proud of, and we continue, and we will ensure we will do that is such industry standards . We haven't traditionally been following as much as leading from the front whether it's in terms of the business solutions that we offer getting into the new asset classes , new business lines or the pure tech changes, whether it is cloud -first strategies, whether it is driving a -- at scale generic capabilities, including on the big data components where in fact we even manage some of our competitors clients in that space, is something that wil I continue to do so.

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I think a competition that it's in the space of i ssuer solutions or in the case of alternatives pensions mutual funds. I think it's a very healthy trend if I may right. I think it it's great that each of us constantly innovate and bring to the market for the betterment of the investor's asset managers

and the distributed ecosystem even the regulator for that matter and that amount of healthy competition is driving down the cost.

It is significantly improving the ease of doing business onboarding, financial inclusion by moving into every last city and location, creating digital solutions, which were to unthought of for example to onboard a client on alternate investment fund, till about a year back was literally a three -day process and about 145-page document that needs to be filled.

We took it upon as a challenge for ourselves and then we created the country's first digital onboarding platform at scale where you could onboard anybody in three minutes and not just HNI, ultra -HNI, but whether you're a trust or an endowment fund or any corporate for that matter right.

So, the competition landscape I think is constantly evolving. We're all putting enough pressure on each other, and I think it's a very healthy friction for the betterment of the industry over a period of time. That was one and sorry there was another question that you ask us?

Aejas Lakhani: Just any key risks that you feel that the business may face? Thanks.

Sreekanth Nadella: Well, I think our business is riddled with risk. So, there is to that extent I think that there are several and we continue to track, and it is our duty solemn duty to ensure that the risks are mitigated at every point in time. But let's say continued focus on cybersecurity and data privacy is an exceptionally important item for us we manage near about 8.5 - 9 crores investors in the country almost every year about 80% to 85% of the financial investors in India have something to do with our organization.

So, that's an enormous responsibility and then hence all these investments and efforts and all of that we continue to do, is to ensure that this is all protected. So that's definitely one thing that we will continue to double down and make sure that we create an absolute zero trust model and absolute amount of cybersecurity resilience outside of that well the cyclicalities from a business standpoint will always be there we were fortunate we had a great year last year.

It is possible every year won't be like that right and that is exactly the reason why our risk diversification strategy of rendering solutions for every asset class and for as many coun

tries as

possible will go on to play a big way.

Hopefully for example if India were to have a subpar market-to-market growth into this year or next year, it is strongly possible that the Asia could rebound it between time what now seems like a little tepid relatively tepid growth of Asia compared to India, will probably go on to help KFinTech the next year when those markets could be coming back, after two years of relative underperformance.

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So, it's all about risk diversification from a business standpoint outside of that purely technology standpoint the data security and the information security is something that we are tracking very, very closely it is a very big topic for the regulator as much as it is for us. The DPDP Act is going to come into play sometime soon, the dates are yet to be announced. But we are keeping ourselves ready at the very earliest even before any instructions come from anywhere.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from CITI. Please go ahead.

Dipanjan Ghosh: Good morning. Just a few questions from my side. First, on the domestic MF business, if you can kind of break it down between the AUM link portion versus the non -AUM link portion, let's say for the third quarter or nine months versus what it would be last year? Second on the issuer solutions business, it's when we calculate the revenue portfolio adjusted for seasonality, like comparing 3Q versus 3Q, that seems to have gone up, so is it more of corporate actions or value -added services? If you can get some more color on that?

Lastly, on the international and domestic alternate business segment, I only get the growth number of around 100% in 2Q and almost 80% -85% this quarter. But if you can just split it on an absolute basis for 3Q nine months this year and last year, that will be really helpful?

Vivek Mathur: Sure, Sreekanth, I'll take this. You can add, the breakup of domestic mutual fund into fee -based business and non -fee-based businesses, 66% of our total revenue comes from fee -based domestic mutual fund business, and anywhere between 3% to 4% comes from value-added services.

In terms of issuer solutions, this business, currently, which is about 15.7% of the total revenue, is range -bound between 15% to 16%. But as the number of folios grow and we continue to add and migrate clients from other RTAs to KFinTech, this revenue pool will continue to add and with new IPO participation this will grow.

So, revenue per folio, you know, because of various value -added services also, so this is not just one way of looking at pure folio -based revenue, but there are corporate actions, there are value added services, which add to the per folio income for KFinTech. So, it's a combination of three streams of revenue, the pure folio -based revenue, more corporate actions mean more event -based

revenue .

And then there are value -added services like EAGM, eVoting, AML, PML, Insider Trading Platform. So , all these also continue to add. As we penetrate more of these value -added services to our client base of almost 5,800 plus clients, you will see an uptake in terms of per folio income. On the AIF, international business in AIF, while overall revenue is given here, I have already told the percentage of revenue that comes from the international business of global financial services is about 4%. And AIF and the platform of TA of Hexagram, which is in power, contributes to about 5% of the total revenue. Balance comes from our pension and other small businesses. Does that answer your question?

Dipanjana Ghosh: Yes, just a small follow -up. You know, on the issuer solutions business, is it fair to assume that this quarter there are market tailwinds leading to higher corporate actions with supported

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revenues? Ju

st wanted to get some sense of how much of this, would you consider as more from the current market situation versus how much can you consider as more of recurring and your penetration of clients through various value -added products?

Vivek Mathur: So, issuer solution business doesn't have to do anything with the market. It is more number of market participants. So , if there are more demat accounts opening, that means for listed companies, that means more revenue for us because number of folios go up. So , market driven revenue is more in mutual fund , the fundamental consumption story and growth story of India remains intact and the financial household savings coming into mutual fund and getting into direct equity continues to auger well.

So, it's not something that we are looking at a short -term jump you know if this business on a sustainable basis will continue to grow on a mid -term kind of a growth. Sreekanth , do you want to add anything?

Sreekanth Nadella: Thanks, just two more points. One is that you know in the case of issuer solutions there is a price escalation that we orchestrate unlike in the case of say asset management industry where there are certain volume discounts given beyond certain asset management thresholds where the yield is important that we all track to. In the case of issuer solutions there is a price escalation that kicks in you know the once the contract ends and that's of course negotiated price increase.

That was one of the reasons why it had gone up beyond the corporate actions. Second and importantly is that as we have won a substantial number of client mandates in the previous year including managing several IPOs and all of that becomes a recurring annual revenue this year. The IPOs that we have done this year obviously will contribute to a higher revenue into the next year in addition to the corporate actions so on and so forth.

The component of the corporate actions as overall share of issuer solutions revenue is not substantially different from year to year. So , the corporate for example the dividend declarations the buybacks many of these you know have been pretty similar for us you know and hadn't been very different this year compared to the previous bunch of years.

But obviously it is the addition of the new clients and their declaration of corporate actions in addition to the retail folio expansion of nearly 5 million you must have seen that 5 million net new folios have been added either because of the new mandates we've won or the transitions we have orchestrated into the previous year and or the corporate actions of those transitions and the new IPOs that have driven the growth.

Dipanjana Ghosh: Got it, got it. Thank you and all the best.

Sreekanth Nadella: Thank you.

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment Advisor. Please go ahead.

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Bharat Sheth: Hi, thanks for the opportunity. So , one question on international side, see as you are in transit some winning that new client then the rolling out takes up to say two three quarters then which also incurred a transition cost. So overall if you have to take little longer perspective from three to five years so how do we see that business and what could be the margin that we really like to have in that business, and can it be a very meaningful contribution to our overall top line?

Sreekanth Nadella: Thanks for asking that question. Not under it yet and you know that's the reason why we have you know started the international journey. Just to give you certain facts four years back you

know the revenue was zero.

Today it is a little over 11% to 12% of our revenue comes from a brand -new line of business which never existed before. Right so to that extent I think it explains to us it's not just our intent and aspiration , but we have execute

d to the strategy and there is an addressable market to grow.

Our intent is to make that percentage you know to grow substantially higher. I would love to see in the next five years international business occupying about 25% of our total revenue pool even as the revenues of the overall metro business also continue to grow.

Three, in terms of the margin itself I had called out at an individual account level you know we have healthy margins , but because we are constantly winning deals and constantly creating new platforms for new countries and incurring on certain transition costs what have you are seeing an overall margin profile slightly below , but on a steady state basis I would expect the international business to have higher margins than the domestic business .

For the very simple reason -- two simple reasons , I have cited one , my yield is higher than it's in India at least by a factor of 30% if not more and we'll try to do more in time to come. Second, pound -to-pound , if I get a INR1,000 crore AUM in India versus a INR1,000 crore AUM in Singapore for example for the same INR1,000 crore of AUM in India . If I do a 1 million transactions , I will have to do 10,000 transactions in Singapore. As you could then imagine the effort required is substantively lower as compared to what it's in India because the ticket sizes are small in India, and i t is a volume game for us here.

So, to that extent the operating leverage will kick in as larger AMCs start to work with us. So, we are definitely optimistic about the margin profile in the long term. We have already seen you know good expansion in the last four years, and it is a long term business you know we are -- this is not a one quarter two quarter business. It is strongly possible that tomorrow you know for example if I were to draw a parallel to India right, I mean it could be winning one of the top five asset management companies in India versus , let's say , the bottom five asset management companies in India right.

You see the magnitude of the asset being managed is so substantively you know higher right so about INR4 lakh crore , INR5 lakh crore AUM in the top 5 versus probably a few INR1,000 crores of AUM in the bottom 5 or in the mid -5. So should we go on to win one or two such deals which is the conversations , we've been having with the larger fund managers today. The revenue growth won't be a 30% , 40%, but could easily be 2x or 3x jump that can happen in a single year too.

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While that is not necessarily the guidance I'm offering or we are baking into the books , but I'm stating that's the kind of potential that exists . And I think we have done sufficient amount of good work over the past four years for all the large asset managers to stand up and take notice of the work we've done and hence the conversations now we are having at the top five in almost every country.

Bharat Sheth: That's a good answer I mean very elaborated. So, on second thing on geographic expansion if you can share some more color say apart from this Singapore and Southeast Asia so going little aggressively on the Western country.

Sreekanth Nadella: Yes so we so we are actually we are one inch high of having 50% market share of permissible funds in Malaysia by the way and that's just what we've done in four years. Now in Asia Singapore quite clearly offers the most significant opportunity .

But not so much in mutual funds , Singapore is more an alternative market so to speak right and there is roughly about \$7 trillion worth of alternatives there and we have just launched our platform XAlt, and we needed that . So far, our clients largely had been on the mutual funds based on the alternatives and the reason why we've toiled hard to create such a platform which is applicable for anywhere in the world and especially including for Singapore is that very reas

on.

So, we are you know getting feet on the street in Singapore as I've stated you know we are looking to secure you know a license and an office space in Singapore to start and platform is already there.

So to that extent I think the opportunity of a near \$7 worth of addressable market for the fund manager at even an average of you know 7 basis points or 6 basis points or even 5 basis points that we could charge today which is absolutely the lowest end of threshold you know offers a very large revenue potential of course it needs to be executed to both the sales and the delivery and the execution , but that's what you know we are working towards to and we have confidence

in our abilities to do so.

Now while this offers the greatest potential in immediate you know Southeast , but if you move a little to the West you know on the Midwest you have you know Dubai is another area of interest to us , but clearly much of the global wealth continues to reside between US and Europe. So , to that extent starting our operations in there is very, very important. We are looking at both organic and inorganic routes including acquisitions both in Europe and US.

Whichever happens first organic, or inorganic is how we're going to start there.

Bharat Sheth: Okay, thanks for the elaborated and all the best.

Moderator: Thank you. The next question is from the line of Rohan from Envision Capital. Please go ahead.

Rohan: Hello. So just one question on the issuer solution part. So like you said that your aspirations are growing with teams and the issuer solution business. So if we just delve a little deeper there and

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see what kind of growth do you expect to come from the volume growth that is increasing in the number of folios ? And what part of it will be corporate action, value -added services, escalation etcetera. So what's the break -up between these two if you can?

Sreekanth Nadella: Certainly. So, even if you want to give a regular on business as usual profile of the revenue components near about 70% comes from the folio based pricing. And about 20% to 22% on the corporate events and the rest is the corporate actions and the rest is the corporate events. When I say corporate events I'm talking about conducting and holding AGMs and so on and so forth whether it is electronic or otherwise.

This particular component breakdown of revenue for issuer solutions had been pretty similar over the last three to four years except that we have added a fourth component which is the value -added solutions which includes for example us creating insider trading platforms and administering it, managing and administering ESO P for many of the client so to speak.

Now that pool of revenue has basically added about 6% to 7% of additional revenue overall so to speak. So, on a business -as-usual basis I'd expect that 65 %-odd, could continue to come from the folio based pricing. And about 15% to 17% on the corporate actions which is buyback, dividend declarations, de -mergers what have you. And a 7% to 8% of equal proportion coming from corporate events and value -added services.

Rohan: Understood. So what I was also alluding to was, so I think the break was really helpful , but what I was also alluding to was that if you say that you aspire to grow mid -teens in the issuer solution business, so then what is the volume growth that we can expect in number of folios say for example 8% volume growth, 8% other services increasing pricing etcetera. So, what are your aspirations there? So, break up of these mid -teens is what I was looking for.

Sreekanth Nadella: So, I believe the volume in the form of folios factor anything around a 10% increase in the volume of folios will easily drive a mid -teen growth in the business. But of course, the volume growth of folios can come from -- it also depends on which client. As I've explained

this is unit

pricing and it's a negotiated price it is not the same for any two clients. So which particular client is growing faster will also drive the revenue growth corresponding to that.

And also, if the volumes and the folios are getting added more because of IPOs and transitions it always adds a faster revenue growth profile to us. I mean it's hard to give a very specific number , but let's say an 8% to 10% increase in the folio would get us into easily a mid -teen kind of growth.

Rohan: Understood. I think it's very helpful. Thank you. So, one more question on the Indian AIF business. So, what is the kind of yield we can expect on the medium term under Indian AIF side?

Sreekanth Nadella: So, the yield in the AIFs has been pretty much based right from the very beginning. If you do only TA or only FA or if you're doing both traditionally this industry in India had grown only with TA. Both us and our competitors focusing on that. But since we acquired and added the entire FA capability over the last 24 months in India, we are now one of the very few who can

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offer TA and FA and definitely the only firm in India who have their own proprietary platforms for TA and FA.

The yield for TA standalone would be in the range of 1.5 to 2. FA would be around 0.5 to 0.75 and a composite deal could get you anywhere around 2.5 to 3 basis points.

Rohan: That's very helpful. Thank you. And just the last question if I can. You said that you have around

INR300 crores of cash surplus, cash available with you. So just on the acquisition plan if you can just give us a -- how do you look at it?

Sreekanth Nadella: Vivek, do you want to pick that up?

Vivek Mathur: Yes so, your question is about how we are going to look at the cash surplus that we have, correct?

Rohan: And acquisitions and advantage part of it.

Sreekanth Mathur: Yes. So, we continue to evaluate acquisitions at any point of time. We have three or four targets that we continue to look at. And historically if you've seen we have been doing small size acquisitions. And as our aspiration is to grow in terms of either growing our product bouquet or acquiring clients or expanding into geographies. From these three lenses we continue to look at opportunities.

So, you will see that, even in the coming year, we will continue to explore that only when we find that the proposition of acquisition is going to add substantial value in terms of shareholder value creation. It's not just acquiring and then saying we just added top line. So, we are looking at exponential growth by combination of two entities and not just pure acquisition. So, we will use that and we will also see, the board will also consider in terms of beyond acquisition if there is surplus cash, board will also look at dividend policy once the financial year ends.

So, M&A is now something that we have been doing successfully. Four M&As we have done in the last six years, seven years. So, we feel that, that is something which we will continue to do and utilize this to create future moats.

Rohan: Great, great. Thank you so much.

Moderator: Thank you. Ladies and gentlemen due to time constraint we have to end. We will reach out to people in the queue separately. As that was the last question, I would now hand the conference over to Mr. Devesh Agarwal from IIFL Securities Limited for closing comments.

Devesh Agarwal: On behalf of IIFL Securities, I thank the KFin Technologies Management for giving us an opportunity to host the call today. Before we conclude today's call would the management like to add any closing comments?

Sreekanth Nadella: Thank you so much once again Devesh for moderating it and all the investors and analysts, showing very, very keen interest and rightfully. So, the growth areas and the emphasis on international on the alternative is rightly placed. We

continue to stay exceptionally focused on

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innovation value addition to our clients. Whilst, ensuring that the operating leverage on the cost is managed and focused too.

We have been diversifying the risk and that will add certain amount of cost which I think is extremely important and well worth it for long term prospects of the growth. Aspiringly I have stated this several times before I just want to state it one last time and conclude the call.

We intend to make KFinTech the first company from India which is globally relevant in the space of capital market infrastructure that had been our NorthStar and a lot of work we have been doing is eventually to get that far. If India could replicate this in IT, ITES, generic pharma, and any line of business there is no reason whatsoever that we can't do the same in the space that we have operated.

So together and on behalf of my entire management team which had been exceptionally behind us to ensure a continual financial performance as much as setting of ourselves for long term success. You know a very happy investing and thank you so much for your time. Thank you.

Devesh Agarwal: Thank you everyone for joining the call today. Muskaan you may now conclude the call. Thank you.

Moderator: On behalf of IIFL Securities Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

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compliance.corp@kfintech.com May 07, 2024 CS&G/STX/ JQ2024/13

1) National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Scrip Symbol: KFINTECH 2) BSE Limited

Phiroze Jeejeebhoy Towers ,
Dalal Street,

Mumbai – 400 001

Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“LODR Regulations”)

Dear Sir / Madam,

Further to our letter reference no. CS&G/STX/JQ2024/04 dated April 16, 2024, pursuant to Regulation 30 and other applicable provisions of the LODR Regulations, please find enclosed herewith the transcript of the Earnings Conference Call held on April 30, 2024, in respect of the standalone and consolidated audited financial results of the Company for the quarter and financial year ended March 31, 2024 .

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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“KFin Technologies Limited

Q4 FY '24 Earnings Conference Call”

April 30, 2024

MANAGEMENT : MR. SREEKANTH NADELLA – MD & CEO

MR. VIVEK MATHUR – CFO

MR. AMIT MURARKA – HEAD IR

MODERATOR : MR. DEVESH AGARWAL – IIFL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY24 Earnings Conference Call of KFin Technologies Limited, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Devesh Agarwal from IIFL Securities Limited. Thank you and over to you, sir.

Devesh Agarwal: Thank you, Muskan. Good morning everyone and welcome to the Q4 FY24 earnings call of KFin Technologies Limited. From the company we have Mr. Sreekanth Nadella, the MD and CEO, Mr. Vivek Mathur, CFO and Mr. Amit Murarka, the Head of Investor Relations. I would now hand over the call to Sreekanth for his opening remarks, which will be followed by a Q&A session. Thank you and over to you, Sreekanth.

Sreekanth Nadella: Thank you so much, Devesh. Very good morning to one and all. Thanks a lot for taking time this morning to hear out about our quarter performance as well as the full year performance. Very excited to state our ongoing journey and the commitment to excellence as well as the shareholder wealth accretion. We have clocked a revenue growth of about 25%, EBITDA growth of about 25% as well and a PAT growth of nearly 33% this quarter, making this one of the better quarter and hopefully a quarter that will set the basis of growth for the fiscal year 2025.

On a full year basis, our revenue growth is at about 16.5%, EBITDA at about 23% and a PAT growth at about 26% broadly. The diluted EPS for the quarter ending 2024, the last quarter is about 30% and for the full year it's about 25% year-on-year growth. This journey marks our secular growth across the business segments. We continue to maintain that the bedrock of our business will be and has been the Indian mutual funds business.

We've been the first registrar and transfer agent from a share transfer standpoint in India. We continue to grow that business and it is the residual

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30% plus of the younger businesses which broadly cover our international alternative pensions and the acquisitions around fund administration. As you can see, the growth this quarter in those business lines had been near about 50% year-on-year.

Issuer solution is about 20% and the mutual funds business is roughly about 30% year-on-year growth for the quarter. It's been a really satisfying year thus far and of course it is still at the very beginning of our growth journey. We believe that the mutual fund business will continue to expand at a very rapid pace as has been identified through a series of surveys and market research reports.

We expect the AUM to double over the next five years or lesser than that. Looking at the pace of the SIP expansion, it is expected to happen much sooner than later. The alternatives market had been tearing up as well. We have witnessed a 60% increase in the AUM this year over the previous year and revenue that has nearly doubled during this process. The pensions market itself had slowed down a bit in the previous year. The overall industry grew about 12% but we have grown 28% year-on-year in that segment. We are a FinTech company and we continue to drive through technological innovations. Many are industry first products and platforms. Happy to inform one and all that the share of the value-added solutions and services has improved from 5.3% to 6% on a full-year basis. This is despite an extraordinary growth across all lines of businesses which explains that an absolute number of the value-added solutions have grown

much faster than we have identified.

We believe that we continue to invest in areas which are not market dependent. It provides a good hedge.

It provides us the stability especially during the down-market cycles. Many of the businesses that we are looking at currently are not necessarily related to the movements of the market. As an entity, we continue to be the largest investor solution provider in India. In terms of the total investor and the folio count, it totals to near about 26 crore folios between the share transfer and the mutual funds and the Alternate is making us one of the largest registered transfer agents not just in India but in the world.

Our market share on the overall AUM continues to grow and outpace that of the market which is obviously a good indicator in terms of times to come how our both overall AUM and equity AUM will continue to grow. You might have witnessed that the equity AUM there had been a slight dip in terms of the market share. That is sequential in nature. That is something that happens once every few quarters when certain fund houses do better than the others. The last few quarters, I definitely have seen a faster growth in some of the asset managers managed by the other registrar.

To that extent, we do believe that some of these cyclicalities will hit and hopefully in times to come, we will have better fortunes in terms of equity market share as well. Notwithstanding all of that, we continue to grow the mutual fund business at a very, very rapid pace even as we have some of the newer fund houses who have grown quite rapidly in the past few years. On the issuer solutions, we have added near about 200 plus clientele in the previous quarter.

We have several mandates which we can't just yet announce the names in terms of the confidentiality reasons, but then we believe that there will be key changes in time to come. We have added a series of new clients who have transitioned from the other registrars, including Bitlock Corporation, Mojtech, and a few others which are in the pipeline, including Mojtech Martin. We have launched several new solutions in issuer line of business, especially on the IEPF claim management, given the amount of complexity associated with that, as well as the investor grievances that come out of that particular line of business process.

We believe that in time to come, this will add a significant amount of gravitas to our line of business, including addition of new clientele and transition of clientele, given very few have such a solution at this point in time. We have, beyond these two businesses in terms of the financials, very happy to inform that we have been awarded one of the first Supervisory Tech Platforms. We continue to partner with the regulators across India and the globe to create solutions which aid in a very proper and secure monitoring of the markets, so to speak.

This is a platform that we have created for us in terms of the supervisory technologies. And the platform that we've created, especially around Guardian, which is about insider trading related solutions, has now been adopted by several of the big four accounting firms, given this is the only solution that exists in the country and probably anywhere in the world, in terms of leveraging account aggregation as a tech solution for monitoring insider trading across the corporate. We have continued to expand our data lake solutions, not just to our clients, but also to the clients beyond, you know, who are currently not with us in terms of the RTA side of it.

We have won a series of contracts in the wealth as well as in the fund accounting side, including on the asset management side. International business, our number of clients have increased to 57. The last quarter I had updated that w

e have moved the number to 54, which marks that, you know, three new clients have been won during this intervening quarter.

This obviously adds the biggest scope of growth for us, even as, you know, we break through the initial resistance in each of the new geographies. I'm sure one would appreciate that going into a new country, creating platforms and solutions, fully compliant in a regulated environment, takes a certain amount of time and it takes a little bit more time to convert the clients, or rather the potential clients, into a real client. And it takes time. It's a time-consuming process, but it's a very, very rewarding process, especially when we all know

the stickiness of these contracts, where we seldom, you know, lose a contract once we have. It's a very complex piece of work. And last quarter I had updated about our wins in Thailand.

I'm happy to announce that we have cleared 70% of the milestones in terms of the go-live and into the upcoming quarter we will be going live, which marks the first fully live contract in Thailand, even as several new potential clients we are in discussion with on the back of this particular contract. We have also been winning nearly 60% plus contracts in the GIFT city. During the previous quarter we have added three new asset managers.

We have secured additional contract in Hong Kong from our existing client, even as the pipeline has increased beyond 25 million dollars, which we

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believe, you know, all the different phases of sales lifecycle and hopefully we'll have many, many wins in Q1 and Q2 of this year. Alternatives market, you know, had been the fastest growing for us, you know, the previous year. Our revenues have nearly doubled in the period of 2024.

Even as the AUM has grown 60% plus year on year, we totally managed about 472 plus funds, marking the market share of nearly 37% in terms of the total funds that are there in India. Here we not only been new mandates, but we have also been pioneering several transitions from other registrars in the country and beyond. We continue to have the only, you know, fully integrated transparency and fund accounting platform with full digital stack for alternatives market with a multi-currency, multi-geo, multi-asset, now multi-lingual capabilities as well, called XAlt, which is something we've launched in the previous quarter.

Migration of all our clients is undergoing at this moment in time. We believe that in the next coming quarter we would have wrapped up the migration of existing clients, even as all the new clients are directly onboarded into this particular platform. National pension system already called out.

Again, a younger business, but something that's been growing much, much faster than the industry, nearly three times, two and a half times the pace of the industry we've been growing. Our market share has moved from zero to nearly about 10% in a matter of three and a half years, marking our delivery excellence and our FinTech innovation that we're bringing to an industry which we believe will, you know, rapidly rise in years to come, even as pensions as a topic will be adopted by the larger populace of the country. The overall industry performance is something that is, you know, very visible to everybody.

Mutual funds have had a spectacular year, 30% plus growth year-on-year for the industry. And we offer a fairly reduced risk profile, not necessarily on a single AMC, given we manage 60% of the industry. You know, it is a secular growth across all of them. We do believe that there are quarters when a certain AMC grows versus certain others in different quarters. All of that, you know, gives us good confidence to continue to grow at the similar growth that

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we have witnessed in the previous year. The SIP, which

is obviously the most

resilient factor of this business, has moved in the last three years from about 92 billion to about 192 billion, so more than doubled.

And this obviously provides a much needed resilience, not just for the mutual funds market, but also for the capital markets itself. Our growth in SIP had been higher than that of the industry, we're at about 43, 44% on the total market share, as against 33, 33.5% on the overall AUM, which implies that the catch-up that is required between 33 to 44% will happen over a period of time into the coming quarters and years.

On the alternatives, we have still, I think, nearly about 50% plus of the capital

committed versus the capital drawn down gap that exists, which means that on the same client wins that we already have, there is a significant amount of capital that needs to be drawn down by the fund managers, which means that the revenue in the existing client, let's say, there is a significant scope for growth in this year and into the coming years, even as new clients we continue to add every single week, literally in the case of alternatives. Expansion of DMAT accounts obviously offers very well for our issuer services business.

In the preceding quarter, we have grown 20% plus year-on-year in the case of issuer solutions, and we have excellent visibility in terms of a similar growth profile that we could see through the fiscal year 2025. Moving on to the international, which I have already covered a bit of it, but we have in fiscal year 2023, 41 clients in total, and this year we have concluded with 57, so that marks an addition of 16 clients. The growth of this business, especially the wins, as I've called out, the transition can be a bit protracted at times, which means that at no point in time will we have a full year's revenue given we are winning new clients.

For some clients, there may be a transition revenue, for some there may not be, for some which may have gone live now, or some which may go live six months henceforth. So it is hard to exclude any one-time revenues in this, but this would be an ongoing phenomenon of new client wins and some contributing to a one-time transition revenue and some that may not. But a

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full year revenue of the wins that we've had through this year can only be felt six months from now. But of the wins we've had during FY23, some of that has already been made into the numbers, even as five more clients are yet to go live in the Q1 of this year.

We have added one of the first-tier contracts in Singapore, the one that we called out in the previous quarter, we have gone live. I've already called out about the silent tier as well, and we continue to look at opportunities to expand the Philippines as a market. Recently we have held conferences in Philippines, a partner with the regulator to add significant value to that entire ecosystem, even as we intend to do the same in Malaysia and Singapore in this particular fiscal year.

In terms of people, I would like to just shift a little bit focus into where we are on the expense management and in terms of the people. You would have seen there is a 2% growth quarter on terms of expense and a little over 20% plus over the previous year. This is our commitment for delivery excellence and investments for future growth.

A good part of definitely the payroll expense is something that we are investing in, in terms of audit and surveillance management. It is an exceptionally regulated industry, as we all know, that also gives us the moat that is required from competition. We have been investing significant amount of money, both in terms of the platform solutions and into the people, to add the resilience that is required for the regulatory compliance work.

It is something that we believe over the next one year we would have done with our investments in

terms of compliance requirements on the platform, which is something that we believe over a period of time will pay rich dividends in terms of reducing the operational costs associated with that. Some of these are one-time in nature, if I may, and once done, we will be chipping off both in terms of headcount as well as a spend on the technology. Next one, of course, was going to be on the investments in leadership of the businesses. We are creating CEOs of the future for every line of business. We believe that each of these businesses themselves can be 100 million dollar

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businesses in times to come. Accordingly, people who have the caliber of that nature are being recruited and some of that cost is there.

Of course, that is something that will continue to happen even as we build an organization for the future and indeed a global fund administrator from India. We have been very excited about the wealth management space. I've been calling it out. We have recently signed with one of the largest NBSC to deliver to the wealth solutions even as we have nearly completed the new wealth platform which is fit not just for India but for the rest of the world. We anticipate to launch this particular platform late Q1 to early Q2 even as we have onboarded several clients in this quarter at various specific business process modules being adopted in the case of wealth management for this time. We have also signed one of the largest custodian bank for accounting solutions for the alternatives market.

Last but not the least, very happy to inform you that two of the subsidiaries, the acquisitions that we have done in the preceding year and the one prior to that, Hexagram and Wobile Technologies, have both turned a cash profit. In fact, Hexagram has clocked a 45% EBITDA margin, much higher than expected in the context of the new ways that we've had and hopefully this would be the start of the significant growth trajectory for all of the subsidiaries that Kfintech has at this point in time. I will take a pause here and I will turn it over to Vivek to cover the financial performance after which we will take any questions.

Vivek Mathur: Thank you, Sreekanth. Good morning, everyone. On the financial performance, the revenue from operations has sequentially gone up quarter on quarter by about 4.4% and year on year for the same quarter by about 24.7%. If you see the composition of the revenue mix, the revenue from domestic mutual fund is about 69%. Within that, the fee-based revenue, the VAS revenue is something which has grown exponentially in terms of the growth. The issuer solutions continues to be about 13% of the revenue. International and other services, revenue has grown from 9% last year to 11% this year and that's what Sreekanth explained in terms of the composition of the new wins that we have been having.

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The global business services, the mortgage service business, the contribution to revenue is about 4% and then there is other operating income of about 3%. So overall, with the buoyancy of the domestic mutual fund market, we have seen that the companies have, the clients have actually moved from in terms of tier structure to a better structure in terms of their cost and we have seen a dip in terms of the yield while overall it remains robust. So overall, 16% change in year-on-year in terms of growth on revenue from operations. EBITDA margins have seen 6.8% growth quarter-on-quarter and 23% year-on-year and we believe that we continue to operate in that range of 40 to 45%. For the quarter, we have ended with 45.8% EBITDA margin while for the year, we have clocked about 43.8% margin in which is 238 bps higher than last year. PAT is 30.6% growth sequentially in terms of same quarter last year. Quarter-on-quarter there is a growth

of 11% and if you see year-on-year, we have seen a growth of about 25.7%. So 246 crores of PAT and the PAT margins are in the range of 29.4% which is 220 bps higher than last year in terms of the overall margins.

So the economies of scale, the investment that we have been doing in terms of technology and people is paying off in terms of market rewarding us in terms of new contracts coming in and we have now maintained a cash and cash equivalents of more than 400 crores despite repayment of RPS during the year. It's a healthy cash and cash equivalent that we carry and as a result of that, the board has actually recommended a dividend of INR5.75 for this year which is subject to the shareholders approval. So this is a maiden dividend by the company. We have never declared a dividend in the past. This is going to be the first year subject to shareholders approval. Happy to take questions now.

Moderator: Thank you very much. We will now begin the question and answer session.

And the first question is from the line of Abhijeet Sakhare from Kotak Securities . Please go ahead.

Abhijeet Sakhare: Hi, good morning everyone. Just on the international slash alternatives, if it's possible to give you know further breakdown of let's say international and alternatives separately and then part B is that how much of this revenue is

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actually linked to AUM growth and how much of it is actually you know platform deals and something which is let's say one-time in nature.

Sreekanth Nadella: The international and the other investor solution, as you know, covers about four distinct items, which is the GFS, which is our international fund services, alternatives, hexagram, which is on fund accounting administration side. Part of that, of course, also is for the international market. Broadly, the pure international-international is roughly about 40% of that, and about 35% plus 35% thereabouts would be the alternatives and the rest would be the other businesses. In terms of the revenues attributable to one-time platform deals, especially the international one, almost all of that is on AUM base. The platform-based revenue is usually on the hexagram side of it, which is a platform-based fund accounting solution.

Abhijeet Sakhare: And the hexagram part of it is, when you say it's platform, do we understand it as you know one-time or it's in part one-time and part of it is actually recurring and some sort of a license fee that is charged every year?

Sreekanth Nadella: It is the latter. So, every contract that we have on the fund accounting side, when a platform is deployed, there is a one-time platform fee and there is an ongoing customization change request fee that comes because no platform ever remains exactly the same. So, it's revenue that we generate every single year, even if the contract has been implemented in a given year.

Outside of the change-related revenue that we draw, there is also the annual maintenance contract, which can range anywhere between 25 to 35 percent and on the increased value of the platform, including that of the change request. So, it is not a one-time episodic revenue, but there is a recurring revenue attributed to every contract that we have.

Abhijeet Sakhare: Got it. And it's good to see the number of deal wins and the pipeline sort of filling up, but it will be useful if we can start giving something like a TCV number or some way to track what is the forward outlook on growth coming from this business.

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Sreekanth Nadella: Absolutely. So, I think during this year, sometime you definitely see that happening. As mentioned in the last year, we were waiting for certain amount of gravitas to happen for each of these businesses. I mean, that in the magnitude is important and as you've seen, 50%

growth year-on-year and

each of the businesses are getting larger, it would be a lot more meaningful into the coming quarters as the size of each of the Rhino businesses starts to make sense. And it's one in which we will do that.

Abhijeet Sakhare: Got it. And the last one for Vivek is, what's the expense growth outlook for next year?

Vivek Mathur: So, expenses will continue to grow in a range of about 10%. And that's what we expect that, you know, except the investments that we will do in terms of expansion into new markets, which will be one of, as we are looking at getting into, you know, more aggressively into Thailand awaiting RBI approval. And then Singapore, we want to expand further in terms of having physical presence. So, there will be new investments that we will do, which will take a slight one-time hit in terms of setting of expenses. But that's what the outlook is.

Abhijeet Sakhare: Thanks a lot. I'll come back in the queue.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from

Nuvama Wealth . Please go ahead.

Madhukar Ladha : Hi. Morning. Congratulations on good numbers.

First, you know, I think partly you covered that in the previous questions. So, you mentioned 40% is international, 35% is the alternatives India business, right?

Sreekanth Nadella: Are those numbers correct? That's correct. Of the international business, of that segment of international.

Madhukar Ladha : Of the segment of, Yes, Yes. And did you quantify the one -time? I believe there is some one -time revenue in this quarter.

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Sreekanth Nadella: Won't be more than 5% of the total revenue. And again, when you say one -time, I want to be little, you know, clear about it. The one -time revenue is for hexagram usually, which is where we have platform -based deals. We offer fund accounting as a platform for asset managers, whether you're a pension fund manager or an insurance fund manager. And that is there. In the case of pure international fund services and for alternatives, there is no one -time. Everything is a recurring revenue. There can be a little bit of transition revenue that we may get. But that will be immediately followed by recurring revenue on a monthly basis on a basis point.

Madhukar Ladha : Understood. Understood. So, only on the hexagram side, there is a 5% sort of one-time contribution in the total sort of revenue for the quarter. Yes. Got it.

And we are also seeing a good margin improvement in the investors, in the international other investor segment, right? So, what is driving that actually?

And what should we expect in the near term, maybe in the next couple of years?

Sreekanth Nadella: So, as I've explained, first of all, that section of international solutions is a, you know, aggregation of a few lines of businesses. And as they achieve the requisite scale, they will carve out individual sections for that, which may happen this year for some of the businesses for sure. The profit growth is, you know, is only but expected in the context of the scale and deficiencies one would draw as you start winning more and more clients.

My personal belief is that they are all still subscale and the margin expansion that is possible in each of those businesses is far higher than what we could accomplish as of now. For example, the international fund services. We have a lot of funds, but probably, you know, not a lot of AUM as you might have seen it, because, you know, a good number of them are small to medium tiered entries.

And to a certain extent, you know, the markets in Southeast Asia hadn't been anywhere close to that of Indian markets. So, the world is expecting that the next, you know, three to four years you would see a significant uptick in the growth of the Southeast Asian markets. As that happens, from our current client itself, the AUM will grow.

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That is a mark to market growth, for example, as what we have seen in Indian markets this year and the previous year. So, the margin expansion for international is actually far higher than for Indian mutual funds for three distinct reasons that I had called out. And I will, you know, for the benefit of all, explain again.

One, the unit dynamics are significantly in favor of us, which means that as against a 3.7, 3.8 yield, you know, basis point of view, we draw about 5.2 there. Second, in terms of the effort required, for example, a thousand crores of AUM to process in India may require a million transactions. The same in international markets can be done with about 100,000 transactions. That means with about a tenth of the effort, you will be able to deliver equal amount of AUM. And three, we do not have telescopic pricing . And in fact, in

most cases, we have goal of process, which means our unit price itself will keep going up, you know, as years pass by.

So, technically, the scope for the margin expansion for international is far higher than that of India. And what you are seeing now is basically, as we are adding more clients and certain amount of standardization, industrialization comes to play, there is already a margin expansion, you saw. But we'd like to believe that as the scale further increases, you know, quarter after quarter, year after year, we should see a higher margin expansion possibility in this business.

And same is the case with pensions, same is the case with alternatives. Alternatives is another classic example. It's a very bespoke asset management fund administration, unlike mutual funds. And no two clients, in fact, no two funds of the same client are, you know, same or similar. But once you have sufficient number of funds, we should be able to drive at a business process level as against a client level. That would drive a significant amount of efficiencies and a cost reduction and hence a margin expansion over a period of time.

Madhukar Ladha : Understood. So, just, you know, again on the previous caller's question, you mentioned that there would be certain increase, one -time sort of expenses because we're expanding in Thailand and in other international geographies.

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Could you sort of quantify what is, so 10% is sort of the normalized run rate of growth in expenses, and the one -time expenses expected in FY25, could we sort of have a quantification of that?

Sreekanth Nadella: So, I do not want to generalize, but let me explain in terms of what, you know, under what circumstances do we have a one -time expense, right? First would be starting of a new geography. Starting of a new geography, I'm loosely using the word geography, but let's say a country. A certain amount of platforming work needs to be done, and it is quite complex. It takes a little bit of time to, you know, think of it like a brand -new RTA coming up in India, right?

It hadn't been easy for anyone to set up another RTA here in India, but we are able to do it in five countries in five years. So, as complex as it is, I believe that, you know, we have understood the best way to go about it, and obviously, for the intervening period of starting a new country, there is a certain amount of one-time expenditure that will have to go for the platform generation.

Second, obviously, till the time we've been in the deals, there is no revenue, and the cost of the leadership and the feet on the streets that you have to set up for your initial, you know, seed clients, a lot of that after happens, honestly, organically through word -of-mouth, etc.

That is another, you know, one -time expense that you would see typically.

Now, we may or may not start a new geography every single year, though we have done it in the last five years.

So, if there is no new geography starting, there is really no one -time expense associated with that particular country, so to speak.

Now, second, even if you are not starting a new country, we may have one, let's say, three or five new contracts in a new country, and in some cases, we generate the revenue for transition, too. Now, that depends on the commercial dynamics with the client. In some cases, it is possible that we do not own a transition revenue, but a mere, you know, go -live revenue onwards. In some cases, it is a brand -new client, which means a fund who's starting with zero ringgit or dollar AUM. In some cases, it is a transition from an existing fund administrator to KFINTECH, right? Obviously, in the latter case, there is going to be a certain amount of transition.

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In the former case, where it is a brand -new fund, there is no transition,

because you're just setting somebody up. So, it is a combination of all of these. I would really love to give, I know there's a lot of interest in understanding this particular question of one-time, but if you're going to win three to four deals every single quarter, you know, you will always have this, you know, some that may have a one-time, some that may not have. As is the case with the expense, same is the case with the revenue as well. So, there may be a one-time revenue, there may not be a one-time revenue, but I would urge the stakeholders to consider this as an ongoing regular phenomenon. This is something that I do not believe will stop in the near term, because we'll continue to win deals, and as that happens, we may have one-time expense and one-time revenue, or we may not have, but broadly, they will more or less, you know, cancel each other out, the effect of both the revenue and expense associated.

Madhukar Ladha : Understood. And just on the, one more question on the issuer solution side, have we lost a few companies on, in the NSE 500? Because I think the number of clients' share has dropped over there. Is that reading correct, or, and why would that typically happen?

Sreekanth Nadella: No, we have not lost any of the clients. In fact, we have been transitioning clients from other registrars to KFintech, including State Bank of India, you know, earlier this year, Usha Martin. The previous year, we have done a transition of Varun Beverages, Devyani International, Castrol, Union Bank of India, so on and so forth. What you would have seen is, based on the new IPOs that have been launched this year, we have 500 companies.

Madhukar Ladha : So if you see, I think, on the slide, it is showing as NSE 500 companies, the market share has dropped QOQ from 37.3% to 36.8%, or have I made a mistake?

Sreekanth Nadella: That market share needs to be measured in terms of the market cap of the companies, not the number of companies itself. Of course, the market cap by itself is not, it's not in our control. Again, some companies perform well in

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certain quarters and some not. It's not a count of the companies as much as it is a market cap of the company.

Madhukar Ladha : I think that you've given separately as market capitalization by market capitalization is 46.1%. And by number of clients, it's showing that 37.3 going to 36.8.

Amit Murarka : Sreekanth, do you want me to take that?

Sreekanth Nadella: Yes, please go ahead.

Amit Murarka : Thanks. Madhukar, you know, see for these NSE 500 companies, like what Sreekanth was alluding that, you know, the movement of market capitalization is not something which is under our control, right? And hence, I mean, the number of clients in that bucket, the number of folios and the market capitalization, all three parameters basically are all dependent upon, you know, how the bucket of that 500 companies keep, you

know, changing

depending upon the market cap movement of respective companies in that, you know, the segment. And hence, I mean, what you're seeing here is, is pure movement in the number of clients based on the market cap fluctuations in that particular, you know, the 500 bucket and all. So there is no loss of client as such. It is purely that, you know, more transitory in nature that some of the clients who might have, let's say, underperformed versus the other clients. And hence, I mean, those clients which got added into that, you know, the NSE 500 companies may not be, let's say, our client at this stage and all. And some of the clients might have moved out of that bucket. So there is no loss of client. It is simply that, you know, the clients shifted from NSE 500 to, let's say, NSE 1000, you know, set and all because of pure market cap movement.

Madhukar Ladha : Understood. Understood. I got it. I got it. Thank you for the explanation. Thanks a lot. That makes sense. Understood.

Moderator: Thank you. The next question is from the line of Bharat Seth from Quest Investment Advisors. Please go ahead.

Bharat Seth: Hi. Thanks for the opportunity, Sreekanth. Just one question.

The kind of business that we are in, people is one of the major assets apart from the technology side. Is that correct understanding?

Sreekanth Nadella : Without a doubt. Absolutely.

Bharat Seth: So what is our strategy to retain, I mean, our -- this asset and for a medium - term perspective, what exactly we are going to do because our ESOP is getting over. So how do we plan to retain this?

Sreekanth Nadella: Great question. Thank you. And that is something that obviously is much celebrated within management as well as with our board.

Yes, I think the last pool of ESOP, you know, is probably nearly at the end of line. And as all good companies with good corporate governance, you know, we will look to have additional pool, you know, its in the works. But that is not the only mechanism to have, you know, top talent working for an entity.

I think, you know, we are all working for, you know, a very larger, I mean, a larger goal beyond just the commercial growth and probably an individual or a career growth itself, which is, you know, we believe we have a very unique opportunity to create, as I've been calling it out time and again, the very first global fund administrator coming out of India. You know, in some sense, it is the moment of how Indian IT industry, you know, late 90s grew. One odd company has started the process of creating a global company and then after 30 years, look at where the industry is.

I respect the fact that, you know, the fund administration industry is not as large in market itself as a pure IT industry, but it is still, you know, roughly a \$20 billion, \$22 billion revenue industry today, right? I mean, look at the global fund administrators, you know, there is not one from India and there is not half a decent reason why not. So we are all working with that much larger anchor goal of creating something, you know, that doesn't exist.

Now, those things matter a lot to all of us and not just in the commission. So, of course, you know, we continue to provide, you know, best in class compensation structures, which is something that is probably visible in the payroll expense that you would have seen quarter on quarter, year on year, apart from the

other, you know, incentive mechanisms, whether it is long -term incentive plan or the ESOP management, you know, beyond this. Also, the growth of international gives a very unique opportunity for our leadership to work beyond borders.

We have already sent nearly about 15 people to work out of Kuala Lumpur, a few people in Thailand, very soon as we expand into Singapore and the

rest

of the world, you know, we are able to provide opportunities to work and, you know, have a very enriching career, you know, in various parts of the world. So we believe that a combination of all of these, you know, would be the critical reason for talent to persist with us. And if you look at our top talent, you know, we are very happy, you know, at the moment in terms of our top talent retention over the past four years.

Bharat Seth: Great. Second question now, we have already making a presence in the Southeast Asia market as well as Middle East also. So any strategy for going into the Western developed market and what would be that strategy, maybe in a short term, medium term?

Sreekanth Nadella: Thank you so much. No, without a doubt, you know, starting to win mandates in Europe and US is our immediate next goal in addition to Singapore and Dubai. It is but sitting obvious, I mean, you know, nearly as much as a growth of this generation, you know, had been and will continue to be in Asia.

The current residual wealth is pretty much distributed between Europe and America. About 70 percent of the global wealth sits out of Europe and US. And to be a Global Fund Administrator, not being there, we are not global. We are probably the best regional in Asia, you know, in parts of Asia, if I may. So that

is not what we intend to do. When we say global, we truly believe that it is across US and Europe included. We haven't yet started our operations in that part of the world, notwithstanding the fact that we have about, you know, three odd funds that we manage, you know, for a client in Canada. But it is not a rapid expansion. And that is something that is purposefully being done to call out more

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specifically the growth in the West will largely come on the alternatives side of it.

And to be a credible Fund Administrator in alternatives, you need to be not just excelling in transfer agency, but more in fund accounting and administration. And for that, the first port of call is to have a platform which works for each of those domiciled entities. And that is what our focus has been. We have launched, as I've called out in Q4, a platform for transfer agency for the entire world called XAlt. Our fund accounting platform largely supports many parts of the world, as it is a multi-currency and a multi-asset. But it still needs to take into account a series of structures set up that are there in typically Cayman Islands and Luxembourg and Ireland, so on and so forth.

And we are and we have been working on that part of it. So it is a carefully constructed strategy to look at geographies and what is required to start. Because our line of business can't be equated to an IT or a BPO business, where technology does not differentiate between whether it's India or US or Europe.

Our line of business requires us to create the capabilities for our respective countries. So we believe that during this year, should our platform be in a state to move, we will make all efforts to start at least one geography in Europe, if not more. But it is a three to five year plan. We believe that over the next three years, we would have definitely started many countries in Europe and definitely in the US as well. Now this is outside of any M&A activity. As all our investors know, we have been extremely progressive on our merger and acquisition strategy.

Not just acquiring, but making them profitable within the first one to one and a half years. We are constantly on the lookout and should any of the target acquisitions work out, probably we will start sooner than later.

Bharat Seth: And last question, we have already won some of the clients which are there in the GIFT City. So any plan to open an office or a company registering in the GIFT City to have better accessibility as well as a lot of taxation advantage

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Sreekanth Nadella: We already have an entity in GIFT City, which is there to support all the locally domiciled funds. That is in fact the mandate. We cannot manage the AI, the alternatives that are based out of GIFT City outside of GIFT City. So we have a center there. However, we are working towards creating a much larger center and a footprint to move all our personnel who work on international business to be there. And that obviously goes through the regulatory process. Today we have nearly 1,000 individuals who work on international business between the global fund services and the global business services on the market. As and when we get through the necessary regulatory approvals, we will set up a larger base in GIFT City, even as we already have one today for the alternatives.

Bharat Seth: Okay, thank you. All the best.

Moderator: Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital Pvt Ltd. Please go ahead.

Aejas Lakhani: Hi, congratulations team on phenomenal execution in 2024. Credit to all of you. Sreekanth, just two quick questions.

Point number one is on the main business of domestic mutual funds, are there any client negotiations that are likely to come up in FY25 that could compress yields? That's question one.

Sreekanth Nadella : Hi, good afternoon. We have had, I guess, a year which had the most number of commercial negotiations. That was the year that just concluded in March 2024. We have no more client negotiations pending for the next year.

Aejas Lakhani : Sreekanth , question number two is, I'm inferring from your previous conference calls where you've spoken about potential acquisitions in Europe and America which you've been keeping the cash pool for and just triangulating from the dividend payout that has been already announced. Is it fair to and your previous comment right now of your Europe region, is it fair to understand that nothing large or material is poised on the table at the moment and the Europe endeavor is largely going to be organic rather than inorganic?

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Sreekanth Nadella : Great question. So we, as Vivek had articulated, there is little over 400 crores of cash on books and including receivables it will be higher. And every month there is cash coming into the books and we have retired all our debt including the RPS previous year. So given the current cash and what is accruing every month, we believe that what we could accrue should be adequate for an acquisition that we will look at.

And should there be a further need we can always do a certain amount of leverage. Cost of equity is higher than that of debt anyway. So I guess it's fair to say that we are very intentful of acquisitions but not very large acquisitions. And you might have seen through our strategy, our largest acquisition was less than \$10 million. And we don't need such large acquisitions. In fact, we are unfavorably predisposed towards large acquisitions in terms of that success rate.

We prefer to have the M&As in the range of \$10 to \$15, maybe the next \$20 million because it is our ability to convert them and make them more profitable in real quick time. And importantly, assets which open significant addressable market. It is not our M & A strategy to buy out companies just to add revenue and profits to the book.

We look at companies which open up addressable market. For example, if you look at Hexagram, it has helped us to create our international strategy in terms of fund accounting and administration. When we acquired the Deutsche Bank set up in Malaysia, it given us the start for the entire international business itself. Our investments into the account aggregation. So that's how the M&A strategy typically is for us. It is not necessarily to buy

large entities to just add up the top and bottom line.

So long and short of it, I think the cash what we have and what we would be accruing into the coming months and quarters, we believe would be adequate for an acquisition that we may have. And it is only after all of these careful considerations we have initiated the dividend policy as well this year.

Aejas Lakhani: Perfect. And Sreekanth , the headcount was closer to 5300 flat-ish in the first half. What is the headcount today? And could you also speak about the infra

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strategy where you had where you were migrating people to Bhubaneswar, and you were looking to set up something in Vijayawada as well. How is that transitioning? How is that progressing? Because that was helping you moderate opex costs. And what has been the IT sense for the year? Thanks. That's all from my side.

Sreekanth Nadella: Absolutely. Thank you. So that strategy, we are doubling down our commitments for tier 2 locations.

Last, when we spoke, the headcount in Bhubaneswar was about 60. Today it's

about 300. I think it's been an excellent journey for us partnering with the universities and the quality of the personnel had been absolutely a revelation for us.

So earlier in Bhubaneswar, it was largely a tech technology team. We have operations also being run from there. Same is the case with Vijayawada. Of course, we are creating different centers of excellence for different types of work. For Bhubaneswar, it's largely on data and analytics. On Vijayawada, it's aspects of mobility solutions.

Gujarat, we are looking for certain aspects of technology and certain aspects of operations. We believe it is the future of work. We cannot have a large centralized setup in large metro cities to cater to clients with ever -expanding payroll costs and real estate costs associated with that.

And more importantly, I think the other downsides could be around attrition, so on and so forth. And we all believe that it's very important we have a social responsibility as well. I think when we have qualified, talented personnel sitting in Tier 2, it is the duty of every corporate to be able to provide the employment generating opportunities in every Tier 2, Tier 3 city.

So those three cities that you spoke about, while it is a start, we believe this journey will continue. We are constantly looking at opportunities. The future of work model for us largely relies on the collaborative platform based on working instead of physical proximity of individuals.

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So we have worked extensively over the past 3-4 years on that, which means that we can open any number of nodes in various parts of the country, non-bound geographically at all. As for the headcount, yes, it's been flattish, and I think that's a sign of productivity gains driven through automation more than anything else. And all the investments into the technology, this is exactly how it manifests in, which is not to just keep adding more and more headcount as the volumes and lines of business has increased.

Having said that, we definitely have a few more people today than what we had in the average of the previous year. And as I said, that's largely on account of two factors. One, additional headcount for regulation and compliance, which I believe that is short to medium term in nature.

Right now I have the count definitely on the books. But we are automating a lot more of that component so the dependency of human beings is coming down. Second is the growth of the subscale businesses such as alternatives and international businesses, where, you know, till such time as scale is accomplished, we will need a few more people.

But both of these will taper down into the coming year.

Aejas Lakhani: Got it. And what has been the IT spend as a percentage of revenues?

Sreekanth Nadella: As a percentage of revenues, it should be about 21%. I mean, if you have a specific number, you can probably go on with that. I believe it will be around 21%.

Aejas Lakhani: Thanks and all the best to you.

Moderator: Thank you. The next question is from the line of Pranuj Shah from JP Morgan. Please go ahead.

Pranuj Shah : Hi, thank you for the presentation. Just two questions. One on the yields in the mutual fund business. I've seen a decline this quarter, even the equity share has gone up. Is this entirely because of telescopic pricing or like Sreekanth mentioned, there were a lot of renegotiations in FY24, so there is an impact of that?

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Sreekanth Nadella: It's a combination of three distinct factors. Definitely telescopic pricing. Obviously, we have all witnessed a dramatic increase in the AUMs this year, obviously contributed by individual asset management companies.

Some AMCs grew much faster than the others, which is publicly available information, as you know, and obviously when AMCs go through a series of hurdles in terms of the telescopic rates, obviously there is an organic reduction in the rate that happens because of the growth itself. Second, yes, such an amount of rate renegotiation also has contributed to that. Third, while equity definitely has grown, it should also be noted that the passives have grown faster than equity for the entire industry, not just us. Obviously, the asset mix change also has slightly adversely impacted. A culmination of all of those three is what has resulted in the yield compression. I think it's heartening to see actually that the yield compression isn't significant in the context of several renegotiations, a significant spike in AUM, as well as an asset mix which had actually more predisposed in favor of ETFs, which eventually means that there is upside from here than downside.

Pranuj Shah: Thanks a lot. Just on the renegotiation part, was the impact primarily in 4Q or it was spread out throughout the year?

Sreekanth Nadella: It's spread out, I think, a bit through the year. Some may have been in Q3, some in Q4, depending upon which contract and the client.

Pranuj Shah: The second one on the dividend, you have a 40% payout this year. Is that still fungible from year to year or that would be a stated policy of around 40% to 50%?

Sreekanth Nadella: Vivek, would you want to throw that?

Vivek Mathur: Yes, sure, Sreekanth. Thanks. Dividend will depend on yearly performance, but we would like to establish that whenever there are good results, the company would recommend dividend to be paid to the shareholders, the board would recommend. And this is basically a start of the maiden dividend. And we do hope that the market is supportive and the results continue to be

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encouraging. We should honor the returns to the shareholders, but each year will be different.

Given the management's recommendation, we would like to continue the trend of dividend payout subject to results being encouraging. And we do expect the way the market outlook is and the results that are coming up in terms of the overall Indian economy and our segway into Southeast and our aspiration to go beyond. We should continue to do well and we want to actually honor and respect the shareholders' returns.

Pranuj Shah: Thanks, Vivek. That was very helpful. Just to end last, your headline EBITDA margin target would still be in the 40 -45% range for full year going ahead?

Vivek Mathur: Yes, we remain committed to 40 -45%. And if you see the last quarter, it has actually crossed. But our guidance remains 40 -45%.

Pranuj Shah: Perfect. Thanks a lot. That's it from my side.

Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital Private Limited. Please go ahead.

Supratim Datta: Hi, thanks for the opportunity. So my first question is on the issuers RTA business. Now, if I look at the issuer RTA business, it looks like the market share within main board IPOs has increased significantly in the fourth quarter versus the third quarter. Although we haven't seen any quarter-over-quarter revenue acceleration. So just wanted to understand that, you know, is there some delay in the revenue from these coming through? And another question on the issuer RTA solution businesses. Could you give us also what is your market share within SME IPOs? I'll wait for the answer before I move to my second question.

Sreekanth Nadella: Sure. Thank you. Thanks for asking that. On the revenue quarter-on-quarter growth, it is the nature of this business, Q2 and Q3 of every year will always be much better quarters in issuer solutions compared to Q1 and Q4. That is largely on account of a series of corporate actions around dividend declarations, buybacks, a lot of mergers, demergers that happen. So if you

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see the corporate issuer business over the last any number of years, you'll always find a Q2 jump over Q1 significantly higher.

A Q3 will also be higher over Q2 but when it comes to Q4, much of the corporate actions would have died down and hence you would always see a slight degrowth in fact on quarter -on-quarter basis, though you will find a reasonable jump from a year -on-year standpoint. In terms of the, I hope I answered that question. In terms of the IPO market share, we have 45% market share by value in terms of the IPOs and as I've called out, we've been successful in transitioning existing clients as well.

I know from some of the competition that is largely based on the superior technology that we offer as a solution to our clients and the industry has been witnessing that and I hope the trend will continue. Now coming into this Q1 of this year, all the IPOs that we've done in the previous year and obviously the expansion of DEMAT in itself in the previous year will act as a post -multiplier from this quarter onwards. Even as new IPOs we have won, those will be launched.

Sometimes it is also a timing factor. For example, we have a significant number of large -cap IPOs, though the mandates were won, but they have not yet gone public. That, of course, is a factor when the company wants to go public and hopefully in this quarter and the coming quarters we'll see a significant uptick in that side as well.

The SME IPO is a segment that we have started venturing only in the previous year. Traditionally, if you see KFinTech, we were more focused on the main boards. So we can't really claim to have any significant market share in this new IPO, but now that we have taken it as a strategic item for us to also get into SME IPOs, you will see a significant growth in that segment in this year and onwards.

Of course, we have near about 5,000 plus unlisted clients. Now some of them will also go on to go public and that will also help us. But broadly what you would witness is a pretty revitalized focus to drive the issuance of this business much faster, in a much more concerted manner than in the past and

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hopefully that will result in a faster growth trajectory in this line of business in this year and onwards.

Supratim Datta: Got it. Thank you for that detailed answer. Now moving to the international business, could you give us a sense of how much of the AEM would be contributed by your top 5 clients? You have now added a few clients in Thailand and Singapore. How much of AUM would they be able to add in FY25? Could you give us some sense around those two markets?

Sreekanth Nadella: Our top 5 clients would contribute to near about 60% of the revenue in the inter

national fund services. In terms of FY25, my total pipeline is about \$25 million on a recurring annualized basis, should all of them be one. But of course, there is always going to be a timing gap as well as deals that may not be won or get deferred, so on and so forth. We have large deals. I know I've been mentioning this in the past three quarters. Of course, only one of them got fructified, which is a Thailand-based deal.

The two deals that we are chasing, one based in the Philippines and one based in Malaysia, we are hoping they would fructify in this quarter itself, given the stage of closure both those deals are at this moment in time. But of course, nothing is done until it's done, so we'll have to wait and watch. But outside of that, we are doing a significant amount of upsell and cross -sell.

If you recollect, we have about 24 client contracts for fund accounting in that part of the world and about 37 for a transfer agency. And some of them are common, which means for the same time, we are able to offer both. But what we have started to do is use this opportunity to significantly cross -sell TA to the clients of SA and vice versa.

And of course, getting more contracts from the same client. As we have seen, for example, we have presence in Hong Kong. We are managing the

distributor transfer agency work for one of our clients. And we have just signed a full-fledged MF TA contract with the same client. So the client could be the same, but then we are able to win additional contracts from the same clients as well.

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Supratim Datta: Thank you. Thank you.

Moderator: The next question is from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh: Hi. Good morning, sir. Just a few questions. First, taking cues from the last question. On your issuer solutions business, I understand that not all of the revenues are linked to folio count. But if I look at it on an annualized basis, like issuer service revenues per folio, that have increased over the last one or two years to a decent number in FY23 and 24 versus FY22 levels or even 21 levels.

Just wanted to get some sense of how much of this is linked to higher value-added services or higher non-folio linked revenues coming in from that segment and how much of it is led by, let's say, more number of IPOs happening during the year or maybe in the course of the next year. In other words, if you were to forecast this number, how should one think about the revenue trajectory from both a folio and a non-folio perspective? Second, you mentioned the number of 5% of revenues during the quarter being linked to upfront income on the hexagram entity, which obviously will have a certain recurring component attached to it going ahead.

This 5% will be 5% of your total revenues for the quarter or 5% of your international and other investor solution revenues. And the last question from my side is on the domestic alternatives business. I understand that you have shifted to more of an AUM-linked revenue model, whereas maybe some of your competitors might still be on a flat fee with a slab-wise structure per scheme revenue model. Just wanted to get some sense of the stability in pricing in this particular business segment that you see evolving in the marketplace.

Sreekanth Nadella: Great question. Just in the reverse chronological order, yes, we have migrated to AUM-based pricing, and I believe that is the right way to commercialize this particular piece of work. It is a highly bespoke work. It can't be done on a headcount-based model. And honestly, there is precious little talent that's available. If you attend any of the alternatives, industry conclaves and

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symposiums, one of the most common grievances you would hear from the industry, if not a grievance,

at least a feedback, is that they want to create several more structured funds, several more nuanced way of fund setup. But the fund managers are actually stifled by, to an extent, a lack of technology and the people who can actually create those kinds of funds, which are probably very common if you were to go to Singapore or some of the other parts of the world. So to that extent, given the complexity of the work that is involved with that, I believe that even though we have converted into AUM-based pricing, I believe that we are significantly still undercharging the work and the complexity of the work we do. There is a significant scope for expansion on the billability.

To give you a comparison, a typical fund administrator, if you were to have a fund in Mauritius or Luxembourg or US or anywhere, they will charge anywhere between 15 to 25 basis points. Here in India, we are charging just about 2 to 3 basis points. And you see the gap, and that is largely a factor of maybe undue competition, which is not right, actually, to be on a point. Let alone a fixed fee structure, which is just completely meaningless, honestly, to run in this line of business. So yes, we have converted into AUM-based fee,

and I'd like to believe that in time to come we actually have to find ways to increase the basis point of billability as against reducing it. And sorry, you had the first question, if I may address the question.

Dipanjan Ghosh: Yes, the first question was on the issuer service business. Yes. Just wanted to get some sense of, you know, from a folio -based growth versus a non -folio -based growth, how has it been for the last one or two years? Because I mean, we don't get that entire segregation between folio -linked revenues and non -folio -linked revenues.

Sreekanth Nadella: Yes, I'll cover that. I'll cover that, sure. So in issuer services, roughly about 70% of the revenue of the issuer services is folio -based pricing.

About 20% plus would be the corporate actions related item, you know, which I explained to you, would be content and merger -demerger activities,

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buybacks, so on and so forth. And roughly about anywhere between 8% to 10%, I'm not giving you a range because it's going to fluctuate, will be the value -added services that we provide for the client communities. For example, the electronic voting platforms, electronic AGM platforms, insider trading platforms, and ESOP administration.

There's a whole lot of value addition that we render under the corporate secretarial function, which is a critical stakeholder for issuer services. So I think probably a rule of thumb, you know, unless there are material changes in the industry, it could be a 70 -20-10 between folio corporate actions and corporate events, which is basically the platform solutions.

Dipanjan Ghosh: Got it. So my question was more from, you know, if I look at now, you're going more into, let's say, SME IPOs, or let's say more of unicorns come up for listing over the next, let's say, three to five years. I mean, how is the pricing differentiation between, let's say, a large corporate versus a small corporate? I mean, folio addition is one thing, but then there is also, I think the pricing is not similar, would not be similar across corporates. How should one think of that?

Sreekanth Nadella: The pricing is not, Yes, no two clients have the same pricing. I mean, it's a free market economy, and you know, we bid obviously based on a series of factors like, you know, anybody else does, you know, looking at the profile of the client, their ability and intent to pay. And this is basically a very important function.

You know, you are the investor relations side of it as a stakeholder relationship committee, which every large company has. The work we render has a direct bearing, and it's a board -based committee wo

rk out there. Now,

there are some companies who may not particularly focus on this, and they may look more at, you know, expense or the otherwise of it.

But progressively, you know, in the corporate governance side of it, every company wants to have a very solid registrar, because that is what's going to drive how you are engaged with your shareholders as a company. Right? You know, your shareholders may end up having issues on share transfers,

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dematerialization, rematerialization, on you know, a series of compliance reporting that may have dividend payouts, and all of that.

Now, every company would want a marquee, you know, tech company who can do that work. So short answer costs, you know, or rather the price would vary from client to client, and, you know, it would be based on a series of factors about their, you know, payability or winnability portion, you know, our understanding of market intelligence as to where the market would come from, so on and so forth. So, sorry, I won't be able to give a specific answer, except to tell you that it varies by the client, and the range is actually quite spectacularly large, anywhere between 2 rupees a folio to even 20 to 25

rupees per folio for different clientele.

Dipanjan Ghosh: And lastly, on the data -giving question, on the 5%, you know, sort of upfront booking of income on the FA entity, is it on That is only for the international, not for the total company. Got it, got it. Thank you, and all the best.

Moderator: Thank you. Ladies and gentlemen, due to the time constraint, we will take this as a last question. I would now like to hand the conference over to Mr. D evesh

Agarwal for closing comments. Thank you, and over to you, sir.

Devesh Agarwal: On behalf of IFL Securities, I thank the KFIN management for giving us an opportunity to host the call today. Before we conclude, would the management like to add any closing comments?

Vivek Mathur: Thank you very much. I appreciate the interest shown and the questions which have been asked. We look forward to engaging sessions in the future as well. Thank you so much for joining today.

Devesh Agarwal: Thank you everyone, for joining the call today. Muskan, you may now conclude the call.

Moderator: Thank you. On behalf of IIFL Securities Ltd., that concludes the conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

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compliance.corp@kfintech.com August 03 , 202 4 CS&G/STX/ SQ202 4/23

1) National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Scrip Symbol: KFINTECH 2) BSE Limited

Phiroze Jeejeebhoy Towers ,
Dalal Street,

Mumbai – 400 001

Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“LODR Regulations”)

Dear Sir / Madam,

Further to our previous intimati on bearing reference no. CS&G/STX/SQ2024/07 dated July 17, 202 4, pursuant to Regulation 30 and other applicable provisions of the LODR Regulations, please find enclosed herewith the transcript of the Earnings Conference Call held on July 29, 2024 , in respect of the standalone and consolidated unaudited financial results of the Company for the quarter ended June 30, 2024 .

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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“KFin Technologies Limited

Q1 FY '2 5 Earnings Conference Call ”

July 29, 202 4

MANAGEMENT : MR. SREEKANTH NADELLA – MD AND CEO

MR. VIVEK MATHUR – CFO

MR. AMIT MURARKA – HEAD IR

MODERATOR : MR. DEVESH AGARWAL – IIFL SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the KFin Technologies Limited Q1 FY25 Earnings Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, pleas e signal an

operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devesh Agarwal from IIFL Securities. Thank you and over to you, sir.

Devesh Agarwal: Thank you, Sridhar. Good morning everyone and welcome to the Q1 FY25 Earnings Call of KFin Technologies Limited. From the company, we have Mr. Sreekanth Nadella, the MD and CEO, Mr. Vivek Mathur, the CFO, and Mr. Amit Murarka, Head of Investor Relations. I would now hand over the call to Sreekanth for his opening remarks, which will be followed by a Q&A session. Thank you and over to you, Sreekanth.

Sreekanth Nadella: Very good morning, Devesh, and thank you so much for all the participants. I'll kick start with very positive news in terms of the Q1 results of our organization. Many of you might have already seen the results that have been published, the highlights and the headlines largely reverberating our continued focus and commitment to all our stakeholders, our shareholders, our clients, our employees, our regulators to continue to deliver excellent value quarter after quarter. The headlines, of course, are year-on-year growth across the important metrics of revenue growing at about 31%, EBITDA about 42%, and the PAT numbers growing at about 57%. These numbers also highlight a very important trend, which is typically the quarter 1 in our industry is usually marked with a certain amount of slowdown given the Q4, which is usually a very, very high-energy quarter, both in terms of the client wins, the revenue that's booked, and the market buoyancy usually tends to slow down a bit in Q1. But this quarter is a significant deviation from that standpoint.

Our revenues even sequentially have grown 4%. But of course, the margins are expected to take a dip given the wage inflation and a reset of certain contracts that typically happens on 1st of April. An organization with over 5,000 employees, one would expect there would be a certain amount of slight hit.

But of course, as we have always seen over the past decades, Q2, Q3, Q4 will continue to outperform significantly even at the margins level. If you see this quarter, we have delivered a 42% EBITDA margin. And this, if you were to compare with Q1 of previous year, it was 37%. So that's a healthy, finer basis point expansion in the operating margin in this quarter as compared to the previous quarters. This quarter also, for us, marks a very important quarter from the standpoint of market share expansion across the business units. Mutual funds, for example, we have seen our overall AUM market share at roughly 42% as compared to 37%. So that's a big expansion in terms of the overall AUM for the company in terms of the client's performance. This would augur significantly well in the context of a series of NFOs that have

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been aligned up across our clientele in the upcoming quarters. Yield, too, had been maintained at a steady rate as compared to all the previous years, continuing with our commitment in terms of delivering high quality revenues in comparison to the assets that are under management for our clientele.

We have won near about 280 clients in corporate registry, our second largest business. Very, very proud of my team's execution capabilities in terms of having won what could be the largest IPO in India, that of Hyundai. The earlier largest IPO, LIC of India, was also

delivered by
KFintech.

Also, a series of other wins across, including Pine Labs and others. But again, with 270 to 280 clients speaks volumes in terms of the growth fraction that we have, especially in the large IPO market. We have a series of IPOs that are going to go public.

Now, winning a mandate doesn't necessarily translate to an immediate revenue gain because the mandate needs to be translated into an actual launch of that IPO. We are expecting in the coming two quarters to three quarters a significant number of our mandates that we have already won to go public based on the DR HP filings that we have seen. Next, the alternatives, we continue to see a massive amount of traction having increased our revenue year on year by nearly 60%. Our AUM has crossed a trillion and that offers really well in terms of our overall growth. And a series of the funds that we have already won, where the capital had been drawn down to a certain extent, there is a significant gap in terms of commitment versus drawn down capital. We talk as well in terms of the rest of the year's revenues to peak through, even as a series of wins that we've had this year, positions are exceedingly well into the coming year as well.

The business that most of us are also keen on has been the international. We have seen significant green shoots in the international market. The market-to-market gains the last few years, as we have all noted, have been bit to bit. While the Indian markets have significantly outperformed, many of the Asian markets haven't. But over the last two quarters, we have seen a turnaround in the markets with the major market positioning in Malaysia and Philippines, etc., where we are

present. Mark -to-market gain coming through, many of the wins that we've had, the transitions completing and going live.

We had already gone live, the first contract that we had in Thailand in the month of April for the first phase, and the second phase will go live into the next quarter. Also, very happy to inform a large contract sign-up that had happened, in addition to probably what could be the largest contract which sign-up that we're expecting sometime today or tomorrow, based on the draft that had already been signed and sent to us. This had been largely the key businesses, the natural pension system, small yet what I think would be a very, very important business in times to come, especially in terms of margin profiling.

The industry grew at 12%. We continued to outperform the industry by a factor of two, a little over two. We grew at 27% in the case of pensions. And our commitment to deliver very high - quality tech solutions, which aren't able to be delivered by any of the other technology or other intermediary companies, is helping us to win a significant amount of traction in mandates

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towards data lakes, the digital solutions for the asset management industry. This quarter was no exception. We had one, two such contracts, and we are hoping to expand that position significantly well.

Many of our acquisitions have posted stellar growth of the tech company. We bought Webile Technologies at double the year -on-year revenue, even as a significant number of gains are coming through our fund administration acquisition of Hexagram . Our remittance strategy continues to be a very, very critical one.

We are currently looking to add one of the acquisitions in the coming quarter, based on the current stage at which we are positioned in terms of the contract negotiations. We are obviously extremely bullish with the continued mutual fund expansion in the country. As we have all seen, in just a matter of seven to eight months, the mutual fund industry had grown from \$500 billion to about \$600 billion, and that just speaks volumes in terms of the resilience this particular market has.

The SIP inflows continues to be extremely strong.

We are continuing to have equal or better

market share in each and every one of these segments, whether it's the overall AUM, the SIPs, the NFOs, the folio creations, so on and so forth. Q1 of this year, especially, had been a far better quarter as compared to the previous five quarters, and this trend we expect to continue in the foreseeable future.

The DMAT account expansion, too, had been pretty solid at about 32%. All of these have resulted in our issuer solutions revenue to grow quite substantially in the previous year, as is the case with this current year as well. Typically, as I said, Q1 is a little tepidier, but I'm happy to note that we've brought 20% plus revenue growth even in issuer solutions, which points to a much better Q2, Q3, Q4, as many of the corporate actions on the corporate dividends, the buyback, the demergers, so on, on many of these transactions will come through starting this quarter onwards.

In terms of the expansion, just a little bit into the international, we today stand at roughly about 75 contracts in the Asian market. With the issuer solutions on the RTA, we're at about 45, and the accounting and administration solutions at about 30. We have added a sizable number of clients, 12 clients in the past 12 months, and we believe that, based on the current pipeline, a significant expansion would happen into the rest of the quarters, even as the two large wins that I spoke about pretty much have materialized in the last four weeks alone.

The overall AUM expansion and the transaction volume, while the transaction volume is low, we all know that the international markets offer pound -to-pound, a significantly higher AUM per transaction, which also augurs in terms of the operating margin leverage that would kick in, as the quantum of effort required to deliver to the same transactions is far lower as compared to what is here in India at the moment.

With that, I would hand it over quickly to cover the financial performance to our CFO, Vivek, and we will take questions post which.

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Vivek Mathur: Thank you, Sr eekanth. So you've got a flavor of how the business performance has been in the last quarter, this is last year. I'll cover the financial performance. The revenue from operations went up year -on-year by 31%. Within that the domestic mutual fund growth was a little more than 34% year -on-year and 8% quarter -on-quarter sequentially. Even the VAERS revenue has

seen a growth. It is now about 5.5% of the total revenue and there is a substantial jump in terms of the overall VAERS revenue by almost 50% year -on-year in this quarter versus last year's same period.

On the non -domestic mutual fund business the international and other investor solutions have seen a robust growth in terms of revenue by 56.8% year -on-year and about 11% sequentially quarter -on-quarter and it is both driven by the Southeast Asia business growth led by increase in AUM and new client materialization of revenue and AIF and PWM -PMS segment, which is growing at almost 65%, 66% year -on-year.

The Hexagram acquisition that we did has really contributed in terms of sale of platform and implementation of this platform along with the services that we offer, 80% growth year -on-year and almost 54% growth sequentially in terms of revenue. Issuer solutions has seen a growth of 21.7% year-on-year. For the reasons Sreekanth explained we have one number of IPOs and migration of clients from other RTAs to K FinTech.

And because of the seasonality impact of corporate actions and dividends and bonus, coming quarters we'll see growth quarter -on-quarter while this quarter sequentially on Q4 may not look good, but that is the seasonality in our business. That's why we look at year -on-year performance. In terms of other businesses like global business, number of seats vary based on how the mortgage market behaves.

So there may be slight up and down, but that's more a stable business than anything else. So overall robust growth in terms of overall revenue. If you look at our EBITDA margins we will see a growth of 41.5% year -on-year and that's again led by operational efficiency and increase in revenue.

While our expenses have also grown by about 21.7% year -on-year, but that's more because of the normal increment that you give in the beginning of the year and the increase in IT expenses because of movement towards cloud, that we see the overall expenses going up in the first quarter, the realization of that the corresponding revenue will happen in the subsequent quarters. So overall PAT is a healthy growth of almost 57% year -on-year and if you look at EBITDA margins and PAT margins EBITDA margins has gone up by 315 bps year -on-year from 38.8% last year same quarter to 42% this year. And PAT margins which was 23.9% in Q1 FY24 has grown by 476 bps to 28.7% in Q1 FY25. We are now having strong cash and cash equivalent of almost INR452 crores which will be utilized towards the M&A that we are working on. You will get to hear more as we come near to conclusion in terms of zeroing down the targets to foray into international market beyond Southeast Asia.

And that is something which we are working on. The diluted EPS has grown by 57% year -on-year from INR2.51 to INR3.94 and that's a reflection of the overall increased margin and the

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availability of the operational efficiency that we have been working on. That's high -level financial performance. We are happy to take questions now.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Abhijeet S from Kotak Securities. Please go ahead.

Abhijeet S: Hi, good morning, everyone. My first question is on the M&A front. So I mean we will get more details as it kind of closes, but what sort of outcomes are you looking to achieve both from a capability point of view and then also from a financial impact of the acquisition let us say in the near term in the two to three -year time frame?

Sreekanth Nadella: Good morning. This is Sreekanth. Let me take that. If as we've impressed upon earlier on, we look at our M&A strategy from the lens of one of the three categories. One is a new geography expansion or opening. One is adding a brand -new business line which we haven't even thought to have been in. For example, Hexagram is one such acquisition. And the third one is consolidation in the industry, probably a good example could be acquisition of Sundaram BNP Paribas back in the day.

We are in terms of priority we are looking at international expansion followed by new capabilities, followed by consolidation as our priorities in terms of M&A. The current M&As that are currently under consideration and in focus and in discussion are largely on the international side. It is not a new capability addition as much as opening up a brand -new geography with a significant addressable market where the incumbent has a sizable presence. Of course some of these acquisitions, as we all know, can tend to take time with the series of regulatory approvals that are required to come through. Given the current phase at which we are in the discussions we believe it's probably about a quarter to five months away, four to five months away. And this acquisition should it happen, we'll have - our acquisitions if you see have always been margin -accretive and always been an addressable market. This too falls under the same category. We do not throw top dollars on a company just for the sake of acquisition. So, until and unless the target acquisition adds value to our shareholders, we do not go ahead.

So to that extent from a financial standpoint we believe it would be acc retive to all the shareholde

rs a nd the value expansion from a top line stand could be a decent profile anywhere between 10% to 15% over our current numbers, in terms of the annual top -line numbers and the bottom -line.

Abhijeet S: That's helpful Sreekanth. And just one follow -up here given that you're looking for an international acqui sition rather than a capability building one like Hexagram, the earnings accretion or value creation would it be fair to assume that would largely be driven by, let's say, cost takeout or sort of improving the operational efficiency of the business more than the revenue growth that you can add to the existing business?

Sreekanth Nadella: I would say it is going to be both. Let me tell you why it is both a nd of course whatever you explained is anyway going to happen given the consolidation of that nature. Even from a value standpoint there are very few administrators like us who tend to perform the end -to-end

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operation solution for any fund manager t hat is largely there are trans fer agent players, there are fund accounting, fund administration players and there are few pure tech and digital platform players.

We are one of the few who have managed to deliver outcomes on all of these three. So the target acquisitions we too are looking at are not necessarily ones who are currently like us. There aren't very many. So, for example, the target acquisition we are looking at is largely on the trans fer agency.

From a value standpoint, the Hexagram acquisition and the pure fund accounting solutions and the services capability we have built over the last three to four years will be a significant opportunity for cross -sell and up -sell to the clientele. So the addition of revenue aside from all of that clientele will give us a significant opportunity for us to expand the business services including the value -added and the tech play for those clientele. I hope that answers.

Abhijeet S: Got it. Thanks a lot.

Moderator: Thank you. The next question is from the line of Supratim D atta from Ambit Capital. Please go ahead.

Supratim Datta: Thanks for the opportunity. So my first question is on the mutual fund business. Now on the Slide 11 you have ment ioned that there is one data linked contract from a large AMC and there are two AMC clients that signed up for the digital assets contracts and both of them happened in July. So, I just wanted to understand when would these revenues hit the P&L and what kind of size contracts will be seen, if you could give us some color on that. That's the first point.

On the second one, again, on the international business, you talked about the M&A opportunity and the timelines. Just wanted to understand that when it comes to the size of this acquisition, what kind of size are you comfortable with when it comes to acquisition? And two is, would you look at only financing it through your own balance sheet or would you look at other forms of financing as well when it comes to this acquisition? Those are the two key questions and I have one more, but I'll follow up after th at.

Sreekanth Nadella: Certainly. Thanks for the question. So, the tech contracts that we are speaking about, the revenue when it will kick in, for two of the three contracts, the milestones have already started to kick in. All of these contracts are milestone -based, some at the signing time, some at the development, some at the testing, so on and so forth. So, two of those contracts have already started and revenue will start to kick into this quarter.

The third contract too is going to start into the coming fortnight. So, net -net in the quarter two, all of these three contracts, certain amount of revenue would be clocked based on the asset number of milestones being reached. And all of these contracts carry annual maintenance and a change contract -driven revenue as well, which means tha

t it is going to be recurring in nature literally every single month from here on.

In terms of the M&A, broadly to again explain the size of the contract. So, size of the contract is again a factor of, of course, the opportunity it presents to us. If you saw our profile, we haven't

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been big, you know, contract, I mean, big M&A buyers in terms of significant amount of enterprise value being given on the largest contract, the largest M&A we've done was roughly about INR80 to INR90 crores broadly, right? I mean, but the international, as you look, you

know, we need to have to expand our watchers a little bit more while there are opportunities and this space is consolidating globally, not just here in India as well.

And, you know, our sweet spot is anywhere around USD 50 to USD 75 million and of course, smaller the better. But at USD 50 to USD 75 million, as you could imagine, that easily could be financed with our own internal accruals. As Mr. Vivek had already explained, you know, today, we are probably looking around anywhere between INR450 to INR500 crores, which would take care of the size of the acquisition we're looking at.

By the time the acquisition would conclude, we would have generated, you know, that much more cash so that we do not need to leverage. But should we ever need to, we can. And obviously, we are a debt-free company at this point in time. If an opportunity presents itself, that we need to, you know, strike a little bit of balance on the leverage even to increase the shareholder returns, you know, we would be happy to do that.

And just in terms of the, as I said, the target acquisition that we're looking at in terms of addition to the revenue profile, it could be anywhere between 10 % to 15 % of our target revenue for the end of this year.

Supratim Dutta: Got it. Understood. That's very clear. Just, you know, one follow-up. If you could give us a breakdown of, you know, the international other business, what has been the growth in the international versus the EIF versus the NPS? If you could give us a breakdown of that, that would be very helpful?

Vivek Mathur: Yes, I'll take that, Sreekanth. So, on the GFS side, if you look at Q1 FY '25, you know, it's about, you know, as of now, it's about 3 % of the overall revenue, 3.5 % of the overall revenue. Pensions are about 1 % of the revenue. EIF, PMS, PWM is about 4 % of the revenue. Hexagram and Web ile is around 3 % of the revenue. So, that's the composition. You know, it has moved up overall in terms of international as an investor solutions from an overall 10.5 % of the total revenue last year to about 11.5 % this year. So, this is the high-level breakup.

Supratim Dutta: Got it. That's very helpful. Thank you.

Moderator: Thank you. The next question is from the line of Pranuj Shah from JP Morgan. Please go ahead.

Pranuj Shah: Hi. Thank you for the presentation. I had a question on your Issuer Solutions piece. Obviously, the revenue growth at 22 % has been quite strong. So, what could be the sort of uplift that you would expect if suppose Hyundai and Bajaj Housing do complete their IPO this year? I think previously, you had guided for a mid-team growth in Issuer Solutions revenue on a steady state. So, would these IPO proceeds be additional and on top of that for the revenue growth profile for this year?

Sreekanth Nadella: Yes, the answer would be yes. I think, from a mid-team of the investor services, we are looking to mid-20s, only 20s to mid-20s growth profile this year. Not just the new IPOs, which of course

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give us a little bit of kicker in that year's revenue, but as we all know, these are all annuity contracts. And obviously, the subsequent years in fact will give us even more revenue given it will be a full-year revenue as against a par

t-year revenue that we will get this year.

So, not just those two. There are at least about 30-plus IPOs that are about to go live into the coming quarters based on the RRSP filings that we have seen and the mandates that we've won, not just this year, but the previous year and one before as well. And the de-merger of ITC, etc., and all of them will provide immediate revenue source.

What's even more heartening for us is obviously the continued expansion of DMAT and the retail for use. As we all know, the revenue component of corporate registry is innately tied to the number of retail for use. And the IPOs will definitely be icing on the cake over the expansion of the DMAT itself.

Pranuj Shah: Sreekanth, just to confirm, you said mid-20s revenue growth excluding these IPO revenues, right?

Sreekanth Nadella: No, not excluding. All of them together.

Pranuj Shah: Okay, understood. So, 20 % to 25% including the IPO revenues. And I think in that context, do you still maintain that up to 45% EBITDA margin? I know like in this quarter it has come off, but I think Vivek mentioned that was due to increments and some tech expenses being front-loaded. So, how do you see this trajectory for rest of the year and possibly also for FY '26?

Sreekanth Nadella: See, I think probably I need to demystify a bit about Q1. This quarter at near about 42% EBITDA margin is probably the highest Q1 that we've ever had, right? And if you saw last year, it was 37% the year before that. It's usually sub-40 the Q1 because what happens in Q1 is typically your businesses of largely, let's say if you take mutual funds for example, the AUM as of 31st March and 1st of April is going to be practically the same.

There will be a little bit of modest gains, but you'll see that certainly your entire wage and the other tech contracts which too are also tied to the fiscal year, they tend to go up, right? So, let's

say and hence that is usually different also. Q4 also is a big quarter for Issuer Solutions in terms of the corporate actions. Some of the historical one-time revenues that tend to kick in for any big tech and delivery revenue that happens and many of those usually won't be there in Q1. In that context, a 42% EBITDA margin in Q1 is basically, should give us a significant insight in terms of where the rest of the quarters could be. If you compare last year at 37% start in Q1, we ended the year with near about 44%. So, we expect it to be significantly better yet. But of course, as we've always been maintaining, we're not necessarily chasing 100, 150 basis points of margin as much as the growth and the continued to come in a differentiated manner as we continue to reinvest in technology transformation, new geography expansion, new asset class expansion, so on and so forth. So, but broadly, yes, we do expect the revenue profile to be far higher as compared to that was in the previous year.

Pranuj Shah: So, on the EBITDA margins, I think you would be higher, tend higher than what it was at FY '24?

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Sreekanth Nadella: Yes.

Pranod Shah: Okay, got it. Understood. Thanks.

Vivek Mathur: This is Vivek. I just want to reiterate our guidance on EBITDA margins. It remains in the range of 40% to 45% as of now, because we have to see sustainability of enhanced margin. Market is doing well. We are expanding in global market. But as I had mentioned earlier and we have reiterated that moving out of the 45% to 50% range, from the current range of 40 to 45, well in terms of sustainability, we'll have to see a period of time of at least a couple of years before we start moving our guidance beyond 45%.

Pranuj Shah: Perfect. Got it. That's very clear. Thanks, Vivek.

Moderator: Thank you. The next question is from the line of Sai Adithya Menon from Avendus Spark. Please go ahead.

Sai Adithya Menon: Hi, good morning. Thank you

for your time. A couple of questions. The first one would be that the yield is compressed from 3.72 bps to 3.66 bps over the last quarter. You had mentioned that there are some contracts that were manipulated that one renegotiated at the beginning of the year. Any more color that you can provide on this? My second question is on the international business segment.

Any update on the overall 20 million guidance? And has Thailand specifically gone live? And has it started adding to the top line yet? Third question would be around ESOP cost. ESOP cost for the full year FY '24 was INR2.6 crores and in 1Q it was INR3.11 crores. So will this be the new normal? If I can squeeze another questions, I'll squeeze them later?

Sreekanth Nadella: Let me take that. I think the first question in terms of the yield compression, is marginal, especially in the context of the negotiation that had already been concluded. So clearly our top line growth is after making into account the contract that had been renegotiated. Almost all our large contracts have been renegotiated as of 1st of April this year. So we do not anticipate significant compression, except of course what may come through in the form of any big changes in the form of the telescopic pricing kicking in.

Right now, that obviously means that if the AUMs are growing substantively faster in a significantly bigger manner, there could be some yield compression. But that comes obviously as significantly better news in terms of much higher revenue profile as the AUMs go well beyond the thresholds we have at the moment.

In terms of the international, the USD 20 million was the pipeline, and it continues to be steady and growing. I had called out about one large contract that had been signed up and another one we are anticipating to receive any time today or tomorrow, even though the draft letter of award had already been given to us by our client.

These two are decent-sized contracts and materially sized contracts in the context of the global fund services, roughly anywhere between USD 1.7 to USD 2 million of revenue in the near term,

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followed by a little about three quarters of a USD1 million revenue to come through on an annual basis, excluding any change request-driven revenue that we will get over and above that. Now these are the deals that have very much materialized, and we continue to chase down the rest of them as the market conditions have significantly improved in the Asian markets this year as compared to that of the previous year, including the appetite of many of these conglomerates willing and wanting to outsource to administrators such as us.

We had in the month of May conducted a conclave, including inviting the regulator in Malaysia that was received exceedingly well by the local industry. That has also opened a series of doors for us, apart from a combination of the contracts that I'm talking about. We intend to conduct similar such sessions in multiple other geographies later during the year, which we are confident will also deliver similar such results.

On the ESOP piece, I would let Vivek cover, but broadly, in line with our strategy to have top talent retention and a very committed workforce which continue to outperform in every aspect of it, wealth creation for our employees is as critical as it is for our shareholders. And we have given a number of stocks to critical performing employees. Of course, the year one hit would be higher, and it would taper down over the years, but the philosophy in terms of long-term wealth creation for our employees would continue to be there. Vivek, anything you'd like to add?

Vivek Mathur: Yes, thanks Sreekanth. So just to add to what Sreekanth mentioned, the current ESOP pool is exhausted with this last grant. There is a new ESOP plan for which we will approach the shareholders for approval and then the exchanges before we create a new ESOP pool. And basis that, whatever you are seeing is obviously in the first year when you take the hit for the new ESOP grant, it is higher, but coupled with the new ESOP pool that is getting created, it may slightly go up in terms of about, for the current year, you can assume about INR15, INR16 crores of full year hit.

And next year onwards, it may be slightly higher because there will be new ESOP pool, there will be new ESOP grants to new talent that we are acquiring in the international territory as we do acquisition, and we employ more people to attract and retain talent. So it may be marginally more next year, but this year it will be around INR15, INR16 crores.

Sai Adithya Menon: Thank you. If I can squeeze just one more question. On the Issuer Solutions part, folios per company was higher in this quarter, but we see the revenue per folio has come down. How do you see it for the entire year? Has something changed structurally or is it part of the functionality?

Sreekanth Nadella: I'm sorry, I did not get the specific point. What has reduced as per you, sorry?

Sai Adithya Menon: Revenue per folio has slightly come down, but number of folios per company has increased, so just wanted to understand that bit.

Sreekanth Nadella: Yes, so again, if you extrapolate the logic, it would be slightly akin to that of even asset management businesses. I mean, when you have certain clients and certain corporates in the case of issuer solutions, the retail folios expand dramatically for some of the clients where, let's say,

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the unit pricing is slightly lower. There is a marked difference between asset management and corporate services, right?

In the case of the AMCs, the yield numbers are pretty tight bound range, very narrow range, right, depending upon which clients are -- and pretty much almost all the clients. Whereas in the case of issuer solutions, the unit price can be quite significantly varying. For some clients, it could be as little as INR6, INR7. It can go all the way up to INR30, INR40 rupees as well. So it is literally a factor of which of the corporate that -- of all the literally 6,000 clients we have, has had a significant retail expansion, and if some of them happen to be the ones where the unit pricing is slightly lower, it tends to obviously have an impact on the overall number.

So that is just an aberration which corrects itself rather quickly because there is no one company in India where it will continue to have a significant market value share retail participation as compared to somebody else. So it can be a sectoral movement, it can be thematic, it can be cyclical, it can be anything at all, companies' performance, so on and so forth. So I think what's important is definitely the folio count expansion.

The other advantage we have in the case of issuer solutions again is the prices tend to go up. So there is a repricing that we have. Every year we follow that, and a certain number of clientele actually move from 0.8 to maybe 1.08 or 1.10. That is basically 8% to 10% unit price expansion also happens in this particular line of business, which we expect to see happening into the coming quarter.

Vivek Mathur: This is Vivek, Sai, just to add to what Sreekanth mentioned. If you look at our Q1 FY '24, average folio fee was 7.3. It has gone up to 7.5 now in Q1 FY '25. If you are comparing it with annual 9.4 average coming down to 7.5, that may not be the right comparison because at the end of the year it will hover between INR9 to INR10 only. So there are various components in the corporate issuer solutions besides the folio income.

There are corporate actions, value-added services which increase the average folio fee as you go along future quarters because most of the companies declare dividends or bonus or rights or AGM-related re

venue in Q2, Q3. So you will see an uptake in the average fee quarter -after- quarter, but it won't go down from INR9 to INR10 on an average -- on an annualized basis.

Sai Adithya Menon: Thank you. Understood. Just last one, any communication on further pairing of the stake by General Atlantic that has been communicated or any plans as such?

Sreekanth Nadella: No, no such plans and no such communication has been received. This year there had been a small pairing and our shareholders' commitment and their interest in our business continues to be as good as it was in the past seven years.

Vivek Mathur: Yes, so having said that, General Atlantic is actually a PE, and they have evergreen funds, does not mean that they will not give returns to their investors. So it's their choice. I don't think it impacts us in any way as a company. It's a company which is professionally run by professional board and professional management. So I don't think there should be a concern in terms of G A choosing to dilute further.

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Sai Adithya Menon: Very helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Uday Pai from Investec. Please go ahead.

Uday Pai: Thank you for giving me the opportunity. Two questions from my side. First is how is the EBITDA margin in the international segment for this quarter? And secondly, in your opening comments, you mentioned that Phase 2 of the Thailand contract is expected to go live in this quarter. So any color on the incremental revenue that could come from that contract? Those are the two questions.

Sreekanth Nadella: Sure. Vivek, you want to take that?

Vivek Mathur: Yes, I'll take that. So international business continues to be hovering around 30 %-35% EBITDA margins. And as Sreekanth mentioned that as the new deals, which are large deals, get fortified , this will improve further. While our average bps on the AUM continues to be higher than what we get in India, we will continue to get EBITDA levels surpassing what we have in India as we become larger in terms of scale. So it's 5.2 bps versus what you see 3.6 bps in India.

Uday Pai: And secondly, on the incremental revenue from Phase 2 of the Thailand contract?

Sreekanth Nadella: Yes, I can take that. The Phase 2 is expected to go live in late September, subject to the UAT and the clearance from the fund management house. It was roughly INR12 crore s contract and about a third of that had been booked into the Phase 1. And the rest of it would be booked in subsequent post go live. And there is a small component of that that is reserved into the subsequent year in terms of the Phase 2 part one...

Uday Pai: Okay . Thank you.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Good morning, sir. Just two questions from my side. First on your domestic alternate business. When I look at your revenue yields, whether I look at it on per fund basis or on an AUM linked basis, that has been increasing for the past few quarters. I just wanted to get some sense of the reasoning behind it and how should one think of it going ahead? Is it more of a new fund acquisition -led part of any upfront ing or is it more structural in nature?

Second, on your international business, you know, while you've done quite well in your Malaysian market, in some of the other south -asian markets, I mean the number of clients have broadly remained stable, at least on the RTA part of the business over the last almost 12 -18 months now, batting one or two wins here and there.

I just wanted to get some sense of your non -Malaysian geography targets or plans of you organizing some events in some of these markets. I just wanted to get an idea about the traction that you expect in some of these markets over the next year or so?

Sreekanth Nadella: Sure. I thi

nk on the domestic RTA, expansion is largely a structural growth that there isn't any, you know, one -time episodic item that is changing anything here for us. I think it is the quality

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of the clientele we have and the single biggest advantage that we have in this space, of course, is a presence of several clients who are growing faster than the industry, right? It's not a concentrated growth of few asset management companies and this is what helps us to keep our yield higher.

This is what keeps us, you know, certain amount of downturns that may happen if one or two - odd fund houses tend to hit performance hurdles every once in a while, right? I mean, there is no one scheme or one AMC that can continue to deliver superior returns as compared to the industries over a long period of time.

So when that churn happens, more often than not, we tend to be the beneficiary of that and that's

what's reflecting in our overall growth, and which is structural in nature. For example, if you see the Q1, the overall AUM market share of KFin Tech clients had been about roughly 41.5 as against 37 previous year and that's a big gap in terms of nearly 400 basis points over the market. In terms of international, the two large clients that we have signed up this year, both are in Malaysia, as I just said, and both were pretty much in the last four to five weeks and Philippines offers a very interesting proposition for us. You're right in your observation that we have only added one large client that was Bank Islam last year in Philippines. But that said, the market in Philippines is relatively smaller as compared to Malaysia for that matter, right?

And hence, rightfully so, our efforts are concentrated in geographies where there is a higher opportunity. Thailand offers pretty good scope and that's where we could break into it and that too with one of the top three bank-driven asset management companies in Thailand and that positions are well for several of the others. As I mentioned earlier too, the international contracts, the cycle time in terms of signatures tend to be a little bit more protracted.

Given these are not necessarily driven through RFPs, so on and so forth, these are the wins that we are orchestrating by impressing upon the outcomes we could deliver. There is a latent inertia, and I would always equate this to pretty much where Indian IT outsourcing was maybe two decades back, where you have to convince the client the virtues of outsourcing and just as importantly how offshoring would help and either of these two are pretty easy conversations to be had. So, but once you gain the momentum as we have done in case of Malaysia and as you could see the sequential number of client wins that we've been having the same would be replicated across all geographies.

Now, I'll specifically cover Singapore and Hong Kong where we had clients but then again, your observation that we haven't had too many more. Yes, last year we had one mutual fund syndrome mutual, we have one in Singapore. We have also recently signed up with Manulife in Singapore in addition to the Hong Kong that we've already had but it needs to be understood that Singapore and Hong Kong are predominantly alternative markets.

They are mutual fund markets but predominantly alternatives and we had to have a solution which would be rivaling that of the current incumbents in the case of alternatives. Now, the acquisition of Hexagram and hence inheriting Empower combined with the Exalt platform we created and launched in the month of March, I'd called this out in our annual investor conference.

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Basically, now has given us the ability to deliver alternatives which is far more bespoke in nature and non-linear as compared to mutual funds and hence the event that I'm talking about the o

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we've done in Malaysia in the month of May, we are replicating something similar in Singapore and Hong Kong in the coming quarters would be to attract a sizable number of fund managers especially the PEs and the hedge funds and the VCs. They are going to be my target clients little less of mutual funds if I may.

So, you would start seeing attraction there. If you saw Indian alternatives for us, we have moved from about 100 in about 4 years back to today managing near about 500 funds having a market share of 37 % and that happened because we could create a platform and a service line integrated TAFA. Now, similarly, it had to be done for Singapore and Hong Kong which is what was completed as of the month of February, March when we launched it. So, you would hear a lot more about these two geographies into the coming quarters.

Dipanjani Ghosh: Sure. Just one small follow-up. I mean during an inorganic acquisition in Malaysia way back in time and then scaling up the business versus, let's say, organically building the platforms or kind of leveraging on the platform and some of the geographies and then kind of trying to target clients in a new geography like you said for Singapore and Hong Kong.

Do you think is there an inherent difference in the scale of strategy between the two strategies and on that point the acquisition that you're talking about on the international front, is it linked to this similar sort of a hypothesis?

Sreekanth Nadella: See, yes, one could easily argue that what we've done in Malaysia is what we ought to be replicating elsewhere and believe me that's what we intend to do as well. But that said, we can't be all hoping and praying that an acquisition would happen in every target country. It is not every time it is possible not every place you have a like to like a target acquisition that we can look at and not everybody is looking to be acquired either.

So we are looking to buy versus build kind of a strategy as always. But in international, we have to continue to build our organic way to expand while continuing to look at an acquisition. So short answer to your question here, the acquisitions we are looking at are in the geographies where our present needs to be expanded, especially in the ones that I just spoke about.

While that happens, we are not going to stop or not basically not going to keep waiting for the acquisition to happen. We will build our capabilities simultaneously as well. What happens is

that there would be a convergence even in the case of Malaysia .
If you would recollect, while we have done the acquisition, we have still taken our India's platform and repurposed it for that geography and scaled up our solution because that is the right way to expand into international markets rather than just stitching a collage of 10 different acquisitions over a period of time and that would significantly impact the operating leverage and the technological leverage that you would have. So short answer, we continue to look at acquisitions in those same geographies as much as we are continuing to build out a platform because we have to do it either before or after. That is not an option.

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Dipanjan Ghosh: Got it, sir. Thank you and all the best.

Moderator: Thank you. Thank you. The next question is from the line of Sanil from ICICI Securities. Please go ahead.

Sanil: Hello. Good morning. Good afternoon, sir. Thank you for the opportunity. So my question is regarding the new asset class which SEBI has just said. I know it's very early days but do you see a significant opportunity from a RTA side or the back-end side of it and do you think that since you have such a tech capability on the AIF side, do you think this can grow into a very good opportunity as well as do you think that since it's a different product or asset class, do you think a new contract would

be needed on this asset class?

Sreekanth Nadella: Great question and the short answer to all of those is yes. Of course, every new asset class provides itself with an opportunity for us to grow and expand. And obviously, it's still very early days in terms of the contours and specifics but we are very confident that it would emerge.

Obviously, the regulatory is keeping in mind the gap that exists between the mutual funds, PMS and AIF in terms of the thresholds are quite large. Keeping in mind the income variation, at least the middle-class level isn't as significant. So from that standpoint, the new asset class we believe could provide a very interesting via media opportunity for several more people to invest and take a slightly higher risk profiling as compared to MF, but much lesser risk profiling compared to PMS and alternatives.

Yes, of course, we will have to create the solutions that befit such an asset class. As we know, all of these financial asset classes necessarily need to go through, will have been in the case of registrar and transfer agent and we are one of those. And given we are there both in the issue of services, that is securities and the bond markets as well as in the mutual funds alternatives PMS, one way or the other, we will have a role to play in that.

And not to mention, there is a renewed focus and a significant focus in the form of both the government of India and the regulator to drive the REITs and the emit market as well. And we are currently working with the regulator to create a solution to the REIT market, which hopefully will go live in probably into the coming quarter.

Sanil: Thank you, sir. Thank you for the response.

Moderator: Thank you. The next question is from the line of Abhijit S. from Kotak Securities. Please go ahead.

Abhijit S: Thanks for the follow-up. See, on the domestic alternatives business, I think that's a very fast-growing business for the entire industry. But in terms of pricing, I think we are broadly at about three to four basis points. So my question really is, to part one is that do you think, that's where the market will settle in terms of pricing and the actual pricing levels?

And second is that in terms of competition, like we recently saw, SS&C also setting up an India front office in GIFT City. Do you think over a period of time that can come under pressure because of the growth in AUMs itself? Thank you.

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Sreekanth Nadella: Thanks, Abhijit. To the first question, three to four basis points is a pretty reasonable number, for the Indian alternatives in the context of the scale. I'd be very happy if it settles, anywhere near four at the higher end of the threshold. Internationally, of course, the numbers are much, much higher, they range anywhere between seven or eight all the way going up to 20 also in many cases, depending upon the size of the fund and the domiciliation you're talking about.

So that's that. And, given we are the only RTO who does both TA and FA at scale, our revenue is not just at a fund level, but also it is both separately for TA and separately for FA, right?

Otherwise, broadly, for the other players, it would be lesser than the three to four basis points you're talking about. Second, many international fund administrators are setting up basis in India is natural. It's not just SS&C, you have IQE, you have Apex partners and potentially a few

others as well.

They have all been in India for the last bunch of years, largely to take care of the captives they have set up in India to support their international operations. Many, if not at least many, some of their current clients internationally are also obviously exploring GIFT City as a possible fund structure route. And as they set up, their clients obviously would nudge the current fund administrator, to be able to support them as they ex

pand into the GIFT City operations.

That said, if you see the total contract wins in GIFT City, we have nearly 60 % of all the GIFT City funds being managed by us. We recently also signed the first and the second insurance - based fund that is listed in the GIFT City. Now, when it comes to pure domestic alternatives to be supported by any of these fund administrators, we don't want to be arrogant and thinking that others will not join the party. I'm sure they will.

But our advantage lies in significant amount of localization of the platform and a cost to serve, which will be very, very hard for others to match and beat. So, to that extent, whilst we continue to obviously keep a watch on the overall expansion of the service provider ecosystem, we believe that we have significant number of modes and the modes that are continuing to get better by the day. And hence, we are more confident to grow faster in the coming years as against otherwise in the context of new foundation emerging.

Abhijit S: Thank you.

Moderator: Thank you. The next question is from the line of Amit Agicha from HG Hawa. Please go ahead.

Amit Agicha: Thank you for the opportunity and I congratulate the committee for commendable performance in the past like 1.5 years from the IPO date till now, the value has doubled almost. And I appreciate this. And my question was regarding the reduction in the promoter holdings? My question was regarding the reason for reduction in the promoter holdings?

Sreekanth Nadella: I think Mr. Vivek had already answered that and I can ask him to add a little bit more color. A promoter is a private equity. A private equity's fundamental job is to deliver returns to their shareholders and their investors. And in the context, anyone who has invested a substantial chunk is expected to downsize over a period of time.

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But this company is a professionally led management to that extent. It's been nearly 7 years since General Atlantic had been there and they've been an exceedingly wonderful partners for us and they'll continue to be there for a foreseeable future even as one may expect some blocks to be sold over the next bunch of years.

Amit Agicha: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Mr. Devesh Agarwal for closing comments.

Devesh Agarwal: On behalf of IIFL Securities, I thank the KFin management for giving us an opportunity to host the call today. Before we conclude the call, would management like to add any closing remarks?

Sreekanth Nadella: Nothing at my end. We continue to focus on what we do best, which is to deliver value to everybody in the stakeholder ecosystem. So I think in the context of the new signups and the optimism that we are seeing across our current clients and the prospects, we hope to deliver higher value as compared to what we have over the past bunch of years. Thank you so much for joining.

Devesh Agarwal: Thanks, Sreekanth. Thank you everyone for joining the call today. Siddhanth, you may now conclude the call.

Moderator: On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Dear Sir / Madam,

Further to our previous intimation bearing reference no. CS&G/STX/DQ2024/05 dated October 14 ,
2024, pursuant to Regulation 30 and other applicable provisions of the LODR Regulations, please
find enclosed herewith the transcript of the Earnings Conference Call held on October 29, 2024, in
respect of the standalone and consolidated unaudited financial results of the Company for the quarter
and half -year ended September 30, 2024.

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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“KFin Technologies Limited

Q2 FY '25 Earnings Conference Call ”

October 29, 2024

MANAGEMENT : MR. SREEKANTH NADELLA – MD AND CEO

MR. VIVEK MATHUR – CFO

MR. AMIT MURARKA – HEAD IR

MODERATOR : MR. DEVESH AGARWAL – IIFL SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to KFin Technologies Q2 FY25 Earnings Conference Call hosted by IIFL Securities Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devesh Agarwal from IIFL Securities Ltd. Over to you, sir.

Devesh Agarwal: Thank you, Shlok. Good morning, everyone, and welcome to the Q2 FY25 earnings call of KFin Technologies Limited . From the company, we have with us Mr. Sreekanth Nadella, MD and CEO, Mr. Vivek Mathur, CFO, and Mr. Amit Murarka, Head of Global Business Finance, M&A, and Investor Relations. I would now like to hand over the call to Sreekanth for his opening remarks, which will be followed by a Q&A session. Thank you, and over to you, Sreekanth .

Sreekanth Nadella: Thank you so much, Devesh. Very, very good morning to all the participants. Happy Dhanteras and happy festive season. In line with heralding this entire festive season, KFin tech is very happy and proud to announce yet another quarter, which was highly fulfilling, purposeful, and in line with our plans to become the first global fund administrator from India.

The numbers are published without having to dwell too much further into it, but the quarter that had gone by, we have clocked about 34% growth year -on-year, and even the sequential growth had been pretty strong at 18% quarter -on-quarter. Both EBITDA and PAT percentages have risen sharply on the back of sequential growth and productivity that we have orchestrated across every single business line.

This is despite our continual investments both into technological innovation and transformation for the betterment of our clients, investors, regulators, and intermediaries, as well as geographical expansion.

As we have been stating from the very beginning, as the first market intermediary who has global aspirations, our international business services has grown 44% year -on-year, and even more heartening is the number of deal sign -ups that we have done in the past quarter, clearly, of course, the revenue of which will be clocked into the coming months. That said, our pipeline for the coming quarters for new sign -ups is pretty heartening, and it is swelling with each and every progressive day.

We have also been evincing keen interest in driving controllable income, while we respect the fact that our business has innate linkages to how the market functions. It had been the management's endeavour to create and drive revenue lines where there is more control by the management, and revenue which is not directly linked to the equity markets. One such line of item is the value -added solutions and services, which is largely big data, analytics, CRM, and the mobility solutions that we create and orchestrate for our clients, as well as prospects.

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Again, happy to inform you that revenue line also has grown by near about 46% year -on-year. Overall, as a percentage of the pie, this has risen to over 6.5%. Again, a number that I continue to believe has no bearing on the vagaries of the market and controllable revenue at our end. Five broad businesses this organization has been operating in.

The first of which has been the bread and butter, as well as the foundation for us, the domestic mutual funds business, in line with the market that we have seen a phenomenal amount of uptick in terms of mutual funds providing the bedrock for the securities market. Financialization meant moving of money from savings into investments as a the

me that has played out and we believe

that will continue to play out into the coming quarters and years. Also evident is from the intent of several new asset management companies who intend to launch.

And also the new asset classes that the market regulator intends to introduce. Now, all of these we believe will be significant tailwinds to a line of business which already had clocked pretty rapid strides in the past few years. In spite of it, the fact remains that it is significantly underpenetrated with just about INR4 crore s odd unique investors investing.

And as a percentage of GDP also, it significantly trades many of developing economies, let alone developed economies. From a registrar's standpoint, our commitment and our contribution had obviously been to be able to drive ease of doing business. With a great sense of pride, I'd like to again commit that both us and the other RTA have been instrumental in creating ease of doing business in the form of customer onboarding, customer servicing, transaction processing, all at a significantly lower price for our clients with each passing day.

Our clients have been experiencing faster growth as against industry. As you can clearly see, KFinTech AAUM had grown close to 45% year-on-year vis-a-vis the industry growth that had been at about 41%.

Our overall AAUM market share also has risen albeit a bit to about 32.4%. But given our market share is close to 40%, as I have stated, the SIP is the sticky retail book. And we firmly believe that our overall AAUM market share will trend towards the SIP market share over a period of time, which effectively mathematically translates to a potential of about 500 should this play out in the direction that we are thinking about. Also happy to announce that we have won the contract for Capital mind Financial Services, a new -age asset management company, a very prolific PMS player in the market based out of Bangalore.

We are working with the entity to secure in principle and then to go on to provide the RTA solutions to our client. We have also won the Development for Digital Assets contract largely on the big data on the client schematics for one of our largest AMCs and several other in progress at this point in time. And in good time hope to announce those successes as well.

Lastly, 6 out of the top 10 fastest growing asset management companies are with KFinTech. And I understand the fact that this is not necessarily in our control, my client's growth. But our solutions and services too, we believe, play a role in the faster digital expansion of our clients and their goal is a testimonial of the work we've been doing in this area.

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So broadly, domestic mutual funds are growing slightly ahead of the market. Our yield had slightly risen in the previous quarter, and no compression. And overall, both the net flows and the mark -to-market gains have been healthy.

Clearly, all of these have resulted in a positive attrition to the margins. That said, the volumes have also expanded manifold and that comes with a significant amount of investments, both into technology and manpower processes, as well as securing the funds in the form of fraud and surveillance reduction, so on and so forth. So from that standpoint, there have been investments by the company in the past two quarters.

Some of these are for immediate purposes, some of these will help us in the long term to continue to deliver services as the industry grows. On the issuer solutions, I'm very happy to inform you that we have grown 25% year -on-year-on revenues. We have added 358 corporate clients during the Q2, one of the most successful quarters we've had in the recent past, taking our total client rosters to about 6,700.

The market share in the NSE 500 companies has risen from 46.4% to 48.2%. We have won several large mandates. Prior to Bajaj Housing

Finance, LIC was the largest IPO in the country, which was handled by KFinTech. Then we handled Bajaj the 2nd at that point in time, and now Hyundai, the largest IPO ever in India.

And the next bunch of the largest IPOs that are going to happen in the coming quarter too will be handled by KFinTech as well, as we announce the names once we secure the letters from them. But beyond those names, the ones that are going to go live into the coming week alone, actually four out of six IPOs are being handled by KFinTech, key ones including NTPC, Leela Hotels, and so on and so forth.

We have also successfully completed the transition of large mandates of SBI and NHPC in the previous quarter, which has resulted in a total folio expansion by over INR1.15 crores. Clearly, our revenue model is entirely based on the number of folios, at least 70% of our revenue. Ergo, that is a significant tailwind for us into the coming quarters.

Moving along on the international investor solutions, we have added six new clients in the previous quarter. That's 10% of additional new clients being added. Now, these are clients, and by number of contracts, it's a little bit more than that, given our contract can be for TA, FA, and for digital solutions also. And these are material contracts.

One of that is a state -owned fund, Amanahraya Investment Managers and Berjaya and several others. And as I said, as we started to initiate the transition into early part of October, the revenue for this will be clocked into the coming six to nine months. And the deals are across transfer agency and fund accounting and administration, which continues to analyse the strategy that a holistic solution of transfer agency and fund accounting effectively leading into purposeful fund administration services for a fund manager is probably the right way to go.

And our acquisition of Hexagram back in the day, which gives us competencies and significant capabilities into fund administration, had played a significant role in our international expansion

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in addition to our RTA capabilities. Also, happy to inform you that we have received RBI's in - principle approval to set up a wholly owned subsidiary in Thailand. We see Thailand as a very

key market in the context of the number of fund managers and a very burgeoning asset management industry out there.

And given our first contract itself was with the third largest bank-based AMC in Thailand, the interest that it has emanated across the nation for the largest to the smallest asset management had been very overwhelming for us. And clearly, this approval from RBI is a shot in the arm for us to quickly set the subsidiary, demonstrate our commitment to the country of Thailand, and thereby provide the right kind of confidence to the asset managers within the country to take our services and grow their businesses from there on.

We have spoken about the state-owned fund. In addition to that, six more have been signed. Also, happy to inform you about a large contract signed with Sun Life of Philippines, and that too is going to get kick-started into the October month in terms of initiating the transition. And we won four more new clients in the GIFT City. We continue to expand our operations. We are the single largest fund administrator in GIFT City by a mile, and given the only administrator in the country who can offer both TA and FA for all the international clients, we have been the preferred partner for many fund managers in the GIFT City. Physical manifestation in the form of the space and the capacity is also being added, and we will expand our overall office space into the coming month, even as we await another approval from RBI to domicile all our international business delivery services into the GIFT City, if I may. Moving along onto the AIF and wealth investor services, again, another area we are

very, very

focused upon. We continue to believe that over a period of time, the actively managed mutual fund space will see some amount of compression on one end by the passives and on the other end by high-alpha seeking alternatives, given that we have been since then the only player in the country who had created a fit-for-purpose RTA and an FA-integrated platform for alternatives. That has seen our growth in the alternative funds from just about 100-odd funds, under 100 funds in 2021 to over 526 funds today, taking over a total market share of nearly 38%. Our AUM has risen 55% to about INR1.3 trillion at this point in time. We have signed 37 new funds in the quarter that had gone by, with another 50-odd to be in the signature stage into this coming quarter. Even as several new schemes are being launched by the existing fund managers, in addition to the fact that the AUM itself has been growing dramatically for the funds where the capital had been already drawn down.

In line with our commitment to high-alpha generating assets of alternatives and PMS, we have mentioned in the previous two quarters about our commitment for expanding into wealth solutions. I am happy to inform you that we have launched our first-of-its-kind wealth platform in the recently held symposium for the wealth managers conducted by Hubbis in Mumbai. It's called mPower Wealth. Again, on the back of our strong fund administration platform, we have custom-created a wealth platform which we believe is going to add significant value to existing wealth managers who intend to transition as well as several new boutique outfits that have set up and will continue to set up.

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We see a significant expansion of the wealth management as an industry, with several of the asset managers and investment managers branching out and creating their own fund. Having launched this in mid-September, we have seen significant traction from the industry. On a no-name basis also happy to inform you that we have received an in-principle go-ahead from one of our very prominent potential wealth manager who is going to start their operations very soon, even as we have a pipeline that continues to swell.

Again, it must be noted that this is not a new business for us. We have been a wealth management platform provider for Deutsche and Citi and o3 Capital and a bunch of other prominent wealth managers back in the day, but it is our commitment to completely re-envision, re-imagine and re-launch a stack which we believe will be a globally competing platform.

It must be noted that wealth management is not a regulated space as much as the asset management space is. And given that, this has a strong potential for global expansion, especially in the countries where we are already domiciled, that is Malaysia, Philippines, Hong Kong, Singapore and Thailand.

We have also launched KFINSIGHTS, a platform for REITs, first of its kind. Again, two other platforms also have been launched along with ours with an intent to expand the asset management industry into the REITs and hopefully next into the InvITs as well. The last of the business line, the National Pension System, the last three quarters, we have been growing at a pace which is probably 2x that of the industry. This quarter, we have exceeded that growth against the industry expansion of about 31%. We have grown nearly 32% -- sorry, 13% versus 32%, so nearly 2.5x on the pensions.

And also happy to inform you that we have broken even and turned cash profit in this business

line as well. We continue to be very interested in this business. It is probably a little small at this moment in time, but we believe as India becomes more of a pensionable society, which we have seen a strong affinity towards too, in times to come, the National Pension System as a business line also will provide a significant foundation

for us to be a marquee fund administrator, cutting across every asset class, every business service, whether it is TA, FA, or digital, cutting across almost every geography that is possible. That has truly been our goal all along. So that's broadly the summary of the performance.

I would now request Vivek to cover a little bit on the financials and then we will throw the floor open for Q&A.

Vivek Mathur: Thank you, Sreekanth. This is Vivek Mathur. Hi. Good morning, everyone, and greetings of the festive season. Quarter-on-quarter, if you see for the same quarter last year versus this year, the overall growth in revenue is 34%. And across businesses, if you see domestic mutual fund business has grown by 39%. One-third of this growth is coming from inflows and two-thirds because of the MTM.

So even on a sustainable basis that we have been saying that it will grow in a range of 13% to 15%, core growth continues to grow at that pace. Market-to-market is just supporting us in terms of better performance across the industry and for us. Issuer solutions has grown by 26% in this

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quarter versus last year's same quarter, largely because of higher number of corporate actions and large number of folios that Sreekanth talked about that we have been winning because of more IPOs, large IPOs being handled, likes of Bajaj.

In terms of international and other industry solutions, we have seen a growth of 44% year-on-year for the same quarter. And that's more to do with more international clients coming in, large number of AIF mandates that we are winning, growth in NPS business outgrowing the market by more than two times, NPS becoming profitable even though small, but we have achieved breakeven which talks about our concentrated effort in terms of making sure that whatever business we run, they are all profitable.

Overall, if you see the VAS revenue has also been growing quarter-on-quarter significantly in the range of almost 60% quarter-on-quarter sequentially. So, across businesses, across products, client wins and addition to the revenue is helping us grow overall. If you look at expenses, expenses have also grown, but the volumes have grown tremendously because of the growth in overall business. The number of folios that we have seen in terms of transactions have grown 50% in the first half year as compared to last year, half year in terms of volume of transactions. So, 50% increase in volume of mutual fund transaction, 25% growth in number of folios in issuer solutions, growth in clients across AIF. So all put together, there is an increase in headcount that we have seen year-on-year for the half year and that has resulted in slightly higher expenses and then there are ESOPs which have been granted to employees which were about INR1.6 crore last year as they hit to P&L which has gone up to about INR6.7 crore this year for the first half. But despite all this, the EBITDA margins have improved. There's a growth of 35%. The EBITDA margin for quarter 2 as you would have seen has crossed 45%. And we believe that our guidance remains in the range of 40% to 45%. The markets are good. So we are witnessing the benefits coming to the bottom line. The PAT margins at the end of the quarter for the quarter was 42.6% as compared to what we have seen as 40%. Last year for the same quarter, even sequentially Q2 is better than Q1 which was 38%, 38.6% in Q1 and now 42.6%.

So we believe that there is constant effort to optimize expenses as we grow. So we are not losing focus in terms of making sure that whatever expenses or renegotiations or reengineering we have to do, we continue to do that. And the benefit of that flows into the bottom line. So as a result of that the diluted EPS has gone up to 5.16 for the quarter ended September as compared to what we have seen last year it was 3.58 for the

same quarter.

So, for the half year, it is 9.11 versus 6.11 last year, half year. So overall, I would say the results financial performance has been robust and we continue to maintain trajectory in terms of growth and expansion. Happy to take questions now.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Pankaj Tibrewal from IKIGAI Asset Managers. Please go ahead.

Pankaj Tibrewal: Yes, good morning. Thanks for the opportunity. Am I audible?

Sreekanth Nadella: Good morning, Pankaj. Yes, you are.

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Pankaj Tibrewal: Yes. So congratulations on a great set of results and a lot of client wins. And clearly, we are users of your platform, so we can really vouch the digital onboarding is just fantastic. What I wanted to understand from you is that can you talk about the execution capabilities? You spoke about all the deal wins, how you are building capacity to execute all these deals and how do you make sure that the overall execution goes as per the track?

What are the headcounts? How are you looking to add past strength on the execution side? And also on the yield side, do you think the pressure is there on the yield side? How do you circumvent that over the period of time? These two are the broad questions, both from domestic and international perspective. Thank you.

Sreekanth Nadella: Thank you so much, Pankaj for the questions. I'll take one by one. The first one on the execution, I had briefly alluded and so had my CFO Mr. Mathur about the expansion of the cost on the back of both payroll and on technology solutions. So let me take both of them. We believe that the business solutions, we largely split it into the more mature businesses of mutual funds and the issuer solutions. Obviously, these were the areas we've been in here for the past three decades. And the new asset class and businesses, whether it is alternatives, PMS, wealth, and international pension system, private retirement schemes and the whole nine yards into the second category which are growing, not yet mature, a lot of bespokeness in the market and the industry, unlike in the case of mutual funds. It presents itself both a challenge and an opportunity. So for our core business, the volume expansion had been quite tremendous. It had grown almost 75%. Revenues, obviously, have not grown in that same commensurate manner.

And with the advent of a low-ticket size, investments in the form of INR100, SIP so on and so forth. This presents the opportunity that AUM can further grow as the financialization gets driven into B30 and maybe a C30 if it comes through tomorrow, but it must be noted that for a player like us, it comes with additional costs because the AUM is how we charge, not based on the number of transactions. So clearly, this can be addressed only and only through technology. And the scale of volumes and the amount of data grows disproportionately higher in relation to the revenue. So our frugal technological engineering and our journey that we have started almost four and a half years back to move everything into cloud, move away from enterprise architecture into open-source architecture, to focus more on straight through automation as against adding more people for quality control mechanisms. All of that have definitely given us an advantage over the past X number of years where we have managed to deliver despite the volume expansion.

But the spike that we have seen in the last 6 months to 9 months meant that the transformation that we've done in the past was no longer sufficient or is not going to be sufficient in the coming years. So the next wave of technological transformation is what is underway at this point in time. And hence, there has been an expansion of both payroll which is basically the engineering talent we were hiring across the

country, as well as the associated costs pertaining to licensing, pertaining to the cloud, so on and so forth.

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We have also moved away from our sourcing of talent strategy from a centralized, okay, come to Hyderabad and deliver to we will go to any and every location where there is a talent which is fit for purpose. For example, we have moved to Bhubaneswar. We set up our center of excellence for data and analytics.

We have just created a center for mobility solutions in Vijayawada. We have centers created in Chennai, in Gujarat. We're starting hopefully something soon in Madhya Pradesh, so on and so forth. So the talent expansion, both in terms of quality and quantity in partnership with the universities and affiliates.

And our technological partnerships, whether it is with Microsoft, whether it is with AWS, combined with a tech talent pool, which is almost 1,350 today for KFin Tech. I believe we are rightly positioned to take care of both the volume expansion in the mature business, as well as the customization and the bespoke-ness that is required for the new age asset classes, such as alternatives and wealth.

And also happy to inform in terms of the overall commentary from the industry bodies, the market regulators, have been overwhelmingly positive in terms of how we've been able to service in a much better fashion as against in the past, as well as a few quantitative metrics, such as typical wastage that happens in our industries.

Wrong payouts, susceptibility to fraud, etcetera, all of which we have controlled quite significantly over the past 24 months, resulting in leakage to be completely capped. So to assure you, Pankaj, our delivery capabilities we are creating not just for today but keeping in mind the

next three to five years, the capacities we are creating will easily take care of the needs for the future.

On the yield compression, well, as the industry expands and as the volumes expand, there had always been an expectation from our clients in terms of discounts, in the form of partaking in certain amount of windfall gains that we may have secured. And we have always been respectful of the asks and our growth had been in spite and despite of such yield compression.

That said, I am quite confident the industry understands that the AUM growth, if it is a factor of X, the quantum of data and the engineering growth that is required by the RTA and market intermediaries is nearly a factor of three times. And that means that our costs continue to expand quite largely in spite of the AUM to be grown.

And hence, there hadn't been an inordinate amount of pressure because at the end of the day, the services should speak. Today, there is no industry in the world which operates with the core operating business being operated at less than about INR3, INR3.5 paise. You compare that to even within India, any KRA or depository participants any other industry which runs into several tens of rupees, the RTA operations run at few paise.

And hence, I think there is a mutual respect which is helping us to kind of keep the cap at the current blended yield.

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Pankaj Tibrewal: Fantastic. I think quite reassuring and wish you and the team the best of luck for the future. Thank you.

Sreekanth Nadella: Thank you so much, Pankaj.

Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: Thanks for the opportunity. My first question is on the international business. I do understand that you are now trying to build a larger base in Thailand. Now, if I see Thailand's AUM size is around one-fifth out of India currently. So, could you tell us what would be the opportunity size for KFin in this market? You currently have one partner, but how do you plan to expand

d in this

market if you could give some color on that?

The other question on the international business is also if you could split the 11% quarter-over-quarter growth into inflows versus mark-to-market gains. That would be very helpful. My second question is on the value-added services. I understand that it's contributing around 7.9% of your revenues in this quarter. But if I look at your annual report, you plan to expand this to 15%.

Now, could you tell us again, you know, what are your plans? How do you plan to expand this from 7.9 to 15? What are products you are looking at or market segments are you looking at -- to expand this? My third question was on the cost front. I understand that you have laid out, which all areas as you are investing. But just wanted to understand that already in FY24, if I see your number of IT employees expanded to around 940 from 750.

So, how much further, how much more manpower do you need to add here? And is this going to be a journey over the next two to three years? Or do you see that manpower addition coming to an end at the end of this year? If you could give some color on that, that would be helpful.

Thank you.

Sreekanth Nadella: Sure. Thank you. So, on Thailand, it is. So, today, let's just draw a quick analogy to Malaysia. Okay. We started Malaysia in 2019. And I think after one and a half years by which time we took; we built our entire platform meeting the needs of the local regulator and the clients. And we started winning near about three asset managers a quarter. And that level of win rate was unheard of in this industry.

And unfortunately for us, we soon hit COVID. We lost two years in the process, no travel, and they were not keen to have offshoring as a conversation. And post COVID, we started again, we started winning near about two to three mandates a quarter. The previous quarter, we won six. Right. And the journey along the way has taught us one thing, which is that as we move into new geography, it is not going to happen that the biggest of the clients are going to give you the mandate because it is too much of business risk for them.

And commensurately, the wins we've had were many of the small to medium tiered AMCs back in the day. And hence, despite having a number of clients, revenue is obviously not commensurate to, for example, the amount of revenue we derive from the equivalent number of

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AMCs in India. Right. But that has started to change. The last few wins are all large mandates, as I was talking about.

And the trajectory, we believe, is something that will continue to play out in many a country with the notable difference that in Asia, majority of the asset management companies operate in a hub and spoke model, meaning if any of the AMCs probably are headquartered in Singapore, but they have presence in Malaysia and Philippines and Thailand and so on and so forth. Ergo, winning a client in any of these locations and delivering good quality outcomes helps us to move faster into the other geographies. And it is also noteworthy that just because one asset management company is small in a particular country doesn't mean that they're small in every other country. They could be materially large in another country.

It happens even here in India as well. So that particular analogy, if you see, in the case of Thailand, we are not starting with the smallest client, but we won one of the largest asset management companies out there. And we already went live on phase one to the client satisfaction phase, which is expected to go live in the coming two months in December. And this has already yielded a significant positive brand and reputational value for us in that entire country. Even at one fifth of the assets under management, there are two notable differences I will call out. Right. So one is in India, we do not

transfer agency. We don't necessarily do fund accounting for mutual fund clients. That is something that we do in alternatives.

But in Thailand, our first contract with Krungsri is actually for fund accounting. Ergo, our ability to do, should we do both TA and FA together, is something where our yield can be materially high, because both of these are two different sets of solutions. And hence, if I'm deriving about four to five basis points from TA, I will generate another three to four basis points on FA. So that means for the same AUM, your yield can be at least 70 % to 80% higher. Point number one. Number two, in the form of at one fifth of India's AUM, for K Fin Tech, it is still 100% of the target addressable market, because I do not have a competitor there. Our competition is largely in-house, which means that effectively we have to orchestrate the exact same mechanism what we've done in Malaysia which is to add value to our clients.

And as they see, they will start moving it out. So hence, at even one-fifth of the AUM, that pretty much could be similar amount of AUM that are managing in India today, given our market share is about 32%, 33% here in India. So those are the reasons why we are very excited about Thailand.

And, of course, that is the AUM today. But as we expand into the coming 2 years, 3 years to 4 years we expect to see the overall AUM in Thailand also to expand. What we have seen in India over the last 2.5 years post-COVID is a very sharp market-to-market gains as well as mutual fund financialization. Neither of these two trends have played out in any Asian country and we started to see green shoots of that happening in the last two quarters.

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And hence, we hope that in the coming few years many of these Southeast Asian economies will also see a market-to-market gains a bit like India and along with that, a financialization moving more AUM expansion into each of the asset classes. So that's broadly about Thailand. And this is still only the story about mutual funds, not talking about alternatives. We are launching our XAlt platform in Thailand and in Singapore into the coming quarters, as I have already called out back in the day.

Currently, XAlt is live in India for Indian funds and Gift City, but we're taking it to Asia. So that means our addressable market will go beyond just mutual funds and into the alternatives as well. I'll quickly move to the second question in terms of the value-added solutions. At 7.9% of the total revenue pool, which was zero about 5 years back, hopefully gives you the confidence about what our commitment had been to take certain components of our business into our own hands which is not dependent on how the market functions and hence a controllable income. So that zero to near about 8% in five years is heartening enough, but yes, our target is 15%. Our target, in fact is to de-risk our overall business by reducing the dependency on Indian mutual funds to well below 50% in time to come. And that is not by limiting the growth of our largest business line, but by expanding our other business lines much faster as we have been seeing over a period of time.

The fact that we have been signing several data lake contracts, both with our clients and with asset management companies who are not our clients, should tell us about the efficiency and effectiveness of the engineering platforms we have created, and the mobility solutions and the analytical solutions that we are creating for our clients as well as for our competitors' clients. And this is something that we are able to reduce the TCO the total cost of operation for our clients whilst adding and increasing the share of wallet for us. The buyout of Webile

Technologies, which we have done about 18 months back was wholly and solely intended for this very purpose which is to drive pure tech

technological solutions. And that business that we have

acquired, I am happy to inform you that it has grown nearly two and a half times in a very short period of time and has earned cash profit as well.

So, we believe that slowly we will expand our solutioning beyond the capital markets into the broader BFSI sector, because many of our technological solutions transcend beyond capital markets and have a larger relevance in the form of the BFSI, for example, an AML, PML, unified KYC solutions beyond. I may have already called out; we are also venturing into a KRA business, and which was approved by our board for investment the previous evening. So, that's broadly on the value-added solutions and services. Our target continues to be to get to a 15% profile.

Now, you would obviously imagine that this is going to happen over a period of time, by which time our overall revenue itself will continue to grow, which means that in absolute number, the value-added solutions will have to grow materially faster to get to that 15% on the expanded overall revenue base, if I may. I'll quickly move to the third one, that's on the IT manpower and the costs related. You have seen expansion from 750 to 950 people, that is on the core K Fintech.

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Webile technologies, which is our subsidiaries, purely a tech shop again. You add that headcount, we are close to 1200 plus people. Do we see a further expansion of IT headcount? The answer is yes. If you see KFin tech's total tech spend as a percentage of revenue in just 3 years back, it used to be 9%. Today, it has tripled to over 27%, 28%. We believe it is the right direction as we create tech-first solutions for the industry. And I always believed that our business which is RTA we are basically the extended operations arm for any asset manager. But counter-intuitively, I always felt that this should be a tech company more than an operations company. And we work with a goal that we used to have about 5000 operations people and 300 tech people 5 years, 6 years back in this company. Today, our IT team has gone up by five times, whilst my operations team continue to remain similar inside and that's largely the amount of straight-through automation we brought into it and helping us to manage a manifold increase in volumes with the same operations staff.

In an ideal scenario, I would like to see a day when my tech team probably nearly even doubles from where it is today, and the operation team comes down by two-thirds of the current strength. That is the true tech version of a business like this which can scale up to any amount of volume, which can do straight-through automation, which basically deploys and employs large-scale machine learning and cloud technologies to be able to serve our clients' growing needs.

Supratim Datta: That's very helpful. Just one follow-up question. So, you talked about the value-added services and the products that you're looking at. I just wanted to understand the pricing here is project-based, right, rather than AUM based. And hence, would it be fair to say that the profitability here could be better than overall the AUM linked business?

Sreekanth Nadella: So, the commercial model for the VaaS varies based on the actual service itself. So, for example, we have services rendered in the form of API infrastructure which is more ping-based unit pricing. We build certain data engineering solutions more as a project, as you rightly said and that would be a one-time project followed by an AMC sort of a mechanism.

Third could be a SaaS model. Many of our mobility solutions when we create our websites and mobile platforms what have you for many of the Fintechs and the clients, not many companies in today's world want to have an upfront capex. They prefer pay-as-you-go subscription model, and hence, a SaaS model comes to play.

So,

each of these three and many more models that may come into play will have a different profile of both revenue, the way it hits the P&L, as well as the margin. But it's fair to say that, yes, these are as profitable as our core mutual fund business itself, given there are practically – I wouldn't put anyone at all who can do the kind of work we do, because there are pure tech companies who understand tech very well, but probably not the nuances of the asset management industry.

And you may have fund managers and asset managers who understand the domain very well, but probably not necessarily technologists. So, we bring to bear both of them together, and hence, we are able to deliver solutions better for our clients. While it is reducing their TCO, it continues to be a highly profitable business for us.

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Supratim Datta: Thank you.

Moderator: Thank you. The next question comes from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Hi. Good morning. Congrats on the numbers, and it's good to see the progress and delivery since the IPO days. Sreekanth, I have a question on the international side again. How competitive are these markets, the deals that you're picking up, especially when you're seeing that these deals are starting to get bigger in size as well? So, some flavor on that. And then, secondly, on the same point, how do we see the growth outlook given the current pipeline and what you're able to see in terms of new acquisitions?

Sreekanth Nadella: Hi, Abhijeet. Very good morning, and good to be talking to you again. So, the competition, as I've maintained, largely continues to be with captive and in-house solutions, which the majority of the fund managers in Asia tend to leverage, with the notable exception of a player like HSBC, who is largely a bank and a custodian, but also render some amount of transfer agency services. But by and large, it is a market which is heavily skewed towards captive and in-house. Our competitive advantage had been on three facets. One was a fit-for-purpose platform for each of the countries, a standardized one, which the regulator also has been appreciating us a lot for, which they do not have today.

Second, commercially, there is always a plus and minus when you deal with in-house. For me to be able to demonstrate that I am 30%, 40%, 50% cheaper than in-house calculations, it is tough at times for me to explain to them as to all the costs that they need to bake into their current cost structure and compare with my pricing, and then hence realize what is actual savings. For example, it's not very easy to add the overhead layers of management, the infrastructure, and the data centers and all of that.

So typically, people tend to just add up the people who are working in RTA in their company and then they say, okay, this is my cost and what is your price, and that is truly not the cost. So we have created templates and estimator models and have been explaining to them quite successfully. So in the past 1 year or so, and hence the number of new wins we've seen, almost 10 new clients in the last 6 months alone, 6 being in the previous quarter, is our ability to explain to them as to the genuine benefit they are getting and not necessarily the perceived benefit, which is significantly undervalued by them.

So we are hence not seeing any pressure for me to reduce my price. It's just that we are able to better navigate and maneuver and explain to them the true benefit they are able to get to us. We continue to drive a much higher yield profile in international as compared to India, as is evident from the published yields, a little about 35% more than Indian fund structure at this point in time.

And that is only for RTA. And as I said, unlike in India, we have the ability to do both TA and FA in the international space.

ce. And you add to that 4.5, 5 basis points, another 3 basis points for

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FA, you're really talking about two times the yield that we derive in India, a little over 2 times. That's the potential I'm talking about.

There are a few clients where we are doing, for example, one of the large clients we signed up, Berjaya, Interpac, in its earlier avatar, we are doing transfer agency, fund accounting administration, digital, everything for all the private mandates and for the mutual funds. So obviously your yield and your revenue correspondingly grows, though it is just one client, so to speak.

So no yield pressure in international. And as I've already explained back in the day, we do not have telescopic pricing. In fact, we have price escalation. We learned our mistakes from Indian market, and we have only price escalation clauses in most of our international markets. In terms of the deal sizes, yes, I think there's a bunch of deals that I spoke about that we signed are worth over \$2.5 million.

And today, if you see and compare it to the international, the GFS revenue that marks 70% to 80% increase just based on these deals, not talking about the organic growth of AUM for the existing asset management companies. Our pipeline continues to expand and swell. Again, I think each successful delivery opens up doors into multiple clients. We are now talking to several of the top five AMCs in Malaysia and in Philippines.

And now with the in-principle approval that we received from Thailand; we hope to accelerate our process. It is important to note that in spite and despite of our reputation in the Asian markets, the local asset managers would always want to see at least a physical setup of an office and see and touch and feel a few human beings that are actually working there. Some of this becomes

geo-politics as well.

And these approvals help us to provide that level of confidence, though we won the first contract without it all. But I think some of the others, I'm sure, will come to roost very soon as we start setting up our physical offices and have people domiciled in Thailand and other countries.

Hopefully, I answered your question, Abhijeet.

Abhijeet Sakhare: Yes, very good. Thank you so much.

Moderator: Thank you. The next question is from the line of Pranuj from JP Morgan. Please go ahead.

Pranuj: Yes, thanks a lot for the opportunity. Just on the yields part, I think domestic yields have expanded 6 basis points, quarter-on-quarter, at least in my calculation. So what has driven this? I remember you saying that the volumes are pretty high. So is it transaction-based, mixed-led, or what led to this?

Sreekanth Nadella: So it's a combination of two factors. One, the asset mix. As we all know, equity derives a higher quantum of basis points. And the asset mix plays into, has played, right? I mean, the market-to-market expansion of both the equity as well as the NFOs, largely brought equity by us. And hence the basis points was higher.

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Second, the demographics of our clients, if you see, we have barring a few large asset management companies, majority of the clients we service are medium-to-large asset management companies. And hence, they are not at a very high tiered AUM, which means the yield compression typically happens.

So I guess the point I'm trying to make is, it matters not just your AUM growing, but as to which AMC is growing to contribute to that, right? That has a material impact on the overall yield. So combination of these two factors, right, has helped us to have a yield expansion in the previous quarter.

Pranuj: And second one, just, issuer solutions are starting to do really well. So could you just quantify what is the proportion of folio-based revenues and that particular annuity-based revenue? Like

how often do you have contract renegotiations and what could be the growth on a per folio basis revenue we could see over there?

Sreekanth Nadella: A total folio-based revenue for issuer solutions for us is near about 75% of the total revenue pool coming from issuers.

Pranuj: That's in this quarter?

Sreekanth Nadella: No, that's typically the range. I'm just giving the share of the pie of the issuer services. 75% comes from the annuity services in the form of folio, 15% in the form of corporate actions, which are basically the dividend declarations and buybacks and mergers and demergers, rights issues, so on and so forth.

And another 10% through corporate events, basically conducting Annual General Meetings, e-voting, resolution processes, so on and so forth. That's the profile of this. 10.5, roughly about 11 point sorry about 1.15 crores investors or rather folios have been added in the previous quarter.

Now, all of that is pure annuity revenue model, right? And those are all folio-based conversations. And obviously, they are all on the back of a series of clients.

And those series of clients, should they go on to have more corporate actions, obviously, it will impact the other 15% and 10% of the revenue pie as well. Our contracts in issuer solutions are a bit like our international contracts. These are not telescopic pricing, so on and so forth. They usually have a COLA clause, three-year contracts, and we usually tend to have a price escalation. You know, we are successful in about 20% to 25% of the cases we pursue. Not every case, you know, we do.

And hence, there is no compression at a folio price as against an expansion at a per unit folio price and the number of folios expanding and the number of companies expanding that A into B into C math is one of the reasons why that corporate solutions, co-issuer solutions has been growing.

I've also mentioned that it was a bit of a neglected business, maybe about seven, eight years back and too much focus on mutual funds. And as we've started creating compelling value propositions, it helped us to drive significant value-added solutions.

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Our VAS revenue also as part of the coming from issuer solutions. We launched country's first insider trading platform directly latching onto the depository ecosystem. And we created ESOP administration service.

So there's a lot of work we are doing beyond just the folio -based servicing in this space. So yes, so broadly, expansion of number of folios, number of companies and the unit price, all possible in this business and has been happening for a fair bit of time.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi Bank. Please go ahead.

Dipanjan Ghosh: Hi, good morning, sir. So just a few questions. First, the data keeping question, if you can break your investor, international and other investor solutions business between core international and domestic AIF and alternates.

And second is on the data keeping question would be on the GBS side, you had earlier mentioned that your revenues would probably stabilize at the current level, but we see a dip. So if you can explain that ? So those are the two data keeping questions.

One or two small questions, which is in the alternate business, whenever you add any new client, is there a sort of a one -off income that you book? I mean, the yields have been kind of the realizations have been going up. So just wanted to get some sense on what is really driving that. And finally, on the international if you can break it up between flows and mark to market, even for 1H or FY '2024.

Sreekanth Nadella: Could you repeat your questions? The questions were not very clear. I'll answer the ones that were clear to me, and I'll probably request you to ask the others. Right. I mean, so I think there was a question on alternati

ves. And if there is a one -time episodic revenue that comes that helps us in terms of a rise in the yield or revenue that you see in alternatives . The answer is no. It's in fact the opposite.

We know when a new alternative investment fund is set up, we have set up costs, both in terms of instance creation for which we'll have to pay monies to AWS and other licenses. And till such time, the fund is not live, and the capital has been drawn. Our revenue actually does not even kick in.

So on the contrary, we actually have more cost than revenue with every new fund for some period of time, as is the case even with mutual funds. So it's not different. And however, if you're seeing the rise in revenue and the yields, that's largely because of a very purposeful orchestration we've been doing, which is to move away from a fixed cost per scheme per month, which is what used to be the operating model, which is quite a regressive model, actually.

And we have changed many of our contracts from that model into a basis points model. So what you're seeing actually is an expansion because of actually the nature of existing contract conversion, even as all new contracts are entirely based on the basis po ints, right , So that's for the alternatives.

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Dipanjan Ghosh: Okay.

Sreekanth Nadella: A question on the global business solutions. Mortgage, as we all know, that business stands as an outlier to what otherwise is an asset management business. And that is more a liability of mortgage management business in the form of business process outsourcing.

U.S. mortgages have been under significant stress and will continue to be so for a certain period of time. So we see this fluctuation because this is a manpower -based business, right, as the number of bodies required tend to fluctuate based on the business es they secure. It goes up and down.

At this moment in time, there has been a sharp decline in U.S. numbers, even as we have seen a sharp increase in Australia side of the same business, right? So we expect to see these numbers to fluctuate. And at some point, in time as an organization, we will be taking again a cautious and a purposeful decision in terms of our intent to stay put in a non -core business such as this. For now, it generates, some amount of cash as well as gives us some protection in the form of, you know, U.S. dollar, in the form of currency hedge, so on and so forth. So that's broadly on the GB S business, a business which we continue to sustain, but is not a focus area for the management to grow. So these two questions I've got, I have to, I'm afraid...

Dipanjan Ghosh: Okay, I'll just go forward with just two data -giving questions. One is on the international area and if you can break it up between flows and mark to market, that's a for 1H. And second was on the international and other investor solutions, if you can break it up between international /other investor solutions for 2Q and 1 H.

Sreekanth Nadella: Okay, on the flows versus the mark -to-market gains in Asia, it's nearly 100% thanks to flows.

Okay, mark -to-market gains had been tepid to negative. And in fact, the flows too were not very large. The revenue growth was on the back of new clients going live, right

So I guess what I'm trying to say is that the tailwinds that we had in India, we've been having, which is both an increase in the net flows and a mark -to-market . We didn't have that luxury in both of those metrics in Asia . Right, for a bunch of quarters in the recent past simply because

the markets haven't grown and neither had the AUMs.

But we started seeing that trend turn, late August, early September onwards, and we are clocking both net flow increases, which we are witnessing both in the form of AUM growth and the transaction volume growth, as well as mark -to-market gains.

For example, we've seen how Hong Kong, Hang

Seng has increased. Same is the case with the exchanges of Thailand and Malaysia, which do have been clocking an impressive mark -to-market gains in the recent months. So much of that advantage we hope to gain into the coming quarters. The breakup for...

Just give me a moment, please. Yes Amit , could you take that?

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Amit Murarka: Yes. So, I mean, the international business , is close to INR23 odd crores for the first half. My AIF business would also be close to around INR 23 odd crores. And then NPS is close to around INR5 odd crores, and the balance is another INR6 odd crores, which is, you know, the Webile .

Dipanjan Ghosh: Got it. Okay, sure. Thank you and all the best.

Moderator: Thank you. The last question is from the line of Uday Pai from Investor Capital Services. Please go ahead.

Uday Pai: Yes. Thank you for the opportunity. Just wanted your thought process on starting the KRA business and what are the rights to win in that business, given that two large depository and our competitor is already in that business. So, some color on that.

Sreekanth Nadella: Yes, great question. Thank you. So, it stems from the fact that today the capital markets has about roughly 9 crores odd, investors in the secondary market and about 3.8 in mutual funds.

And we believe that this number will easily quadruple in the next 8 to 10 years. So, getting to about 40 to 50 crores, which, means that there is a lot of addressable market that still needs to be served every single year, near about a crores Indian youngsters turn minor to major.

And as all of that happens, they become investment ready and they need KYC solutions or rather identity solutions, so to speak. So, there is a lot of market that needs to begin. And of course, given that we have 62% plus of asset management companies as our clients and near about 50% of primary and secondary market investors because we are the only RTA who operates both in the equity bond and in the mutual funds and the alternatives market .

Our target investor base is substantively higher than all others. And we also believe that from a solutioning standpoint, I think KYC end of the day is broadly taking care of your proof of address and identity. But as with every business that we have moved in, whether it is alternatives or wealth or international, we put tech and transformation first and we have firm reasons to believe that the current solutions are continuing to be suboptimal in terms of addressing the needs of both the distributor asset manager and the investor.

So, our bent of mind as we, hope to secure the approvals from the regulator and we are all building the platform as we speak is that we will be launching a materially different KYC solution in the industry.

And hence, so we are looking at both addressable market, which is still very, very large and that can be tapped into , two, a significant amount of client base who are already KFinTech 's client, both in the form of alternatives, mutual funds and in the primary markets and the security markets will be a definitive advantage to us.

Remember that the other KRAs are not in both of them simultaneously. And three, as I said, our solution, I can't speak more about it at this point in time but will be materially different and a significant cornerstone in the identity management of the industry.

Uday Pai: Sure, sir. Thank you for that elaborate answer.

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Moderator: Thank you. In the interest of time, this was the last question for today's conference call. I would now like to hand the conference over to Mr. Devesh Agarwal from IFL Securities.

Devesh Agarwal: I thank the KFin management for giving us an opportunity to host today's call. Before we conclude, may I ask Vivek to add any closing remarks?

Vivek Mathur: Thank you, Devesh. I think

we have covered it all. We continue to maintain focus in terms of our growth trajectory, both in India and overseas market and trying to de-risk the domestic business by expansion in the international market.

Again the in-principle approval given by RBI for setting up subsidiary in Thailand is a step in

that direction. And we will look forward to expanding beyond Thailand as we look upon the international business more closely. We'll continue to maintain traction in terms of growth in the domestic mutual fund business in parallel.

And we are cognizant of the mark -to-market gains that we are having while the core inflows remain intact. There are always five or six AMCs who underperform in terms of net inflows in the large set of AMCs that we service. So, as a cycle, it makes up over a period of time.

And we therefore remain buoyant that the core businesses of issuer solutions, domestic mutual fund business will continue to grow in the mid -teens on a sustainable basis, while international operations, AIF, fund accounting will continue to outgrow this growth. And overall, you know, we'll be able to manage our cost in terms of nimbleness to the need of the market.

Thank you so much for joining today. And we look forward to engagement in future.

Devesh Agarwal : Thank you Vivek . Thank you, everyone, for joining the call today and wish everyone a very Happy Diwali. Shlok, you may now conclude the call.

Moderator: Thank you, everyone. On behalf of I IFL Securities Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

CIN: L72400T G2017PL C117649
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compliance.corp@kfintech.com January 31, 2025 CS&G/STX/ MQ2025/17

1) National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Scrip Symbol: KFINTECH 2) BSE Limited

Phiroze Jeejeebhoy Towers ,
Dalal Street,

Mumbai – 400 001

Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations
and Disclosure Requirements) Regulations, 2015 (“LODR Regulations”)

Dear Sir / Madam,

Further to our previous intimation bearing reference no. CS&G/STX/MQ2025/02 dated January 08,
2025, pursuant to Regulation 30 and other applicable provisions of the LODR Regulations, please
find enclosed herewith the transcript of the Earnings Conference Call held on January 24 , 2025, in
respect of the standalone and consolidated unaudited financial results of the Company for the quarter
and nine months ended December 31 , 2024.

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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"KFin Technologies Limited

Q3 FY '25 Earnings Conference Call"

January 24, 2025

MANAGEMENT : MR. SREEKANTH NADELLA – MD AND CEO

MR. VIVEK MATHUR – CFO

MR. AMIT MURARKA – HEAD IR

MODERATOR : MR. DEVESH AGARWAL – IIFL CAPITAL SERVICES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KFinTech Q3 FY '25 Earnings Conference Call
hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -
only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch tone phone.

I now hand the conference over to Mr. Devesh Agarwal from IIFL Capital Services Limited.

Thank you, and over to you, sir.

Devesh Agarwal: Thank you, Steve. Good morning, everyone, and welcome to the Q3 FY '25 Earnings Call of KFin Technologies Limited. Today from the company, we have with us Mr. Sreekanth Nadella, MD and CEO; Mr. Vivek Mathur, CFO; and Mr. Amit Murarka, Head of Global Business Finance, M&A and Investor Relations.

I would now like to hand over the call to Mr. Sreekanth for his opening remarks, which will be followed by a Q&A session. Thank you, and over to you, Sreekanth.

Sreekanth Nadella: Thank you very much. Very good morning, very welcome to one and all. This is the first call of the New Year. So wishing all the participants a very happy new year as well. I couldn't be more thrilled to be able to announce our Q3 results, which continue to express the outcomes that we intend to deliver, which is a broad-based expansion of our businesses, profitable businesses and ones which are sustainable.

Our strategy for the last 5 years had been one that of diversifying risk whilst using that opportunity to expand our addressable market, which is, in some sense, on 3 axes. X-axis is increase in various different business services, not just RTA, but our fund accountant, our data and the technology leadership roles, CRM, mobility solutions, cloud solutions, what have you. Second is to expand into every asset class in the asset management industry, mutual funds, alternatives, PMS, pensions, private retirement schemes, bond markets, what have you. Third, a geographical expansion and not just a single country. We will always have cyclicalities in a single asset class in a single country, and hence, our intent had been to look beyond borders. And since then, we had been one of the few market -- further market intermediaries who have grown beyond borders.

Financially, the numbers are out there in the market. So you would have seen it. Our revenue grew about 33% year-on-year and same is the case with EBITDA and PAT numbers roughly about 35%. We are satisfied with the results in the context of the market-to-market gains being substantively low in the previous quarter and continues to be so.

Mutual funds continues to be our dominant business even as the other legs of businesses have been growing far faster, and we continue to track to the trajectory of getting the non-mutual fund businesses to be near about 50-odd percent over the next 3 to 5-year horizon. Our overall AUM also in terms of market share has grown as against a market expansion of 39.4 odd percent. We have grown about 42.8%. That's a good 300 basis points expansion in the overall AUM on a year-on-year basis. Same is the case on a sequential basis with a certain amount of expansion.

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But beyond what is more performance of our clients, our definitive performance largely in terms of winning additional contracts, Q3 had been a pretty consistent one for us. We won two large data lake contracts in the asset management space. That takes the total count to about eight. And this is a line of service which we are very, very keen to. It gives us, one, an opportunity to serve clients and generate direct revenue.

And just as importantly, all of that expands their own revenue in the form of formidable analytics that they use to

grow their expansion business. And hence, it kind of comes back to us as additional revenue eventually as well.

We have had a terrific quarter in the corporate registry business. We have added close to 366 clients in the last quarter. In the 9 months of this year, that's roughly about 1,000-odd new client contracts we have added. The total folio count has expanded by about 8 million. You would have seen KFinTech rendering IPO services to several large ones. In fact, probably every large IPO or the largest 5 IPOs in the country have been handled by us, whether it was Hyundai or Bajaj Housing Finance and NTPC Green, what have you.

We still have several large ones in the pipeline and probably the next largest one that's going to go public would be LG and others. So that expansion as well as the solutions we have created in corporate actions and corporate events meant that revenue continues to chug along at a healthy 24% plus on a year-on-year basis and driving about 20% CAGR over the past 3 to 4 years.

Moving along, international business, something that we're all excited, and I do recognize that so are you to a certain extent. Our client base has increased to 70 even as the contract base has expanded to 90. In the quarter that had gone by, we have signed two full service tier deals from a large asset management company and the trust, and these are based out of Philippines.

We have also signed a large -- another large deal in Malaysia, and we have received two letters of intent, which are being in the process of being converted into letter of awards in the coming weeks from a significant sized custodian in Malaysia and another asset manager in Malaysia.

again.

Our share -- market share in Malaysia at this moment in time surpasses over 50% in terms of total AMCs there. And as I've said in the previous quarter, the deals that we are -- we have been signing of late are materially larger in size as compared to the erstwhile ones. And that is truly a symptom of maturing and maturing business as well as the confidence that a particular country's ecosystem from a capital market standpoint gains in an administrator who does not necessarily belong to that country. And that level of confidence now is being exhibited in the countries of Philippines and in Thailand as well.

Alternatives, another area of focus for us. As I mentioned, this is one of the three axes. The second one was the asset classes. Today, we manage about 535 funds, getting our market share closer to 37% in terms of the number of funds. The AUM growth has been substantive at about close to 55% year-on-year, bringing our total assets under management to over INR1.4 trillion. We have been winning more than 60% plus in domestic market and about three fourth of the funds in the GIFT City. And we continue to be probably the only player in the country who have

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a proprietary fit-for-purpose platform, a fully integrated transfer agency and fund administration together, providing multicurrency, multi-asset and multi-geography solutions, and that probably explains the win rate, not just in India in GIFT City and beyond border as well.

Continuing on the line of the asset classes, National Pension system, a very important asset as well. I recognize the fact that it was not a substantive number in the overall scheme of things in the P&L. But I continue to maintain that over a period of time, this would be one of those businesses which could be providing a significant hedge against market movements, one, because of the stickiness; two, because nonlinear relation to market movements.

Very excited to tell you that we have grown 3x faster than the industry average. Industry has grown at about 12%. We've grown about 35%. And this quarter also marks the breakeven in this line of business, which means into the coming quarters as the number of pens

ioners expand. And

this particular quarter is always going to be the best quarter, the January, Feb, March for pensions.

So we are excited in terms of what we can do in this space beyond what was done. So in a limited period of 4 years, we moved from 0% market share to now close to 10% market share, which was otherwise dominated pretty much in a monopolistic scenario prior to KFinTech entering into the market.

I'll quickly move and cover a little bit at individual business line level now. Mutual funds, clearly, the largest of our asset -- largest of our business continue to perform very well in a year which probably is hard to replicate every year. I think overall industry has seen a tangible growth in this year, nearly about 35-odd percent. And we have been growing slightly ahead of the industry with marginal gains in market share.

Overall AUM has moved to now about 32.4%, hopefully, in time to come to get to one third and then expand from there on. And that is largely a combination of clearly our existing clients growing and the new client addition and our contribution directly to help our clients grow in the form of technological solutions and the other value-added solutions we're able to provide at extremely compelling cost propositions.

Our SIP book continues to be robust, close to 40% market share in that particular business transaction type. And I continue to maintain that SIP market share will be a good indicator in terms of where the overall AUM could be given this is the sticky retail book. A lumpy one-off investments will come and go, but a retail sticky book as it has been expanding now close to \$3 billion. If our market share there is about close to 40%, I'm hoping in time to come, we will get that far in terms of our overall market share expanding there as logic would suggest.

Our net flows continue to be positive in the quarter ending December 2025. We got about 39% of the total net flows. This should be read in the context of the total market share of KFin being about 33%, 32.5%, but the net flows are at about 38.7% in that context. And obviously, we have orchestrated and supported a material number of NFOs, in fact, close to 57% of all NFOs that were launched in the previous quarter were handled by KFinTech.

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The transaction volume continues to expand, which calls obviously for significant investments into our own technological infrastructure solutions, people, business process reorchestration as well as the growing regulatory needs, not just in India, but across the globe.

As I've already called out, we continue to work on the value-added solutions as probably the controllable side of income that we can work on, which is to get -- to provide large-scale engineering solutions and some of them are our clients and some of them are not necessarily our current RTA clients. But in spite and despite of that, we're able to add value for all and in the ecosystem. We have also started building a mobility platform for the industry body for mutual funds. And in the coming quarter, we should be able to go live and present that to you as well. Issuer Solutions beyond mutual funds, as I've already called out, the expansion both in the form of number of clients and in the number of folios augurs very well. The retail democratization of participation into the India's growth story in capital markets continues to be a tailwind for us. We understand there are about 2,000 -odd IPOs that are going to happen into the next 24 months. And our market share standing close to -- in terms of market cap at about 50% today. We believe that we have commendable opportunity to take a much larger market share than what we could in the past few quarters. And the win rate and the growth rate in the corporate registry had nearly doubled in the last 2 quarters as compared to the year before that. And tha

t shows in

the form of number of RTA mandates that we have won, which are yet to go live and also the ones that have gone public in the last 1, 2 quarters, one would have noticed a perceptible jump in the number of IPOs being managed by KFinTech in that space.

The folio count aside the yield that we derive from at a folio level continues to largely remain stable, though this is not related or linked to the market movements. But the yield can move up and down depending upon which particular company has more retail participation versus participation coming down because of their own strong performance, what have you.

On the international side, the deals that we won largely Sun Life, a very large asset manager, a global asset manager, in fact, and in one of the largest in Philippines, we have won the deals of not just the Sun Life as an AMC, but also Sun Life as a custodian and a trustee, which effectively means the contracts which that entity will get from other asset management companies will also be our clients.

So the way to look at it is it isn't necessarily two contracts. It is two contracts definitely, but then the number of asset management companies would be more than two as the AMCs who are under the Corporation of Sun Life would eventually become our clients as we deliver the services to them.

There are close to about nine asset management companies, which are in transition of delivery. We have announced them in Q2 and some in Q1 and of course, some of them now. As I've said, it takes roughly about 2 to 3 quarters depending upon the size and complexity of the contract for us to be able to transition it. And hence, the revenue for these 9 contracts is yet to be clocked and goes well, hopefully into the -- as we move into subsequent quarters.

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One of the biggest accomplishments we've had in the previous quarter was to sign with BlackRock, the world's largest asset manager to be in their list of marquee fund administrator, only eight, and we are the ninth one across the globe for implementation of Aladdin. There was a press release that happened.

We are working with BlackRock as we speak in terms of the go-to-market strategy, in terms of how every geography, every client who is in their partner network, how KFinTech would tap into it. Whilst we have the overall process and comprehension, the very specifics and the semantics of engaging with those fund managers is being discussed at this point in time. There will be more announcements to come into the coming quarter.

But we are very, very excited in terms of the potential opportunity. Of course, the opportunity, mathematically speaking, is roughly about 108 -odd funds, probably about \$10 -odd trillion worth of assets and KFinTech having an equal opportunity to potentially chase all of them. And it is truly about our value proposition and what is that we can offer is what's going to change it. But clearly, it's something that we're very, very excited about. It's an opportunity we've been working for nearly 18 months. It is a very complex process to be identified as one of the global marquee providers.

I'll quickly move on. Beyond just the RTA, our acquisition of Hexagram about 2, 2.5 years back, we got into that, as I said, to expand business services, not just RTA, but also fund administration, and that was going to be our segue into international fund solutions. Very happy to inform you about significant growth in the revenue and the contracts we are winning via Hexagram.

Today, we manage about eight asset management companies or eight AMCs in mutual funds use mPower platform. 60% of all pension fund managers and similar number in insurance companies today use mPower as a platform. Nearly every alternative fund that KFinTech managers today uses mPower fund administration, and then we continue to expand the use cases

for that.
Th

at brings me to the next very, very important announcement we have already made, but I'm very excited about is our doubling down of commitment and effort into the wealth industry. In the month of October, we have launched mPower Wealth in the Hubbis even t in Mumbai. And very happy to inform you that in a matter of 3 months, we signed five large contracts in wealth and marquee names such as Tata Capital, Aditya Birla Wealth, NextEdge , Northern ARC and several others in the pipeline. And this is an industr y, we believe will have a very important role to play as the affluence levels of individuals expand.

I continue to believe in the trajectory of Indians being net borrowers to savers, to investors now, which is largely where asset management companies come into play. But the affluent lot will need professional wealth management solutions. And we are bringi ng in same and better efficiency with much better technology as we are building it up bottom up without any legacy considerations. And that explains possibly the expansion into the wealth industry in a rather quick time of 95 contracts in a matter of a qu arter since the launch of this new asset.

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And that is a global platform and wealth as a solution, of course, is not as regulated as others are asset classes. And we have built this bottom -up to be relevant in every geography in the world. So as we move our international journey, we would be adding this solution along with our asset management solutions of transfer agency fund accounting and the big data solutions. I'll quickly move on into the younger and the faster businesses of the Alternatives. I've already called out in terms of the number of AMCs that -- number of funds that we have added in the quarter. Overall, AUM has increased by nearly 55% year -on-year. We manage about roughly INR1.4 trillion worth of assets. And some of it is only TA and some of it is both TA and FA. And hence, the yield we derive would not be the same and consistent across each funds and that depends on the scope of the services we render. Fund administration, we have renewed a contract from our largest asset management company client on mPower. And w e have also recently signed with a very large insurance company, again, who would be leveraging the platform for fund accounting and administration in the insurance industry.

Pensions, I've called out last few quarters, 2 quarters back, I think we were growing at 2x the industry in the pensions. Again, very heartening to see our growth, and I'm happy to inform you that we have expanded that growth profile from 2x the industr y t o 3x the industry, near about 3x the industry, now 35% over 12% of the industry growth in the pensions. We've touched -- we're going to touch a very important milestone of 10% overall market share by end of this quarter in all likelihood and hopefully exp and quite fast after that.

With that, I'm going to hand over to Vivek to cover financial performance. I'll turn it over to you for your questions.

Vivek Mathur : Thank you, Sreekanth. On the overall financial performance, the revenue has gone up sequentially as well across all segments, except the mortgage segment, which is noncore for us. Overall, revenue growth year -on-year is about 33% and same is for 9 months e nded December, even sequentially 3.4% growth. Across business lines, we have seen growth and with new client wins and addition of AUM.

So one interesting phenomenon in mutual fund that we witnessed this time in this quarter is that although the mark -to-market was negative, while the net inflows remained positive and it compensated for the mark -to-market loss, resulting in a growth of AUM, which has benefited us in terms of the fee as well. So the industry is doing well in terms of attracting fresh investment as well as SIP -- strong SIP inflows, which is giving us better result

s.

In terms of the various mix of the revenue, mutual fund revenue, fee -based revenues is 71%. The Issuer Solutions business is 14%. The International and Other Investor Solutions business is about 11%. Within that, GFS is about 5%, AIF is about 5%, Pension and Webile is about 2% and the mortgage business, GBS is about 2.7%. That's the breakup of the revenue mix that we have seen. And in terms of EBITDA margins, we remain strong.

The last quarter that we have seen has again touched back to 45%, while the overall revenue continues to be in the range of 40% to 45% that we have been giving because of better performance on the overall segments, it continues to be in the range of 44% to 45%. The

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EBITDA margins, as I talked about, have seen a sequential dip of 10 bps, but that's more to do with some bit of seasonality that we have seen. Otherwise, in terms of the overall results, they are still 44.1%.

PAT margins are -- PAT has also grown by about 35% year -on-year for the same quarter and 44% for the 9 months. PAT margins are in the range of 31% for the quarter and 30.6% for the year. We remain cash positive. We have a dry powder of almost INR570 crores sitting in cash and cash equivalents, which we will utilize as per the Board policy for business expansion, M&A and the Board policy at the year -end in terms of looking at dividend payout if the Board considers that.

The diluted EPS has gone up by 34% year -on-year. And for the 9 months, it has gone up by 43%. We remain guided in terms of maintaining frugality on expenses as some of the expenses have gone up during the quarter in terms of investment into IT and expansion, which we are cognizant of. And as Sreekanth mentioned, that we are looking at innovative ways of optimizing even IT expenses. Currently, we spend about 18% of our total revenue on IT, including people and new developments and new products. So we continue to remain positive about the growth of the company across segments.

Happy to take questions now.

Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: It's good to see the progress and the broad -based growth across verticals. So congrats on that. See, I have a question on the new businesses or the new deal wins. If it's possible to get a sense of the overall contract value just so that we are better able to forecast growth going forward ?

Sreekanth Nadella: So I would probably prefer to have a separate conversation with Amit on that, given these are a number of deals. But broadly, to give you a picture, given some of these are license deals, for example, our fund accounting platform, you'll have a little lump y revenue on year 1 and then about 25% to 30 -odd percent of AMC contract value pretty much in perpetuity after that. Some are deals that are won today, but revenue will kick in after, say, 2 months or 3 months depending upon when it gets transitioned, so on and so forth.

But -- and same is the case with international, too, right? So it would be a little -- how do I put it, it won't be appropriate to give a number or even a range given the numbers would vary between which year you look at, right? But let me give you a context of the international contract wins.

On an average, the deal sizes earlier used to be anywhere about INR1 crore s or so per annum recurring right annuity. That deal size now, if I average out the last 6 deals that we have signed, has now expanded to over nearly about INR3 crores to INR3.5 crores, right? And the deals that we are now in the pipeline are closer to \$1 million in terms of each deal that we are looking to work with.

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Abhijeet Sakhare: Got it. Just a follow -up, again, in terms of -- you me

ntioned on the alternative space, there's a

mix of both TA and FA. So is it possible to give a realization across both these buckets?

Sreekanth Nadella: So the TA opportunity, which -- so basically, alternatives work slightly differently in comparison to mutual fund houses, right? Mutual fund houses are large. They have large vendor management teams, so on and so forth. And there is a preference of multiple different partners being there, one for transfer agency, one for data, one for fund accounting, one for order management system, etcetera.

And that's the natural evolution of the mutual fund industry. In the case of alternatives, many of them are reasonably small fit -outs. They manage large AUMs, but reasonably small fit -outs. And they prefer a single partner who has the ability to deliver all. This is pretty much a global phenomenon as well.

I mean if you look at funds that are in any of the offshore locations such as Luxembourg and so on and so forth, the fund administrator not just does transfer agency, but also does fund accounting, legal, part of legal aspects and even some amount of good related management solutions, so on and so forth. We have expanded our solutions to cover pretty much all of it, including partnerships with custodians and trustees, what have you. But our pure play TA deals are largely the ones that we initially started in 2021, right?

And because in those days, even we didn't have the capability to render everything else. And those opportunities give us spread of anywhere about 1.5 to 2 basis points. And of late, pretty much almost every opportunity we enter into is a combination of transfer agency and fund accounting, a full solution stack, and that gets anywhere between 2.5 to 3 basis points.

Abhijeet Sakhare: That was helpful. Last one is if you could give us some outlook on the expense growth, at least what sort of a commitment expenses that are in the pipeline? Some of it, I'm guessing would be

linked to how the overall revenue will also pan out ?

Sreekanth Nadella: Sure. We have seen a reasonably sharp expansion in expenses this year, as you might have noticed from the P&L. And that is obviously one for a significant expansion of the volumes that the industry has seen. Yes, there is a certain amount of mark -to-market growth -related revenue as well, but that pretty much tapered off in the last 2 quarters as quickly as it offered as any mark -to-market relief.

So it is a symptom of expansion of headcount and the technological investments. Of course, the headcount does not go in the same proportion as the total volumes. But the tech costs are, in many ways, can grow much faster than even the payroll component in India. And that's what we have seen in terms of our cloud costs expanding rapidly, which I continue to believe we will invest in our solutions to be cloud first.

We have completed our journey of data movement into cloud. We are on course to move pretty much our entire application stack and API stack as well into the cloud. That provides us the scalability that is required and the nimbleness that is needed. So I do believe that the cost expansion was commensurate in case of mutual funds to the total growth of volumes. The other businesses, of course, are not as scaled as we all know. So wins in, say, the international and

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alternatives and wealth and a few others comes with a little bit more expense to begin with or at least let me put it this way that they're slightly margin dilutive in the initial years.

And some of these have matured over the last 3, 4 years, international, especially and alternatives is in the process of maturing. So I believe that the cost expansion into the coming year into April, which we obviously will keep a very close watch. We will try to limit to about 10 -odd percent and the capex is where we continue to invest. We have

spent over INR65-odd, INR75-odd crores

already in terms of infrastructure. A large portion of this, again, is in hardware and some very tangible assets such as the wealth platform that we've created. So cash flows vis -a-vis capex, we are looking to be bringing in another INR60 crores to INR70 crores in the coming year.

Moderator: The next question is from the line of Supratim Datta from Ambit .

Supratim Datta: I have three questions. The first one on the BlackRock opportunity, and you laid out how there are 108 funds and all would like to tap into that. But just wanted to understand, given BlackRock, 75% of their assets are in the US and Europe that they manage through Aladdin. Would this require you to acquire an asset there to access this opportunity? Or could you do that with your current capabilities? And if you -- if that requires an acquisition, then could you remind us again what kind and what size of acquisition are you looking at? That would be the first question.

Two, when I look at the other eight partners, those are all large financial institutions like BNP Paribas, JP Morgan, Northern Trust. Now they provide both custody, fund administration, TA services, all 3 stacks together. Then as the same providing only TA and FA, how do you -- what is your right to win against these players? Again, if you could give us some color on that, that would be very helpful.

And lastly, keeping to the international business, we have seen that there have been deals in the pipeline for Singapore for the last nearly 5 quarters, but that hasn't really translated into actually the deal win. What is stopping us there? Or when do we see this transitioning from pipeline to actual deal wins, particularly in Singapore? If you could let us know, that would be very helpful.

Sreekanth Nadella: Thanks, Supratim. Great question. So I'll start with the first one in terms of the operating model and the necessity to have a local structure for us to be able to service a client. The answer is it is not necessary. It's not mandatory. Just I'll bring your attention to the funds we're currently managing, which are domiciled in Canada. We do not have any presence in Canada or anywhere in Europe at this moment in time, and we're able to render the solutions 100% from offshore.

So whilst it is not a regulatory need, but it could be a client expectation, and that's understandable. But again, if you see our 70 -odd clients that we have in these countries, we currently do not have feet on street in Singapore or in Hong Kong. We didn't have feet on street even in Thailand actually until we won the first contract. And same is the case with Philippines, we just added 1 person about 9 months back, whereas we've been servicing that country for almost 3.5 years now.

So it's not a regulatory need, but it's always good to have some feet on street. And that's what definitely we will be doing, right? As we scope out the opportunities and which is the right place, is it better to be in the location of the client? Or is it better to be in the location where the other

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fund administrators are there because that is where largely the funds get transited from, which is largely the offshore location, so to speak. So those are the conversations we are having. And should there be a necessity to actually have a structure to be there, we will do it as we have recently done in Thailand and in Philippines. You must have noticed the approvals we received both from RBI as well as the local regulators for our expansion in Thailand and recently into the GIFT City as well. So to that extent, absolutely, these are all in the realm of possibility. And for now, this is not a constraint for us to at least chase these contracts, so to speak. Second question in terms of -- you're right, all the 8 that you speak of are both banks and custodians and also FA a

nd TA and what's our right to win. And this is a question that obviously, we've asked ourselves not now 5 years back when we started our international journey as to how exactly are we going to compete with any of these global fund administrators where many of them happen to also render bank and custody solutions as well. And again, I'll just draw your attention. In India, too, it was no different many years back, right?

When many of these global funds came to India, about 7, 8 years back in India, we had Goldman Sachs, you got Morgan Stanley, you got Deutsche, you got Citi, got several other global fund managers in India who also were banks, custodians and an FA, TA providers, and they had captive setups, right?

And it has happened over a period of time that the fund managers would realize the importance of having a specialized fund administrator solution provider because that comes naturally to us. That is our forte, and that may or may not necessarily be the case with banks whose bigger revenue pie will always be the banking relationship and the custodial relationship.

So our market study and the client study points to a significant dissonance in the fund managers when it comes to the services being rendered by the incumbents on the transfer agency and on fund accounting side. So what we have done in the past, and I'd like to believe we'll repeat the same success is we are not a bank and a custodian, we won't be, but we can definitely stitch alliances, which is what we've done in many parts of Asia and which is something that we will replicate, I'm sure as we move along is having a partnership with custodians, right?

So we have Deutsche Bank and StanChart, who are our custodian and banking partners in Asia, and we are working with HSBC to make it happen soon. Likewise, we have done the same thing in GIFT City as well, and we will replicate the same model elsewhere. So that's pretty much how we look at this world. It's not a constraint. There are entities who may prefer to have one neck to choke bank plus custody plus FA plus TA.

But our market study points to that leading to a significant end investor dissatisfaction and regulatory noncompliances. But those are the ones that we take care of in a significantly better fashion, given that is pretty much the only thing that we do as a fund administrator here today, right? So that's the second.

Third, I think your question on Singapore and the pipeline in general. So again, great question, right? So we have focused in Asia to begin with. And within Asia, Malaysia and then Philippines and Thailand. Singapore and Hong Kong happened largely because of our current delivery in

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Malaysia was liked very much by my current clients, and it is the same client who wanted us to deliver the services in Hong Kong and Singapore, which is what we've expanded to those countries.

There is, however, one small hitch, which is that both the markets are not large mutual fund markets. They are predominantly alternatives market with significant amount of FII, FPI, private equity, venture capital funds being the dominant asset class as against mutual funds there. And for that is why we had focused on developing our XAlt platform, which is basically a platform that is needed for multi-asset, multi-currency, multi-geography, which I already spoke about. Without that platform, I do not have a stake in the ground to win alternatives clients beyond India, correct?

And that also explains to you, if you analyze all my 70 clients and 90 contracts international, barring the ones in Canada, they are all mutual fund mandates. And hence, to move into Singapore and Hong Kong, it was the platform that was needed, and it is built, it is ready. We are about to go live.

But along the way, of course, we were contemplating a buy versus build strategy, whether to do an acquisition

and/or directly launch our solutions in the form of alternatives. And both of those are in motion as we speak. So hopefully, you will see both organic wins as well as maybe some progress on the M&A as well.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha: Congratulations on a good set of numbers. Just on this international business opportunity, I remember a couple of quarters back, you had said that this could be a \$25 million or so in 2 years' time. Now we've also added additional BlackRock Aladdin capabilities. Would you want to revise that guidance with this new addition? What sort of incremental revenues could we see? That would be my main question. Yes.

Sreekanth Nadella: Thanks again, a great question. I would love to answer in affirmation and probably give a number. What I can definitely do is the first one, which is to say, yes, I'd like to believe that it will be a much higher opportunity at scale. And that is the reason why we worked on this opportunity for such a long period of time. It's not very easy to be in that marquee list, and there was 18 months of due diligence that happened, significant engagement in that regard. That said, I would be in a better position to answer this question mathematically, probably into the coming quarter. As I've just mentioned that we've signed the contract late December. And of course, much of the US and Europe, as you would know, goes on vacation. They just came back. We had preliminary conversations with them into the coming 4 to 6 weeks, we'll have far more engagement to understand the process of go-to-market, the market opportunity and the ways to get there and hopefully then put a number on it and then come back to you.

Madhukar Ladha: Just one more follow-up. Recently, Jio BlackRock announced that your competitor has been selected as the RTA in India. What's happening there? I would have really thought that you having the Aladdin capability now would be a partner of choice given BlackRock, it is Jio

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BlackRock. So what's happening? Maybe some color around why we didn't get that deal that will also be helpful?

Sreekanth Nadella: Yes, most definitely. So both of these were happening in tandem. In fact, our engagement on international on Aladdin started, as I said, 18 months back, whereas the India-specific Jio asset management opportunity started much, much later, nearly almost 8 to 9 months of our engagement with the global partner, so to speak. And like every organization would have its mechanisms of risk diversification in terms of where they would want to engage with a partner versus somewhere else.

And both BlackRock and us felt we had a much larger opportunity to work on the international side of it. And Aladdin, of course, whilst it is a global platform, that is not the platform that today, any of the asset managers are using in India. So that wasn't a strength or a different in any form and shape. This was a decision made largely in the context of where the opportunity size and the capabilities exist, and they wanted to diversify the risk in terms of working with the partners.

Moderator: The next question is from the line of Shrija Pathak from JK Capital Management.

Shrija Pathak: The pretext of my question has really got to do with the market performance. Over the past couple of months, you know that it's been muted. So just looking at your year-on-year AUM growth, is there a possibility where you can maybe give the contribution from the market performance versus the SIP inflow or the other inflow that has come into all these fund houses? So I'm trying to get this to maybe next year when if the market or FY '25 when the market doesn't perform well and maybe we won't see the AUM growth coming from the market, but maybe from the SIP inflows that are coming in.

So yes, just given on that, if you could just give the contribution.

Sreekanth Nadella: Sure. Thanks for that. Very, very important question in the context of what is probably looking like a cyclical slowdown of India's economy. I'll just draw attention to Q3 in terms of how it panned out and a little bit of insights into what's happened over the last 3 weeks in this very month itself and how possibly we can extrapolate that into the coming quarters, if I may, right? I mean Q3, as Vivek had already called out, there was a mark-to-market correction by over 4%, 4.5% over Q2.

And however, that got compensated by higher net flows. The net flows in Q3 were 20% higher as compared to Q2 of this fiscal year. So -- but of course, more volume -- I mean, more net flows means more volumes and more transactions. And obviously, there will be commensurate costs associated with that. So in Q3, despite a mark-to-market slowdown, the MF industry and ergo, us, who are basically the administrators in that area, still continue to grow, albeit at a smaller pace.

And I guess the momentum dropped to just about 3.5% quarter-on-quarter, though our businesses, we believe it is more a year-on-year story as against quarter-on-quarter story always. If I look at the first 3 weeks of this year, we continue to -- so there's another close to 4% drop in mark-to-market.

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And we continue to see a reasonably commensurate decline in AUM in this quarter, which effectively points to this very simple fact that the net flows -- net inflows haven't been strong enough to offset the mark -to-market correction that has happened. Now t his can be attributed to a little bit of slowness in market mobilization and/or a little bit of caution being exhibited by the retail investors. But 3 weeks is not a definitive amount of time for anyone to take to make into any kind of conclusion.

It's definitely into the next 4 to 6 weeks, we will get to know. But by and large, the investor behavior has been -- has about a paradigm shift in India with markets when they're down, there has been more mobilization of money coming into the industry and hence, offsetting the impact of mark -to-market. I hope it will continue. And obviously, many key drivers, including the upcoming budget so on and so forth will probably -- will have some role to play in terms of how we see this to evolve. But we are, at t he moment, a little cautious in terms of how to project the overall AUM growth into the next year.

Shrija Pathak: I have a follow -up question to that. So say, just taking a worst case possible, the market doesn't do well, the inflow really slows down. What is your sensitivity? What is your revenue sensitivity to such conditions?

Sreekanth Nadella: Yes, great question. And this is the genesis of our entire journey over the last 5 years, which is risk diversification, if not move away, but at least reduce the reliance on one asset class mutual funds and one geography India and hence, the dependency in the mark -to-market, right?

Diversification meant that we moved close to about 35% of our revenue profile to come from other avenues, and we want to get it to about 50% in some time to come. But in the near term, then, of course, we cont inue to have near about 65% of our revenue bearing to equity.

Within that, equity, mutual funds is roughly about 55 -odd percent, close to 60%, if I may, as the asset class generating the commensurate amount of revenue. Clearly, if there is a significant drop with no offset happening in the form of net flows, we will have probably adverse impact anywhere between 4% to 5% decline in revenue sequentially, so to speak. But on a year -on-year basis, we should still be doing all right in the context of a significant expansion of AUMs starting from Q2 of this fiscal year.

Moderator: The next question is from the line of Pranuj Shah

from JP Morgan.

Pranuj Shah: So Sreekanth, one question on your wealth management proposition. Could you -- because I think a lot of these clients, at least who are larger wealth managers in India also work with you on the AIF piece or the domestic RTA piece. So exactly how will this particular proposition differ from the TA and FA services that you're already providing?

That is one. Second is I think on your sequentially, if I look at the international and Other Investor Solutions business, the revenue growth has been relatively weaker as compared to the AUM growth. So was that largely because there were some lumpy transi tion revenues last quarter, which weren't there at this time?

And last question, I think someone asked earlier, but I'm not sure if you addressed that. Like any update on a potential international acquisition? Those are my questions.

Sreekanth Nadella: So the first one, in terms of the mPower Wealth, the wealth platform we've launched. See, the asset management solution, largely transfer agency, which is managing your investor side, the liabilities of your book, right, investor onboarding and then the creation of units and destruction of the units as the redempti on happens, so on and so forth.

That is a full -fledged operations activity. It is our platform, it is our service, so on and so forth. In the case of wealth, it is different because when you come to a wealth manager, you would be selling both your own captive funds, but also third -party funds right? And that can be any asset classes. In the case of mutual funds, it is only mutual funds we deal with.

But if you are a wealth manager for a particular investor who could be the client, your portfolio can be spread across direct equity, PMS, alternatives, insurance, international exposure, maybe even cryptos, what have you, right? So it is -- every single a sset class gets rolled into it.

And from our solution standpoint, it is a platform that we need to provide to the wealth team, which means that the relationship managers rolled up to the overall wealth organization and how they acquire and service their clients, sell various different pr oducts and create a portfolio and provide the engagement solutions in terms of how they work with the investors in terms of portfolio reconstruction, providing the right kind of MIS analytics, so on and so forth and also provide a platform for the investo r to see their own wealth movement, if I may.

So this is a very, very different solution, right, as compared to the TA, which is very, very

specific to that one asset class of that one specific asset management company and the deep down operations of it, whereas here, this particular platform and the processes operate at one level above, which means that it is possible your portfolio may have all the 45 mutual funds, 50 portfolio management services, 10 alternate investment funds, crypto, what have you. So it's a different construct altogether. I hope that clarifies that.

Pranuj Shah: Just one follow-up. How do the revenues in this particular segment? Is it on the basis of the AUM that the fund manager manages -- or is there a fixed fee for using a platform?

Sreekanth Nadella: So we got both models. We obviously work with -- in most cases, it is a full service model, which means that it's our platform, our service and we underwrite all the risk associated with that, much like in the case of mutual funds. And hence, to be a true partner to underwrite the risk and not just give the platform, we charge basis points. So -- in wealth, too, there are various places where we -- it is fully our people, our processes, our risk management, our platform and hence, there is basis points.

But in situations where a client may want -- and this happens largely with banks, if I may. And they may want -- they already have a wealth practice, but w

hat they want is far better platform, either to replace the current one or to create a new one, in which event it is largely going to be implementation costs followed by a license fee either classified model or on an AMC model subsequently.

Pranuj Shah: Understood.

Sreekanth Nadella: Your other questions in terms of...

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Pranuj Shah: So were there any lumpy revenues on the international and other investor solutions last quarter, which weren't there this time?

Sreekanth Nadella: Short answer is absolutely yes. We -- in the last quarter, if you recollect, I've announced a deal called Amanahraya Investment Managers, I mean, one of the larger deals we have signed a very large sovereign fund in Malaysia. And that gave us a little bit of lumpy revenue in that one quarter. And the revenue recognition of that deal staggers across multiple quarters and the component of the Q1 was higher. But as we move into the Q4, some of such revenue would come. So there was an interim slight dip in that lumpy revenue, if I may.

Vivek Mathur : This is Vivek Mathur. I just want to add to what Sreekanth mentioned. See, in international business, especially in Southeast Asia, it takes 18 to 24 months to win a client. And then there is a license revenue and there is a recurring revenue. So looking at it on a quarter-on-quarter basis will not give you an immediate answer. While the overall non-MF revenue grew by 2%, the GFS international business grew by 8%, which was a combination of increase in AUM and new client win revenues.

So you'll have to watch it quarter after quarter and then look at the growth in this business. And the wealth business client wins that Sreekanth talked about, we haven't yet clocked the revenue into the P&L. These are client wins which will go live. So that's another reason that 1 quarter may not be a correct reflection of the revenue, which is in the client win pipeline, which will clock in, in the coming quarters.

Pranuj Shah: So when would these revenues start getting built into the -- from the wealth piece?

Vivek Mathur : Wealth revenue will start coming in from next quarter, I mean, in JFM.

Moderator: The next question is from the line of Uday Pai from Investec.

Uday Pai: I just wanted some more color on the custodian partnership that you mentioned with Sun Life.

Could you please share more details on that? And do you think you have opportunities to make such other partnership in other geographies as well? That's the only question I had.

Sreekanth Nadella: Sure. I'll just clarify one point. With Sun Life, it's not a custodial partnership. It's a contract we have won from Sun Life custody, right? So Sun Life is an AMC in Philippines, and they also are a custody. We have won the contracts to render one directly to Sun Life as an AMC. Second, the other AMCs that today, Sun Life custody provides the custodial services, and that is about 4 or 5 more asset management companies that scope is getting discovered.

And so to that extent, it is working with them and their clients. And it is a similar situation with the other LOI we received in Malaysia, which is again with another custodial services who have multiple other AMCs whom they currently support and service.

The custodial partnerships we have are largely with StanChart and Deutsche Bank. And as I said, we are working with other large bank-based custodians as well in that part of the world and outside of Asia as well. And those partnerships help us with 1 or 2 ways. One, should there be an RFP that states that the AMC is looking at a single partner to provide bank custody, fund

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accounting and transfer agency book together, then we have a joint go -to-market strategy, which is it will be both of us together and then hence, you meet the criteria of the RFP.

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ond, as these custodians add layers of AMCs largely from FA standpoint, we become the natural partner for them to add transfer agency services whilst they continue to be the principal, okay? I hope that clarifies that.

Uday Pai: That was very useful.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: Just a few questions. First, going back to the BlackRock Aladdin partnership. While you mentioned the opportunity size in terms of the number of clients and AUMs managed on the Aladdin platform. Just wanted to understand in terms of the eight partners who are already existing, would you have done some due diligence on the revenue clock by this partnership still now, be it BNP, StanC and the eight put together, what would be the revenue pool sitting out there?

Second, if you can quantify the Hexagram revenues for the quarter or maybe 9 months? And lastly, on the Issuer Solutions business, you mentioned that there can be some volatility in yields depending on the underlying holdings pattern. So if you can give so me clarificat ion on that, that will be great?

Sreekanth Nadella: The first one, in terms of the alignment we have, we don't know at an individual administrator level as each of those administrators not just leverage Aladdin to provide solutions, but they also have their own potential captive in -house platforms. They could also be working with many other platforms, industry platforms such as Charles River and Advent -- sorry, Geneva by Advent and there are a few more platforms out there in the world, right? So their revenue obviously will be a combination of several other items.

And hence, we can't simply add up their revenues and see how much of that is coming from them. But what I can -- what our understanding is we look at largely from the standpoint of the yield that they drive, and that is still largely in the form of convers ations we have with potential fund managers. And largely, we figure that out either doing NDRs that we do and/or through market intelligence. And that was the right to win that we've had, which is that many of these administrators charge nearly 2 x to 2.5x the basis points that we charge here in India.

And these are much larger asset sizes, too, right? I mean, like, for example, a typical alternate investment fund in India could be about INR3,000 crores or INR4,000 crores of AUM, but most of the funds out there run into billions of dollars. And even at that asset value, the basis points is nearly 2 x to 3x larger than what we charge today. So our right to win is to be able to provide far compelling value at much lower cost structures.

So I guess, in some way, if you were to just do a macro words -- macro calculation of it, probably 6 or 7 basis points and multiply with that \$11 -odd trillion is largely probably going to be the addressable market if I may, right? But as I said, we will ne ed to have far more engagement with the entities into the coming months. We will understand as to what is the definitive revenue

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possible, but that could be the addressable market from a top -down approach. I think there was another question about...

Dipanjan Ghosh: The Hexagram revenue and the Issuer Solution yields.

Sreekanth Nadella: The issuer Solution, the point I was trying to make is we manage close to about 7,000 -odd clients, right, and about 650 -odd listed and the rest of listed companies. The folio yield levels, just like in the case of mutual funds yield, even the portfolio als o has a certain yield and the pricing of folios varies by different clients, right? And that becomes a market negotiated rate, could be various factors, including the number of retail folios to the quantum of business we get versus multi ple other things.

So I guess what I'm trying to say is that as the quarters and months go, you will have certai

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stocks performing very well, certain stocks not performing very well. And as that happens, the folio, that is the retail participation in each of these companies also varies, right? For example, you may have a very large conglomerate whose value may come down by 20%, 25% on account of poor results or anything.

And then you may see a market sort of retail investors from that to some other company. Now if that happens, obviously, the number of folios comes down and so does my revenue associated with that. And it is possible that one particular company's yield that I derive could be -- when I say yield, I mean, per folio cost could be higher or lower compared to the average that I have.

And hence, there is a fluctuation even at the folio level in terms of the yield we derive. That's what I was referring to.

Dipanjan Ghosh: Got it. On the Hexagram revenue, if you can quantify that?

Sreekanth Nadella: Sure. Vivek, would you want to take that?

Vivek Mathur : Yes, yes. So Hexagram had a revenue of about INR9.5 crores for 9 months ended December versus about INR6 crores for the same period last year. So it's a 60% plus growth year -on-year.

Dipanjan Ghosh: Got it. And just one question, sir. In your opening commentary, you mentioned that you want to take up the international solutions business revenue to around 15%. Did I hear it correctly?

Sreekanth Nadella: No. I mentioned that non -mutual fund revenue, which includes all others, our aim is to bring that to 50% of the total book.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question for today's conference call. I now hand the conference over to Mr. Devesh Agarwal for their closing comments.

Devesh Agarwal: On behalf of IIFL Capital, I thank the KFin management for giving us an opportunity to host the call today. Before we conclude, Vivek, would you like to add any closing remarks?

Vivek Mathur : Thanks, Devesh. I think there is nothing more. We have already covered the details. We continue to remain buoyant about the various businesses in terms of the growth potential, and we do expect that the market will remain supportive, especially the net inf lows as we see and the new SIP hits that are coming through. The behavior of the retail investors and the tokenization of the

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mutual fund ticket size that the regulator is attempting to garner more AUM will certainly help in terms of the AUM industry.

Our efforts in terms of international expansion with the approval of Thailand and GIFT City are opening up more doors for us to expand into geographies as we look at even Singapore and Dubai in times to come to set up our offices. And we actively remain engaged in evaluating M&A targets so that the growth can be fast tracked. And overall, the EBITDA margins will remain in the range of 40% to 45% that we have been maintaining.

That's all from our side. Thank you so much for joining today.

Devesh Agarwal: Thank you, sir. Thank you, everyone, for joining in today. Steve, you may now conclude the call.

Moderator: On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2025

April 21 , 202 5 CS&G/STX/ JQ202 5/11
1) National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Symbol: KFINTECH 2) BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street,
Mumbai – 400 001
Scrip Code: 543720

Sub. : Transcript of Conference Call

Dear Sir / Madam,

Further to our previous intimation bearing reference no. CS&G/STX/JQ202 5/07 dated April 16, 202 5, please find enclosed herewith the transcript of the Conference Call held on April 16, 202 5, in respect of Acquisition of Ascent Fund Services (Singapore) Pte. Ltd. by the Company .

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/wp-content/uploads/2025/04/KFintech-Update-on-Ascent-Concall-Transcript.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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"KFin Technologies Limited
Update Conference Call"
April 16, 2025

MANAGEMENT : MR. SREEKANTH NADELLA – MD AND CEO
M R. VIVEK MATHUR – CFO
M R. AMIT MURARKA – HEAD IR

KFin Technologies Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Update Conference Call of KFin Technologies Limited, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Murarka. Thank you, and over to you, sir.

Amit Murarka: Thank you. Good day all. Thanks for joining this call at a very short notice. We have the management team of KFintech, Mr. Sreekanth Nadella, who is the MD and CEO; Mr. Vivek

Mathur, who is the CFO; and me, Amit Murarka - Head IR. The purpose of this call is to give an update in terms of the transaction that KFin has just signed with Ascent Fund Services. I'll hand over the mic to Mr. Sreekanth to take you through the transaction and the deal. Over to you, Sreekanth.

Sreekanth Nadella: Thank you, Amit. Very good evening, good morning, good afternoon, depending upon which part of the geography you are in. Once again, my sincere thanks for joining on a very short notice. My team would have circulated some content around it.

Today marks a very important day, very important moment and a milestone day, if I may, in the overall journey line of KFinTech. As we have been articulating for a while now, our North Star, our vision had been and will continue to be the first large global fund administrator domiciled in India.

In that context, today, we have a very important announcement to make, an announcement that we firmly believe is fully aligned, complements and supplements our vision to be one of the world's leading fund administrator over a period of time, delivering significant value to the fund managers, to the entire intermediary ecosystem, delivering through frugal engineering and highly innovative solutions and a workforce whilst strategic.

Today, we have signed an agreement with Ascent Fund Services, which is based out of Singapore. And I will, over the next 20, 25 minutes, walk you through some of the deal dynamics and the rationale as to why we have chosen Ascent and why they too have chosen KFinTech in this journey line, and we'll leave the floor open for questions subsequent to that.

Ascent Fund Services as an organization is 5 years in the making, but probably one of the fastest-growing fund administrators across the Asian region and probably even the world in terms of the impressive growth percentages they've clocked.

As an organization, it's currently present or rather the client are present across 18 different countries spreading across the continents of Asia, Europe, Americas and even part of Africa as well. The organization has its financial year starting in the month of July. So it's not necessarily aligned with that of India.

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But if you were to take the 6 months ending '25, the total revenue that has been clocked is roughly about \$13.5 million. And with a current run rate of roughly about \$1.5 million, it is continuing to grow over 35% year-on-year. And a fund size, total funds that are being supported by the organization are a little over 576 funds.

As an organization, they are a full-stack provider. They render transfer agency services, fund accounting services, corporate services and solutions, which I will double down a little bit more or double-click a little bit more in a little while from now in terms of what does that entail.

It's also a fintech company providing fit-for-purpose services in the capital market infrastructure space, much like KFinTech does today, providing value-added solutions services through its technology as a component, w

hether it is data lake solutions, mobility, analytics, cloud solutions, what have you.

The overall transaction allows KFinTech an immediate control stake of about 51% and with a very definitive path to gain 100% ownership over the next 5 years. From our overall investment corpus spend standpoint, we are committed to infuse about close to \$30 million as a secondary and \$5 million as primary, making the organization valued at \$63 million pre-money and about \$68 million post money.

And as I said, this \$34.7 million gives KFinTech a 51% control as and when the infusion of cash happens. The transaction itself will take anywhere between 3 to 4 months in our opinion, given this is a highly regulated business. Both the entities, Ascent and KFinTech has to take approvals from the relevant regulators.

So if it is KFinTech, it is from SEBI, PFRDA, what have you. And if it is Ascent from the regulator's office from Singapore, from Hong Kong and other parts of the world where they are currently domiciled delivering the services at this point in time.

Post the investment, it will have the three founders of Ascent and KFinTech to be the principal shareholders. I will explain to you in a little while from now in terms of the current -- the shareholding structure of this entity. The remaining 49%, KFinTech is poised to acquire from the year FY '28, '29 and '30 in the tranches of 16.3% each, that gets us to 49%, and we would get 51% at the time of infusement of cash. And hence, we get to total 100% by end of fiscal year FY '30.

The valuation for the outer years is contingent and dependent on the performance by the organization, business performance in terms of margins, EBITDA to be more specific. And overall, we believe that the transaction is highly accretive for our organization and definitely to add significant value to the entire ecosystem.

We are looking at closing the transaction sometime between July and August 2025. As I said,

post the signatures, which have happened today, we will immediately be proceeding with the downstream steps in terms of reaching out to the regulators on to the next steps.

I will, over the next few minutes, give a quick glance in terms of Ascent Fund Services as an organization. As I said, it's headquartered in Singapore, started in 2019 Fund Solutions and KFin Technologies Limited

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services, which is basically a fund administrator job, primarily that of what KFinTech does today, houses really about 92% of the total revenue.

Corporate Solutions is largely solutions in terms of whether it is financial statements preparation, items around data, items around certain advisory services, which are at a corporate level, data stack, all of that basically adds about another 8.5% to the total revenue book, that's the corporate solutions. Fintech Solutions, pretty small at this point in time, probably about 0.5%, but holds a significant amount of promise into the coming years. I would explain to you in terms of what exactly falls within that.

Primarily, it could be a fit-for-purpose services, whether it is just rendering KYC solutions or anti-money laundering screening solutions to analytics, so on and so forth. These Fintech solutions unlike in India, are largely decoupled in the rest of the world from the RTA services and hence, offers us a great opportunity to look at various other fund houses who may not necessarily be our clients at this point in time, but are very happy to extend immediately Fintech type of activities from a scope of servicing standpoint.

As an organization, Ascent is globally spread out, 23 offices cutting across 13 different countries with a fair bit of delivery happening between India and Malaysia. And of course, you have sales and account management functions residing in the local offices in the various other 23 or other 13 countries that I'm talking about.

It is also very exciting to note that they

have six licenses across Middle East, whether it is DIFC

or with ADGM, definitely, of course, in Singapore and in Hong Kong and IFSC within the GIFT City and looking to expand into other geographies as we speak.

Totally, 576 funds live at this point in time, managing the total assets under administration to the tune of \$24 billion. These numbers are all as of H1 of fiscal '25 for the client -- sorry, for the Ascent Fund Services. From a fund domiciliation also, it's a very nicely spread out in terms of our own corporate objectives in terms of how we intend to scale up our global fund administration business.

Singapore continues to be the single largest base as they are headquartered there. Cayman Islands has another 25% of the total number of funds domiciled in that part of region and serviced through a combination of onshore and offshore locations. Saudi Arabia, BVI structures occupy the remaining 20-odd percent of the geography spread out, if I may.

And just as well as the geographical spread out is also the spread out of asset mix. The private equity, the VC, the RE, high-frequency funds, they occupy roughly about 40% of the total asset mix and another a little over a third of that being occupied by the hedge funds and the rest of 25-odd percent through digital funds, which is a combination of whether it is tokenized solutions or whether it is unitized partial REITs, InvITs, what have you, including crypto. So that's a very, very interesting mix of asset classes.

And if you see, it spectacularly complements that KFin's solutions. As you all know, KFin is largely a mutual fund player, largely public market funds and largely an RTA player. And what Ascent offers is exact diametrically opposite, but a complementing mix of both the type of KFin Technologies Limited

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assets, the type of business services and the geographies where they are currently servicing, right?

As I said, from a revenue standpoint for the fiscal year FY '24, they ended with about \$13-plus million in revenue. And the current run rate is roughly about \$1.5 million, which means that we have a line of sight even based on just the current run rate to be over \$18 million of revenue on an annualized basis.

The recurring nature of the revenue is a very, very important facet of our business. Again, much like KFinTech, 92%, 93% of the total revenues are recurring in nature. And the gross margins, which are healthy in the context of how nascent this organization is just 5 years into it, already getting to about 52% plus. Gross margins is a very healthy indicator in terms of the scale and the productivity the organization is able to deliver. Purely on the margin standpoint, continue to clock losses, but at velocity, which is decreasing quite dramatically.

For the fiscal year FY '24, it ended with pretty much a marginal loss at an EBITDA level of 0.7 million, but has turned positive in the first half of FY '25. So that clearly is a path from 30-odd

percent negative EBITDA already turning positive. And with a whole lot of synergies and the scale benefits that will start to accrue from here on, we expect a quicker turnaround in terms of the margins as well.

As an organization, it's largely in terms of the relationship, it's at a business class level, every type of asset, every business process, whether it is fund administration, transfer agency. In fact, Ascent offers some more additional solutions and services even when compared to KFinTech, especially on the advisory services in the upstream activities, fund setup, right, which is a very, very important aspect of it, whereas KFin today, as you know, broadly starts once the fund setup happens largely from an operation standpoint.

So purely from a value chain as well, it is one step beyond what we currently add. And hence, it's a hugely complementary item, one that obviously we intend to leverage for our expansion from a K

Fintech standpoint as well. And a very, very good, strong broader market connectivity the organization has, which is important, obviously.

Like us, it's very, very important to be able to have a large-scale integrations with most number of custodians and being regulated by so many different entities of different countries, while it comes with its own cost, but definitely adds a whole lot of confidence to every single client as they understand and realize that as an organization, we have been delivering spectacular job in terms of being compliant with every single transaction, every single scheme, fund, house level and at every geography level broadly, right? So the 13 countries, we will publish probably a little bit more detailed note.

But broadly, as I said, much of that is today between Southeast Asia and Cayman Islands. Middle East is a very, very promising geography in terms of, obviously, the potential that it has and more importantly, being one of the early mover advantage that we have as an organization. It is a full-stack service and solutions. The overall leadership itself, while the organization is just KFin Technologies Limited

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about 5 years old, I think the leaders who have built this organization have nearly 2 decades-long expertise being in the same field.

Largely, the founders have come from backgrounds of being with Apex and Deutsche and Citco and so on and so forth. And the entire team is very fit-for-purpose team, which fully understands the structures across the globe and the leadership providing the right kind of direction as they are subject matter experts themselves having come from this very industry managing the funds. What exactly is Ascent's role in terms of today, much like that of KFinTech, it has been providing a very credible alternative to larger fund administrators as they have their own margin pressures as they have challenges in terms of go-to-market, how quickly can a tech solution be brought up, how quickly can a fund be set up and be serviced and the cost at which it is getting rendered. I have in my past quarterly updates to this community have always explained in terms of the opportunity that lies ahead for us in the global markets. And this is exactly the proof of pudding that I'm talking about in terms of how quickly an organization could scale up from 0 to 575 funds across multiple countries and turn profitability, right?

And how exactly will it complement KFinTech to now be a force multiplier. And as I guess, the cliché saying goes 1 plus 1, it's not 2. We intend to make it at least 10, if not 20. And that's exactly what we believe is going to happen into the coming years.

Handling the complexity at a regulatory level for the fund manager is also getting incrementally challenging as they have setups across multiple geographies. And at an investor level, they would always look to have a roll-up view. And to that extent, having a singular fund administrator is a very critical step in the direction. And that is a need in the market, which we will be able to bridge in times to come.

So the 3 solutions that I called out, I'll just do a little bit of a deep dive into each of those. The fund solutions is very similar to what we offer today, KFinTech in India and other parts of the world, but in mutual funds is where we offer.

Here, these are definitely private markets and their scope also includes public markets, but it's largely the prelaunch support, the entire fund administration side moving from order management to middle office settlement processes into NAV computations into the RTA side, investor onboarding and the entire investor servicing that we do here, the tax reporting aspects as well, right? So as I said, this is the biggest section in terms of the revenue, contributing to over 92%.

The corporate solutions is an area, which something is refreshingly different, but something that is

offered, if I may, by the global fund administrators. And hence, we believe this is a very important arrow that we would -- even as KFinTech, we would kind of embrace these into the public market funds as we would expand organically as well.

So that includes whether it is corporate accounting, the statement preparations, much of the geographies need XBRL standard filings that need to happen from a data to data integration, secretarial functions, so on and so forth.

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The tech and analytics solutions I've already spoken about purely on the onboarding side of it, eKYCs, anti-money laundering, screening activities, so on and so forth. And this is right now the smallest section, but again, a very, very exciting prospect. Just happy to inform that recently, they have signed a deal with a very large bank in Singapore to offer KYC screening as a solution, which itself is a multimillion dollar opportunity on an annualized basis and something that the organization intends to scale up as a separate vertical in a much larger manner into the coming years.

I'll just take a few seconds to explain in terms of the licenses they have, right, and for what topic, right? Singapore, of course, the governing body is ACRA and then Ascent started in 2019 in Singapore after securing its license from ACRA largely from a secretarial standpoint, moved into Hong Kong. GIFT City, of course, they are there. We were competitors, but obviously, we will have synergies from here on, and I'll talk about the kind of synergies we intend to get from here on.

ADGM for Abu Dhabi specifically for fund administration and ADGM is also the governing body when it comes to all of UAE from being a corporate service provider, corporate service provider, I already explained to you in terms of the scope of services that we have. Mauritius and Dubai, all these licenses already being there and Dubai being the latest in terms of the license that they have secured.

And of course, from a physical presence and/or client support, definitely much of Asia that includes Singapore, Hong Kong, Taiwan, Malaysia, so on and so forth, including Marshall Islands and Australia. And on the Western Hemisphere as you move towards, you will have U.S. some funds. Cayman Islands is large, further set up already nearly about 23% of the total funds being there. U.K. jersey, so on and so forth.

Some of the contents here in the slide where I wouldn't belabor much except to tell you that these dots on the map gave us a great confidence in terms of the leadership's ability to scale up an organization across jurisdictions, across the globe, across fund types and whilst being extremely prudent in terms of the commercials with a very firm focus on driving a profitable growth as against an irrational expansion across the globe.

The leaders themselves, Kaushal Mandalia is the Chairman, ex-apex, Credit Suisse and BNP; CEO, Jaideep Mukhariya and Samuel Chen, again, ex-Goldman Sachs and Citco. All of them are subject matter experts and entrepreneurs par excellence who have built this organization. And then they have a very long career ahead of them given their age profile at this point in time. As an organization, given it is largely still our operations work, nearly about 2/3 of the organization is ops, of which more than half is domiciled in India and about 30% is domiciled in Malaysia. The rest of them are largely tech, data scientists, account management and sales organizations. But as you could see, overall, a near \$18 million of revenue is being delivered by a total headcount of no more than 200 people.

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So the revenue per employee, obviously, is significantly higher metric as compared to even an organization like us. But that's largely a factor of dealing with the public funds versus private funds in terms of the volumes

that we have.

I will continue in terms of some broad KPIs in terms of the growth. If you see Ascent's growth in terms of the total number of funds, they had about 200 funds in 2022, obviously 0 in 2019. The 200 has now become 576 as of the first half of -- that ends on January 2025, which is 3 months back. And this number obviously is higher as we speak today. That marks near over 60% CAGR in terms of the number of funds and purely in terms of revenue, a 34% CAGR growth, which is pretty impressive.

Important call out here, of course, is something we're also impressed with is the minimum revenue model, right, which means that irrespective of the size of the fund, there's a definitive amount of revenue that the organization would accrue. And obviously, once it crosses the threshold, the basis points at that point in time would kick in. So our growth, obviously, is now going to be driven on both the aspects of it, funds where the AUM is below the threshold as they grow the threshold, obviously, the AUM-based fee will come.

And the new client acquisition, as you have seen, growing over 60% CAGR adds immediate revenue as and when the new funds get added into this equation. Totally, assets under

administration also has moved dramatically from about \$7-odd million in 2022, now as of January '25 to \$24 billion under assets. And the EBITDA movement as well has been very heartwarming now already having turned the corner in January 2025.

I've called out some of the rationale as to why KFinTech was intentful of it. I think our steer was from day 1 very clear to be a global fund administrator. The total book in terms of the fund administrators, what is available in the public domain itself is over \$12 billion to \$13 billion. But if you count captively held and large bank-based fund administration solutions that are being rendered, it is over a \$30-plus billion revenue across the globe.

And clearly, KFin's or any Indian fund administrators share of that pie is practically 0, right?

And this gives us the first footprint into that. And it also helps us to diversify KFinTech's risks as we've been pretty vocal, over dependency only on mutual funds and India, whilst we believe that both mutual funds and India will continue to grow.

But financial services is always a cyclical story. And diversification is extremely important, and it helps KFinTech to be able to diversify its revenue pool. So today, the fund services, the global fund services for KFin is roughly about 5% of the total revenue pool. With this acquisition, we'll move close to 20% plus of the revenue coming only from the global fund services and reducing the dependency on India mutual funds to close to about 52%, 53% or thereabouts.

And obviously, a significant amount of understanding and insights into the ways of working of various other private market funds. And that's a knowledge that we will gain and there is a significant amount of technological support that we'll be able to extend in terms of the synergies. Licenses is always a tough job. It's a highly time-consuming activity.

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Having starting with already 6-odd licenses is greatly beneficial. And with the combined might of KFin's balance sheet strength and its credibility and track record with that of Ascent, we'd like to believe that we can grow the rest of the geographies and the licensing part of it much faster and much stronger.

Always acquisitions are all about people. And as had been the case with every acquisition that KFinTech had done, the leaders will continue to lead the organization. They are highly inspired individuals, and they're also highly incentivized from the standpoint of making this business growing multiple in years to come.

There is a meeting of minds, young organizations, both KFin and Ascent from a management standpoint and like to believe that in time to come, these 2 will become a

force multiplier and

not just a pure mathematics and the nonhuman element of it, if I may.

The transaction structure too helps KFinTech in terms of the cash management effectively at 51% stake and about \$34 million, INR300 crores of cash outflow, we will be funding it entirely from our internal accruals. So this is not a leveraged transaction. Our internal accruals will take care of. As of 31st December 2024, as you are aware, we have about INR570 crores of cash. And this transaction, as I said, is about INR300 crores, notwithstanding the accruals we would have made in the last 3 years -- 3 months, my apologies.

The remaining 16.33%, as I said, would be in the fiscal year '28, '29 and '30 at the end of those years. And even that too would be nearly entirely be through the internal accruals with no leverage being baked into it.

Quickly speaking about the synergies that we have. As I said, synergies in the form of KFin's presence and its capabilities on public market funds is very, very large, as is also evidenced by our own growth in Southeast Asia. And Ascent's presence in many countries beyond Asia helps us to have a foot in the door, including their own clientele and the public market funds. So that's a synergy that KFin would get by virtue of Ascent's presence across the globe and their, I would admit a superior sales network, if I may, as against what we have built thus far.

Likewise, Ascent also will significantly gain with the larger balance sheet strength of KFin, its technological prowess. KFinTech today has over 1,500 consummate technology professionals creating some of the best and cutting-edge technologies in the world, and Ascent would stand to gain in a significant manner with that. We also believe a massive amount of synergies, hopefully, in the next 3 to 4 months, we should start unraveling those in the context of KFinTech signing up with BlackRock as its preferred partner for Aladdin.

And the strengths of Ascent, combined with the platform capabilities and the global reach of BlackRock and KFin's own abilities, hopefully, will start seeing fruition in the coming months as well. As a business, today, Ascent largely leverages third-party platforms to be able to render services.

One of the big synergy items that we will be exploring in the coming weeks and months would be about leveraging KFinTech's own platforms as against third-party platforms, which would further optimize at a cost level and also would make KFin's platform a globally relevant

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platform, right, in real quick time, even as we are still largely India and Asia-centric. Hopefully, this will become a platform to recon with into the rest of the world as we move.

I will take -- I think I pretty much concluded what I wanted to speak about this acquisition. I will take a pause here and hand it over to Amit and probably leave the floor open for questions.

Amit Murarka: Thanks, Sreekanth. Yes. So we'll open the floor for the Q&A.

Moderator: Thank you, gentlemen. We will now begin the question and answer session. The first question comes from the line of Supratim Datta from Ambit Capital.

Supratim Datta: Firstly, I wanted to understand that now that you have Ascent as a platform, you have Hexagram as a platform as well. So how could you manage the two different leadership teams? Or how would the responsibilities be divided so that you can retain both the leadership team? So if you could give us some color on that, what are the plans of retaining both the leadership teams?

So how do you integrate both these platforms that -- if you could give some color on that, that also will be very helpful. Because I wanted to understand that in Southeast Asia, which platform do you sell now? Is it Hexagram or is it Ascent Fund? -- for the deal part of the 49% that will happen over 28, 29 and 30, I wanted to understand what would be the deal metric

for that? Is it

EV by sales or EV by EBITDA? If you could give some color on that, that also will be very helpful.

Sreekanth Nadella: Thanks, Supratim. Great questions. So the first one, I want to clarify, Ascent Fund Services is not a platform company. Hexagram is a platform company. There is no competition. There is no competing platforms. Ascent today leverages, I've already called out, third-party platforms to render services. Think of a scenario where a company -- a mutual fund company today takes KFinTech's platform and renders services by putting their own employees, right? So that's the model Ascent has. So there is absolutely no competition. This is complementing.

Ascent today uses third-party platform puts its own people render services. Hexagram has its own platform and does not render services today. So in fact, it is not competing. It is actually complementing because one of the synergies that we intend to drive into the coming quarters as we move ahead is to see the fitment of Hexagram's platform into the services that Ascent renders today and hence, over time, replace the third-party platform they use it with Hexagram. Right? So to that extent, it's not competing. It's highly supplementing and complementing.

Second, the metrics in terms of today, if you see the first math is very evident, right, at a \$63 million valuation, it is basically under 4x the revenue, right, from a multiple standpoint on the investment. Into the years 3, 4 and 5, the metric that we have agreed would be on the business performance at EBITDA level. And the numbers obviously will be driven by the company. And the number can fluctuate depending upon their performance. Obviously, they are more incentivized for a much higher EBITDA level that they would be delivering to.

Moderator: We'll move on to the next question. That comes from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

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Abhijeet Sakhare: Sreekanth, just on the previous point that you made, Ascent then gives you like a geographical presence across all of these markets. And in that sense, just wanted to understand when you look at the realizations, right, about 7, 8 basis points, the headline simple math, I wanted to sort of get a breakdown of what would be, let's say, a simple cost of revenues or the underlying cost of the product itself, right? And then the rest of the cost overheads in terms of employees, offices and rest of it.

Sreekanth Nadella: Abhijeet, yes, so the gross margins called out is roughly about 52% at this point in time, right, cutting across all the three business lines. And that gross margin will expand, obviously, as the AUMs of the fund houses and the funds that Ascent is already servicing. So if it is a continual growth only based on new fund addition, obviously, there is going to be a commensurate nonlinear cost addition, if I may, right, for each of those funds. But the growth coming from any of the existing funds always give you much significantly higher operating leverage, if I may. And so to that extent, I would see the gross margins moving from 52% to about 60% to 60% plus in the near to medium term, which gets it somewhere near to KFinTech, though we are at a higher level. And in terms of the admin overheads, whatever you saw the total team size, it's extremely small, just about 200 people. So outside of the operations, it's -- and the technology, it's largely just the sales organization.

And again, for a growing company, it's always going to be continual investments in terms of opening new geographies or new business development expenditure, what have you. And you will not be able to see a firm margin contribution much like how KFinTech is, now we are 35 years in the making and they are 5 years into it.

And if you were to relate this to our Global Fund Services, you would see the same situation there, which is ef

fectively that as we win a fund for the first few quarters, there is only cost, but no commensurate revenue. But the advantage with Ascent model, unlike KFin's model is because these are all private funds.

The transition or the setup time is very, very limited. It can be anywhere between a few weeks to a month as against our transitions, which can range anywhere between 6 to 9 months. So I'd expect the cost of operation to keep coming down and hence contribute more into the gross margins in the coming quarters.

Abhijeet Sakhare: Got it. And secondly, when we look at Ascent's progress or journey, I mean, it's a phenomenon that in the last 5 years, they've been able to build a \$24 billion AUM business. But in some ways, it also tells you that relationships probably matter more than the underlying platform because these guys have built it up using third-party platforms. So in that context, I wanted to get a sense of how easy would it be to replace existing platforms, how sensitive are underlying clients?

Do they get to pick those platforms? Or they're basically agnostic and the underlying product itself is not visible to the end clients, and that's how you can basically pull out the older ones and replace it with KFin. And subsequently, some time frames around this journey and what would it mean in terms of profit margins or profit growth?

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Sreekanth Nadella: No, absolutely excellent question. So it is definitely a combination. It would be imprudent to single out only relationship as the basis or only the platform as the basis. I would put a combination of relationships platform and most important of all is the expertise that the teams bring into this, right? And I think ability to understand the client requirements and understand how it fits into the platform's capabilities.

And remember, you need to work with a third-party platform to make customizations because alternatives is a highly bespoke product unlike mutual funds. So our ability or anybody's ability to not just understand the platform, but look at the client requirements and also triage with the third-party platform, customize it, keep it ready and go live and take -- be very swift in terms of go-to-market.

And deliver all of this at a significantly lower cost as compared to the competition is something that is definitely the -- if I may, the secret sauce or the secret sauce behind this growth. Can the third-party platform be replaced? And will the client really care about it? I suppose it will be horses for courses.

There will be a few who may be fussed about it. It depends on, I guess, who the corresponding operations lead at the fund houses. If they are more familiar and more comfortable with the fund admin platform they are using, they may want us to stick to it. But as always, there are very many fund managers who are dispassionate about the platform because they only look at the service and the outcome end of the day.

So we believe that we will find as we do the gap assessment, a certain set of people for whom we will, over a period of time, replace probably the third party with our own custom-made platform.

For some, it might continue. And for larger funds, even the third party they use today or KFin's mPower, for example, may not meet the requirements. And for them, probably the platinum standard of only Aladdin might work, right? And that is where we are going to, to be a multi-tenant platform nevertheless. We will be agnostic of the platform. We will create our own platform nevertheless. We will build the solution and service, which best fits the requirements of the client.

Remember, it's always about the client and what is the best we can deliver to them, keeping their comfort close to mind and delivering a value proposition which is a significant cost reduction for them whilst continuing to deliver margins that we are more familiar

and cognizant with KFin.

How long will it take? As I said, the transaction itself is 3-odd months away, and we are not waiting for that to happen.

Our conversations internally in terms of doing fit gap assessment of what Hexagram's platform can provide versus what the current third-party providers are there in terms of the maturity scale and the subsequent changes that are required, so on and so forth is an activity we will start immediately. It's too little -- I guess it's a bit premature at this moment in time, Abhijeet, for me to comment about the time lines as to when we will start actually replacing our -- rather the platform with us at some point in time.

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Abhijeet Sakhare: Got it. And then to just squeeze one more Sreekanth sir.

Moderator: Sorry to interrupt, Abhijeet, I would request you to rejoin the queue if you have any further questions. The next question comes from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Just a few questions from my side. One, if you can give some color on the revenue concentration, let's say, the top 10 or top 50 funds within Ascent's mix. Second, this was one of the questions asked by one of the previous participants in terms of the employee retention strategies. So as I understand that over a course of, let's say, let's say, the next 5 to 6 years, the founders would have broadly monetized their stake and maybe the ESOPs, if any, of the top management also would have kind of got utilized.

So what makes you believe that you can really retain them? Will there be any employee retention program, ESOP program or onetime payouts that comes along 3 years from now when you kind of go in for the remaining tranches? And last question is on the realizations. While it is currently at around 7.5 basis points, it seems around '23 or maybe a year prior, it was around double digits. So what is really driving this moderation? Is it acquisition of large clients or going into different sort of clients out there?

Sreekanth Nadella: All right, Dipanjan, Sure, thanks a lot for that. Three questions. The first one in terms of the revenue concentration, you've seen the total funds being serviced is 576 funds across \$24 billion, giving roughly about \$17 million to \$18 million as revenue. This isn't like MF concentration where top 2, top 5 can have a very heavy weightage in terms of the total revenue.

This is a highly secular spread of revenue across almost all of these fund houses. So the biggest client would not be contributing more than 1.5% to 2% of the revenue, right? So we do not see -- we did not -- in fact, that was one of the important parameters for us in terms of our evaluation criteria as well. And we did not see any concentration risk in that angle.

In terms of the leadership retention, as you've seen over the last 5, 6 years since we started acquiring and in fact, even going back to 7 years when we first acquired Deutsche Bank's RTA in Malaysia, which is the foundation for us to do our global fund services today in Asia. The leadership of every organization we have acquired thus far, 100% of them have stayed back. They have all thrived and prospered themselves both personally as well as contributed to the organizational growth. That comes from, one, the acquiring company's culture and its ability to integrate and assimilate various personalities into the organization, rightsize the incentivization structure.

As you have seen even in this case, year 3, year 4 and year 5, year 5 is when the last tranche of payouts would happen. So obviously, there is a minimum 5 years of an ongoing leadership presence. We obviously have already started conversations from our HR into understanding as a part of the cultural integration component.

Their compensation structures, their motivations, so on and so forth, as has been the case with all other founders whom KFinTech has

acquired, there would be ongoing incentivization in the form of ESOPs for the combined entity.

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The quantum, etcetera, of course, is not something that we need to discuss at this point in time, but fair to say that, that would be there as an incentivization. But that said, take a look at the disposition of the founders themselves, right?

And I think with the combined intent of both of us together trying to create one-of-its-kind entity across the globe, that is more than just the monetary component that had always been driving KFinTech and its subsidiaries, and I'm very confident that will be the same here as well. Quickly addressing your point on the basis points. So I think sometime around sometime around September, October, right? The organization has acquired a client in Saudi, Albilad. And that particular was the first client in terms of expanding its scope of operations.

It added a significant amount of AUA, nearly about \$5 billion on a point-to-point basis. That's why you would see a jump from \$19 billion to about \$24 billion. But that happened nearly at the end of the year, which means that you do not have a full year's revenue baked in the revenue, but the point-to-point AUA has been baked in.

And hence, when you divide the revenue over the AUA, it appears as there has been a drop in basis points, but that's merely simply because of the timing gap. So basically, it is not 7. It is higher than 7, let me put it that way.

Moderator: The next question comes from the line of Aman Dugar from Nuvama Wealth. Aman, are you there? In case if you're on mute, I would request you to unmute yourself. Since there's no response from Aman, we'll move to the next participant. That would be Uday Pai from Investec. Please go ahead.

Uday Pai: Most of the questions have been asked. Just 1 question. The 52% kind of gross margin that you mentioned, -- is it largely the cost side of it? Is it largely the platform cost or any other costs are

included in the gross margin calculations?

Sreekanth Nadella: It's platform and people, the operations people.

Uday Pai: Platform. Okay. Okay, that's it from my side.

Vivek Mathur: This is Vivek. I just want to add on to what Sreekanth mentioned. The platform cost is miniscule. It's just about 5% of the expenses. The bulk of the cost comes from employee cost and other expenses related to infrastructure.

Uday Pai: Okay. So the platform cost is just 5% of the 48% expenses, right?

Vivek Mathur: Yes.

Moderator: The next question comes from the line of Prayesh Jain from Motilal Oswal Finance Services.

Please go ahead.

Prayesh Jain: Just a couple of questions. Firstly, sir, is it fair to assume that the realizations are about in the 12 to 14 bps kind of realization? That's question number one. Second is, does this acquisition impact your get added, it's kind of margin and earnings dilutive to you in the sense that from a KFin Technologies Limited

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percentage basis. Now obviously, as it turns profitable, will add to your overall profitability. But from a margin percentage perspective.

And third would be, given that these are primarily in the alternate business, are these -- the 500-plus scheme funds, are these funds or are these schemes and these schemes would have a limited life and you would have to kind of keep looking at the business again, acquiring schemes?

Or is it the fund house, which kind of manage multiple schemes and the fund house kind of takes up with just one partner. So I'm trying to understand that whether you're doing scheme-wise or these are funds and kind of sustainable like MF business where once you get into MF entity, you kind of continue to do the business forever? Those will be my 3 questions.

Sreekanth Nadella: Sure. Thank you. So the first answer, reasonably binary. It's not 12, 14, it's not 7. The number is closer to 10 b

asis points on the realized yield. In terms of margin dilution, clearly, as you've seen, it already has turned EBITDA positive. And into the coming months and quarters, hopefully, it will -- the margin expansion will happen. Clearly, it is not at the same margin level as KFinTech. So to that extent, obviously, for a shorter period of time as the organization gets that far.

And then we start realizing our own synergies, so there will be a further cost takeout. As we start consolidating office space, technology, shared service functions and replacement of platforms, what have you. So we would expect a faster path to margin contribution at the similar levels as KFinTech is.

So clearly, at that point in time, it would contribute to even higher, hopefully, the margins than even what KFinTech does today. But obviously, until such point in time, it will be a number that will keep tracking to get to KFinTech numbers and being slightly higher over the next bunch of quarters, probably a year at best.

In terms of the 576, those are schemes and are not funds. I want to clarify that. The total number of fund houses are close to about 263, 264 fund houses. These numbers are as of Jan. Obviously, these numbers have expanded. It is also possible, like you suggested, that the schemes can get closed. But even from a fund house standpoint, as you could see, the ratio is nearly 1:2.

For every fund house, we have just about 2-odd schemes. And it's not -- in some cases, it will be higher. In some cases, it could just be 1. And again, this is just very, very early days of an organization, which is of the 5 years, probably the first year had just gone in licensing and just setting it act together, and there is COVID in between as well. So a very short period of time, so the kind of traction they have gained.

And based on our own due diligence and assessment we've conducted, I think there is a plentitude of fund houses who are keen to join the organization as a client. And also, I just want to call this out.

There are many funds that they could not necessarily tap into in terms of pitching for RFPs, what have you. And vice versa, those fund houses and funds, which are larger in size, if I may, KFin Technologies Limited

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probably would not necessarily have considered Ascent as the go-to service provider, largely on the balance sheet strength itself, right?

I mean large fund houses issue -- when they issue RFP, they look at your net worth, they look at the size of the organization, so on and so forth. So by virtue of this acquisition, they will have access to a much, much larger and a sizably bigger fund houses and fund sizes as this transaction consummates.

Prayesh Jain: Sir, clarification on that. So when you say -- so a fund house can have multiple fund

administrators and Ascent would be one of them. Is that the fair way to think?

Sreekanth Nadella: It's not necessarily, but it is possible. It is possible that -- take a look at even KFinTech today, right? I mean there are fund houses for whom we are the fund administrator for a bunch of funds, right? In fact, Ascent, as a competitor was also rendering fund administration services to some of the schemes, it could be some other competition of KFin who could be also there rendering the services.

So it depends on the fund houses strategy. Some of it is purely because they want to diversify the risk. Some of it is because they probably feel more comfortable in terms of an entity handling, let's say, a CAT III fund, which is more public market oriented versus a CAT II, which is where private equity comes into picture.

There can be fund houses who are more intentful of segregating transfer agency and fund accounting. So it depends on the philosophy of the fund house. It is possible there is more than one fund administrator in the fund houses that Ascent is currently servicing to.

And that actually is a great

opportunity for us, right? Because in almost all these cases, the

Ascent as an organization had started the services 4 to 5 years back. And any client would look at a little bit of track record before they start moving away and consolidating.

Right? Because eventually, a fund house would always prefer to have a singular fund administrator to render all services because from their standpoint, their customer is important. If their customer A has invested in Fund A and Fund B and Fund C, they would not want to have different set of services, different set of statements, different experience, if I may, from the fund house to come through.

So from their vantage point, they would always prefer one fund administrator. And that for Ascent is a great opportunity to basically have a larger land-and-expand model.

Moderator: The next question comes from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: The first question is that this money that is being used for acquisition is going through the promoters of the company or is it going into the target company?

Sreekanth Nadella: Nearly \$30 million is secondary and \$5 million is primary infusion.

Nidhesh: Okay. And after this \$5 million, there is -- do you think there will be more requirement of funds for this company?

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Sreekanth Nadella: Per our assessment, they will not be needing much. As I said, they've already turned EBITDA positive. They should soon start cash positive as well. And this \$5 million primary infusion will clear out a small debt component they have it on that book. And once that goes away, I do not believe there will be any necessity for further cash infusion on an immediate basis.

Nidhesh: Sure. And is it right to assume that the clientele for this target company is mostly venture capital, private equity funds and hedge funds and HFTs and not large AMCs like, let's say, Capital, Aberdeen, etcetera. Those are not the clientele for this company. Is that the right way to understand?

Sreekanth Nadella: I wouldn't say so. I mean, okay, if the question is today a Capital is client or any large fund manager is client, the answer is no. But our intent is definitely to get there, right? And the whole point of our vision to become -- if I want to become a global fund administrator to reckon with, I will have to start delivering services to large fund houses. And KFinTech does today, right? I mean we have large fund houses that are clients, Aberdeen, the name that you impact is my client in Malaysia, right?

And for Ascent to also have large fund houses to be their clients, the synergy between KFinTech and them is a very important ingredient in that, just the balance sheet strength and our credibility, our track record being a public listed company, so on and so forth, will help that entity to start talking to larger fund houses, which so far, either they focus more on the lower hanging fruit in terms of smaller fund houses. But in time, definitely to look at large fund houses because that's how we're going to become a large global fund administrator, too.

Nidhesh: Sure. And you also incorporated a subsidiary in Singapore. So that subsidiary will be acquiring the stake of the entity or...

Moderator: I'm sorry to interrupt you, Nidhesh. I think you are done with your 2 questions. So I would request you to rejoin the queue if you have any more.

Nidhesh: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Aman Dugar from Nuvama Wealth. Please go ahead.

Madhukar Ladha: This is Madhukar Ladha from Nuvama. Thank you for the detailed presentation. Most of my questions have been answered. Just a couple left. First, on the growth trajectory. So the company has done really well in the last sort of 5 years that it's been into existence and you've got a pretty sizable AUM right now.

What sort of growth should we expect over the next 4 y

ears, 5 years and on the margin side, right now we are breaking even. We already have a sizable India presence. So the whole offshoring and the India angle is already sort of playing out of here. So what should be the big margin driver for this company? And in terms of numbers 3 years, 4 years out, what sort of an EBITDA margin should we be looking at?

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And one final question. See, the clientele and correct me if I'm wrong still seems to be more Asia oriented. And would this still mean that you will still be looking for making more acquisitions to grow more in sort of Europe and the U.S.? So those would be my three questions?

Sreekanth Nadella: Understood. Thank you. So the historic growth had been about 35%, 36% CAGR. Management's base case is in the similar trajectory into the coming years. And that does not take into account a synergistic model, which is effectively how KFin complementing the strength that Ascent brings and how Ascent taking advantage of the strength that KFin brings will grow together. We believe the number will be higher than that.

I do not want to conjecture, but we are confident to at least maintain the current growth trajectory and with a strong potential upside as the synergies fructify in time to come. In terms of the overall clients demographic dispersion, the entity is set up in Singapore. And obviously it is expected that Singapore would definitely be the largest geography and it continues to be one of the biggest financial hubs in the world, so -- and rightfully so.

But as I explained in the beginning, the -- if you see Cayman Islands has nearly a quarter of all funds being serviced. And in a short period of time between Cayman, U.K., Ireland, U.S., especially in Jersey and if you take parts of -- I would ignore Dubai and Abu Dhabi, at least, they're still part of Asia, but at least not Southeast Asia.

But even just purely into Europe and Cayman and a combination of U.S. is nearly 30% of the total funds are already based out of Europe. And the question about are we going to look at further acquisitions, it's too premature. I think we're still left to get this right. It is definitely one of the larger acquisitions that this organization has done. We will always keep our eyes and ears open.

But that said definitely not of immediate priority or concern. We looked at Ascent for its capabilities, skills and its ability to scale up. There is no reason why Ascent will not be able to scale up in similar fashion in Europe and in U.S. as they have already scaled up in Cayman, for example, on their own with the strength that KFin offers to the table. We will take a look at it into the coming years if it makes sense. If there are always assets which are more stronger in a particular geography.

And if that were to add complementary growth prospects, we will always consider it, but definitely not looking at -- so we do not want to just teach up a correlation of a whole bunch of assets and put together. That's not the way we operate in. Our investment philosophy, acquisition philosophy always surmises that we will take KFin's platform to the world and not just buy out entities which have multiple tech platforms and eventually and over a period of time, drives down your margin because your cost kind of starts to balloon which is probably the truth of many acquisitions that happened elsewhere in the world in this particular industry.

Madhukar Ladha: Right. Just -- you've not answered the margin question that over the next 3 years, 4 years what sort of EBITDA margin should we be looking at and what would be the low-hanging fruit in terms of synergies that you can drive for the next maybe couple of years, at least, that can help enhance the margins more?

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Sreekanth Nadella: Yes. No, fair point. Sorry, I missed out on that. On t

he synergy side -- sorry, on the margin side.

I think you're right nearly about 80-odd people out of the 200 people already are in India and that still leaves about 120 beyond borders. And we will obviously have higher concentration of newer headcount addition to happen from India, for example. Obviously, in the initial stages, you will have an onshore/offshore model of 70-30.

Over a period of time, you gravitate towards where we are today, which is about say 40 onshore and 60 offshore. And if you see KFin's Global Fund Services, we are nearly 10 is to 90. So 10% onshore and 90% offshore. So clearly, there is more scope. Just because we have 80 people in India doesn't mean that we do not have greater scope for further payroll optimization, which is what especially there is the next 50 funds that will be won, for example, the model may be near about 10 to 90 ratio. So that is one on the payroll side.

I've already called out synergies driving down the operating costs in the form of collapsing structures around office space, technology, data centers, shared service functions such as finance and HR and what have you, licensing and also at some point in time potentially replacing the

third-party platforms they have with our Hexagram platform.

So there are plenty full of opportunities that we have already identified. And obviously, we have even some numbers put to that. We'll start working on that as quickly as possible once we're into it. Now from a pure margin play, as you rightly said, it's just about breakeven and the gross margins are at 52%.

Again, we do not necessarily give guidance, but I do believe that into the next -- by the time the transaction is fully done, that is over the next 3 to 5 years. I would expect the entity to deliver similar to higher margins than what KFinTech does today. Largely, as always pure mathematically if you see, the basis points is much higher than the kind of basis points we enjoy here in India.

So that means your unit pricing is definitely in favor. And from an operational cost dynamic standpoint, as you already saw 576 funds are being supported by 200 people. So it's a very, very different model and one where your costs actually are going to be much lower as compared to that of a public market funds, which are very, very high volume driven.

Madhukar Ladha: Just a clarification. So we are saying that Ascent we can take the margins to like 43%, 44% EBITDA margin level. That's what like sort of KFin consolidated margins would be. While the current international business segment is probably operating at about 17%, 18% margin for -- sorry, about 5% margin for FY '24. Are we like a little bit more -- a little more bullish on this than on the margin side because our current international segment is still at a much lower margin?

Vivek Mathur: Madhukar, this is Vivek. I think we can't give you guidance on this immediately as we are working through the synergies. The objective is to take it to KFinTech margin level over a period of time. As the synergies play out, we will engage with you and other analysts to give you guidance on this asset as well. But the objective is to leverage operating synergies and IT synergies from India from KFinTech and it will play out over a period of time.

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We can't tell you that 52% will move to 60% in 1 year's time, just like that. But the objective is to take the EBITDA margin to a level, which is meeting the KFinTech EBITDA margin level over a period of time. So I think to start with, that is what we are giving you that we are working on synergies and 52% gross margins are healthy margins.

We want to take it forward in terms of achieving EBITDA margins by optimizing the corporate layer of infrastructure and operations and IT. And we will share more details with you as we go along in terms of synergies realization.

Madhukar Ladha: Understood. So t

his makes sense. Thanks a lot and all the best.

Moderator: Thank you. The next question comes from the line of Mohit Surana from HDFC AMC. Please go ahead.

Mohit Surana: Hi, good evening. My question is around if you can lay out here the deliberations that you would have had around the build versus buy arguments, especially in this case because this seems like an organization which is more sales heavy. And also there is a fair bit of complementarity in terms of the geographies that KFin operates as well as where Ascent operates. So it will be helpful if you can give those arguments?

Sreekanth Nadella: Sure. Thank you. So this is a long time in the making, isn't it? I mean, almost a little over a year.

And we've always believed a very healthy debate and we have a very strong business development committee, board led. And at any point in time we always evaluate anywhere between three to five potential opportunities and we have dedicated capacity to do that.

And this particular asset, obviously, was into -- straight into one of the three angles we always looked at in every asset. One of that was either it adds a new business line or a new product. It opens a new geography and or in rare occasions like how when we acquired Sundaram and BNP Paribas Fund House Services, it is more to just drive market consolidation. And our focus and our preference was to less on consolidation and more on adding business lines and products and/or newer geographies.

And we have been, I think just before Ascent started its operations in 2019, 2018, 2017 is the time when we started our own journey in terms of international expansion. And we started that with, as I said, the RTA division of a large bank-based fund administrator in Malaysia. And we have seen over the past 5 years in terms of the expansion, we have moved from zero clients to 72 clients.

We have moved to add about 5% of total revenue coming from that part of the world. And I always try to emphasize that it sounds like a lap's duration is 5 to 6 years, but we really have to take away -- take out the 2 years of COVID when nothing happened at all in terms of global movement of contracting, what have you.

So it's really a 3-year story as against a 5-year story. And in our discussions, we always wanted, as I said, given the intent is not necessarily to drive market consolidation. You see there are

oriented, so on and so forth and larger ones too. And, obviously, they also call for higher valuation, higher cash flows, what have you.

We were looking for an asset which is of a size, which is more palatable. This also for our organization, as I said, is one of the larger deals that we would have done. And so clearly, to build this kind of a setup today, if we were to not to have considered acquisition and we were to build it ourselves. It required us to be able to create a sales organization in various countries where we do not necessarily have current strengths and capabilities into.

And these are all private market funds and KFin's strength traditionally had been public market funds. So to that extent, especially the international private funds, which are very different. See in India today, we manage 545 alternate investment funds, which are also private. But if you see the scope of services and the complexity of the funds here are still reasonably benign as compared to the complex structures that you have beyond borders.

So building that skill scale and capability, securing the licenses in 6, 7 different countries is an extremely complicated job, especially to secure licenses or the clearances within India itself. So we looked at those angles, how quickly will we be able to get the licenses? How quickly will we be able to get the initial set of clientele, how quickly can we get the l

eadership and the domain

expertise, which we so solely miss, right?

And more than anything else, it's always about the people, as I keep maintaining, to get that very high-caliber leadership, highly inspired people. They are all within 30 year to 40 year age group to be able to build something phenomenal is always a very important facet for us.

So it was a unanimous decision when we've found this asset. And though our formal conversation started a year back, our informal conversation started nearly 2 years back, and it evolved. And it also gave us a ringside view in terms of how the leaders have scaled up, how the organization has scaled up, the client feedback, so on and so forth.

So overall, as I said, if you see the complementarity, we are public markets, they're largely private markets. We are mostly RTA, they are full-scale fund administrator. We are more India and Malaysia, Philippines centric. They are more Singapore, Hong Kong and Asia, Dubai and Europe-centric. So there are a whole lot of complementary we saw in this model.

Mohit Surana: Got it. Thanks a lot and wish you all the best.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to Mr. Vivek Mathur for the closing comments.

Vivek Mathur: Thank you. I think we are all very excited with this acquisition. And while it starts with 51% majority and Board control, it will be a 100% owned subsidiary in 5 years' time and everything based on our plan and expectation should be funded internally. It puts KFinTech as the first Indian company to be a global fund administrator.

And we will see that the growth and trajectory and the updates about this asset, we continue to share with you as we do our quarterly calls and share more details as we get along in terms of KFin Technologies Limited

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the questions that you may have around some of the clients or margins or geographies, but 18 countries where the clients are present, plus Bahrain and Thailand, almost 20 countries, KFinTech will be present in.

And with the growth in fund administration business, which is projected to grow at a pace of about 6%, 7% to more than 10% in some countries, we will be able to leverage with the 6 licenses that we already have and a team of business development heads in all the 8 major geographies that Ascent is operating in. We will be present right from this day 1.

Thank you so much for participating in this call at short notice and raising your questions.

Whatever is left out as questions, we are happy to take that offline. You can write to Investor Relations and engage with Amit Murarka. Thank you so much for joining today.

Sreekanth Nadella: Thanks, everyone.

Moderator: Thank you, gentlemen. Ladies and gentlemen, on behalf of IIFL Securities Limited, that concludes this conference. You may now disconnect your lines.

Call: May 2025

May 06, 2025 CS&G/STX/ JQ2025/26

1) National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Symbol: KFINTECH 2) BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("LODR Regulations")

Dear Sir / Madam,

Further to our previous intimation bearing reference no. CS&G/STX/JQ2025/02 dated April 09, 2025 , pursuant to Regulation 30 and other applicable provisions of the LODR Regulations, please find enclosed herewith the transcript of the Earnings Conference Call held on April 29, 2025, in respect of the standalone and consolidated audited financial results of the Company for the quarter and financial year ended March 31, 2025.

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

"KFin Technologies Limited Q4 & FY'25 Earnings Conference Call"

April 29, 2025

MANAGEMENT : MR. SREEKANTH NADELLA – MD & CEO
MR. VIVEK MATHUR – CFO
MR. AMIT MURARKA – HEAD IR
MODERATOR : MR. DEVESH AGARWAL – IIFL CAPITAL SERVICES LIMITED

KFin Technologies Limited
April 29, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q4 & FY'25 Earnings Conference Call of K Fin Technologies Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the

conference call, please signal an operator by pressing the "*" then "0" on your touchtone phone. I now hand the conference over to Mr. Devesh Agarwal from IIFL Capital Services Limited. Thank you and over to you, sir.

Devesh Agarwal: Thank you, Steve. Good morning, everyone, and welcome to the Q4 FY'25 Earnings Call of KFin Technologies Limited.

Today, from the Company we have with us Mr. Sreekanth Nadella – M.D. and CEO; Mr. Vivek Mathur – CFO; and Mr. Amit Murarka – Head of Global Business Finance, M & A and Investor Relations.

I would now hand over the call to "Sreekanth for his Opening Remarks," which will be followed by a "Q&A Session." Thank you and over to you, Sreekanth.

Sreekanth Nadella: Thank you so very much, Devesh and very good morning and warm welcome to all the listeners. It gives me great pleasure to be back once again in front of you calling out the financial performance of the organization. I will give out some qualitative information beyond what is obviously visible.

Your organization continues its resilient performance quarter-after-quarter. As the saying goes tough times, don't last, but tough men do. A quarter that saw a significant erosion on assets under management, maybe even to a certain extent investor confidence in the overall market, KFin tech continues to deliver to a resilient performance with its very diversified portfolio of solutions and services.

We continue to maintain our position about risk management being one of the most effective strategies this organization has adopted and will continue to do so. Risk management from the standpoint of not being a single asset class, single country, single business process entity but to diversify into multiple asset classes, multiple business processes and into multiple geographies. It is times like this that help the investors understand in terms of the power of the true diversification.

In terms of the overall financial highlights, the quarter that had gone by:

Our revenue from operations stood at roughly about Rs.283 crores, up 24% year-on-year. In Indian Mutual Fund business, obviously had seen a slight degrowth quarter-on-quarter, but year-on-year it continues to swell up. Overall, international and investor solutions growth has been around 6.5%. I

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will call out more specifically in terms of a consolidation of global business solutions into this particular line of business, which was erstwhile a mortgage business. If not for consolidation, our overall growth stands at about 27% and the overall full year growth of the international business stands at about 46%.

Our EBITDA stands close to about Rs.122 crores, it's up nearly 17% and a margin at about 43.2%. The PAT itself has been around Rs.85 crores and it's up about 14.5% and a margin remains at about 30% broadly.

So, in terms of the overall quarterly performance, it's in relation to whether it is the number of demat account reductions in the form of retail investors not necessarily staying put in the market or the mutual fund mark-to-market AUM erosion as you could clearly see, the overall organization stood resilient in terms of the overall growth year-on-year and even quarter-on-quarter, it is minor tip of at about 2% in terms of revenue and similarly on the margins.

The full financial year highlights:

Of course stand at about we crossed the Rs.1,000 crore turnover threshold close to about Rs.1,100 crores, up nearly 30% year-on-year and nearly every line of business has c

locked about 30% growth,

whether it is pensions or whether it is mutual funds, international, so on and so forth.

We continue to stay extremely focused on our approval engineering delivery capabilities, delivering cost efficiencies, driving productivity. We have begun our initial journey of embracing artificial intelligence. I will speak about that a little bit more later in terms of how we foresee that to help in terms of driving revenues, our customer centricity as well as optimizing the cost structures along the way.

We have cash and cash equivalents as of 31st March close to about Rs.660 crores and dividend of Rs.7.5 per share has been declared by the board and subject to shareholders' approval shall be disseminated so.

Overall, in terms of the business, the biggest highlight KFinTech has had to offer, which many of you might have already heard in the earlier analyst meetings was about KFinTech signing a definitive agreement to acquire a controlling stake of 51% in the Ascend Fund Services, Singapore-based organization. This is the testimonial to our confidence in our abilities to deliver to the strategies that we have chalked up. M&A, as I have always maintained is always long protracted and it is meeting of minds more than anything else. This is a large acquisition for KFin in its standards by much of imagination, both in terms of its ambition as well as its financials that have gone into it. With this, we would have summarily close our large M&A ambitions for the foreseeable future. There will be minor plug-ins which may still continue to evaluate. We have a very thriving and active M&A board but by and large I would like to believe that large acquisitions hovering to the near foreseeable future, KFin Technologies Limited

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we wouldn't be looking at it given our current intent is to complete the structure, integrate, assimilate, scale up and drive to our global ambitions broadly .

We continue to win mandates across business lines. Issuer Solutions business, which have seen over 20%-plus growth, we have had a stellar year , we have added nearly 1,000-plus corporates into our roster, getting the number closer to 8,000. In terms of market share, we now are the service provider for nearly 50% of all NSE 500 listed companies. We have done the top three of the biggest IPOs that have happened in this country this year whether it is Bajaj Housing Finance or Hyundai, so on and so forth . The next bunch of large IPOs to go are being managed by KFinTech.

We continue to expand our market share in the Alternate Investment Funds . We continue to expand our market share on the National Pension System in fact by a factor of three .

Overall industry has been growing at about 12%, whereas KFinTech's market share, which has been growing at nearly three times that, close to about 33%, 34%.

Internationally too, we have expanded our roster to about 76 independent individual clientele with total contracts of close to 100 at this point in time. As we all know, we deliver both to transfer agency and fund accounting. Included in this international client win is a very large deal , again in the context of the international revenues that we speak about some multi-year fund accounting platform given by the larger trustee in Malaysia and overall is going to be a full service DTA deal. DTA stands for the Distributor Transfer Agency as well as the end-to-end transfer agency and fund accounting for the trustee, which means that all the asset management companies who roll up under that trustee will be serviced end-to-end by KFinTech. We have also won a full-service tier deal in large AMC in Philippines.

We continue to have a very robust pipeline into the international mutual funds business. As we all know , KFinTech's international business is mostly mutual funds and transfer agency and fund accounting being the business services we render

for them, whereas Ascent to delineate and call out the complementarity we have with them is broadly a private mandate fund administrator, which means your hedge funds, your private equities , venture capital , high frequency trading funds , digital currency funds so on and so forth. So, they specialize in that . KFin specializes in largely mutual funds, pensions, private retirement schemes , mass retail so to speak . And these two entities together will be able to provide a full suite of service to any asset class to any country in the world.

As an organization , we continue to expand our scale of operations into the countries . As we all know, we have initiated starting of our services into Thailand last year . The contract has gone fully live into this year and with resounding success. We are now able to see organic growth of pipeline in Thailand, which is an area of geography which is of very, very strong importance for us even as we have reached nearly 55% market share in Malaysia of all asset management companies that are present there.

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We have since then added market share as I said in terms of NSE for Issuer Solutions close to 50%, the new RTA mandates in the quarter include several of the fintech companies including Gem Aromatics , Anthem Biosciences companies so on and so forth. This in conjunction with the IPOs that have happened in the previous year. That's a robust annuity revenue to the coming year, even as we are expecting and hoping to have a pretty robust IPO year even into the coming one as well. That ensures the businesses which are not linked to market-to-market movements continue to grow beyond 20% to be able to provide that amount of hedge and risk management and diversity should there be a sideways or a downward movement of the markets. But low and behold, we have seen a very sharp turnaround in April, which you all must have witnessed yourselves to . Very early days , but we have already seen a reasonably quick turnaround of the AUM in the month , of course, April is not done, but looking at where we are, the initial estimates point to a growth over March. And in fact, looking closer to the numbers that were there in Q3 of the previous year so to speak.

In terms of the alternates, a quick milestone , we are reaching nearly 600 alternate investment funds as we speak today and market share has increased close to 37%. That overall AUM is at about Rs.1.5 trillion and it's grown nearly about 50% year-on-year as we stand today.

We continue to add marquee logos apart from of course adding the new schemes of the existing clientele, some really important clientele that have added at this point in time include Kedaara Capital, ValueQuest of course been there for a while and then continue to add more schemes from each of these market global fund managers.

We have also ventured late Q3 that is around October, into wealth business trying to orchestrate a similar amount of industrialized and innovative solutions what we have done in asset management business into wealth business .

We have created what we'd like to believe as the country's premier wealth management platform called "mPower Wealth ." The platform is built on top of mPower, which is the core platform of Hexagram , which we all know as an organization we have acquired a bunch of years back. So, while

Hexagram continues to deliver value in terms of broader management solutions , fund accounting solutions such as net asset value computations what have you . On the back of that platform, the wealth platform has been created and within a matter of few months very happy to inform you that we have signed up with five large wealth managers . Some of this was already announced in the previous quarter, but in this quarter into the previous three months we have signed two more wealth management companies called Thrive Wealth and Northern Arc Capital. Th

e pipeline for this

business is pretty strong as many different wealth outfits well set up in India . Even as many of the legacy outfits are also looking at innovative partners such as KFin tech to be able to move their non - core functions such as operations and technology and focus largely on customer acquisition and delivering value to the customers by generating significant talent for the investments that they are making.

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Broadly, in terms of the overall industry performance itself, you have seen some of the charts clearly speak about FY'25 was a breakout year by any stretch of imagination called the Indian Mutual Fund industry spectacular growth overall nearly 25% year -on-year if you compare to the previous year , notwithstanding the reduction in the Q4 of the previous year , else they would have ended on a much, much more robust manner . But these are financial markets and there is always a cyclicity . One should always brace for it every month in three to four to five years and for us it's business as usual , there is nothing to panic. And as you've already seen there has been a sharp turnaround in that area . KFin continues to have a very robust SIP market share close to 40% . I believe and I continue to believe that that is probably the most important metric to track to which over a period of time would drag up or drag down the overall AUM market share because SIP market share is the one that truly is the resilient , sticky and retail investment folios unlike large, lumpy investments which come from corporates, which tend to have a sporadic impact in terms of market share, but they can dissipate rather quickly.

So, into the coming quarters and into the years, my hope and expectation is that our overall AU M market share, which is now close to about 33% should inch towards that 39.4 % to 40% of market share. It's only a matter of when and not if and I hope the continued outperformance of the AMCs who KFin tech services today, which by the way six out of the 10 fastest growing AMC s are with KFin tech. So, it is not just about historic performance, it is about where the velocity is, where the speed is. And that's what's going to drive the future as age goes past performance is not necessarily indicative of the future. And I think it is the current velocity in terms of the AMCs who are largely embracing digital , embracing innovation and technology embracing significant distributor related driven sales and marketing effects are the ones that I believe will have the fastest growth to accomplish and I am very, very happy to be able to and proud in fact to have roster of clientele such as those, including the ones that we have won in the recent past.

If you take a look at even the other asset classes, I think there's been a breakthrough year whether it is a number of AIFs registered, whether it is the number of Demat accounts that have been added into the ecosystem and the pension subscribers of course continue to grow at a smaller clip as compared to the asset managers. I think India as a pensionable society, is still some time away. And there have been significant efforts made by the regulator and under the chairmanship of the last two and three, in fact chairmen who have definitely made a significant impact. And it's a matter of time through innovative solutions such as what KFin tech is able to offer. We had created back in the day solution called "Futur" where we can gift the pension, and we are seeing breakout performance of that platforms adoption into corporates and I am hoping that in time to come the overall pension subscribers expand significantly into the country.

Quickly moving on, I will cover a little bit in terms of the value -added solutions and services. It had been again our stated intent to deliver superior technological solutions , digital as frugal as we could and a lot of those solutions KFin

tech creates, obviously for us to render superior solutions to our own

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clients and their clients who are the investors and distributors in some sense . But we have found that many of these actually have a relevance , whether it is as an offering that we can offer to the regulators. We have won RegTech award SEBI had given in the previous year for our platforms. So, most of the platforms that we build, we are extending them to the regulators , to the industry bodies , and to the clients as well . And that is where our value added solutions which is effectively to drive our higher revenue profile in terms of reducing the total cost of operation for our clients but increasing our share of wallet given the relationships we have and given the technological solutions we could create . I am very happy to inform you that the previous year saw a 57% increase in value added solutions revenue year -on-year. What are those? There are many of them, some of them are platforms for

monitoring insider trading , some of them are APIs which extend to the fintech ecosystem to expand the overall book of business for them. It is creating some of the cutting -edge data engineering solutions which help our clients improve their revenue in the scheme of things . We manage data engineering lakes for several clients, and we also have created technological solutions of mobility stack, right , the entire whether it is the websites and mobile apps for our client ele. We are handling social , analytics and cloud components as well.

I am also happy to inform you that KFin tech has become one of the affiliate partners for AWS. We have an entity called KFin tech Cloud Services. We are now taking the capabilities we have built to help many client ele and that could be in any non -asset management space as we ll to migrate into cloud as a strategy . So, clearly carving out the fintech component of KFin tech, which is basically revenues beyond the asset management solutions , is a very, very important facet and our wins into the previous quarter couple d with all that we've done in the previous year, as I said, has given us nearly 57% increase of revenue year -on-year.

The acquisition that we have done in the previous year where Weble Technologies as we all know is the one that specializes in the mobility stack of it all. And that entity has given 150% growth in its top line in a single year, and we'd like to believe that it has a significant amount of growth lying ahead of it.

I have quickly covered the international footprint as I have already spoken in terms of the wins we've had, I called out the two important wins ; one is the very large trustee in Malaysia , and as I said, it's a full Hexagram deal so to speak , so this is not a transfer agency, but it's a full scale fund admin deal , and the (DTA) Distributor Transfer Agency component of it, right?

And we have also won one more in Malaysia, which has been verbally confirmed and in time to come, hopefully we'll have a clearance on that .

And another large TA deal in Philippines , we have onboarded three new funds and GIFT City taking our total funds to close to 30, making our market share close to about 50% of the GIFT C ity funds and with Ascent Fund Services should we include that obviously our market share will be far superior KFin Technologies Limited

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to that. We intend to get to three -fourths of the total market share in the GIFT C ity with the combined strategy of one plus one equaling 10 in some sense.

We have initiated some o f those conversations in terms of operationally, how do we align both the entities to drive faster growth as against individually competing. Obviously, we are collaborating and then we would be driving the growth from h ere onwards .

I am happy to also tell you that we have now reached 100 contracts in our international business.

And if you recollect one of the points that I had made in the initial days was , the contracts that we had been signing initially were obviously the smaller and the medium -tiered AMC s and it's a matter of time the larger contracts tend to come in .

In the last quarter we had announced a large contract win. T his quarter too the deal that I am talking about, the trustee win is also a much really large contract in the context of our international business . Also, very happy to inform you that after a protracted period of mark -to-market, either degrowth or flat growth in Asian markets, which did not honestly give us the gains of transfer agency revenue growing, which if you compare with India , Indian markets went up and hence our M F RTA revenue also grew. But our revenue in international grew nearly entirely only because we kept winning new mandates. But the AUM percent did not grow because the Asian markets did not see both the mark -to-market movements as well as net flows. But this year, FY25 , saw the first year in the last four years both mark-to-market gain as well as net inflows, which means that the revenue hopefully from now on will be on account of both new wins and more importantly on the back of the expansion of the AUM of the current clients. So, the AUM grew nearly about 33% year -on-year into the previous year, and I would like to believe that this would be a sustainable trend from here on.

With that, I would pass on to Vivek to cover the financial performance and then open the floor for questions after that.

Vivek Mathur: Thank you , Sreekanth.

On the overall revenue performance, while Sr eekanth talked about that, we have grown 30% year -on-year and Q4 last year versus this year, we have grown about 24% sequentially, there is a degrowth of 2.5% largely driven by the mark -to-market correction that happened and some bit of corporate actions , Issuer Solutions, which had given a reduction of 3% in the Issuer Solutions revenue sequentially, but overall a robust performance, we have crossed Rs.1,000 crores in terms of revenue . The breakup of revenue is more like mutual fund , fee-based revenue continues to be in the range of about 64% , the Issuer Solutions revenue is 15% of total revenue , the international and other investor solutions revenue is about 14% of total revenue. Within that, now international business continues to be about in the range of about 5 % to 6%. And we believe that the trajectory in terms of international KFin Technologies Limited

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business contribution will change with the acquisition of Ascent, which currently is about 5-6%, will move towards 13% to 15% in future with the acquisition of Ascent.

Overall, the EBITDA has gone up by 30.7% year-on-year and same quarter last year versus this year is about 17% increase. There is some impact of M&A due diligence cost of about Rs.12 crores that we incurred during the year which has reduced the EBITDA, otherwise it could have been about 31.5% in terms of the growth and the EBITDA margins which are 43.9% for the year would have been about 45% for the year but for this Rs.12 crores that we had to incur to do a due diligence, and for the quarter, which is 43.2% would have been about 46%. So, you're looking at the operating leverage playing out and some market supported us, the margins have been pretty healthy.

The PAT margin has gone up by 35.2% year-on-year and the PAT margin was 30.5% for the year and sequentially also in terms of against last quarter, there is a dip of 253 bps year-on-year on the PAT margins. Because of the expenses that we incurred on due diligence.

We remain healthy in terms of cash and cash equivalents. That's 660 crores of cash, which will be utilized towards payout of dividend that the board has recommended subject to shareholders' approval of Rs.7.50 per share and the acquisition of initial 51%, about Rs.305 crores will also be

funded out of it. We continue to convert EBITDA to free cash flow at about 60%, while we continue to invest for future and capital expenditure to develop new products.

We have seen a healthy increase in EPS, about 34% increase versus last year and we believe that in times to come with the acquisition of Ascent at least for FY'26 it will be neutral and from FY'27 we believe it will be value-accretive.

We are happy to take questions now.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Karthik Chellappa from Indus Capital Advisors. Please go ahead.

Karthik Chellappa: Thank you very much for the opportunity, sir. Congrats on the quarter. Just two questions from my side. First is on the other expenses. Apart from the due diligence, was there any other chunky expenses in this quarter because the YoY growth seems to be pretty high, and if we could sort of breakdown what portion of the other expenses would you attribute to investing in growth versus maintenance? That's my first question.

Vivek Mathur: There are expenses related to cloud expenses and licenses that we have incurred in terms of expansion and balancing strategy between on-prem to cloud, which is a similar increase about Rs.12, 13 crores extra that we have incurred to ramp up in terms of IT strategy. We are looking at optimizing the cloud strategy with on-prem and this is something which we are developing the entire core chassis based KFin Technologies Limited

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on the latest technology. And overall we believe that 19% of the total revenue that we have spent on IT in the current year vis-à-vis 21% last year, will continue to come down in the coming years.

Karthik Chellappa: Got it. Excellent. My second question, sir is, if I were to look at our Issuer Solutions, that has actually seen increasing momentum at least in the last two to three quarters purely from a corporate client addition point of view. In your opinion, what is driving the strength and is this something that we can expect to sustain in FY26?

Sreekanth Nadella: Thanks, Karthik. So, the Issuer Solutions as a business, a couple of things that are happening; obviously, tailwinds in the form of the new IPO, the number of companies that are going public it's always helpful. And I just want to caution that the Company going to public does not give any sporadic jump of revenue for KFin tech given the IPO revenue itself is very little, it is the annuity revenue that still matters. So, winning the IPO mandates will actually improve our run rate year-after-year. So, definitely the number of IPOs is definitely a factor that base well on it. Second, our commercial model of course is number of folios into unit pricing per folio and expansion of deposit accounts and the retail participation always helps and which is what we saw in the previous year and I am hoping it will continue for the foreseeable future, by any stretch of the imagination, the retail participation in India like most things are still under penetrated, I think they will continue to grow. Three corporate actions, plethora of corporate actions where many of corporates always helps in terms of the activity that we do. There have been large scale corporate actions such as the demergers that we have handled, say for example for Vedanta and so on and so forth. And these are all important activities or including ITC Hotel's demerger that came in that had orchestrated. So, that always helps us. And lastly, I think we have also been focusing on transitions. Transition mutual funds seldom are there, but transitions in corporate registry as in Issuer Solutions of the business is possible. And given we have always been the largest in this space and with our technological capabilities, we have significant value to be added to many incumbents. So, we have also been successful in transitionin

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many corporates from other RTAs into KFin tech. So, broadly these are the reasons and these are all sustainable reasons. I do not see these to be a one-time clip. In fact Issuer Solutions if you see even in the previous year and the year before too that have seen up north of 20% growth. We would continue to drive attention to this and then see if we can even expand it much faster given there are

potential opportunities in terms of value added solutions in this line of business. One of the things that I can call out is say for example investor relations, the entire IR as a portfolio of every corporate is still done in a very non-industrialized manner and we are working on cutting edge solutions which will alter the ways of working for the IR as a function. Now, with an 8,000 client roster, even if you convert 10%, 15%, 20% of them into each of these solutions, they will tend to add that delta of 400, 500 basis points of growth that is possible.

Karthik Chellappa: Excellent. That's it from my side. Thank you very much and wish the team all the very best for next year.

Sreekanth Nadella: Thank you, Karthik.

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Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit. Please go ahead.

Supratim Datta: Thanks for the opportunity. My first question is on the KRA business, what is the update there, when are you planning to launch that? And a connected question to that is, KFin has moved into different lines, different categories, different products, wealth being one, you're talking about how you're expanding value added services on the Issuer Solutions like that being other. Globally, we have seen that RTAs or platforms like KFin are able to get into non-financial categories as well like healthcare or others. Is that an ambition for KFin as well and what are the other blank spaces that you could look at filling with the current platforms and systems that you have, if you could help us understand that, that would be very helpful? Two, I wanted to understand, is the cost associated with the M&A that's around Rs.12 crores, is that done or is some part of that cost going to come in FY26 as well? And lastly, on the ESOP side, there has been a new ESOP tranche due to which the cost on the ESOP side has gone up this year. How should we think about ESOP cost going into FY26 if you could help on that? Those are my few questions. Thank you.

Sreekanth Nadella: Sure. The first question in terms of KRA business, so we have in the previous quarter updated that we received in-principle approval from SEBI for the KRA business. We have completed our platform build at this point in time. We are awaiting SEBI's final approval. Our readiness at this very moment is we are literally a minute away from launching our KRAsolutions the moment we get approval from the regulator. So, our preparedness is absolutely done and we believe it's a matter of time and hopefully into this quarter we should have started our KRA business. Related to that is in terms of your question about how the value added solutions can actually permeate beyond the financial services industry. We are not purposefully working in that model. Should however the solutions that we are creating find resonance in other industries we are happy to consider them in terms of extending those opportunities. Let me give you a few potential possibilities. I think first and foremost, we at the very minimum need to exhaust the financial services, the BFSI sector itself before even going that. As you all know we are nearly entirely only on the financial services and that too within only asset management. We do not have a play in insurance or banking and NBFC so on and so forth. There are solutions that we have created, however, which are fungible and which have relevance in non-asset management industry. For example, we have

created what I would like to believe is one of the best anti-money laundering monitoring platform in the country, it's called Inpro. Whether you're an insurance Company, whether you're a bank or you're an NBFC, anyone who onboards any customer needs to do these kind of screenings. And our platform is definitely as applicable to any of these companies as much as it is to asset management industry and it is applicable to any country in the world as much as it's applicable to India because these are all global lists, so to speak, right. Similarly, there are the APIs as an economy extends well beyond from asset management industry to various other industries. So, to that extent we are already looking into non-AMC, but within BFSI. Beyond that, I do not believe we have any special interest at this point in time. And as I said, if there is a resonance of any of our solutions for other industry, we will definitely consider those. In terms of the M&A costs for the AFS, all the costs have been booked into the quarter that had gone by. So, that is fine. I think there is one in terms of ESOPs. ESOPs were given in the previous year; I would expect

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some ESOPs to be given this year as well. To a certain extent, it is probably wise to factor in certain amount of ESOPs to be given. We are in a knowledge industry. As you all know, it's an asset light model. We don't have plants and machinery. Our assets are our people. Attracting, retaining talent is probably one of the most critical jobs as the leader of the organization or my leadership team have. So, to that extent, it is also not just as a retention tool, but also it is our responsibility in terms of wealth creation for the people who are directly responsible for the wealth creation of the broader shareholder community.

Supratim Datta: Thank you.

Moderator: Thank you. The next question is from the line of Abhijit from Kotak Securities. Please go ahead.

Abhijit: Hey. Hi. Good morning, everyone. I have a couple of number questions. First is if you could break down the international alternatives pension bit into the sub-segments? Second one is that in the

balance sheet I see a non-current asset held-for-sale item. It's not a big number, but just curious what that relates to? And third one is a broader question which is on the international side and the alternative side if it's possible to quantify the sales pipeline? And then secondly, again, I think it's been discussed earlier as well, but if you could talk about the competitive environment in those markets in terms of who are the other players you're competing with and how important is pricing in those deal wins? That will be all. Thank you.

Vivek Mathur: Sure. Sreekanth, I will pick up the first one on the breakup of the international other invest or solutions.

Sreekanth Nadella: Also take the last one on the balance sheet item.

Vivek Mathur: Break up for the international piece within the overall pie is about in FY 24 was Rs.119 crores and this year is about Rs.156 crores, and international is about Rs.48 crores and AIF is about Rs.58 crores, Webile is about Rs.12 crores, NPS is about Rs.11 crores and GPS is Rs.27 crores. Same thing last year international was Rs.36 crores, AIF was Rs.34 crores, Webile was Rs.5 crores, NPS was Rs.8 crores and GPS was Rs.34 crores. On the question on the balance sheet item held-for-sale, it is basically the asset which has been generated which will be transferred to the MFCentral JV as we have formed. So, as and when they get the EOP license, the asset needs to be transferred to them. That is why it is shown in the balance sheet as asset held-for-sale. Over to you, Sreekanth.

Sreekanth Nadella: Thank you. The international business in terms of the landscape of the competition, it's going to be horses for courses in terms of if you're competing in mutual

fund space and it varies by the country

of course is broadly if you talk about Malaysia, we truly do not have a like-to-like competitor who delivers end-to-end solutions like how we do it in India for example. We end up competing with in-house and the captive so to speak. There are few exceptions where bank-based administrators say HSB C or Standard Chartered by virtue of them being the custodian and fund accountant. As I keep

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saying, grudgingly deliver transfer agency services as well. But broadly probably competition is largely with the captives and same is the case in the Philippines market as well. But when you look at the private mandates of course the competition is a little bit more, again depending upon the nation, but if you see the countries like Singapore and Hong Kong and even much of the West for that matter, whether it is the offshore location came and what have you, large international global Fund administrators will be there. We compete with them. Apex group could be such one, SS&C Global, IQEQ, right and these are the firms and some of those firms actually are there in GIFT City also if you see today. So, on the private mandate space, we compete with them. So, whether it is AFS competing with them or KFin competing with them in GIFT City, how much is pricing an important factor. It is important, no doubt about it. But I won't necessarily say that is the most important. I think in a private mandate space, unlike in the case of a public mandate space transitions are possible because the lineage of the funds won't be very large, the number of investors won't be very large, the history isn't as significant as in the case of mutual funds. Given the transitions are possible, a good number of the cases it happens is largely because of the service standards, go-to-market. Many of these fund houses tend to launch schemes rather quickly. There are fund houses who can launch schemes literally every month, every two months, every three months. And it is how nimble is your admin to be able to make sure they go live as well in terms of whether setting it up the back-end systems or if you're managing the LP and the GP portals, how quickly are you able to bring them up. What is your capability in terms of advising them on the IMs itself and securing the right kind of licenses. A lot of advisory, quasi-advisory functions are also delivered in that space. Yes, pricing is important, but several other factors are even more important in the private space. So, we both AFS and KFin compete to the different set of competitors depending upon which market we deal with.

Abhijit: Thank you so much.

Sreekanth Nadella: Thanks.

Moderator: Thank you. The next question is from the line of Sarthak from Eraya Capital. Please go ahead.

Sarthak: Thank you for the opportunity sir. So, basically you and CAMS are continuously investing a lot in the technology space, right. So, how your technologies can be different from CAMS?

Sreekanth Nadella: So, there are areas where we compete. There are areas we collaborate, for example, we collaborate on MFCentral, we compete with each other on mutual funds and alternatives. But as you know, KFin tech also is in other businesses and likewise CAMS is also in businesses where KFin tech is in. Technologically, one we both use different tech stack. Altogether we are on Microsoft and if my knowledge serves me right I believe CAMS is on Oracle. In terms of the operating model, it could be slightly different. It's not right for me to comment how they operate. I mean I only have as much insights into it. What I can tell you about surely is that KFin tech prides itself as a tech first Company first and foremost. Second, we constantly run and changing the bus, which means that, we have large businesses where we constantly have to run. We know as the scale increases, complexit

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regulation increases, but we also need to have mechanism to forward invest and completely re-platform. And that is exactly where our investments I would like to believe are far higher. If you see our spend of tech as a percentage of revenue, which is a parameter we track to, five years back, it used to be about 7% to 8%, the year that had gone by, it has risen to almost 23% to 24%. So, that means on revenue that has expanded from nearly Rs.350 crores to over nearly 1,200 crores in a matter of four to five years. Our share of spend on tech also has moved from 8% of Rs.300 crores to now 24% of the Rs.1,200-odd crores revenue that we are talking about. And a lot of this is to modernize, keep ourselves future-ready. We believe that the volume expansion will probably even outpace the expansion of the AUM in times to come. And the cyber security related aspects are extremely important for the nature of the work we perform. As you could imagine, nearly eight out of 10 financial investors any financial investor in the country, is served by KFin tech in one capacity or the other. Because you are a shareholder in a Company, you probably are receiving your dividends computed by us. If you are a mutual fund investor, if you are an alternative fund investor, if you're a national pension system investor or so on and so forth. So, with that level of complexity, again also adds the responsibility in terms of our spend in that direction. We have always been pretty nimble in terms of the value-added solutions. I have called that out already the growth, because we do not want to look at any function within the Company as a pure cost center. We have been successful in converting most of our internal functions into revenue centers, and technology is no different. So, not only do we spend enough on tech, we are also repurposing the solutions we are creating for in-house as a solution that is also relevant to the other companies and hence we are able to generate certain revenue outside of it. The other important factor I will call out is our data and cloud journey. I think we have definitely been the first and the four most probably across the capital markets in India to have adopted a complete cloud and data migration strategy as early as 2019-2020. We have successfully completed our migration into AWS. And it is not just about for the sake of migrating data, but it's about your ability to create business solutions and value based on that ability to crunch peta bytes of data in a few seconds and help our clients grow. And that is where many of our platforms like DIGI X or PARAS, which are adopted by SEBI to many of our data engineering solutions, adopted by many of our clients and the distributors. So, these are the differentiators as an RTA we are able to provide to our clients so that they can grow at a much faster rate compared to the rest of the industry. So, that's largely about us and we continue to invest on new edge tech. I spoke about AI. We are drafting a corporate level policy on adoption of AI. It's a buzzword everybody uses it, but you will see the real-world use cases. I will give you one example. On the data that we crunch from the cloud, the status reports that we are creating that goes out to the industry is entirely written by AI. So, we do not use any human being to actually generate those reports at all. So, that means comprehending natural language processing, taking the data, providing the insights systematically by the platform itself is one such aspect of it, and I would like to believe there's much more to come in the coming weeks and months.

Sarthak: Okay, sir. I understand, Sir, I have a follow up question. Like we have been investing a lot in the technology stack. So, just wanted to know one thing. Why we have not won any contract from the KFin Technologies Limited

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last mutual fund that have launched? Last eight mutual fund we have just won one. So, what could be the possible reason for that?

Sreekanth Nadella: There will be multiple reasons for wins and losses. We have won 10 out of 10 mutual fund houses before the few losses that we have had in the previous few years, and we had signed up with one of the marquee mutual fund houses just in the last quarter, we have already made that announcement. And see beyond the point we have to win deals which make commercial sense. Winning for the sake of winning makes no value at all for us. And we won all the wins that we've had, obviously, there is a response from the market and that response eventually meant that it's because of the severe undercutting on the price. We did not find some of those deals accretive in terms of business. At the end of the day I have responsibility to my shareholder to drive a profitable and a meaningful business. So, it is sometimes important to lose the trees for the woods.

Sarthak: Okay. Also sir, I have seen that one of our mutual funds has shifted from KFin to CAMS. So, what is the reason? And is there any issues in the loyalty barrier in favor of CAMS?

Sreekanth Nadella: So, there were 10 mutual funds that have shifted from CAMS to KFin over the last 15 years. I hope you're tracking to that. The fund house that has shifted from KFin to CAMS, is a fund house which has an AUM less than a few hundreds of crores. And I think the affiliation was largely in the context of some of the key management personnel who joined that entity belonged to CAMS back in the day. So, they just wanted to work back with the organization they left earlier on.

Moderator: The next question is on the line of Pranuj from J.P. Morgan. Please go ahead.

Pranuj: Hi, thank you. Just three questions. One is any mutual fund contracts that up for renegotiation in FY26 that we should watch out? Second, I think there was a previous question on the international

deal pipeline. I am not sure if you disclose that. So, the deal pipeline for yourselves and for Ascent, if you can disclose that? And lastly, the Rs.12 crores M&A expense was that all in 4Q or was it distributed between 3Q and 4Q? Thank you.

Vivek Mathur: I will answer the last question then Sreekanth you can answer the first one. The M&A expense is broken up into two quarters, Q3 and Q4.

Sreekanth Nadella: Our KFinTech deal pipeline in Southeast Asia is close to about \$25 million at this point in time. And the conversion rate if you saw in the last six months had been pretty solid with nearly seven large deals to have been signed and that number of \$25 million is consistently increasing. I have not included the Thailand market in that number just yet. Given we have gone live, and we are in the process of now looking at nearly the entire market and to add that to the pipeline. So, the pipeline of \$25 million is broadly amongst the countries of Malaysia, Philippines, Singapore and Hong Kong, excluding Thailand, and I will be able to add that number shortly. I am sorry. What was the other question?

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Pranuj: Also on Ascent's deal pipeline, if you can disclose at this point in time? And also any mutual fund contracts that are up for the negotiation in FY26 we should be aware of?

Sreekanth Nadella: So, Ascent, their pipeline is larger in the context of multiple geographies that they are present in 18 different countries and of course we are still in the early stages of integration in terms of understanding the financials, etc., very well, we just signed the definitive agreement. It is not right for me to comment just yet into the coming quarter as we spend more time with the organization, we'll be able to give you the pipeline. But broadly it is larger than our international pipeline at this point in time and continues to expand faster. In

terms of the contracts up for renegotiation, yes, there are about two AMC contracts up for renegotiation this year.

Pranuj: Okay, understood. Would it be possible to give the size of those AMCs?

Sreekanth Nadella: One is the large AMC, one is the mid-tier AMC.

Pranuj: Okay, got it. Thank you, Sreekanth.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Yes. So, just a few questions. First, on the employee expense growth number for FY2025, would it be possible for you to kind of break this number between fixed cost inflation, new employee additions and maybe others in terms of more deployment on the sales side or business development side or product side? Second would be when we look at the Issuer Solutions business, this year obviously the folio growth has been quite strong. So, again, I mean if you can break it up between primary activities driving this folio addition versus more companies that you're getting from competition and maybe others? The third is on the domestic alternates and this is more qualitative. Is the entire portion of the revenue annuity in nature or is there some portion which is more transactional based? And lastly, in response to the previous participant's question, when you mentioned your proprietary deal pipeline on the international side, was it in terms of AUM or revenue out there?

Sreekanth Nadella: I will cover, and I sincerely request everyone to limit with the few questions, Vivek, you can cover the item on the cost. On the Issuer Solutions, the total folio addition in the previous year was 9 million folios, which is pretty robust. And I think with the exception of one specific transition, nearly all of it is organic, which means that it is all the folios that have been added for the companies we have been servicing for the past bunch of years. The IPOs that have happened, obviously, they happened through the years. So, the full annuity value of it only will come into 2026, this year that is, right. So, to that extent, a broad component of the revenue is. From folio last year I think the total revenue coming from the folio maintenance was close to about 45% and the corporate actions was close to about 35%, the rest of it is corporate events like conducting AGM and e-voting so on and so forth. On the deal pipeline, it is revenue, not AUM because the AUM usually runs into billions of dollars and for the basis points we charge. So, the \$25 million I was talking about is purely the revenue

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potential and not the AUM. There was a question on alternate investment funds. In AIF usually there is no episodic one-time revenue at all. So, this is purely annuity. In fact, you will always see a lag of revenue because it usually takes a month to two to three months where a fund house when it launches and onwards and RTA for us to set ourselves keep ourselves operationally ready for them to go live and then they get the funds. It's only after that the AUM actually has been factored do we get revenue. So, there is no one-time revenue. If anything you will actually have a little bit of the cost that we would have incurred before the revenue hits at this point in time.

Vivek Mathur: On the employee cost, largely the increase in headcount is more to take care of the volume of transactions that have increased in domestic mutual fund, number of funds that have increased in alternate business and the number of new clients in the Issuer Solutions business and the growth that we are witnessing in Bain and Hexagram to a lesser extent. We also have ESOP cost of about Rs.11.3 crores, which was incurred as an addition to what was incurred last year and next year again, you

will see an increase in the ESOP cost because more employees will get covered in a new scheme which new brands will come in and we do expect any

where around 18 to 20 crores of ESOP expenses

to come in the next year. So, it's more volume -driven . While the volumes have gone up by 33% year - on-year, the increase in the number of employees has been marginal of about 5 % to 7%.

Dipanjan Ghosh: Got it. Thank you all and all the best.

Sreekanth Nadella: Thank you.

Moderator: Thank you. The next question is from the line of Sanket h Godha from Aven dus Spark. Please go ahead.

Sanketh Godha : Yes. Thank you for the opportunity. Sir, a couple of questions. Basically as the Ascent gets integrated with us, say in la st part of the current year and maybe fully for the next year , so is it fair to say that given the EBITDA margins of that Company are lower and to start with , so our EBITDA margins which are closer to 44 will fall below 40 for a while before it inches back to 44 kind of a number , is it a fair assessment to do so?

Sreekanth Nadella: Mathematically, absolutely , yes, it will. But again, keep in context, the total revenue profile is roughly \$18 million and KFin tech's total revenue into the coming year obviously is going to be much, much higher. So, the impact will be marginal at a percentage level, but at an absolute number level, it won't be dilut ive.

Sanketh Godha: Got it. And you said a couple of mutual funds will come for repricing . I just wanted to understand if I calculate the yield came for the full year around 3.63, so you see a contraction to be meaningfully higher or it will be naturally a telescopic pricing impact to play out in MF revenue.

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Sreekanth Nadella: Sanket h, too early to predict . That is obviously a negotiation and a discussion , and as we engage with our clients into this year, we will be able to have a better understanding. But nevertheless, you're talking about one, two AMC s on a base of 27 AMC s and their AUM versus the total AUM and any amount of discounts that can go into . There can be some compression , but I wouldn't anticipate it to be materially high.

Sanketh Godha: Okay, got it. And last one , see in Company RTA business, if I look at last two years history ' 23 and '24, your revenue p er folio was around Rs.10.0 to Rs.10.3, it has meaningfully fallen to Rs.9.4, it's almost like 8 -9% depletion in the realization per folio. So, just wanted to understand this Rs.9.4 is the new normal or because your IP O activities were little more and therefore the revenue per f olio looks optically lower and it might improve in '26 with IP O activities coming down ?

Sreekanth Nadella: I think it's a combination of all. Definitely , your observation about a lot of IPOs happening in the year, which means the folio is counted, but the revenue is not counted for the full year. Obviously, mathematically it will look and it will appear to dilute the revenue p er folio. That is definitely the first of it. Second, see , the growth of which Company and which folio is clearly not in our hands.

And we have clearly negotiated contracts with the unit pricing varies by the client that we deal with. So, today, if a Company X has a much larger retail participation because the Company has done well, its share price is doing well, a lot of investors are buying that share versus some other companies share and depending upon the unit price of both of them, obviously there will always be a certain amount of fluctuation that will happen. So, broadly it will be a combination of market forces , there are a lot of IPOs, optical ly it will appear as if there's been a little bit of reduction. But this is not a business where discounts , etc., are discussed. So, if anything there is actually contract price upward revision that happens for a select set of companies. So, broadly I do not anticipate this to be any structural reduction in the folio pricing.

Sanketh Godha: Got it. And last one . Hexagram revenue, can you call out and how much it contributes

to global and

AIF?

Sreekanth Nadella: See, it's very tough to look at it that way because Hexagram's value transcends beyond the revenue that are booked in Hexagram's books itself. As I said, we created an entire m Power Wealth as a business line . Within a matter of a few months it's already about Rs.20 crores b usiness for us, right. And the alternate investment funds, for example, the revenue that you see there, unlike in the case of mutual funds, we do both transfer agency and fund accounting for AIF s. The fund accounting as a solution is rendered on top of m Power , which is a Hexagram's platform, but the revenue continues to be booked in the business line of AIF so to speak, right. So , those are the tactical reasons, but broadly it has been an extremely strategic acquisition for us and absolutely the one that's helping us fuel our global aspirations.

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Sanketh Godha: Got it. The mortgage business means the global business services, this Rs.27 crores revenue for the full year means any investments, any revival in that business or you see the demand coming off and then this revenue you see a declining trend as we have seen in the last 2 -3 years?

Sreekanth Nadella: It's a position both from the management and our board to not to invest time, effort, monies in that business as we all knew from the beginning, it's an outlier, it is not an asset management business, it was a business that we have created at the behest of our erstwhile joint venture partner, competitor share, we created a center of excellence for them and we are delivering some revenues in the style of BPO if I may. Now, in the context of our strategy of being a global fund administrator, it does not feature in the list of things that we want to do. I guess this also coincided with in general mortgage as a line of business in the US coming down quite dramatically over the years. So, we are not interested to scale up this business. We will continue to run whatever is left of it, but we will not see us spending any time, effort either organically or inorganically into this business.

Sanketh Godha: Any plans to sell it off?

Sreekanth Nadella: Well, as I said, there isn't too much of proprietary in it. It's just a BPO style work, right. So, we use clients platforms and we use our people. So, if we do get an opportunity, we'll think about it. But broadly, you will see this business naturally scaling down over a period of time.

Sanketh Godha: Got it. Perfect. Thanks.

Moderator: Thank you. The next question is from the line of Kshitij Saraf from Tusk Investments. Please go ahead.

Kshitij Saraf: Yes. Hi, good afternoon. Thanks for taking my question. I have just one question on the BlackRock Aladdin platform. You mentioned in the presentation that you have presence in Canada. US is not mentioned yet. So, just want to understand from a licensing perspective and a go-to-market perspective where are you as a Company and would you require those licenses and would you go ahead and acquire for those licenses?

Sreekanth Nadella: Sure. So, KFinTech has clientele in Canada, right and hence Canada is mentioned, US is not mentioned because we do not have any clients in the US. BlackRock of course is not our client. We are their preferred partner by virtue of formally getting onboarded by BlackRock in the month of late January this year. We by virtue of being a preferred partner for BlackRock to implement Aladdin and Aladdin as things stand today has roughly about \$20 trillion of global funds which means that we as one of the preferred partner, has access to compete and win any of the fund managers who have currently onboarded Aladdin platform. Over the past two and a half, three months we have been working with BlackRock to fully comprehend the capabilities of the platform Aladdin cause it's something that we need to know, of course we will

be adding services and solutions layer on top of

BlackRock, we will have to integrate the BlackRock platform with mPower platform because

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mPower is the back office platform whereas Aladdin is the front office platform, so that integration work has been initiated. There's a track on the go-to-market from the sales angle in terms of how to approach the sales so on and so forth. So, this is a little complex process. As we engaged, as we fully comprehend, as we complete our integration onto the platform, we will be creating our right-to-win solutions and then we'll be approaching the market. It is probably a quarter to 2 away in terms of clocking revenues. But obviously, it's important to go that far to be able to understand because there even the tiniest of conversion in terms of our clients can be of materially a large contract for KFinTech. So, it's better invested to sharpen the edge at this point in time and make sure that when we hit the market there is every reason for a fund manager to consider KFinTech as against anybody else in terms of the solutions.

Kshitij Saraf: One out of less than 10 empanelments on this platform, any sense on the win rate that you can get in terms of the other platforms vis-à-vis new and how the process is there?

Sreekanth Nadella: I am sorry, I am not sure I understood the question. The line also wasn't very clear.

Kshitij Saraf: Sorry. So, as one out of less than 10 of the empanelments on Aladdin, just wanted to get a sense of what win rates you think you can get eventually or any sort of aspiration you have there because the others would be also sort of looking for a share of that pie, what are you looking to differentiate with respect to mPower Wealth or any of the offerings that you're looking to build into this?

Sreekanth Nadella: Yes. So, the eight other administrators, I think the list is in the public domain, they include large entities like BNP Paribas Fund Admins and MUFG and others. They are eight of them and all eight of them currently service this \$20 trillion. So, there is nobody else who does that, right, and we could be the ninth one in the context. What is our right-to-win? As I said, we are in the process of integrating the systems and capturing the solutions. We believe that unlike many other fund administrators in that list, we have our own homegrown platform which is mPower which does an excellent job in terms of fund accounting capabilities, we manage three-fourths of the insurance and three-fourths of the pension industry in India, eight mutual fund clients, five of those are the clients of our competitors from TA, but we manage their fund accounting. Once we integrate these two solutions and in the context of the large, big data solutions that we have, we believe that pricing can be a big first step in terms of making your presence felt in conjunction with go-to-market and the analytics around it. I know that analytics are very, very cliched. But I can assure you in terms of how difficult it is for legacy companies to be able to deliver those as frugally as we can. So, it is largely superiority in terms of technology, fully integrated mPower Solutions into Aladdin, right and a price point which

should be compelling enough for a bunch of fund managers to cut over . And it is not necessarily that anybody needs to transition. As I said, almost all of these funds continue to launch new schemes and new fund managers are also onboarded. So , this is an ongoing dialogue with the BlackRock as a larger entity that we are having in terms of what is the right go -to-market strategy and they have been extremely accommodative and graceful in guiding us into this process of go -to-market. So, we are working with the global sales organization of Black Rock to be able to get there.

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Kshitij Saraf: Thank you.

Congratulations and all the best.

Moderator: Thank you. The next question is from the line of Pr ayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Yes. Hi! Just a couple of questions. Just extending the question on BlackRock of the previous

participant, what is the kind of concentration today amongst the eight other players that you have mentioned and which is there in the public domain -- is there concentration there and a couple of them have say 80 %, 90% shares today and so it's kind of difficult to entrench into that kind of a domain ? That would be my first question. Second is on VAS . The share has gone down sequentially in this quarter. Anything to read i nto it or is there a seasonality there or what kind of will transpire there? And last question . Now that we have kind of filled in a lot of pockets with so many acqui sitions and everything , do you think the next leg of growth could come from using your existing technology and skills to move to different adjacencies in the BFSI space like banking or some other aspects of the business which can help you grow organically more? Those would be my questions. Thanks.

Sreekanth Nadella: On the BlackRock, I do not believe there is any concentration risk. Many of them have large portfolios that they are managing. The concentration risk does not impact our ability to win. I think we need to keep in mind that these funds are not domiciled in any one country. And a s a fund manager and as a fund administrator, let's take any fund X, right , and if that fund is currently based in Cayman Islands , tomorrow, they can start something in Ireland , they can start in Dubai , they can sta rt in Abu Dhabi , they can start in India in GIFT C ity, so on and so forth. And as you move and set up funds in various different geo graphies, the fund administrator need s to have the capabilities to be able to deliver to all types of funds in all the countries, which is where there is no one who is a master of all, right, who understands every type of funds, every type of business process and every geography. And hence even if there is a client who is probably a very large client of one of those fund administrators or the ei ght other fund administrators , it is not necessary that the next fund launched by the same fund manager goes to the income budget . It is strongly possible that say for example if it's in GIFT City we probably are best positioned as compared to the eight other fund administrators. So, one, there is no huge concentration risk. Yes, there are probably the top three who will have a bigger share, but there is a meaningful share for all of them and I do not necessarily believe that having a large market share wit h anyone precludes others participation into that large pool of funds that is there . In terms of revenue sequential item, I think absolutely there is no specific trend in it because these are not like annuity contracts, right. So, we win new contracts. So, for example, we would have one good number of data engineering contracts of our clients and of our competitors clients in the previous quarter and that revenue would have been booked there and sometimes some of these contracts tend to have a slight spillo ver effect into the coming quarters. So, I wouldn't read too much into the sequential component of it given it is not annualized or an annuity revenue as against contracts that we win and deliver and then obviously we get on to the maintenance mode for us to have annuity revenue, but that would be at a smaller clip of about 20 % or 25% of the total value so to speak.

Prayesh Jain: And my last question is on the adjacencies.

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Sreekanth Nadella: I am so sorry, but would you be able to repeat that again?

Prayesh Jain: Yes. So, what I was saying was, whether the next leg of growth for KFin would come from extending your existing skill sets and technology to

other adjacencies in the BFSI space ?

Sreekanth Nadella: Can it come from there? The answer is yes. But do we want it to be like that? The answer is no. I mean, I think we are just literally scratching the surface of our global ambitions , acquisition of Ascent and m Power integrating it for global fund admin solutions and services is our north star right whilst continuing to grow in the overall India's ecosystem. As you've seen our market share, whether it is alternat es, whether it's pensions, whether it is mutual funds , has been rising quarter -after-quarter, year-after-year on the AUM and the number of fund s. And there are a lot of solutions that our country itself needs and warrants now. In addition to that, probably the only other item that we really want to be focused as management would be our international expansion to be anchored on the Ascent's acquisition. We believe that our 100% of our time, effort and focus will be needed for us to achieve these goals and ambitions and we don't believe digressing into say, banking industry for example, payment aggregation, some of our competitors get into that space or account aggregation and bunch

of others or insurance for that matter . They are subscale, they will never be able to offer the opportunity as the current strategy that we have chosen in terms of opportunities of growth for us . So, we will be focused in the narrow confines of asset management, wealth industry but drive a lot of depth into business processes , lot of breadth and diversification into geographies.

Prayesh Jain: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I would now like to hand the conference over to Mr. Devesh for closing comments.

Devesh Agarwal: Thank you, Steve. On behalf of IIFL Capital, I thank the K Fin management for giving us an opportunity to host the call today. Before we conclude the call, Vivek, would you like to add any closing remarks.

Vivek Mathur: Thanks, Devesh. I think past year was a year which was filled with growth and getting into new businesses like K RA and getting into new geographies with Ascent coming in. We continue to maintain guidance of 18 % to 20% top line growth and 40 % to 45% of EBITDA margin . While we will see the integration of Ascent in the coming three, four months we believe that it will be neutral in terms of EBITDA margin impact, and it will become accretive in FY27 and we will put all of our efforts in terms of making sure that the diversification is balanced from the management side in terms of the time and attention as we grow the international business with enhanced capabilities. Thank you so much for joining the call today.

Sreekanth Nadella: Thank you.

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Devesh Agarwal: Thank you , everyone for joining in today. Steve , you may now conclude the call.

Moderator: Thank you. On behalf of K Fin Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

July 29, 2025 CS&G/STX/ SQ2025/12

1) National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Symbol: KFINTECH 2) BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("LODR Regulations")

Dear Sir / Madam,

Further to our previous intimation bearing reference no. CS&G/STX/ SQ2025/02 dated July 08 , 2025 , pursuant to Regulation 30 and other applicable provisions of the LODR Regulations, please find enclosed herewith the transcript of the Earnings Conference Call held on July 25 , 2025, in respect of the standalone and consolidated unaudited financial results of the Company for the quarter ended June 30, 2025.

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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"KFin Technologies Limited

Q1 FY'26 Earnings Conference Call"

July 25, 2025

MANAGEMENT : MR. SREEKANTH NADELLA – MD AND CEO

MR. VIVEK MATHUR – CFO

MR. AMIT MURARKA – HEAD IR

MODERATOR : MR. DEVESH AGARWAL – IIFL CAPITAL SERVICES LIMITED

KFin Technologies Limited

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Moderator: Ladies and gentlemen, good morning, and welcome to the KFin Technologies Limited Q1 FY '26 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I will now hand the conference over to Mr. Devesh Agarwal from IIFL Capital Services Limited for opening remarks. Thank you, and over to you.

Devesh Agarwal: Thank you, Ryan. Good morning, everyone and welcome to the Q1 FY '26 Earnings Call of KFin Technologies Limited. Today from the company, we have with us Mr. Sreekanth Nadella, the MD and CEO; Mr. Vivek Mathur, CFO; and Mr. Amit Murarka, Head of Global Business Finance, M&A and Investor Relations.

I would now hand over the call to Sreekanth for his opening remarks, which will be followed up by a Q&A session. Thank you, and over to you, Sreekanth.

Sreekanth Nadella: Thank you so very much, Devesh , very good morning and a warm welcome to one and all. It gives me great pleasure for me to come back to you again with yet another stellar quarter for us. I will start with the qualitative commentary and I will discuss the financials at the very end.

We continue to be the country's largest registrar by a mile. We are the only qualified RTA who straddles across both sides of the registry business. One of it is the investor solutions and services, which is mutual funds, alternatives, pensions, private retirement schemes, what have you. And on the issuer side, where we are the share transfer agent for a vast majority of the corporates. It gives me great pleasure to call out some few important standout milestones we have accomplished this quarter.

I'll start with mutual fund business. To start with, we continue to outgrow and outperform the industry in terms of AUM growth , albeit by a small margin this quarter. We grew marginally ahead of the overall industry on the AUM and by the number of asset management company wins that we have secured this quarter. We have won 3 new mutual fund mandates out of 4 that have gone for a discussion and negotiation this quarter. So that's a 75% win rate, and it gives us a great deal of pride in terms of several marquee professionally run asset management companies continue to use KFin to be their preferred partner.

Our SIP inflows by market share continues to be ahead of our total market share. As I always maintained, I believe that in the medium to long term, it is the market share of the SIP, which is the surest indicator of the overall AUM. Given our overall AUM is roughly about 32.5% and SIP market share is about 39%, I do hope should this trend continue, we should continue to see upward trajectory in terms of the overall market share gain that KFin Tech would see.

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We have had one of the new AMC Capital Mind that has just gone live with their first point. In fact, it is happening as we speak. And it is a matter of honor for us that marquee PMS, who has just ventured into mutual funds and have adopted our latest template, which is XAAS, which is to stand for everything as a service, which means that we not only just manage the core RTA operations, but we also take care of everything else. We provide service and solutions around marketing, content, full stack digital including infrastructure and also everything to do with the Partner Solutions as well. So that's on the mutual funds.

I'll give a little bit of deep dive along the way on the second large business and one of the other core business we have, Issuer solutions. Again, we

we've had a spectacular quarter. And indeed, riding the wave of the overall expansion of the primary market in terms of IPOs and the number of entities that have gone public over the past 12 months.

But we've been outperforming the industry by distance there. We've improved our market share from about 48% about 18 months back now to close to 51% in terms of the NIFTY listed companies by market cap. The total roster of the corporate clients has swelled up now closer to 9,000 clients.

We are hopeful by end of the year, we will cross 10,000 mark and be the largest registrar by a mile. There are several IPO mandates that we have won, which are expected to hit the street into the coming quarter to 2, which would obviously help us in terms of the run revenue as well as the historical IPO revenue that we will get for the Issuer solutions into the Q2, Q3, Q4.

As we all know, it is the Q2, 3 and 4, which are more impactful quarter for Issuer Solutions given several corporate actions continue to trigger. This being the Q1 for most of the financial services, I'd like to believe that the number financial growth of around 15 -odd percent is normal and the trend tends to pick up into the subsequent quarters.

What's even more heartening is our continual focus on market share expansion, new client wins. In the international space, we have won several new clients in the new -- in this particular quarter. This gives us nearly 13 additional new clients, which are yet to go live and some of them are large. One of them is Maybank, and we have won several trustee to win contracts, which gives

us access to not a singular client, but to several of them who that particular trustee has under their clientship. We have about 5 in Malaysia, 2 in Singapore, 1 in Philippines and several in GIFT City, which are under transition and yet to go live.

Yet a nother business, which we are extremely optimistic into the coming years as I believe that this is a pure -play tech play and one that probably will have a higher margin, albeit business, which was loss -making, which has just turned the corner now and has b roken even, which is a national pension system.

We've been outgrowing the industry by a factor of 2. And happy to inform you that in a very, very short period of time, we crossed the double -digit market share of 10% in the overall trends in the country de spite the fact that we do not operate in the government sector, which means that government plus nongovernment together on the total share of the plans that exist in the country, we just alone on the private mandates have crossed 10% plus as compared to th e overall market.

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AIF has been growing at a sharing pace. We continue to expand our market share from 34% to 37% at this point in time.

We are now the most preferred alternatives player in the country, given the only one with the proprietary platforms, in tegrated both transfer agency, fund admin, full stack digital play and full stack analytics platform as well. We continue to expand our solutions in this space, not just in India, in GIFT City as well as on to the rest of the world.

Given we are a large p ublic infrastructure utility player, security is always on the paramount interest and in the signature in terms of both the board and the management in terms of making sure that we are on top of it. We continue to expand our investments and both effort -wise as well as dollars to continue to drive our BitSight score, security score to now crossing 810 amongst the best in the industry. And we'll continue to get that probably to be the best in times to come. The volume transactions has been certainly on the r ise. Now we process a little over 2.5 million on an average. On peak days, it touches 10 million transactions, and we expect these numbers to compound at about 20% to 25% into the coming few years. This quarter also

saw an important milestone in terms of s everal new products and platforms that we have delivered to.

I will also call out outside of the core businesses, happy to inform to you that we have launched our KRA business. And within a matter of few weeks, we signed up with 5 marquee clients, and it's a very auspicious start for us and which I'd like to believe will augur well in terms of the growth of this industry.

I would like to also call out that our KRA solution is the only one, which is on to the tokenization world, which is probably the fi rst to introduce and the very many applications that we expect to see in time to come with will be seen by the world and will definitely further the onboarding journey to be far more frictionless and far more cost effective, if I may.

I would also like to call out the -- and will give you a little bit of update on the acquisition of Ascent Fund Services, which I have called out in the previous quarter. Very, very pleased with the overall progress we could have made in just a matter of 2 months. We have sec ured all the necessary regulatory approvals in India and even as Ascent Fund Services is securing its approval from some of the jurisdictions. As one would recollect, they are present in 18 different countries. And hence, there are a few more jurisdictions and regulatory approvals that are ought to be sought and is in the works, and I'm quite hopeful that in the coming weeks or so or months, we will get through that and then we will get on with the integration.

It also gives me great pleasure to continue t o the point in terms of the growth prospects of global fund admin solutions. The organization that we have acquired has shown tremendous growth even in this quarter and the previous one. They grew at about 35%. And we believe that we have visibility into o ur faster growth in that number as KFin combined with Ascent will have greater potential to grow into the coming quarters once we get through the regulatory approvals.

We have also completed -- whilst we have launched the wealth platform about 2 quarters back, which I've called out, and we won about 5 mandates, again, it gives me great pleasure to let you

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all know that we have now formally gone live on 2 large contracts on wealth, which gives us an inlet not only into the Indian wealth industry, but also i nto the global fund industry -- wealth industry, sorry. And that, again, has a great potential given the platform with developed as

multicurrency, multi-asset, multilingual impact. And given it is not as a regulatory driven business as pure-play asset management. We expect a far fungible and a path which we can easily traverse into many different countries in a rather quick time. With Ascent, we have already started taking these solutions to many of the geographies that they are part of without necessarily having to wait for any of the integration, which has no bearing on this particular activity that we are trying to do.

I'll quickly come back to the mutual funds. The 3 mandates that we have won, I'll call out, one is Abakus Asset Manager, one is Marcellus, both marquee professionally run entities and very happy to also inform about the win of Pantomath.

Our continued intent to grow the digital development for a clientele across whether it is KFin Service AMCs or otherwise continues to gain traction. That is a testimonial of not just our domain skills, but also our technological superiority in terms of creating big data solutions that are being leveraged across the industry, including by the regulator and the industry body, if I may.

We are also obviously blessed to have several of the fastest-growing AMCs to be with us, 6 out of the top 10 AMCs that are growing in our country, our fastest-growing are with KFin Tech. Clearly, this is an incredible performance of our clients, of which we are o

nly passive recipient,

but our solutions and services, I'd like to believe, contribute in a significant manner for them to grow as well.

In terms of the 880 corporates that we have added during Q1, that is absolutely spectacular, we have never added that large client in a single quarter. Of course, this consists of both unlisted and the listed. And that obviously has contributed to our overall market share to go up to 51. We are hopeful in terms of several large IPOs, including IPru asset manager, Meesho and so on and so forth, several others to hit the street into the coming months and quarters, which obviously will augur well for the overall Issuer solutions revenue, so to speak.

We have covered the international. In terms of the wealth, I also want to call out that we have clocked our first international wealth win in Philippines. If you would recollect, we have announced a win of Sun Life Asset Management client, both the AMC and the trustee in Philippines about 2 quarters back on the back of a solid delivery execution and purely based on the experience that the clients have seen and based on the credentials that they can -- that they saw in terms of our mPower Wealth platform. We have won our maiden international wealth deal in Philippines as we look to expand this into family office and the wealth outfits into many parts of the world, starting with Philippines, Malaysia, Singapore and so on and so forth.

In the case of GIFT City, we have a pretty large market share of nearly about 60%. And you add the Ascent market share of roughly about 12% to 15%, we get to nearly about 3/4 of all the GIFT City funds that are operational. And we believe that we'll continue to grow at a similar clip given the differentiated solutions that we're able to offer on top of our platform.

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The AUM for international alternatives and pensions, all of them, AUM and revenue has been growing north of 30%. It is no different this quarter as well. We've grown nearly about 30% plus in this particular segment. We also have called out our intent to step away from a noncore business called Global Business Solutions, which was mortgage management. As we all know, this all stood out as a line of business, which was not core to KFin. As we concentrate on driving our agenda and vision to be a global fund administrator, we did not want any distraction. So we have initiated moving out of our mortgage management solutions nearly about 3 quarters back. And we have another probably 1 or 2 quarters left in terms of the revenue that was clocked in the previous year, no longer will be available now, and by which time, we will have completely exited, keeping our focus entirely on the asset and the wealth management solutions, not to divest to other businesses. So if not for that particular purpose, we orchestrated the growth in the global business solutions, we have crossed 30% plus growth in our younger, faster-growing businesses.

The overall industry performance is something that everyone is fully aware. I think India's mutual fund industry is on the verge of crossing \$1 trillion. I expect that to happen most likely in the next 12 to 14 months. And that growth still pales in shadow in terms of the overall potential that we have with a series of initiatives that are being taken by the regulator, by the industry body and several asset management companies, including the RTAs in terms of providing the necessary solutions, products and platforms to drive financialization to every nook and corner, provide solutions for quick onboarding, quick transacting, quick weighted resolution, so on and so forth.

I believe that this is driven out in terms of growth of 20% plus of the AUM can continue to

happen for the foreseeable future, even as nearly 10 million -odd fresh investors come to the industry every single year, and that number could

easily be dissevered from the fact that is a similar number that gets added into the provident fund wage growth year after year and the number of individuals coming into the formal employment sector, most of whom are extremely intentful of investing into the mutual fund as a preferred asset class.

And our mark-to-market gain is anyone's call, but baking into moderate gains this year, given we've had a spectacular rise, I'd like to believe that we continue to see potential to grow up north of 15% in terms of the revenues in these businesses into this year as well.

I will also spend a few minutes in terms of some of the other initiatives that are incidental ancillary into the mutual funds. One of that is the MFCentral. MFCentral continues to expand and its growth. More than the growth, I want to call out the impact that this platform has for many ecosystem partners. Investors, of course, are probably the most benefited to be able to secure such a solution where the entire industry comes together under a singular platform, provide the ease of doing business is absolutely unparalleled anywhere in the world.

With that as a solution, many fintech companies in India have based their business on the back of the APIs that we're able to extend. Many of those have been helping the mutual fund investors to stay put in the industry, for example, taking a loan against mutual funds out as against simply redemption, so on and so forth. It helps the entire industry and the fintech ecosystem. And very

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happy to inform you that we have onboarded nearly 230 clients as of June, and that number continues to expand nearly 10% every single quarter.

So on the mutual fund side, innovation continues to be absolutely bulwarked. We have also launched IRIS as a platform, which is KFin Tech's gift, if I may, to the financial intermediation as a service class, which is the first of its kind, a multi-asset, a multi-tenant, fully integrated CRM solution for the entire financial intermediary class. So it is not just for the mutual fund distributors, it is for the loan syndication, it is for insurance. It is for selling pensions. It is for selling CASA bank accounts, credit cards, what have you, with a singular focus and view to enable and help individuals who choose to be financial intermediary professionals make their livelihood in a far more effective manner. A single asset class or a single financial instrument sale does not render itself to a very large, meaningful career for many of the financial intermediaries. So this platform basically solves for that in terms of any financial intermediary can come on to this platform and for the same investor can upsell, cross-sell several different assets, which itself is one thing for the citizen if you keep your hat as of a citizen where a single person can take care of many of your financial services needs and not just having to look at multiple of them. The release of that particular platform is lined up for later this evening. I'm extremely hopeful and glad that it would be warmly embraced by the entire financial intermediary community.

So products and platforms and innovation will be a large focus for KFin Tech. It is irrespective of its revenue potential, we believe that there are things that we have to do to give back to the entire partner class, which is helping the industry to grow quite substantively.

In terms of the RTA wins that we've had, I've already called out the names, we are extremely excited in terms of the growth potential. These are marquee AIF, PMS player in the country, all of them. And given their trajectory, we expect rapid growth of their AUM in times to come as well.

Just quickly call out a few things on the international side. As we all know, it is a composite solution of both RTA and fund administration. Overall client contracts this quarter, happy to

announce that we have crossed the count of 100. Today, we roughly stand about 111. And the overall clients quarter-on-quarter, year-on-year, even as they've been growing, very pleased to see the AUM growth, which was not the case in the past few years. Even the number of clients have increased, there were no mark-to-market gains unlike in the case of India. We have seen that happening. And that is obviously one of the most important reasons why there has been a 30% plus growth in revenue in this, notwithstanding the fact that close to about 11 contracts are yet to generate revenue in the context that they are under transition, and hence, in times to come, the revenue for those in addition to the AUM growth of the existing clients will contribute to a faster clip of growth in the overall international business.

Now we started winning more clients in Singapore. As I said, we already had 2 and then now we have 2 more clients in Singapore that we'll be going live with. The traction in that geography, which is arguably one of the largest in Asia will further be propelled as our integration with

Ascent hopefully will conclude into the coming weeks and months.

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Outside of that, I think some of the LOIs that we have won, especially for a full service fund admin mandate for the Treasury desk of Malaysia is a very important milestone for us as we continue to expand our footprint in Malaysia. I think today, we manage nearly 55% plus market of the market by the number of clients. In a matter of 5 years, I think that's a pretty good accomplishment.

Of course, I continue to believe that it is the top 3 to top 5 AMCs, which will make a material shift. And we are right now talking to the larger AMCs. And hopefully, we'll have some good news to share in the coming months.

Lastly, I would like to just spend a minute on the national pension system, which I've already called out in terms of our growth. We have grown about 32% plus year-on-year on the subscriber base. We're the largest service provider in this being nearly at 90% and obviously, a virtual monopoly till about a few years back, we take a good heart. And having broken even, every planned addition from here on will directly add to the margin. And I'd like to believe that in the next 3 to 4 quarters, we should start seeing decent EBITDA contribution, even though if the scale is small, but we are expecting faster growth in the pensions. There's been a change of guard in the overall PFRDA as an organization. And we are seeing a very, very strong and a great intent to drive India to be a far greater pensionable society. A lot of interest and a lot of intent was asked of us as well in terms of what is that we can do to contribute in that regard. So we are in active discussions with several regulators in order to drive the overall market itself in that context.

The order management system of mPower is a revelation in terms of the number of clients we have been able to win. And it augurs well in the context that so far, there haven't been too many Indian alternatives to large platforms like Bloomberg, for example. We have started to see green shoots in terms of our ability to displace large global order management systems. And as we scale it up and as we take it to global clients, we'd like to believe that this is a medium - to long - term play, but I'd like to believe that there will come a time when we will be reasonably well positioned to take several of the global large platforms head on even as we consolidate our position here in India.

So with that, I will hand over the financial highlights to be provided by Mr. Mathur, and we'll take the questions after that.

Vivek Mathur: Thanks, Sreekanth. On the financials, the revenue has gone up year-on-year by 15.4%. Within that, the domestic mutual fund grew by 17.2%. Within this 17.2%, the fee-based rev

enue has

gone up by 15.7% and the VAS revenue has gone up by 51% year-on-year. The yield has come to 3.43 bps as compared to 3.6 bps last year same quarter. And that's a combination of the telescopic pricing impact and some volume-based discounts to some fast-growing AMCs that we have given. So we have been giving a guidance that yield will come down year-on-year by 3.5% to 4% with a combination of telescopic pricing and some selective discounts that we will give, but there is no yield shocks that we expect from KFin Tech. So we maintain that.

In terms of Issuer Solutions, the growth has been 25.5% year-on-year. And as Sreekanth mentioned, we have been adding IPO mandates and unlisted clients. Almost 800 clients - to long

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been added in the last quarter itself. If you look at international and other investor solutions, the growth other than GBS, which Sreekanth clarified that that's a noncore business that we don't want to continue to grow, the growth is 29% year-on-year.

And within that, international has gone up by about 36% year-on-year. AIF has gone up by 31%, NPS has gone up by about 33%. And overall, we continue to remain buoyant about this segment in terms of growth trajectory.

And in terms of overall expenses, the growth has been about 16.9% -- 16.6%, and that is mainly because of payroll costs going up. And this is something where to support new clients, we have added some headcount. And as you know, in the Q1, the increment hits, while the impact of growth in business revenue will come in subsequent quarters. And we have been investing in technology and cloud charges have marginally gone up.

Other than that, if you look at the EBITDA margins, there is a healthy growth of 14.2%. We

maintain an EBITDA margin of 41.5% which is in the range of guidance that we gave of 40% to 45%. Typically, the first quarter is tepid because the increase in payroll cost and in the Issuer Solutions business, the corporate actions take place in Q2, Q3 rather than in Q1. And therefore, usually the Q1 is tepid, but it picks up from Q2 onwards.

If you look at PAT, PAT has gone up by 13.5% year -on-year and maintains a healthy margin of 28.2%. We have good amount of cash and cash equivalents, which is INR750 crores at the end of June, one to pay out dividend and another is to make the acquisition of Ascent.

We are well equipped to continue to have surplus cash beyond the working capital after paying out the dividend and the acquisition. The diluted EPS has gone up by 13% year -on-year. And we believe that we'll continue to grow confidently, as Sreekanth mentioned, both on the top line and bottom line, and we maintain our guidance.

Thank you. We are happy to take questions now.

Moderator: The first question comes from the line of Swarnabha Mukherjee from B&K Securities.

Swarnabha Mukherjee: First question on the mutual fund business. So as you highlighted on the yields, just wanted to understand how much -- so broadly from the end of last quarter, the yields are down around 5 - odd percent, which is more or less -- I mean, I think you normally guide around 3% to 4% for a year. And in a quarter, we are seeing that.

So just wanted to understand that how much of this is because of telescopic pricing, how much is it because of the volume discounts that you gave to fast -growing clients and this volume discounts that you have given, say, assuming that the mutual fund industry continues to see steady flows and growth remains, then would this likely be recurring at periodic intervals and would imply that we should expect maybe slightly more than 4% kind of a drop in yields compared to what you have guided earlier. So that would be my first question.

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Also, if I look at sequentially, the value -added services revenue growth also looks weaker

quarter -on-quarter. I wanted to understand that because I thought that, that would be relatively more stickier kind of a business. So while on year -on-year, I think it looks fairly strong, but quarter -on-quarter, it is a bit weak. So wanted to know your thought -- I wanted to know your thoughts on that.

Thirdly, on the other, if you could throw some light on there, there has been good control this time. So is this because we have cut down on discretionary expenses and where should we see the numbers going forward? That will be my questions.

Sreekanth Nadella: Thanks for the questions. So on the first question, I'll take it in terms of the basis points and the yield compression. We were at about 3.6, now down to about 3.43. You're right. I think it marks about close to 5% as against a typical year of 3% to 4%. I just want to call out that number is more an average. The contract renewal is entirely and solely dependent on the time of the signing of the contract itself.

It is a coincidence that this year, we've had more number of clients whose contracts came up for renewal. For example, if you look into the next year and the year after, we just have 1 each, right? And if you were to normalize it over a 3 -year period, I'd like to believe that it will still come back to the 3% to 4% kind of a number. You may have a particular year where number may look a little longer and bigger.

And that particular, whatever the discounts, et cetera, whether it is because of the overall AUM growth or otherwise, they have all been baked into the Q1. We have no further renewals for the rest of the year, so to speak. In terms of the share of what was because of the expansion, so when we say volume, what we're really talking about is the AUM growth, not the volume of transactions.

For example, in the previous year, many of us know that the mutual fund industry has grown up north of 30% and our revenue also has grown up north of 30%. So it is a reasonable expectation and ask of our clients to partake in some of the gains that we have in terms of the growth that they are seeing. And that's what happens when you see 30%, 35%, 40% plus kind of a growth, and there would be a slight moderation of the basis points. And that gets, I guess, more than adequately compensated by the continual AUM growth into the subsequent quarters.

So that's as far as the basis points is concerned. In terms of the value -added solutions, see, this is a pure tech revenue and the tech revenue across business lines, not just mutual funds, but into the issuer solutions, into the alternatives, into the wealth, so on and so forth.

Typically, a large number of tech contracts get delivered in the last quarter, one also because many clients have their budgets locked down to the end of 31st March, and they expect the contracts to be delivered as well. And that's a very typical phenomenon in the industry. And typically -- and hence, we end up seeing a largish growth on the value -added solutions in the Q4, Q3 and Q4 and probably a flattish or a slight dip into the Q1 of this year.

But as you rightly point out, if you see the year-on-year growth, the value-added solutions stacks up at an impressive 50% plus. And I've called out back in the day, just around the time we went public that in addition to be dependent on the vagaries of the market and in our clients' growth, we want to orchestrate several lines of business, which is controllable at our end. And value-added solutions is one such thing.

So for me, a 50% growth year-on-year is a very good indication in terms of where we head into the coming year. In conjunction with the fact that we have several new products and solutions that are going live and have gone live in the recent past, I'd expect many of them to convert into a hard pipe line and then into deals and delivering into the coming quarter

s, so to speak.

On the cost, yes, we continue to have a very close grip on to the cost expansion. The revenue expansion in the core businesses, to an extent, come with a higher cost expansion unless there is a continual transformation that is happening. To give you an example, a simple INR100 SIP probably will earn us 3 paise, but we would have spent easily more than the 3 paise in just creating the data record for the SIP for the next 70 years, which is the norm in the industry. So until and unless we continue to invest significant sums and efforts in terms of ingeniously reducing the tech cost, which is largely the big tech players into AWS and Microsoft and so on and so forth, the scale business will have an issue. And hence, we have a very large scale of data scientists who continue to look at it, and hence, the nondiscretionary spend has come down. But the nondiscretionary spend vis-a-vis new products, new platforms, new solutions continue to expand. We believe that the future lies in innovation. Whoever could innovate faster, take go-to-market solutions for our clients and for our partners and for investors and the regulators will have a far superior edge in terms of new client wins and the growth that we would need.

Swarnabha Mukherjee: Right, sir. Helpful. Just one follow-up on the yield part. So we are right now in this quarter at 3.43. Assuming that there is no other renewals and normal telescopic pricing will continue to play out. Should we expect maybe another, say, 2% to 3% drop through the rest of the year? So if I were to think about 4Q, where should we end up with is what I wanted to understand.

Sreekanth Nadella: I don't expect any further drop on the basis points into the rest of the year. I think on the telescopic pricing, we all know how it works, right? So this -- once the AUM crosses a particular threshold, let's say, we have an agreement that says that INR50,000 crores to INR75,000 crores, right?

Only the incremental AUM that comes after the INR75,000 crores may come with a smaller basis points. And much of that, as I said, has already been baked into Q1. So I do not anticipate any further yield compression.

I also want to call out another thing that has contributed to a dip, probably about 20% of the dip was because of a larger expansion of passives. If you saw, our overall AUM has grown, but the equity AUM in terms of market share was slightly below that of the market. That's largely because of a slower performance of the top 3 mutual fund houses in our country.

And however, for us, there has been a substantive expansion of non-equity asset classes, whether it is debt, whether it is passives. And this particular trend is more the strategy of the fund house in terms of what they see as trying to stay invested in the market versus not to stay invested in the market.

If you saw the math, I guess it clearly points to the fact that our clients have chosen to be more cautious and stick to passives. But that can easily change, right, and depending upon the market sentiment and their own fund strategy, investment strategy. And as that happens, that will positively contribute to the yield. And so I guess what I'm saying is I do not anticipate a reduction. But if there is a reversal in the investment strategy of our clients, there can actually be a slight positive surprise.

Moderator: The next question comes from the line of Karthik Chellappa from Indus Capital Advisors Limited.

Karthik Chellappa: So my first question is, assuming the normal yield declines at about 3% to 4%, and we are assuming an overall AUM growth in the region of, let's say, 12% to 15%, would it be fair to assume that we should be able to hold our domestic mutual fund margins at these levels? Or what else do we need to happen for margins to kind of sustain in this current range?

Sreekanth

Nadella: Thank you, Karthik. Great question. One that I can assure you is always on the top of our minds. I think the good and bad part of, I guess, the way the industry is structured is a basis point or a mark -to-market gains, it cuts both ways. You will have months, quarters, years when mark -to-market gains will add to both to your top line and to the bottom line, right? And likewise, it cuts both ways. When there is a mark -to-market dip and/or if there is a basis point reduction, it goes both from the top line and the bottom line.

So that obviously is not the same if you were to extrapolate that into any other industry. For example, if you were to win a contract in manufacturing or if you lose, there is a corresponding increase or decrease in the cost. And hence, it does not -- the 100% loss of revenue does not permeate into 100% loss of margin. But in our industry, it does.

So the control in our hands are 2. One, obviously, is to have a much more meaningful discussions and deliberations with our clients. And that is something that always happens when you're able to add significant value and not just do basic work. And that is something that I'm proud that as an organization, we have been doing it. And that is clearly visible in terms of, I guess, where our basis -- where our yield lies vis -a-vis others.

The second is in terms of the cost. We continue to, as I said, work on the -- basically have a target of near 0 on nondiscretionary spend. We'll never get that far, I fully recognize it. But we have to look at mutual funds given it is the largest book of business, probably the most complex and also the most voluminous and most tech -intensive of all the other businesses.

We continue to work with our partners to continue to normalize and optimize the cost. And that, I like to believe is probably the surest way to hang on to the margins even if there were to be a marginal erosion of yield. And if you're seeing from an organization standpoint, I think every

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single quarter, we have been able to maintain that margin in this particular line of business. And I will also call out our transformative initiative of FinEx which is a complete replatforming of our core solution, which was in existence for the last 35 to 40 years.

Whilst we have made incremental standout changes into the overall platform to support the needs of the industry, the platform for the future is getting built. And I'm hopeful that into the next 3 to 4 quarters, on an incremental basis, it's not a zero -sum game that everything will happen on one day. We have already deployed several in a modular fashion. We'll continue to deploy several more into the coming quarters. As that happens, we should see a faster clip of cost optimization to happen, which will help us to hold on to the margin and probably even drive margin expansion at that point in time.

Karthik Chellappa: Got it. Okay. My second and last question is on the Issuer Solutions. So we are seeing very strong momentum on the corporate clients, which is welcoming. If I were to look at our investor portfolios, that growth has moderated this quarter, whereas in the last few quarters, we have been seeing that investor folios and corporate clients were growing more or less at the same rate. So anything to be read into this moderating growth rate? And what needs to happen for the folios to start accelerating?

Sreekanth Nadella: Thank you, Karthik. See, I think, yes, there is a sequential marginal decline. I think KFin Tech today manages near about 15 crores to 16 crore plus folios on the Issuer Solutions. What you saw is roughly about 12 lakh to 13 lakh odd degrowth in the full year count into the Q1 of this year sequentially compared to Q4.

This, again, is a natural phenomenon, nearly every year, it repeats itself. What truly happens in the markets is in Q3 and Q4, esp

ecially, there is a far more influx of retail investors. Part of it is corporate action driven in terms of securing the dividends and bonuses and what have you. And part of it is to capitalize on the very large number of IPOs that have happened. People have made quick money and have also exited the market in real quick time. We have also seen, if you recollect, the month of April wasn't particularly a good month in terms of the capital markets. I think the sentiment started to turn mid -May onwards. And at this point in time, it looks reasonable, though the mark -to-market gain, I mean, in terms of Y -o-Y on the index level is pretty much flat. And so that's what truly happens. There's basically a marginal flight of investors who have capitalized on the IPO and the dividends, and that's something that happens every single year into the Q1.

As we move into Q2, Q3, Q4, I would call out to take a look at the trend of Issuer Solutions revenue in terms of how it expands into 2, 3 and 4 as compared to 1. This is normal. I wouldn't read too much into that. And the dip on a base of 16 crores, about 12 lakhs to 13 lakh folios, I'm sure, is a very small marginal number, which basically has not impacted much on the revenue.

As you see, the revenue on Issuer Solutions has grown nearly about INR24 laks year -on-year.
Moderator: We take the next question from the line of Supratim from AMBIT Capital.

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Supratim: My first question is on the Issuer Solutions business. So if I look at the market share in MainBoard IPOs, that was around 18% versus it being around 50%, 70% in the previous years. So just wanted to understand, has the competitive dynamics in this segment changed? Or what are you seeing different, which has resulted in KFin not being able to win the larger bank deals? That was my first question. I have 2 more.

Sreekanth Nadella: Yes, please.

Supratim: Second question. Do you want me to go through all the 3 questions or...

Sreekanth Nadella: No, let me answer that. Let me answer that and we can go to the second question then, Supratim. So here's the deal. So I think by count of IPOs, we've done over 40% in the industry, yes. And by value, it was 18%. It is a simple math in term s of, I guess, HDB Financial having gone public, which was the largest IPO in the previous quarter, which was listed by our competitor. And that skewed the overall share by value.

And this is not a reflection of the win, but this is a reflection of when t he particular company has gone public, right? I mean we have, for example, close to 175 -odd IPO mandates, which are won over the last bunch of years, and that's yet to go live. So it is possible that in the next quarter, more mandates that KFin has won hav e gone public rather than our competitors at which time you may see a market share jumping up to 60%, 70%, 80% also.

If I were to call out your attention in the previous year when we've done Bajaj Housing Finance or the year before , LIC, our share of IPO by value actually stood at almost 85% in that particular quarter. So this is a timing discussion as against the wins of that particular quarter. For example, if you have signed up a new IPO mandate in the previous quarter, it is easily 3 to 4 quarters away for that company to go public, right?

So what you're now seeing in the previous quarter is actually the wins that either of us have had over a long period of time, but which company decided to go public. So again, I wouldn't read too much into the value. Now dynamic has changed. As you could see, our market share has swelled by market cap from 47% or 48% to close to 51%.

We have now made up significant dent into even the SME IPOs, we have, I think in the previous quarter, been the largest in the SME IPOs , a business sector that we have largely not been into. Now we have moved into the social stock exchange as well

. So into the coming quarters, for example, many of our new clients such as IPru AMC and Meesho and Pine Labs. And should any of them go public, you would see that 18% easily move up north of 50%, 60%.

Supratim: Got it. That's very helpful, Sreekanth. Now on the KRA business, you outlined that you have won 5 key clients. Could you highlight which are these clients? And how are you looking at embed ding your KRA services with your MFRTA service.

Could it be -- are you making it available to all your MFRTA clients and slowly this benched 5 can become familiar to the number of MFRTA clients? So I wanted to understand what is the

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development pipeline he re? And currently, is the KRA revenue being built into the MFRTA revenue itself? Or is it being shown separately in international and others?

Sreekanth Nadella: Great question. No, there is no revenue at this point in time. So none of it's being clogged in to any business, right? We just went public. We just signed a contract. This is a separate entity altogether. It's KFin services and the revenue will be clogged into that different entity because the KRA business is not expected to remain in the same mutua l fund business. In fact, KFin as an RTA is one of the 5 clients of KFin KRA, right? The other 4 are our clients as AMCs.

And the short answer to your question in terms of our go -to-market strategy is obviously to have every one of KFin clients to be the KRA clients, which I'm confident will happen into the coming few months. Second, of course, is to -- for everyone because this is -- this can easily be a multi -tenant model. This is not a zero -sum game unlike in the case of mutual fund RTA. AMCs can have m ultiple KRAs onboarded. And in fact, that is at least a highly recommended strategy, at least from my standpoint because it is always a business risk to have a single point failure, right? I mean if you were -- if you recollect about 2 years back, one of the KRA had a problem which basically had impacted the mutual fund industry. So it's always a good solution to have multiple

service providers, whether it is KRAs, whether it is payment gateways, payment aggregators, any of these entities at all so that if there is a failure, it's just like, I guess, a part generator has a fallback mechanism that you have.

So we expect to have nearly every mutual fund client to be our client in the KRA in time to come, even as within literally 15 days of launching, we managed to secure 5 mandates. And it is not just the mutual funds. We have to aggressively work with the brokers and the RIAs. Much of the new investor onboarding actually happens from the broker platforms, right, the distributor platforms, such as the Grofers and Paytm Money and many of the large entities.

So working with them is going to be very, very important, one, because technologically, I'd like to believe our solution is far ahead and something that I'm confident will find favor with many of the large tech players who bring in far more -- far greater number of new investors into the industry as against traditional RTA and AMC, I guess, equation, so to speak.

So it is a solution that is not just for AMCs, but also for the entire partner ecosystem who bring in the investors. And the revenue will be clocked in a separate entity. And as of now, there is no revenue, which you will start seeing into the next quarter onwards.

Supratim: Got it. That's helpful. Now moving to Ascent, thanks for the update that has been provided on the quarterly performance there. It seems like the revenue has grown by around 36%. But when I look at the EBITDA in January versus the April quarter, there hasn't been any movement. Is it a rounding error because against the 36% revenue growth, I don't see any movement in the EBITDA. So just wanted to understand what has happened there?

Sreekanth Nadella: Amit, Vivek,

would you want to take that?

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Vivek Mathur: Yes, sure. See, they have still been investing. So while revenue will grow, they have been investing in terms of hiring senior people in the markets in which they are expanding like recent hire was in U.S. And therefore, you won't see the immediate impact of increase in revenue and EBITDA margins. And as they start winning large contracts across these markets, you will see the EBITDA improvement over a period of time.

And the good thing for you to know is that the future payouts to the founders is linked to the achievement of EBITDA. And there are both positives and negatives. So if they don't achieve the target EBITDA, they won't get the multiples. So rest assured, the focus is in terms of growing EBITDA and growing a profitable business with Ascent.

Sreekanth Nadella: I will also just add one thing. So this is the testimonial of any fast-growing entity. I think as the entity is present in 18 countries, new geographies getting opened, I think a lot of the revenue expansion is getting funneled back for faster growth.

We have a path to profitability in terms of the overall numbers as we move into the year 3, year 4, year 5 as the deal is structured, which is basically more on a run-out model, you would see the EBITDA expansion happening. At this moment in time, it is to drive growth technologically, new country expansion, creation of the new sales channels, pipelines and the technology. So to that extent, this is by design and as per plan.

Supratim: Got it. And Sreekanth, then what kind of EBITDA -- exit EBITDA margin can this business achieve? Because some of the listed peers do have EBITDA margins closer to 40%, whereas your MFRTA business and the issuer RTA businesses, they operate at more than 40%, 55% margins. So where can this business sit once it achieves that scale?

Sreekanth Nadella: So this business is -- what does Ascent do, right? I mean, you see, the large -- the global peers that you're referring to, if you kind of split between bank-based, fund admin and the non-bank-based fund admin, we will fall into the category of the nonbank-based fund admin, which has several large global fund admins like Citicorps and SS&Cs and Apex Group and IQ-EQ, several others.

Now they are into both public mandates and into private mandates. And I'm differentiating public mandates more as mutual funds and pensions and what have you. Private mandates more as alternate investment funds, hedge funds, digital funds, digital currency funds, so on and so forth.

The private side of it is a far more profitable book of business for many of these fund administrators beyond India, first and foremost. Because the public mandate funds work in a very different model, they do not have the RTO construct there. They work in the case of an omnibus model, which is very, very different.

Second, the reason why we have partnered with Ascent and they have also partnered with us is that we are highly differentiated in our cost structures. We do not have the legacy challenges, which many of these entities possibly have, which is basically a technological proliferation that happens through large-scale acquisitions into multiple geographies and legacy systems, whereas

we work on the cutting edge on the technological innovation and through engineering. Our cost base is substantively low. Those organizations are now trying to set up captives in India to optimize their cost.

We, on the other hand, are India domiciled right from day 1 broadly. So we believe that our margin profile for the entity in conversation will be similar to that of KFin and maybe even higher as we partner with them to take, for example, mPower to the rest of the world as against using third-party software.

We drive far more productivit

y through many of our home-grown solutions. We are able to take, for example, the LP portals, the GB portals, drive data and analytics solutions to the rest of the world, which are far more margin accretive, right?

So simply put, I wouldn't compare Ascent with the global fund admins because those are -- a lot more go into those particular entities. And not just the RTA, in fact, those entities also have custody as a business within that, possibly even basic depository solutions within that. So we didn't have a like-to-like comparison of a pure-play fund admin only solutions for private mandates, which I'd like to believe will be far more accretive than many of the global fund admins as of today.

Moderator: We take the next question from the line of Vaibhav Sharma from Nuvama Wealth Management Limited.

Vaibhav Sharma: So I just wanted to know, on the international business side, so there is a Q-o-Q drop of 11%.

So is there some like on e-off or something? And like ex global business, what is the growth that looks like? Also on the asset side, have we added any new clients? And when are we expecting the consolidation to take place? And if there are any developments happening in the BlackRock Aladdin space?

Sreekanth Nadella: I'll take the last 2 questions, and I'll request Vivek to answer the first one. In terms of Ascent's new client acquisition, there have been plentiful of new client acquisitions. They have started Saudi Arabia with one of the largest clients, and they raised an expansion of nearly 60-plus funds in the previous quarter across multiple geographies.

They have also signed a marquee contract with one of the largest banks in Singapore to be able to provide onboarding solutions, which is a large contract in the context of the overall revenue profile of the organization.

The current run rate of revenue tracks to a INR20 million plus revenue on an annualized basis. And should the current growth rate persist, we should expect the number to be much higher than that. So yes, so it is a combination of new client wins and certain AUM expansion of Ascent that has helped us.

In terms of the integration, as I said, it is hard to give out a data at a time. Given this is an acquisition which involves multiple jurisdictions. So KFin ought to have gotten its approvals

from our regulators, which is SEBI, PFRDA and RBI. And I'm very glad to inform you that we have secured all those approvals.

Ascent has more than 3 approvals to secure given they are present in multiple jurisdictions, which they have also really secured for nearly 3/4 of those. So we have another 3 countries, I think, that are yet to acquire the approval. They're in the process of diligencing it and certain questions being asked. And I'd like to believe it's just a matter of time that approvals will come through and integration will happen.

That said, that has not impeded our intent to work together. We've been working on a series of initiatives together on go-to-market, on technological integrations, so on and so forth so that the receipt of the approval marks more a milestone as against a critical success factor to start that particular activity, if I may.

In terms of the BlackRock Aladdin, as I said, in the previous quarter as well, it is a 2 to 3 quarters engagement in terms of integration of the solutions. We've had several promising meetings. We're working at tech-to-tech layer. We are in the process of integrating Aladdin with our back-end system, which is mPower.

Again, I will call out that Aladdin is a front office order management system and a risk management system at its heart. It needs to be integrated with our core middle office and back

office, middle office being a settlement solutions and the P&L, and then to the back office we'll get into the stage of NAV computation, what have you. The integra

tion of these 2 platforms is

the basic first step for us to take it to the market as a viable alternative to many of the global fund administrators.

So I would expect only into mid part of Q3 that we would have reached out to the clients and the traction, we would have completed our go-to-market sales strategy, the commercials, the contracting structures and possibly even having identified certain sales personnel in various important geographies.

And it is strongly the potential that as Ascent's integration gets completed, the 18, 19 countries that they are part of where Aladdin has a significant market share, we would have already been blessed with the fact that several sales personnel already exist in the form of Ascent having their personnel there on the ground.

So in that context, I think whilst we complete our technology, we have been also working in the form of the commercials, the contracting, go-to-market and the sales and the feet on the street, which may come from Ascent and from executives.

Vivek Mathur: I'll pick up the question on sequential decline of 11% quarter-on-quarter on the international. Can you hear me?

Vaibhav Sharma: Yes.

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Vivek Mathur: On the 11% decline on international Issuer Solutions, the reduction is mainly because of GBS and some part of it is because of NPS. NPS, as you know, is seasonal. And typically, Q4 is a tax season and people contribute because of the tax season in the last quarter.

So about INR50 lakhs is because of that, but a little more than INR3 crores impact is because of GBS, where we are consciously declining the number of FTEs and the whole focus is to move away from BPO kind of a business and start focusing on international global fund administration. So that's the reason that you see a decline. But if you consider last year versus this year, except for GBS, all businesses have grown by more than 30%.

Moderator: We take the next question from the line of Dipanjan Ghosh from Cit.

Dipanjan Ghosh: Just 2 questions from my side. First, from the previous participant's question, if I look at the international and domestic wealth or AIF businesses, excluding GBS and excluding pension, growth rates which was tracking -- so if I just take cues from the previous participant's question. In terms of the international and other investor solutions, excluding GBS and pension also, the growth rates which are tracking like say, 45%, 50% in the first, second, third quarter of last year on a Y-o-Y basis now has come down to like 25%, 30% in the last 2 quarters.

So in terms of incremental client onboarding or in terms of the pipeline, given the fact that market-to-market is also probably a little better than historical averages, how should one think of this business incrementally?

And second, on Ascent's part, if I just look at third quarter metrics compared to the first half or the last 2, 3 quarters of the previous year also, it seems that the incremental number of clients added, incremental AUM growth quarter-on-quarter, all these metrics have kind of tapered down quite a lot.

So if I just look at the number of schemes, that's up like 5%, AUM is up 5% compared to, let's say, historical average, which is far, far higher. So just wanted to get some sense of this new salespeople that they've onboarded, should that kind of drive some amount of revival in the business momentum?

Vivek Mathur: Yes. So I'll pick up the question. On your question on -- other than GBS, the businesses are growing, used to grow at 40%, 50%. That was more in AIF. But if you look at core international business, that has grown year-on-year at 36%. AIF, PWM, PMS has grown at 31%. NPS has grown at almost 33% year-on-year. So it's mainly the GBS impact.

So overall, we still believe 30%, 35% growth in international and other businesses, except GBS will continue to behave like

that. And with Ascent coming in, you will see the growth rate going up because their win rate and the growth in the funds under administration and the revenues for them is upwards of 35% to 40%.

So you may see that the trajectory will continue to improve beyond 30% in future quarters.

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Amit Murarka : I'll just add to this, Dipanjan. I mean, historically, if you see the business, I mean, Q1, as we have always been saying that it's a quarter which is the leanest among all the 4 quarters and all. So across all the line of business, the activities start picking up as we move into the subsequent quarters and all.

So I mean, given where we are in the market conditions and all, I mean, we believe that we are in a -- we have a very strong footing across all the 3 lines of the younger businesses which we are talking about from the deal perspective. And I think, I mean, whatever the guidance that we have given in terms of the 30%, 35%, that is something that we are fairly confident that we kind of be ahead of that guidance.

Moderator: We take the next question from the line of Lalit Deo from Equirus Securities.

Lalit Deo: Sir, just one question. So when we have highlighted that the yields in the domestic business is likely to remain stable for the remaining part of the year. So just wanted to understand the EBIT -- margins also in this business. So in this particular quarter, it has dropped to around 55% unlike the previous quarters of around 59% to 60%. So would we be back to that similar levels of around 59%, 60% in the coming quarters? Or is this the new normal of around 55%.

Sreekanth Nadella: I think it's a reasonably linear math, given that the pricing has been closed for the rest of the year. So the AUM expansion that will happen into the next 3 quarters, resulting in the revenue expansion month-on-month, quarter-over-quarter, obviously will expand the margin profile. So I do not anticipate that trajectory to differ.

Again, I'll just call out, it is the exact same phenomenon we see every single year. Q1, we see 2 specific items, hit of inflation on April 1 because AUM remains largely similar. 31st March to 1st of April, there is a cost inflation that goes up. And the AUM, any discounts that are given in the beginning of the year, the AUM continues to grow at a clip faster than that of the discounts that have been accorded, thereby the margin expansion into that business will expand as well in the subsequent quarters.

Moderator: We take the next question from the line of Pranuj from JPMorgan.

Pranuj: I think Sreekanth, in the opening comments, you were mentioning about top 5 AMC's being onboarded on the fund administration platform. So I just want to get a sense of what could be the ticket sizes of these contracts?

Sreekanth Nadella: See, on the fund admin, basically, we have multiple clients getting onboarded. So given this is an international platform, it is -- we won contracts in Malaysia, in Thailand and Singapore and several, of course, in India. And within India, again, not just mutual funds, but also in insurance, right? For example, in insurance, we have been onboarded for Aviva Insurance. In the case of mutual funds, it is JM and Cosmia. Internationally, several large trustees, including Aman Ahirya trustee managers, so on and so forth have been onboarded on that.

The revenue would be in 2 factors. I think some of these are platform solutions and some of these are ongoing services. So ergo, the revenue will be split. Some will be more for a particular

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year followed by a certain amount of AMC. And some of these are pure-play services just like the RTA contract, which means that month-on-month for the service layer that we generate, we get a certain basis point.

So the exact number, I would request Amit to dis-

cuss with you offline in terms of having computed what is onetime episodic versus what is the run rate on that.

Moderator: Ladies and gentlemen, we take that as the last question and conclude the question-and-answer session. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

November 04, 2025 CS&G/STX/DQ2025/18

1)National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051

Scrip Symbol: KFINTECH2)BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations
and Disclosure Requirements) Regulations, 2015 ("LODR Regulations")

Dear Sir / Madam,

Further to our previous intimation bearing reference no. CS&G/STX/DQ2025/09 dated October 17,
2025, pursuant to Regulation 30 and other applicable provisions of the LODR Regulations, please
find enclosed herewith the transcript of the Earnings Conference Call held on October 28, 2025, in
respect of the standalone and consolidated unaudited financial results of the Company for the quarter
and half year ended September 30, 2025.

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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"KFin Technologies Limited

Q2 and H1 FY '26 Earnings Conference Call"

October 28 , 202 5

MANAGEMENT : MR. SREEKANTH NADELLA – MD AND CEO

MR. VIVEK MATHUR – CFO

MR. AMIT MURARKA – CFO, INTERNATIONAL

BUSINESS AND HEAD IR

MODERATOR : MR. DEVESH AGARWAL – IIFL CAPITAL SERVICES
LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to KFinTech Q2 and H1 FY '26 Earnings
Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines
will be in the listen -only mode, and there will be an opportunity for you to ask questions after
the presentation concludes. Should you need assistance during the conference call, please signal
an operator by pressing s tar, then zero on your touchtone telephone. Please note that this
conference is being recorded.

I now hand the conference over to Mr. Devesh Agarwal from IIFL Capital Services Limited.

Thank you, and over to you, sir.

Devesh Agarwal: Thank you, Iqra. Good morning, everyone, and welcome to the Q2 FY '26 Earnings Call of KFin Technologies Limited. Today from the company, we have with us Sreekanth Nadella, MD and CEO; Vivek Mathur, CFO; and Amit Murarka, the CFO of International Business and Head of Investor Relations.

I would now like to hand over the call to Sreekanth for his opening remarks, which will be followed by a Q&A session. Thank you, and over to you, Sreekanth.

Sreekanth Nadella: Thank you so very much, Devesh. A very good morning, and a very warm welcome to one and all. Happy Diwali and a wonderful festive season that has just gone by and then ahead of ourselves.

As the festival season typically augurs good news for most Indians, it has been no different for KFinTech. We have completed Q2 yet another successful quarter, marked by a fairly well-rounded performance across various aspects of our business, client acquisition, revenue generation, cost optimization through margin expansion, new client logos, expansion into newer businesses, launch of new products and acquisitions, so to speak. So it's been a fairly busy quarter for us.

We have seen amidst fairly volatile markets, we have delivered results, which we believe we are reasonably satisfied with. As always, there is always room for improvement, and that's what we continue to learn. We continue to be the country's largest registrar and transfer agent by a mile in terms of number of clients in mutual funds, total market share in issuer solutions, number of clients in alternate investment funds, fastest-growing CRA in national pension system and the only registrar who is globally present.

And to augment and to add wings to our vision, which I continue to believe is for KFinTech to be the first large global fund administrator coming out of India. We have completed the acquisition of Ascent Fund Services, headquartered in Singapore, into this month. And that marks a very important milestone for us.

As you have all seen, these have all been fairly focused and purposefully orchestrated buy versus build strategies that we've been adopting for a fair period of time, whether it is acquisition of Hexagram because we needed fund accounting capabilities, acquisition of Webile, largely for KFin Technologies Limited

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mobility capabilities, but leveraging in-house capabilities for what we believe is core to us, which is data.

We built our own big data platforms, cloud capabilities, so on and so forth. And internationally, whilst we drive our organic growth in the form of public market funds, we believed that for the private market funds, it was always a better strategy to acquire an entity outside of India, and that marks the closure of that first step towards the direction in terms of acquisition of Fund Services.

Overall, we have expanded our footprint in mutual funds in India as well. We have signed up with Lakshya Mutual Fund. There have been some concerns that some of you have expressed in terms of a little bit of tapering off of new client logos. You'd be happy to hear that we have won 4 out of 4 last mutual fund mandates that have launched in India in addition to transitioning

g one.

And that, of course, will only be a medium to long-term revenue accreting topic as I continue to believe that a new launch -- a new mutual fund will only add revenue maybe 3 years from the day of signing up, 3 to 4 years, and all depending upon how they perform. So it is critically important that we stay focused in terms of helping our current clients to grow faster through technological innovation, through partner, producting and platforming, so on and so forth.

We have launched IGNITE, as you all know, into the previous quarter. It has found its way into every nook and corner of the country, every distributor, every partner. Just yesterday, we had a wonderful event in Bangalore with Moneycontrol, where we have, again, worked with a whole lot of distributors. We launched IRIS as a product on the platform, entirely creating a new ecosystem for partners for financial intermediaries.

Think of it like an UrbanClap for various skilled workers. So this is going to be a similar search platform for financial intermediaries who would be able to enhance their livelihood by way of selling multiple asset classes, and it will also help every single citizen of India because you now have a single individual who can solve for nearly every financial need one person may have, whether it is fixed deposits, mutual funds, pensions, loans, credit cards, what have you, right?

So that's mutual funds in terms of -- in addition to new client logo additions. We continue to outpace industry in terms of the AUM. We have marginally been better off than the overall industry. Of course, one area that we are watchful about is on the equity growth. Needless to say, I think some of the larger asset management companies serviced by our friends in Chennai

have been growing much faster on the equity, given they have a much larger base, it's understandable.

But that said, what I take heart is in the fact that it's a secular growth at our end in terms of every AMC growing much, much faster. And that's resulted, as you could see, in the overall yield actually getting better in comparison to Q1. So I guess that's the difference between -- and mass, all AMCs growing together versus few large growing at any one point in time.

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Our SIP book continues to hold well, closing -- closer to 40%, and I continue to believe any long-term projections should be tethered to where the SIP is today. If we are 40%, there is no doubt in my mind there would come a time into the history of KFinTech where we will reach the overall market share to closer to that number, as SIP will be the determining factor in terms of the overall AUM over a long period of time.

Issuer Solutions, we have added nearly 500 -odd clients. Every quarter, we are adding that kind of a number. We're extremely focused now, not just in Main Board IPOs, but also in SME IPOs, unlisted companies, et cetera. We are building this for medium to long term, even though in the near term, this may not be massively revenue generating, although SMEs and unlisted.

But we are looking at a medium to long-term horizon, and I believe that will add a significant amount of more to our organization, something that also is slightly away from the market-to-market vagaries that our industry deals with.

We have launched country's largest IPO, LG, successfully so. And every week, we have at least 3-odd IPOs happening from now till end of December, which augurs well for this year, of course. But more importantly, into the coming year, as we all know, these are all annuity revenue contracts. Also happy to inform you that we have transitioned a very large mandate in the form of BPCL, which is large in terms of the corporate registry business, and then we have several in the pipeline in terms of transitions.

In the International and Other Solutions, we have added several new logos and sev

eral clients

here to go live. Overall, business continues to be well. Of course, the AUM growth is probably not as large as one would have expected at least in relation to India. And given our contracts have minimum billing subject to them reaching a particular AUM and as the AMCs grow beyond the threshold is when we'll grow faster. At this point in time, our growth is nearly entirely hinged on new client addition, which is adding more revenue. We have several large international deals in the pipeline. Some of them we were hoping to have concluded in the previous quarter. But there is always a timing difference with large deals, with the festive season, so on and so forth. But into this coming quarter, we are looking at some large deals to be signed.

Central Recordkeeping Agency, National Pension System is a very, very interesting piece of work. Again, on a medium to long-term basis, I believe it's a very important line of business in terms of the margin that it can contribute as well as the revenue it can grow. There have been for a change tailwinds in the form of regulatory changes for pensions, which will augment our revenue, where the regulator has permitted basis points driven charging on AUM, much like that of our mutual funds as against a fixed fee per prime, which was the situation back in the day. We continue to grow at 3x the pace of the industry, and we have crossed a double-digit number. We are 10.3% in the overall industry, participating nearly entirely only on private markets. So that clearly explains to you in terms of our market share in the private sector is at least 4x that of the overall industry. And this is an area we will continue to invest our time, effort and money as India will continue to become a large functioning society.

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AIF, we crossed INR1.8 trillion. I think we will cross INR2 trillion by the next time I speak easily. Again, a fledgling asset class and something that we have found our way from probably nearly nothing at all in terms of our overall book of business to manage close to 40% of the overall industry and one that we are confident we will get close to 50% into the next 12 to 18 months.

And GIFT city, our numbers are much higher, of course, close to 60% combined with Ascent, that gets to about nearly 3/4 of all funds are being managed by the combined entity of KFin and Ascent, and a number that we would like to keep at that number, and then probably even scaling it up as we progress in terms of our ability to serve multiple service -- multiple other clients.

Overall, the revenue numbers, you have seen, nothing for me to elaborate. We believe if not for certain M&A-driven costs and certain onetime costs, our margin performance would have been

better than what you could see, which clearly augurs well in terms of how we believe that the core growth and its contributing in terms of the productivity driven, and a very scientifically administered productivity -driven gains in terms of margin expansion is sustainable, notwithstanding the one -off expenditure that we have had into the previous quarter also. We have continuing to be invested in our tech solution, as I always believe that managing a business like this, which has a very strong dependency on how the markets perform and how our clients perform, both of which may not necessarily be entirely in our hands, we have to do and orchestrate things that are controllable in our own hands. And part of that was value -added solutions in the form of tech -driven revenue. And we have continued to expand our big data solutions to the industry, both for our clients as well as for several other industries. And we have won another one large data contract into the previous quarter, and then we had several that we are talking about at this moment in time, and hopefully, we will fructify in real quick time

e. But overall, value -added solutions as a business continues to expand about 40 -odd percent year -on-year. And we believe that it can grow faster than that into the coming years as well.

We have signed some very interesting contracts in the international space, some with trustees, some not with asset management companies, which gives us a foray into incidental and ancillary industries, but nearly, entirely depending in terms of fund servicing aspects of it and in the details as to how that is progressing.

We continue to expand on the wealth as well. We have signed expansion of current platforms with some newer clients. And having successfully gone live with many our clients, and the platform has proven its merit and worked. And we have now customized it to fully -- to be globally ready in terms of being a multicurrency, multi -geography and multi -asset. And we are currently in talks with some of the clients in Singapore and in Philippines.

And given it operates in a slightly nonregulated space and scope for expansion being far higher, I'm hoping that into the coming few quarters, we'll have more to talk about, the wealth space. Again, probably one of the newer sector that we've been in, but one of the things that I believe KFin Technologies Limited

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is probably the most promising in terms of the growth potential in addition to the international market, so to speak.

So the overall AUMs, I think, in a very tepid quarter. The net flows continue to be holding up, and the SIP book continues to be resilient and strong. And with markets turning the corner, which I think is probably happening around now and with good earnings season, I'd like to believe that we have better days ahead in terms of certain mark -to-market gains in addition to net flows continuing to expand. And hopefully, that will go better in terms of the margins and top line as well.

And given we have much of our alternate investment funds are also in Cat III model, our mark -to-market gains in AIF also will be advantageous to us. Clearly, all the Cat III funds are nearly public market invested. And hence, I'm expecting an AUM expansion and hence, the revenue expansion based on that into the coming quarters as well.

We have seen a slight degrowth in the number of folios in Issuer Solutions into the past quarter. Now in spite and despite of that, we have grown quarter -on-quarter sequentially and year -on-year much higher than, I guess, into the previous year. And that's largely a symptom of new client additions and transitions. Now again, with the markets turning the corner, I expect retail investors to come back.

As that happens, it will have the dual advantage of annuity -driven growth because of several new logo additions and more IPOs coming every single week. We are doing -- we're going to be doing about 2 to 3 IPOs every single week from here till pretty much end of December. And with the net new folio addition, that also should add well into the Issuer Solutions.

And again, better earnings by corporate India translates to better corporate actions, which hopefully will mean that into the Q3 and Q4, we'll be better positioned in terms of corporate action -driven revenue that will come in Issuer Solutions business.

So that's broadly my key update. Ascent, I'll just take a minute, and then I'll turn it over to Vivek. It's been in works for a fair period of time. And given their presence in about 18 geographies and moderated and regulated by about 7 different regulators, it was a bit of a task. We were hoping to conclude it in the previous quarter, but that's all right. We've done it into this. And hence, we will be able to consolidate our books into the coming quarter.

We have had a very, very engaging workshop with acquisition in Malaysia. In the previous quarter, several of KFin leaders, and Ascent leaders together chalked out a strate

gy in terms of

top line expansion, looking at areas in terms of cost optimization, whether it is a consolidation of real estate, consolidation of tech assets, consolidation of human assets, so on and so forth . With a view for margin expansion and a more concerted delivery mechanism that together we orchestrate. And we have a very well -defined plan in terms of how to make this 1 plus 1 acquisition, not 2, but then double -digit acquisition in terms of leveraging the synergies that both the entities have against each other.

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So into the coming quarters, obviously, the consolidation will happen, both the financials as well as the rest of the work. Very, very pleased with the quality of talent we have with that organization. There is a lot that my teams will learn on private mandate space. There's a lot that Ascent teams would learn in terms of our technology capabilities and how we can scale up globally now that we are present in about 18 -plus countries. We have a few more that we will be starting into the coming year, if not into the coming quarters.

Lastly, I think in the overall international space, large mandate translation has been a topic of discussion. Whilst we have signed with ARIM last year, which you all know is a reasonably large deal. We have 3 to 4 such deals in the making at this moment in time.

In fact, we are taking pensions on the back of our National Pension System platform, which is called Suprema, to parts of Philippines and into parts of Asia, where we are seeing reasonable impetus in terms of the local governments pushing for very highly pensionable societies in that part of the world. So hopefully, in time, there will be some good news that we will be able to announce it as well.

So that's broadly the key highlights. And just one last thing in terms of the FinEx as a program, which is our replatforming of our core business. It's progressed quite swiftly into the previous quarter, and we have now launched or rather have gone live 2 out of the 16 modules of FinEx , which is what is going to give us the confidence -- which has given us confidence in terms of our capability to completely replatform our 40 -year-old tech platform on which nearly 50% of retail investors and about close to INR30 -plus trillion of AUM is being managed. It's not an easy task.

And we believe that from here on, it will accelerate. And that should give us the -- hopefully, the next levers in terms of better client servicing, faster go -to-market strategies, significant growth for our clients in the form of our capabilities to deliver faster digital solutions and hopefully some amount of productivity -driven margin expansion as well.

So that's broadly me. I'm going to turn it over to Vivek, and I'll come back for questions later.

Thank you. Vivek?

Vivek Mathur: Thank you, Sreekanth. Good morning, everyone. About the financial results for the half year ended September 2025. For the Q2 , our revenue was INR309 crores, which was 10.3% higher year-on-year for the same quarter and sequentially 12.8% higher. For the half year, it was 12.6% year higher as compared to last year half year. If you look at the breakup of the revenue growth on a year -on-year for the same quarter, the domestic mutual fund business grew by 10.2% , International and Other Investor Solutions grew by 7.1%. But if we look at the core business, excluding the GBS business, the growth was 26.1%. Within that, the Global Fund Solutions growth was 14%. The pension business grew by 21%. The AIF, PMS, PWM business grew by 28%. Hexagram grew by almost 54%.

Webile grew by 18%. GBS degrew by 70%. And if you look at half year, the growth in domestic mutual fund business revenue was 13.5%. And if you look at International and Other Investor

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Solutions, it was a

bout 3.8%. But if you exclude GBS, the growth was 27.5%, which is the growth in the core businesses. Within that, the Global Fund Solutions business grew by 12.7%. The NPS business grew by 26%. The AIF business grew by 29%. Hexagram grew by 87%, Webile about 8%, and GBS was negative by 77%.

Issuer Solutions business grew for the same quarter this year versus last year by 13.4%. And in terms of half year, it grew by 18%. So overall, the growth has been decent in terms of whether it is sequential growth or same quarter last year versus this year and half year. And from the overall perspective, the sales pipeline is promising, and we hope that we will continue to gain traction in terms of growth in revenue in times to come.

And if you look at the EBITDA, EBITDA grew by 7.2% year -on-year for the same quarter.

Sequentially, it grew by 19.2%. And for the half year, it grew by 10.3%. The EBITDA margin

at the end of Q2 -- for Q2 was 43.9% and for the half year, was 42.8%. If we look at PAT margins, PAT margin continued to be 30.2%. There was a growth of 4.5% year-on-year for the same quarter.

And sequentially also, it grew by 20.8%. For the half year, it went up by 8.4%. And for the half year, the PAT margin was 29.2%. So there were some one-off expenses, as Sreekanth mentioned, but I think we are range bound in terms of our guidance on EBITDA and PAT, and we are confident that we'll be able to maintain that guidance once even asset integration takes place in the next quarter.

So the diluted EPS went up to INR5.38 and for half year, to INR9.83. Cash and cash equivalents at the end of September was INR690.8 crores. We have paid dividend of INR129 crores post this quarter and also invested in Ascent, INR308 crores. So as on date, we have cash and cash equivalents of INR413 crores, which is still very healthy in terms of our ability to invest for future as well as to continue to maintain a healthy working capital.

Happy to take questions now.

Moderator: Thank you very much. The first question comes from the line of Karthik Chellappa from Indus Capital Advisors. Please go ahead.

Karthik Chellappa: I have two questions. The first one is on Issuer Solutions. If we were to look at this quarter's performance, we have seen a decent amount of margin compression in the Issuer Solutions segment. While I note that the base quarter margins were probably elevated and so not the right base, but nevertheless, we have seen some compression. So could you just give us some color on what led to those margin compression? And what is a sustainable level of margins going forward for the Issuer Solutions segment? That's my first question.

Sreekanth Nadella: Thank you, Karthik. So there are two distinct reasons for that, and which is transitory and something that is not going to be repeated for a sustainable period of time. One is, since there have been so many new IPOs that we have handled in the recent past. Our labor costs are basically semi-linear, which means that up to a particular new client acquisition and addition, KFin Technologies Limited

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our current manpower is adequate to take on, right? And hence, there is no additional cost associated with that.

But once the number crosses a particular threshold, there is as much that can be leveraged out of existing staff, and then we'll have to add certain numbers. And that certain numbers will then continue to give us a certain amount of semi-linearity for a fair period of time without having to add new clients just because we are handling new clients or new IPOs or new transitions.

So there is a onetime slight reset of costs, which spread across the newer mandates that we are winning will mean that the cost per mandate will come down and hence, the overall cost vis-à-vis the revenue that we're going to accrue will come down and hence, the margins will come back to a better clip.

Two, we have been in the context of significant push by the regulators in terms of unclaimed amounts to be given back to the industry because in the securities market, we have several physical shares dating back to 1970s and '80s and '90s and people who can't be traced to. And that basically has resulted in several new claims that have come stating that, look, these shares belong to me, so on and so forth.

And back in the day, they were probably worth a few hundred, but now they are worth several tens of crores of rupees. And conscious of the risk that is associated with this in terms of frauds and what have you, we have incurred certain professional charges, which is probably a onetime activity and may continue for another quarter or so in terms of vetting the transactions that we're clearing. And once that is done, we'll go back to normalcy.

So those 2 have had a transitory margin impact on Issuer Solutions. Our ongoing margins, I'd like to believe would be similar to what we've had in the past with the exception of maybe 2 to 3 quarters.

Karthik Chellappa: Excellent. My second question is on the mutual fund RTA business. You did allude to in your opening remarks that the yields have kind of stabilized or so. So can we take it that going forward, at least for the rest of the year, the yields should settle down at current levels, which means on a sequential basis, the AUM growth and the revenue growth in the segment should more or less start to mimic each other. Is that a fair inference that we can draw from your comments?

Sreekanth Nadella: I would say, yes, with the exception of minor movements, and that can be plus or minus, Karthik, okay, because of telescopic pricing, right? I mean, for example, any one of the client has moved into the next year and the additional AUM coming from that is going to be slightly lower, that may have a slightly negative bias.

And as I've always explained, yield is not just discount driven. Yield is driven by which AMC

is growing. Yield is driven by the asset mix. Yield is also driven by the pricing. So it is not only pricing, and it is strongly possible that there can even be a positive uptick.

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For example, if all my mid-tier AMCs grow much faster than my larger AMCs, technically, we may even see a positive surprise. So it's going to be hard to predict, but I would believe that it would be stabilized around the current number, plus or minus a very small standard deviation.

Moderator: The next question is from the line of Abhijeet from Kotak Mahindra Asset Management.

Abhijeet: My first question was on the KRA business. Sometime back, you mentioned about getting into this line of business as well. So I was just trying to understand what would be the broad strategy?

How would you want to scale this up? How would you differentiate yourself? Any broad thoughts and some specific pointers in terms of strategy would be helpful.

Sreekanth Nadella: Thank you, Abhijeet. So we have -- whilst we have launched our product into the previous quarter, the go-live actually happened this quarter. I did not anticipate, but there were delays in terms of integration that is required with all other KRAs, which basically pushed the live operations into this quarter -- into this month, in fact. And so basically, it's an interoperable solution, as we all know in the KRA.

We -- our strategy -- one of the reasons why we've gotten into KRA business is that we anticipate at some point in time, a unified KYC for all financial services, right, that cutting across insurance, banking, mutual funds, all kind of asset classes. And in the wake of it, it is possible that there could be a very large addressable market, and that is something that we were not willing or wanted to move away. And more importantly, there is a significant amount of value-added solutions we can add

to our current clientele, notwithstanding the fact that we also have relevance for such solutions in all my international business broadly. So that was the reason why we got into the KRA business.

We are differentiated by our technology. We are the only KRA who has complete API-driven architecture. Tech solutions are differentiated in terms of how strong, resilient and quick in terms of turning around a KYC. We can complete a KYC, and close it within 3 minutes to 4 minutes, much, much faster than the rest of the industry. And we have integrated fully with the industry platforms such as MFU and with -- most of our clients have started leveraging our KRA who were otherwise using the third-party KRA, so to speak.

So we believe that -- and this is Phase 1, by the way, Abhijeet, which is basically provide like-to-like solutions, backed with superior technology and far better pricing strategy given our frugal engineering capabilities. But our Phase 2, is in works and something that should go live soon, is going to bring in concepts of tokenization to the industry.

I'm very, very personally invested to, I guess, transform this business. Today, if you see, you get our insurance policy, you need a KYC. You need to open a bank account, you go for a loan, you get a mutual funds, you get something else.

Now the same person gets KYC done 4, 5, 6, 7 different times. And with minor modifications, everybody ends up spending money. So there is a significant amount of industry cost on a topic, which is technically not value adding to anybody. Now it is a very important element in terms

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of regulation, no doubt about it. But it doesn't add any value. It doesn't make anybody rich, when simply put, right? Probably it only makes a reach to the intermediaries to that extent.

So the tokenization concept basically summarily disintermediates some of that. I would speak more about it when we are closer to launch, but that's something that's probably a global-first impact. As we will be leveraging probably the most often used words but rarely deployed items that is the blockchain technology on a complete tokenized solution for the KRA business.

So simply put, our go-to-market strategy has started. We have onboarded some of our clients.

We have started onboarding several fintech distributors because in today's world, much of the net new investor addition to the industry comes from these large tech platforms and distributors and brokers. We've integrated with them. We integrated with the industry body.

And we are, in fact, working now with the rest of the world, for example, with the regulators in Malaysia and so on and so forth because they do not have such concepts of interoperability, what have you. And we want to take what we have done, that's here to the rest of the world. One, it will benefit the local ecosystem. It obviously is also a good opportunity for us to drive our financial growth there.

Abhijeet: And then just one more, again, a slightly broader question. It's been a phenomenal turnaround

when we look back at the journey over the last 5 years. And in that context, it would be useful to get some perspectives on your own thought process or thoughts on continuing to lead the organization over the next many more years. Any thoughts there would be super helpful.

Sreekanth Nadella: Interesting question. I mean this is -- as I said, my vision was obviously duly blessed by our promoters and our shareholders, and the Board had been to create a large global fund administrator from India. We have just started that journey. We are nowhere near where we can get to. It's a \$50 billion industry. And our contribution to that, as you know, is basically marginal or negligible at this point in time. So we are traversing that journey. And I hope to continue to have that opportunity to be able to position KFin

into that orbit.

Moderator: The next question is from the line of Shrenik Mehta from IndoAlps Wealth.

Shrenik Mehta: My question is about the international operations. So with the now Ascent coming into the picture, how do you see this business over the next few years? Do you see really that international business could overtake the domestic operations in the next few years?

Sreekanth Nadella: So let's do the math. I mean, international business today, I mean, should be equated, I guess, with mutual fund business plus AIF, right? And that is what my international business is also going to be. If you add up India mutual funds and AIF business and equate that with KFin's own organic international business with that of Ascent's numbers, right? I mean I don't see a scenario where the international business will overtake domestic in the next 2 to 3 years. I think that gap is too large and too wide.

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India's mutual fund business itself is growing at a very fast rate. We continue to expand at 15% to 20%, which is not a small number at all on a base. And given we have a very large amount of financial inclusion to be driven. So I expect there is a fair amount of growth still left behind here. Now our international, however, definitely no doubt is growing faster than domestic, right? I think we're growing at about 30% plus, so is Ascent. Domestic mutual funds growing between mid-teens to late teens will mean -- and if these continue to grow exactly around the same pace, there will be a point of convergence.

Now we have done Ascent acquisition, again, I know, to repeat, not just to add simple 1 plus 1 equals to 2, but then see if we can get to a double digit in terms of the value that we can drive through cross-sell, upsell and leveraging each other's capabilities. There is no doubt in my mind that international will be bigger than the domestic.

It's just logical, isn't it? I mean the rest of the world has to be bigger than India, which it truly is. We have close to \$200 trillion worth of funds elsewhere in the world. And how much of that can you win is just a matter of our execution capabilities.

And over time, as you've seen, we continue to -- what used to be a vision and discussion probably 2, 2.5 years back when we started having these calls, today, much of that has been fructified. And I believe that it won't happen in the next 2 to 3 years, but I would be surprised if it won't happen in 5-year horizon around that.

Because keep in mind that the domestic funds will continue to expand at 15 - odd percent year-on-year. That means that we -- on a very high base, mutual funds in India itself will be a much larger revenue. To beat that number, international has to grow much, much faster, and that is what we are hoping to get to.

Today, for example, total share of mutual funding -- total share of mutual funds versus the rest of KFin businesses has dropped to 62% this quarter. Now next quarter, we will be consolidating Ascent's numbers. Once you consolidate that number, mutual funds will come down below 55% right? And with the businesses growing faster, we are obviously already looking at less than 50% contribution of mutual funds versus everything else. So that will continue to play out in the coming years.

Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee: Congrats on a good set of numbers. Three questions from my side. First, on the mutual fund segment. So I just wanted to understand that of the revenues you have reported in this segment, what is the proportion of value-added services in that? Because you have given a number of 9.3% of total revenue, which is around INR28 crores, INR30 crores.

So out of that, how much pertains to mutual fund, if you can give so that we have like a better clarity in terms of how the AUM

-based yields developed over the quarter? Because last quarter, there was a squeeze. So some color on that would be helpful, whether it is stabilizing at that level and how much is the value-added services component? That is the first question.

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Second is in terms of the folios in the Issuer Solution. So that number has been stagnating over the last, I think, a couple of quarters despite -- I think you have done like around 24 -odd IPOs in 1H. So I just wanted to understand, I mean, are like -- a part of the IPOs this quarter, which you have done, those folios are going to get added next quarter?

Or is there slippages happening from our existing pool? Because I can understand that the number of folios going down maybe in 1Q or the prior periods because markets were not doing well. But now that there is market has started to recover to an extent, I'm not able to triangulate why this number is remaining stagnant. So some color on that would be useful.

Thirdly, on Ascent, the AUM growth from what you have reported at the end of last quarter and what you have reported this quarter, I mean, the growth looks maybe slightly lower than what it used to be over 2, 3 quarters prior. And also the cost structure seems to be continuing to look heavy. So some color on these two would also be helpful.

Sreekanth Nadella: I will request Vivek or Amit to answer first and the third. I will just quickly answer the folio bit, which I have briefly done. Obviously, we are looking at Q2 numbers when the markets were definitely volatile. There has been a reasonable amount of exodus of the retail investors away from the industry. And there is precious little as an organization or a management we can do in terms of portfolio expansion.

What we can do, however, is keep winning a lot of new clients, right, keep transitioning clients. That's the only thing that is in our hands. How the retail investors would invest in the markets or not, multiple factors play into it. Now markets have turned around largely in the last 3 to 4 weeks, I think.

And I'd like to believe that you will see an expanded number in the full year count for this quarter as we come back into the next quarter to discuss this topic. I do believe that it's a onetime activity and more number of IPOs also will bring in additional retail investors.

So basically, what happens is initially when the market starts to turn around, much of the consolidation still happens with institutional investors buying and not retail investors buying. So though it may appear that the markets have turned around, but that's largely because large FIIs, DIIs, et cetera, buying out at bargain prices because of the markets were down in the past 2 quarters.

Now if I have, let's say, INR10 crores worth of investments. And if that all INR10 crores is bought in by one particular mutual fund or a DII, it's just one folio for me. But if that were to be bought by crore retail investors, that is crore folios for me, right? So as you can see, the market cap would exactly be the same. However, depending upon who's buying and who's transacting has the material impact on our revenue lines there.

So yes, I think the initial spurt and growth of our market will not necessarily drive retail participation. Retail participation usually comes when there is a momentum. That is when the retail investor starts feeling that there is a FOMO, so on and so forth and start coming in there, KFin Technologies Limited

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which I'd like to believe is going to happen sometime around now, and hence, the retail folios should expand into this quarter for the next 2.

I'll request Vivek and Amit to cover the aspects on the VAS revenue and on the Ascent numbers.

Vivek Mathur: Sure, Sreekanth. On the MF VAS revenue, it's currently 5% of the MF revenue. And we

expect

that it will continue to grow. It has been growing steadily. It was about 4.8% in the first quarter. It has grown to 5.2% in this quarter.

And on the question on Ascent numbers, there is a one-off onetime INR2.8 million hit they have taken. One out of INR2.8 million, INR2.1 million relates to staff retention because of the transaction. We wanted them to make sure that the core staff continues and there is a retention plan around it. And another INR0.7 million is transaction-related cost. If we ignore this onetime, they are same as in terms of achieving breakeven and a little bit of profit that they have made.

Amit Murarka: I'll also add some points here, Swarnabh. Look, I mean, the pipeline with Ascent, the book also being very, very strong. We don't see any slippages out over there as well. And in this kind of a business, what happens that while you have been acquiring the private mandates and all, I mean, it also kind of needs to tie up with the time when the fund gets launched into the market and which allows you to start the operation and start booking the revenue as well.

So it's more about the timing difference rather than getting a perception that there is a softness in the quarter and all, which kind of picks up as we move into the subsequent months and the periods and all.

Swarnabh Mukherjee: Okay. Understood. That's very helpful. Just quickly, I mean, this one-off costs are done, right?

So next quarter would be a cleaner quarter?

Amit Murarka: Yes, yes. I mean the reason being because, I mean, these are all part of the transaction-related, the structure that we kind of agreed with the team over there. So all of those things have already been factored in. And this quarter onwards, when we start consolidating, we don't expect any kind of -- these kind of write-offs, basically, the one-offs into the books and all.

Moderator: The next question is from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: Hope I'm audible. So just a few questions from my side. First, going back to the previous participant's question on Ascent. If I were to look at the gross realizations, which is a basis points of average AUM, that seems to have been on a downward trajectory for some quarters. I understand that there was a large deal that happened last year. So I just wanted to get some color on what is really driving this realization downward trajectory and how to really think of it going ahead.

Second, I see there has been some restatement of Ascent's 2024 EBITDA numbers. So if you can give some color on the purpose of the restatement and what really happened out there?

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Third question is on your domestic mutual fund business. I understand that there are occasional discounts or renegotiations that happen every now and then. But at least for the next, let's say, 12 to 18 months, is there a visibility on relative stability of this number X of any telescopic pricing impact?

And the last question is on the cost part. I mean, given that you have been kind of upgrading or kind of scaling up your capabilities across various business lines, how should one think of incremental employee growth?

I see that number of IT engineers in your ecosystem continues to increase. So is there a case where there can be some sort of higher employee cost that kind of gets built in over a period of time?

Vivek Mathur: Sreekanth, I'm requesting Amit to talk about Ascent and then maybe you can pick up about domestic mutual fund, and then I'll pick up the cost. Amit?

Amit Murarka: Thanks, Vivek. So, Dipanjan, as far as the realizations are concerned, they are in the range of around 6 to 8 basis points on average. And we expect that kind of range will continue. So even on the base of the July '25 numbers also, if you see, I think that translates close to around 6.5 kind of basis points and all.

And this is considerably higher than what we have around 5, 5.2 basis points in our -- the GFS business and all.

Secondly, with respect to your questions on the restatement for the FY '24 numbers, those numbers it takes time for the audit to get completed given that you need to stitch up the numbers for these 18-odd jurisdictions and all.

So by the time the numbers were available when we announced the results for the previous -- the period and all, I mean, these numbers were still unaudited. And these adjustments basically are nothing but just with respect to the audit related, the extra provisions for the cost that they have carried into the books and all. So these are pertaining to those numbers.

Vivek Mathur: Sreekanth, do you want to pick up the telescopic pricing stability? Can you hear us?

Sreekanth Nadella: Yes, yes. Sorry, I thought you were going to pick up the cost conversation. On the mutual funds, Dipanjan, it's -- I think it's -- see, we had a material number of contracts that got renegotiated into the past 6 to 9 months, right? And that is obviously a cyclical in terms of when the contracts are being signed and the duration of each of the contracts.

We have two contracts that are to be negotiated, one next year and another 1 year after that, which may have a marginal impact on the yields per se. But I guess it's fair to say that we will be in a reasonable range bound, and there will be stability of yield. You will not see probably a big drop like what you saw, into earlier this year or into the coming 2 years for sure. That's on that.

And as far as the cost is concerned, see, we have -- the employee cost, like how I explained in the case of Issuer Solutions, is also semi-linear in the case of mutual funds, right? We will -- as

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the new clients -- so for example, in the last 12 months alone, we have added close to 10 new clients. We have signed 4 new clients in the last 3 months to 4 months alone.

Now each of these for a certain period of time, we will incur the cost, and there won't be any AUM and driven revenue. So clearly, there will be -- you will see a certain cost expansion, if I look at it in isolation in terms of headcount, what have you. But that will continue to get

optimized or negated in the form of our fully purposefully driven tech capabilities driven productivity.

I've explained about FinEx as a program, which is basically our very strong intent in terms of replatforming it. And it's a very complex job, quite honestly. It's like changing the tires while your car is moving at 200 kilometers an hour. And I think having gone live with a couple of modules and with more visibility into more to happen into the coming quarters, that should give us the right kind of support to ensure that we don't continue to expand headcount, right, in the cost.

But again, just to also add a point, I think what you will see is into the coming years, it won't truly be the cost of people that will be material. It will start to become -- your tech cost will become more and more expensive right? And we need to have an eye on that and hence, this entire tech transformation program.

So think of it this way. We -- if it is people, we have other solutions, right? I mean you can basically look at bottom of the pyramid, you move into Tier 2, Tier 3 cities, right, extended working hours or rather shift B, shift C, so on and so forth. There are other solutions that you can optimize the human beings' cost.

But when it comes to tech, it won't be that simple and straightforward, right? I mean much like my clients may come to me for discounts. My service providers, that is whether it is Microsoft or Oracle and AWS and so on and so forth, it is a non-linear relationship. I mean we only get -- let us say that price is going up, right? And given the dominant geopolitical situation they are in,

they're able to do that.

So we are actually even more invested in basically solving for the future and not just for a limited amount of headcount expansion, but how do I basically ensure that the tech costs do not spiral out of control as the data component keeps expanding. For every INR1 of AUM, there is a significant amount of data that gets piled up, right? And that's a cost that we pay downstream.

So there's a large program on that. We have our eyes very firmly set in terms of optimizing costs, both on people and non-people costs. I think people costs, we've been doing reasonably all right. You will expect a certain amount of small semi-linearity kicking in or rather has already kicked in, in the context of several new mandates that we have added.

Cost of regulation, we now have cost of surveillance, cost of fraud detection. Now mindful of the fact that none of these are revenue generating, but nevertheless will add to my cost. In spite

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and despite of investments into all of those areas, we continue to maintain a reasonably healthy profile on the margins in mutual funds. But that said, we'll refocus on tech.

Vivek Mathur: Thank you, Dipanjan. I just wanted to add to what Sreekanth mentioned, that you talked about the telescopic pricing stability. You will continue to see telescopic-based pricing reduction in yield of about 3.5% to 4% every year as the AUM goes up. And on the cost of IT employees, we still spend about 18% of revenue on IT.

The number of transactions in domestic mutual fund alone, what we used to do in 2023, now we are doing almost similar transactions for the first half of 2026. While the overall headcount has gone up only by 15%, volumes have almost doubled in half year as compared to what it used to be. So investment in IT is playing out in terms of reducing the investment in manpower, and investment in technology will continue in the future as well.

Amit Murarka: So just to add to Vivek point, I mean, Dipanjan, just to clarify here, I mean, the yield compression is year-on-year we are talking about, on an annual basis. So this is not -- so just taking the queue out of your question and the previous participant's questions and also, there is no -- so we are not talking about any sequential pressure on the yields in the Q3 and the Q4 and all. This is only on the fiscal year to fiscal year, what we are talking about here.

Moderator: The next question is from the line of Mohit Mangal from Centrum.

Mohit Mangal: I've got two questions. So actually, I was looking at your international operations where a meaningful portion now comes from the GIFT City. So I wanted to understand how the underlying economics compare, say, a fund administration pricing for a Malaysian client versus a similar work done for a client in GIFT City. So how does the pricing and margin profile differ? That's question number one.

Question number two, continuing the question on Ascent. Basically, the top line numbers look very impressive. And I think you told that there have been one-off this quarter as well. My question is that how confident are we about sustaining or achieving a certain EBITDA margin? And what is the time frame we should look into that? Yes, that's it.

Sreekanth Nadella: Yes. So GIFT City funds -- so first of all, KFin does not do private mandate administration, accepting a few in Canada or so. Our international business is mostly around mutual funds, pensions, private retirement schemes, as you're aware. So we then have to compare, I suppose,

our GIFT City yield versus what Ascent generates in Singapore, et cetera. As Amit has already clarified, our yield is roughly about 6 - to 7-odd basis points in international. That is what Ascent is driving. GIFT City would be no more than 2 to 2.5.

So clearly, you're seeing a huge gap in terms of, I guess, how Indian clients p

ay versus probably

outside. And that's -- so about 2.5 -odd basis points compared to 7 basis points international.

Clearly, that will have a huge impact on the margin, right? And as in like GIFT City funds and Indian funds generally will give you lower margin compared to international. So that is --

however, that statement holds true when you have scale internationally .

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Otherwise, the cost of servicing a few funds also is much higher compared to the revenue, the basis points that you get. So I think that's what is basically what's playing out with Ascent at this point in time, which is that they have crossed a certain set of funds that are needed in each of the geographies to have gotten breaking even at this point in time, and we'll continue to add margins from here now that the core base requirement has been met.

But for now, obviously, our margins in GIFT City will be higher than that of Ascent's margins elsewhere. But that is -- that's just a scale conversation into the coming year or so. It will all change then differently.

I'm sorry, I think there was another question about the Ascent...

Vivek Mathur: Ascent EBITDA margin?

Mohit Mangal: EBITDA margin, yes.

Sreekanth Nadella: It's very early days, right? I mean it's a young organization, 5 to 6 years, have managed to scale up rather quickly. If you look at KFin also and start the continuum from 5 years back and see where Ascent, rather than KFin looking from last 40 years, both of us have done similar -- have a similar trajectory, which is very strong vision, strategic intent, conviction and support from the Board and the promoters to invest in younger, faster -growing businesses to add more, to diversify risk, so on and so forth .

So to that extent, our journey has been similar. And I think both of us are just getting started. So I see no worry in terms of sustainability. We are looking to accelerate from here rather than thinking about slowing down or maturing at this moment.

Mohit Mangal: Right. No, no. So my question was that in terms of a breakeven, right, EBITDA breakeven, when it would be like kind of possible? In -- any timeline, if you could give?

Sreekanth Nadella: It's already positive. It's EBITDA positive already. And with more scale in each of the geographies, operating geographies, it will turn -- the profits will be in single digits, I'd like to believe for this fiscal. And we have a very strong plan -- operati ng plan to get into double -digit margins into the next year.

Mohit Mangal: Understood. No, sir. Actually, I was looking at your PPT, Slide #28. So EBITDA is \$2.7 million negative for financial year in July '25.

Amit Murarka: So Sreekanth, I'll just take that thing. So Mohit, that \$2.7 million is basically, I mean, after the adjustments of that onetime \$2.8 million, which is what Vivek explained that there is transaction related, the cost of \$2.8 million that they have kind of accounted for in the fiscal 2025. But net of adjusted for that, I mean, it is already breaking even at and all.

Moderator: The next question is from the line of Uday Pai from Investec.

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Uday Pai: I have a couple of questions. Firstly, on Ascent again. So your 9 months number of EBITDA was INR0.3 million. And now full year adjusted for that M&A also, we are down roughly INR0.1 million. So we have actually declined in the last 3 months. So can you give any color on that? That's the first question.

And the second question is on the NPA side. I think so Sreekanth in his opening commentary mentioned that it would be moving to an AUM -based fee rather than a fixed fee structure. So can you give some more color on that as well? So those are the two questi ons.

Amit Murarka: So yes, so I mean, that's INR0.3 million to INR0.1 million, those are largely wit

h respect to,

again, we will subsume -- we'll assign more to the transaction -related costs itself. So there are - I mean, with respect to the councils and the other -- the diligence that they have taken on part of their s ide in terms of the vendor DDs and all. So on account of that, I mean, the number of another INR20,00,000 or rather INR3,00,000 that has kind of been added to that cost and all.

But we expect that going forward, these numbers will only improve, and more -- it will more be a play on the operating leverage because as you add more scale, I mean, you won't need that many number of the people with respect to the sales or the client relationship, the team and all. And even on the operational side, now along with KFinTech, I think the tech is something that will also provide them the leverage in terms of taking the benefit out of it and then going and servicing rather than deploying more people at the job.

So as we move into the subsequent period and all, I mean, as we have been saying that FY '26, it will be neutral in terms of the impact. And from the next year onwards and all, it will be the EPS accretive as well. And as we move into the subsequent period and over the next 3 - to 5-odd years, we believe, I mean, the company would come and fall in line with the KFinTech, the margin structures as well.

Uday Pai: Sure, sir. That helps. On the NPA side, if you can help?

Sreekanth Nadella: Yes, I'll take that. So see, the current pricing for pensions is something that each of the three operating CRAs quote at the beginning of their license. And there is a requirement to renew your license once every 5 years or so. And the CRAs get an opportunity to revise upwards or downwards depending upon their operating scale and margins, etcetera.

Now we basically -- to simplify the numbers, basically, KFin charges roughly about INR100 per prime today, right? And I think total is around INR114, INR115, what have you. There is a regulatory requirement stating that in the current construct of a fixed fee that everything needs to be capped at INR100, which means that it is net neutral for us. It doesn't matter to us because we're already at INR100. And if anything, we'll be able to add another 3%, 4% more to our current pricing. We are currently at INR97.

And hence, there can be a slight upward revision in terms of the pricing that we can get. And I think there is also a proposal to increase the -- right now, it is fixed and flat at INR100. But now KFin Technologies Limited

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there is a corpus -based fee that is coming into play, which means that up to INR2 lakh, let's say, if a subscriber -- NPA subscriber has up to INR2 lakh -odd, we'll charge about INR100.

But if it becomes INR2 lakh plus, then it will get to about INR150. INR10 lakh plus, it will get into INR300, so on and so forth. So as pension corpus increases for individuals and rightfully so, our fees for each of those particular plans will expand.

And there is a near -term upside. We are also going to see a small bump up in our revenue based on this particular structure. And that aside, there is also intent -- not just an intent, actually a requirement to move into a basis point -based pricing, which is something that we are still finalizing. I don't have the numbers that I can offer to you at this point in time. I think we are expected to publish into the next 3 to 4 weeks.

But all I can tell you at this moment in time is that it is going to be accretive margin -wise because it does not come with additional costs, but then higher revenue on the pensions because of the AUM -based basis. And again, it is not just a near -term view . We'll have to look at this as an industry -wide view how it is in terms of other businesses like mutual funds.

As the AUM expands because of mark -to-market or the net inflows growing, there would be a part taking that we will be

taking in the pensions as against the fixed fee construct. So that's my limited inputs at this point in time, but I'll be in a better position to give you more specifics on the numbers as we finalize and work with the regulator and provide the slabs to the rest of the industry.

Moderator: The next question is from the line of Sayyam Ranka from IIFL Capital Limited.

Sayyam Ranka: First of all, congratulations for the good set of numbers. I would have two questions. Firstly, on the part of that in the new SIF segment, I can see that you have won 3 new mandates. So could you share the potential as well as what could be the RTI economics over the same?

Sreekanth Nadella: No, not 3. We have won several mandates. We have won 50 plus in total. So taking our count to close to 650 -odd mandates. The economics are same depending upon which mandate it is. We have moved away from fixed fee per scheme, so on and so forth. Everything is on basis points, much like mutual funds and now pensions as well. Depending upon the scope, if it is only transfer agency work, it will be about 1.5 basis points thereabouts. If it is transfer agency plus fund accounting, it will be around 2.5 to 3 basis points. And of course, market dynamics exist for each of the funds, so there can be plus or minus in each of -- depending upon which fund that you're looking at.

But suffice us to say that as more and more funds get added, it gives us the opportunity to drive scale -driven efficiencies, which will be reflected in the margin expansion. We have completed our entire XAlt build, close to 80% of the funds are migrated on to that, another 20% are going to get completed by end of this calendar year. And that is going to provide the near -term impetus in terms of the margin expansion in the alternatives.

So yes, more clients equals more margin and same is the case with moving into our new edge platform called XAlt, which should happen in the next 2 months.

Sayyam Ranka: Got it, sir. But by the way, I was asking on the SIF.

Sreekanth Nadella: My apologies, it's all right. So the SIF mandate is basically bigger mutual fund mandate. So our commissions are same as what's there in the equity. I mean, if it is equity, it is equity. So the pricing is same. Costing initially would be -- probably could be slightly higher, given it's just a brand -new asset and there's a lot of different regulation that needs to be complied with, and we need to train manpower, so on and so forth.

So in the near term, it could be slightly lower. But in the medium - to long -term basis, I expect SIF to be similar or marginally better than pure -play equity mutual funds simply because the quantum of transactions won't be as high even as the nature of the -- or the exotism of the transactions could be slightly different, can be mirrored in more AIF than mutual funds.

Sayyam Ranka: Got it, sir. Secondly, I would like to ask on the KRA business. So is there a development that would avoid AMCs to pay for a record, which has been already faced by an AMC? Do the current regulations allow this? And following to that, what will this do to your plans for KRA?

Sreekanth Nadella: So this is an evolving discussion in the industry, but very critically put -- the short answer is yes. There were discussions that have happened with the industry body and the regulator on the AMC, so on and so forth. It will come to play, I'd like to believe at some point in time this calendar year itself -- sorry, this fiscal year, if not calendar year.

What it will do to the KRA industry, it is not a net positive for a KRA industry without a doubt because much of the revenue comes today from fetching the KYC record as individuals invest in other mutual funds. That's interoperability cost, so to speak, and not just interoperability the fetching costs, etcetera.

So whilst it is

not as binary black and white that you fetch once, and you use it hundreds of times because many change can happen in between -- in individuals, address can change, mobile numbers can change or you -- so all those changes mean that what you fetch may not usually work and hence, you need -- any which you'll need to fetch again. So it's a net negative for the KRA industry, but something we'll have to wait and watch as to how it evolves into the coming quarter.

Moderator: Ladies and gentlemen, due to time constraints, this was the last question for today. I now hand the conference over to Mr. Vivek Mathur for closing comments. Thank you, and over to you, sir.

Vivek Mathur: Thank you very much to all the attendees for attending the earnings call today. We continue to put in our best efforts to grow the company both from the top line and bottom line perspective, and our guidance holds good in terms of EBITDA margin of 40% to 45%. In the next quarter, you will see the integration of Ascent and its impact on the top line and bottom line. Thank you so much for joining today.

Moderator: Thank you, sir. On behalf of KFinTech, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

February 23, 2026 CS&G/STX/ MQ2026/29

1)National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex, Bandra (E),

Mumbai – 400 051

Scrip Symbol: KFINTECH2)BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("LODR Regulations")

Dear Sir / Madam,

Further to our previous intimation bearing reference no. CS&G/STX/ MQ2026/06 dated January 23, 2026, pursuant to Regulation 30 and other applicable provisions of the LODR Regulations, please find enclosed herewith the transcript of the Earnings Conference Call held on February 16, 2026, in respect of the standalone and consolidated unaudited financial results of the Company for the quarter and nine months ended December 31, 2025.

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191 Encl.: a/a

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"KFin Technologies Limited

Q3 FY'26 Earnings Conference Call"

February 16, 2026

MANAGEMENT : MR. SREEKANTH NADELLA – MD AND CEO

MR. VIVEK MATHUR – CFO

MR. AMIT MURARKA – CFO INTERNATIONAL

BUSINESS, HEAD IR AND M&A

MODERATOR : MR. DEVESH AGARWAL – IIFL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KFin Technology 3Q FY '26 Earnings Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation continues. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devesh Agarwal from IIFL Capital Services Limited.

Thank you, and over to you, sir.

Devesh Agarwal : Thank you, sir. Good morning, everyone, and welcome to the 3Q FY '26 Earnings Call of KFin Technologies Limited. Today from the company, we have with us Sreekanth Nadella, MD and

CEO; Vivek Mathur, CFO; and Amit Murarka, CFO, International Business and Head of Investor Relations and M&A.

I would now hand over the call to Vivek for his opening remarks. Thereafter, Sreekanth will share the key developments in the quarter. And after that, we'll open the floor for Q&A session. Thank you, and over to you, Vivek.

Vivek Mathur: Thank you, Devesh. Good morning, everyone. This is Vivek Mathur, CFO for KFin Technologies Limited. This time, I'm starting with the good news of successful integration of Ascent with KFinTech, and you would have seen the results, and I'll give you some color on the financials. And then after that, I'll hand over to Sreekanth for the business commentary. The overall performance for the quarter has the revenue from operations, which have grown to INR323 crores, which is 11.4% growth for the same quarter versus last year same quarter and a sequential growth of 4.5% quarter -on-quarter.

For the 9 months, this is without Ascent. If you look at including Ascent, our top line growth has been very robust for the quarter. It's 27.9% year -on-year for the same quarter and 19.9% sequentially quarter -on-quarter. So you can see the impact of Ascent's top line coming in where the growth has been sequentially without Ascent 4.5% and with Ascent 19.9%.

For the 9 months ended December 31, 2025, the revenue was INR906 crores, which is a 12.2% growth year -on-year without Ascent and INR954 crores including Ascent, which is an 18% growth year -on-year. The EBITDA has also gone up 14.6% year -on-year and stands at INR149.5 crores without Ascent and INR151.6 crores with Ascent.

And the growth year -on-year, including Ascent was 16.1% and sequentially 11.7% for the quarter. If you look at 9 months, including Ascent, we are at 12.5% growth for the 9 months in terms of the EBITDA at INR401 crores. So EBITDA margins have also been well within our guidance in terms of including Ascent, it is 40.9% for the quarter, which is a dip from the last quarter for the 9 months at 300 bps because of the integration that we have done.

There are charges related to purchase price allocation in terms of client contracts amortization and brand amortization of about INR2.8 crores for this quarter, which is the impact. And quarter -

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on-quarter, you will see an impact of INR3.3 crores in terms of amortization in KFin Singapore because of the Ascent acquisition.

So -- but we'll continue to remain range bound. The EBITDA margin for the quarter without Ascent was 46.3%, and for the 9 months ended FY '26 at 44% without Ascent and 42% with Ascent. It is overall resulting in Core PAT going up sequentially by 8% and year-on-year by 11.8% without Ascent. And with Ascent, the growth in Core PAT means without the impact of the onetime hit of Labour Code, which is about INR8.6 crores.

And therefore, the Core PAT means without the onetime impact of Labour Code. So for the 9 months ended December '25, the year -on-year growth, including As

cent for the Core PAT for

the quarter was 9.1% sequentially 5.4% growth. And for the year, INR268.9 crores, it's an 8.6% growth year -on-year.

Our PAT margins at the end of Q3, including Ascent's are at 28.2% for the quarter, including Ascent's at 26.5%. Without Ascent for the quarter is 31.2% and for the 9 months, it's 29.9%, which is well within the range that we have been giving the guidance for. We are having cash and cash equivalents of INR487 crores without Ascent and with Ascent INR507 crores. And the diluted EPS is at INR5.30 with Ascent and INR5.44 without Ascent for the quarter and annualized 9 months is INR15.13, which is a growth of 5.5%, including Ascent.

It will be interesting to note the mix of the revenue change that has happened. The domestic mutual fund revenue for the quarter now contributes 59.8% of total revenue. International Investor Solutions is now 16.7%. So domestic mutual fund used to be in Q3 FY '25, about 71%, which has come down to about 60% now because of the acquisition of Ascent.

And the International Investor Solutions, which used to be around 4% is now in the range of about 16.7% in Q3 FY '26. Issuer solutions continues to be in the range of 13%, alternates about 5.5%, NPS and other services around 1% each. And GBS, which is a business which we are winding up is becoming negligible over a period of time. So our objective has been to move towards diversification, and it's a true reflection of how the future quarters are going to look like.

This time, we integrated Ascent effective 13th October 2025. So you will see the impact of Ascent on a going -forward basis on similar lines. As a result of a change in the ETF for metals, you would have seen that the domestic mutual fund yield has slightly come down by about 2.6%. And that is something which we believe is a phenomenon where there is lot of participation from the investor community in terms of metals, ETF metals and there is almost a 200 basis point shift in terms of our AUM mix towards passives, and that has come down a little bit on equity

and debt, respectively. That's more to do with the market commentary that Sreekanth will cover. But this is what I wanted to talk about in terms of financial performance, including Ascent and without Ascent to start with. Over to you, Sreekanth for the business performance and the developments.

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Sreekanth Nadella: Thank you so much, Vivek. Very good morning, and a warm welcome to one and all. We felt it was a good way to segue into the business performance, unlike typically with the business commentary then falling into accounting, given there is an acquisition, there is a consolidation and then everyone is keen to hear in terms of with and without in terms of the progress and traction of the organization.

I wanted to make sure that we're level set and baseline the numbers. Now that we are reasonably familiar with the numbers. And of course, we'd be happy to take more questions around that. By and large, satisfied with the quarter performance. There are controllables and there are non-controllables.

I think as a management and as a Board of the organization over the past X number of years, we've been championing the cause of driving more and more attention to the controllable items beyond the vagaries of the market in order to derisk the organization from over concentration in order to derisk our investors in terms of predictability or lack of it given the uncertainties, both on macros as well as micros in terms of the financials.

I guess the headline statement is the fact that the mutual funds domestically for us today contribute to about 60%. Now that includes 6% of revenue, which is non-related to market, which is basically the value-added solutions and technology-driven outcomes we deliver to various clientele. If we take that aside, pure market-driven revenue

now is down well below
55%.

And it is our intent and the stated commitment that we want as we grow other businesses much faster, would be able to reduce an overreliance on one asset class and one geography under 50% into the next couple of years. That said, our continued focus to win mandates in mutual funds and deliver exceedingly strong values for our clients to grow faster continues to be steadfast. If I were to draw some metrics to your attention, we won 2 out of the 2 new launches that have happened in the mutual funds in terms of mandates. We won prestigious mandate of Nuvama and Monarch. And of course, as we move forward, the entities will become operational, and I'm sure we'll be able to continue to add a lot of value to our clients. The overall market share of AAUM for KFinTech continues to rise from about 30% in 2020 to now 32.7%.

So there's market share gains even if there is a marginal dip in the equity side of it. And I'm sure everyone is respectful of the fact that, that is the pre-disposition of the clients rather than KFinTech in terms of where they see more focus, more traction and more growth to come. There were times when we had a lot more equity exposure. Now over the past couple of months also, there's been strong traction on ETFs, especially driven by the gold and silver, and that has given a marginal decline in the yield and correspondingly, the share of equity into the overall AAUM. Outside of that, in terms of the overall win rate, it's about 60%. We won 23 out of the last 38 mutual fund houses that have launched in our country. The market share in SIP continues to be strong, a little over 37%, which I always believe will be the critical determinant factor in terms

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of where I expect the overall market share to move towards to as this is the sticky retail book, and it tends to propel the overall AAUM into that direction over a period of time.

Moving away from mutual funds, Issuer solutions once and also ran business, we've been calling out the importance of adding significant value in this direction to transformation as well as significantly elevated sales performance, including orchestrating several transitions into the industry. Happy to inform you that our current market share in terms of -- and of course, this is as measured by the market cap of the companies we manage on the Nifty 500 now is above 50%. It's about 51.4% to be precise.

We, at this point in time, while at the state, while at the time of release of the numbers, we're about 9,877 corporates. Happy to inform you that we just touched 10,000 corporates on the issuer solutions. Of course, about 9,000 plus are unlisted, and we hope they become listed at some point in time.

But the buoyancy in the IPO market in the previous 3 quarters definitely has helped despite the fact that the retail participation in the market had been tepid. Many retail investors did move out of the secondary market, which obviously will have a bearing on our financials. But in spite and despite of that, we clocked a very strong 22% plus year-on-year growth in the issuer solutions. The overall folios that we manage today puts us head and shoulder above biggest of the RTAs in the world. We manage roughly over INR35 crores folios at this moment in time. This is just India. And as the acquisition of Ascent as we drive forward international expansion, I'm very confident that we will be in the top 3 into the next 5 years in terms of the total quantum of investors, volume of transactions as we handle, and I'm pretty sure the revenues would follow soon after that.

Now these two being our traditional businesses, it had been truly our intent to orchestrate several new lines of businesses, one, to derisk the overall business from concentration; two, to capitalize on the momentum of various different asset classes, various different business

services and

various different geographies, all three of them, all three vectors, if I may, with an intent to drive faster growth and continue to create modes, all with the singular intent to become the first large global fund administrator based out of India.

What has that done? The acquisition that Vivek had spoken about adds about 328 additional clients in the form of Ascent. And also very happy to inform you that this seems to be a milestone quarter for us. We have touched 100 corporates in our own GFS business, which is KFin's organic international expansion. We've added 7 new logos into the last quarter, which gets the number to about 100, 328 being Ascent clients, getting the overall clientele to about 428, managing an overall AUM of now about \$41 billion, up from \$10 billion still about a quarter back, largely on account of the acquisition.

We continue to look at the Asian markets and the mark-to-market gains have been less than tepid. And one area where India had performed exceedingly well over the past 3, 4 years in the form of mark-to-market gains probably is also seeing sideways movement in the last 18 months.

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But I'm pretty hopeful into the coming quarters, the Southeast Asian countries mark-to-market gains would be high, thereby contributing to faster growth of our international business in the form of AUM-driven revenue. Otherwise, much of the revenue growth had been on account of winning several new mandates literally every single month.

What had been probably the standout business performance for us, albeit on a very small scale is National Pension System. Very happy to inform you that not only have we broken even on to this business, we have clocked a very healthy close to 30% EBITDA margin. We have also continued to grow 3x the pace of the industry.

The industry grew at about roughly 12%. We grew about 35% in the quarter that has just concluded, having hit yet another milestone of 2 million subscribers, thereby adding a revenue expansion and a margin expansion, which we believe will continue to be accretive as the scale of NPS will see an organic and an extremely resilient growth given an extremely low churn in this portfolio.

Alternate investment funds and the wealth, the other lines of business continues to expand rather fast. We were at about 36% plus market share into the previous quarter. We have enhanced that to about 39% totally in terms of the alternate investment funds, clocking an overall AUM about INR1.8 trillion. As we speak today, we are inching close to INR2 trillion AUM being managed by us.

Mindful of the fact that unlike in the case of mutual funds here, a decent part of this AUM covers both transfer agency and fund accounting. So it's a full stack service, much like global fund administrators, how they provide for the rest of the world.

And we believe that it is extremely important for us to cover nearly all business services that are required for a fund manager so as to deliver to our committed goal of being an XaaS provider, which is everything as a service, which we created with a very simple notion that a fund manager should do what he or she does best, which is deliver returns to their investors.

If that being the North Star of any fund manager, then we believe that it is the duty of administrators such as us to be able to take the headache away in terms of technology, in terms of compliance, in terms of operations, sales, marketing, what have you, allowing them to deliver superior returns to their clients.

In terms of the overall performance of -- I want to just take probably a minute or 2 in terms of the Ascent demographics itself. As we all know, it's an entity that is present in about 18 different countries. About 9 of them have been reasonably newly orchestrated, which effectively means that they are yet to and will be firing in a relatively

short period of time in terms of their own growth vector.

Otherwise, currently, much of the revenue comes from 25 different geographies, Singapore being the largest, followed by Cayman, Middle East, Hong Kong and that part of the region. And as we have now opened offshore locations in the U.S., in U.K. and many countries into the

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Asian side of it, including Taiwan and Japan, et cetera, we expect through SG&A and feet on street, we'll be able to unlock value into each of these geographies, even as we have rather key focus in continuing to consolidate our current positioning in our growth geographies, and grow at a much faster clip. And of course, the entity had grown about 30% year-on-year with the potential to grow much faster.

It had been the -- pretty busy couple of months for us in terms of integration with Ascent, both at finance and accounting level. It's been a phenomenal job by our F&A and the M&A teams to be able to integrate an entity whose calendar year does not align with us, currencies do not align with us, accounting policies do not necessarily align with that of India.

Now that that's done, we have simultaneously worked on levels, one, to drive a higher clip of revenue in the form of upsell, cross-sell. There are close to 60 different products that we have identified in KFin Technologies that we've created, which have global relevance, which is something that I would expect Ascent to be able to leverage in terms of their faster growth elsewhere.

Similarly, many of these geographies are very large mutual fund markets. As we all know, U.S., for example, is spectacularly large in terms of mutual funds. We are identifying how to push the head start in terms of initiating our services in much of the other parts of the world beyond where we currently are present. And as we all know today, mutual -- KFinTech offers similar solutions in Malaysia, Philippines, Hong Kong, Singapore and Thailand.

And clearly, there are 13 more geographies that we believe we can take things forward to. It had also been a very interesting quarter in the form of us opening a very large account in pensions in Southeast Asia, which also has a great relevance in Australia and into the Middle East, having won a large contract in the previous quarter about which we have announced already, but then we are into the midst of delivery. And we believe that there is a strong potential for driving pensions in addition to the core asset management solutions for mutual funds and alternatives per se.

In terms of cost management, we have laser sharp focus to be able to drive productivity, but in extremely scientific manner. We never take a knee-jerk reaction in the form of looking at the market correction, so on and so forth. It had always been our focus that even and especially during the tough times, investing, front-loading investments to drive value to capitalize when the markets turn up had been our mantra, and we'll continue to do so.

None of these conversations in today's world can be concluded without the strategy around artificial intelligence. Much like any other sector, we believe that our industry, too, is ripe for disruption for AI.

And as we always believed, it is not for somebody else to come and disrupt us, it is for us to disrupt our ourselves. And hence, our comprehensive strategy on AI, it cuts across both the generative side of AI as well as on the agent side of AI, has started to yield a certain level of comfort in terms of deploying it organization scale at enterprise scale. It should be very

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important for all of us to note that a lot of it is still to be tested at enterprise scale, even if it has a lot of relevance in B2C space.

We have, however, gone ahead and already created two platforms, which are AI native. A

nd

both of them are interesting in the space of issuer solutions, one in the space of bond market and one in the space of Investor Relations. Both of them are about to be launched into the coming weeks. Very, very excited in terms of how we could do it. But the same substances, we managed to deliver them by reducing the cycle time of the delivery by about 45% to 50% thereabout. And typically, some of these platforms would have taken anywhere between 5 to 6 months. We managed to deliver them in about 3 months. The Gen AI part of it is already live in some of our hyperscale analytics platforms that we have given to the industry as well as to many of our clients. And we believe that we continue to deliver many such solutions for our corporates.

The big thing, of course, is the replatforming of our core MF itself, as we all know, which has been built over the past 3, 3.5 decades. It is going in a sharp pace. We have gone live with some of the biggest business processes modules into the previous quarter, which gives us a great deal of comfort as we start driving the migration of existing clientele and delivering value at scale and at speeds that the industry had not seen.

Today, much of our technical -- technological infrastructure resilience and speed. Now we no longer speak in seconds. We speak in milliseconds in terms of responses to our digital ecosystem. There is still many a mile to walk in this direction, of course. But that said, I think it's been a very good quarter in terms of not just tech adoption, but pioneering some of -- even the untested technologies finally some of which we can't just speak yet about, but we will in due course of time.

So broadly, that's been a quarter for us. Very excited to look into the last quarter of this year. We continue to see a mix of headwinds and tailwinds, headwinds largely in the form of, of course, the market performance and continued outperformance of passives over actives, so on and so forth.

But the controllable parts of it, which is effectively new growth geographies, new growth business processes, new growth asset mixes, we believe will continue to provide a huge hedge, including hopefully some amount of currency hedge as well. So that's broadly the update at my end. So we continue to drive growth forward, keeping a very sharp focus on risk management and cost management at it. Thank you. We are happy to take questions.

Moderator: Thank you very much. The first questions is from the line of Karthik Chellappa from Indus Capital Advisors. Please go ahead.

Karthik Chellappa: I have two questions. The first question is, in this quarter, if I were to look at our issuer solutions, we have seen a sharp margin expansion. And if I just look at the incremental EBIT on incremental revenue, that also looks pretty high. So just curious to see whether there were any

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nonrecurring items in this? And what drove the strength in this particular segment this quarter?

That's my first question.

Sreekanth Nadella: Thank you, Karthik. And as always, a pleasure to be talking to you. It's -- so there is no onetime item and extraordinary item. In fact, we are ruling the opportunity of not having such events. Some of those were to have fructified in terms of mergers, demergers and rights issues, et cetera. It had been a reasonably quiet 9 months in Corporate India. So hopefully, we'll have better quarters ahead of us where we get onetime.

But this particular quarter's growth on issuer solutions, Karthik, is just purely organic growth, which is, one, a compounding of several IPOs that we have done into the past year as well as into this year, which drove our annuity revenue. And Q3 traditionally, as you know, is always a bigger quarter into the issuer solutions in the form of corporate actions, Q2 and Q3, Q3 more pronouncedly into the December quarter. So in fact, we can

already see a reduction of corporate

activity into this quarter in the issuer solutions. So that's broadly it.

I think even in terms of the portfolio fee is a combination of two factors. I guess, winning several such deals and transitioning some large accounts into us at higher rates helped us to improve the throughput, though I would attribute much of the portfolio increment largely towards a reduced number of folios, which is because retail participation had come down in the last quarter. But the corporate actions revenue when distributed over a reduced number of folios, obviously, will semantically show to be a higher per price folio.

So I wouldn't read too much into that. I think the math would automatically adjust itself into the coming quarters in terms of the per folio pricing. But yes, I think this is just literally a combination of a fabulous number of growth -- amount of growth in terms of number of -- net new number of companies added into this business and the corporate actions that have taken on a smaller -- on a retail investor base.

Karthik Chellappa: Okay. Excellent. My next question is, if I were to look at our stand-alone on the employee expenses side, at least for the last 2 to 3 quarters, that has actually been rising in single digits. While that has given us a very good operating leverage at a stand-alone margin level, I'm just curious to see how sustainable this is?

And to relate that to your point on how you're looking for AI an opportunity to disrupt yourself rather than somebody else disrupting you and investing a lot more in productivity-enhancing measures, whether the employee expenses rising in single digits for the stand-alone business alone is something we can sustain? Or do you think that should normalize as we actually gain in scale?

Sreekanth Nadella: Thanks, Karthik. No. So we continue to look at the payroll cost. We -- what we have done over

a period of time is drove what used to be a significantly bottom of the pyramid kind of made it into more like a rectangle and then possibly it will go further up . It is counterintuitive. Everybody expects services industry to be like a traditional pyramid with a lot of individuals in terms of carrying out activities at an operations level.

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But a shift to a high -tech business almost always calls for senior and technically well -equipped individuals who will drive a lot of automation to reduce laborious manual activity. Part of this is actually not a reduction of cost as much as improvement of services, which we accomplish through removing the manual error element.

As we process crores and crores of transactions, today, we process a little over 1.5 crores transactions a day, almost \$300 billion worth of money gets settled on our accounts. We -- the margin factor is negligible. So basically, what we are doing is the count -- the pyramid is transitioning, the count probably will not grow much further.

And as this entire senior technically strong team tries to drive more and more automation straight through AI, I expect the payroll cost to probably come down, but that will have a compensatory cost escalation in the form of technology. Now some of it may be onetime, some of it may last more than a couple of years, but that is very much required as we as an organization trying to be a global entity and Indian mutual funds itself, today touching almost \$1 trillion, poised to cross \$2 trillion, \$3 trillion in to the next 5 to 6 years, the volume of transactions will expand in a phenomenal manner.

And with every transaction increase, the data exposure to us increases tenfold. So it is in that direction. So I think I draw comfort in the fact that we could keep the payroll cost around that number. It may remain to be so, but what you will see is proba bly the non -payroll cost expanding. But all -- we will endeavor to keep our

margin ranges around 40% to 45% despite the cycles.

Moderator: The next question is from the line of Shrenik Mehta from IndoAlps Wealth.

Shrenik Mehta : I wanted to ask you some questions about the Ascent acquisition and how you're seeing this to become EPS accretive over a period of time. Currently, we obviously see that the EBITDA is slightly lower compared to the Indian operations. How do you see this e volving? When do you see this becoming EPS accretive?

Sreekanth Nadella : Thank you. I'll take the question. So on a cash basis, Ascent is already EPS accretive, notwithstanding certain accounting adjustments that were required in the form of deferred tax liabilities, et cetera. But by and large, it is, however, a fair observati on that the margin of Ascent is well below that of KFinTech business. And rightfully -- so, KFinTech has been in existence for nearly 40 years, and Ascent is 5, 6 years into it.

And much like extremely fast -growing businesses, you would see the initial spring of growth largely coming in the form of negative margins. In fact, for the fact that they have already turned around the corner, both at EBITDA and at PAT level is a true mar k of phenomenal leadership of the founders at Ascent in terms of not just expanding globally into 18 different countries, supporting some of the most complex fund structures into private equity, into hedge funds, into digital funds, so on and so forth.

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They have also managed to keep the cost very, very firmly in order to ensure that the margins do improve. And of course, it is only through the continued expansion of margins through, one, scale expansion and two, cost optimization. There will be a significant fructification in terms of the monetization of the overall asset for both the entities as well.

So I expect every quarter, there may be quarters which may be adversarial in terms of the market movements. But by and large, as you may have seen in every other business we have done so far, whether it is alternate investment funds, whether it is internat ional, whether it is National Pension System, KFinTech too has seen the first 2 to 3 to 4 years steadily improving its margins, including the acquisitions that we have made, which were negative at the time of acquisition, but slowly gravitating towards our organizational EBITDA margins and now contributing pretty much to strong growth.

So whilst you do not see Ascent numbers kind of meeting KFinTech's into immediate future, but it is definitely a 3 -year plan, thus we believe we can get that far. And in fact, at that point in

time, we expect Ascent's margins to be even higher than that of KFinTech's margins in the context of faster global growth, higher yield that we derive and higher productivity given a fairly standardized fund administration that exists globally as compared to that of India. India continues to be extremely bespoke, and that's the reason why the AIF growth in India comes with probably slightly lower margins as against similar growth in the international markets. I hope I answered your question.

Shrenik Mehta : Great. Just another question in the same line. Are there any thoughts about establishing some kind of a GCC kind of an operation given that you will have far more expansion globally at a faster pace in the medium to long term?

Sreekanth Nadella: We will be -- in fact, work is already on. It's a great question. We have secured license from GIFT City and created a subsidiary in the direction. Our intention is to consolidate over time the delivery of all international business into that entity in Gujarat. And in addition to talent expansion that's happening and a phenomenal number of opportunities that are coming up in GIFT City.

As we all know, we are probably the only entity in GIFT City who basically is able to administer fund solutions for mutual funds, retail

fund solutions, international funds, India domestic AIFs and also issuer solutions. We have taken the first two companies that have gone public in GIFT City as the registrar and transfer agent.

Being located in GIFT City has imminent advantages over and above the opportunity there.

Some of it is around tax credits. There is a 20 -year tax credit that we will get, but it's still early days. But short answer to your question is, yes, we are thinking we are invested in creating a large GCC, especially for the international operations.

India operations, I guess, our strategy had been different as we have explained several times over, which is to move away from Tier 1 city into the Tier 2, Tier 3 cities. Part of that is cost, part of that is retention of talent. But above all, we are seeing a fabulous amount of talent

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available in Tier 2, Tier 3 cities. And we believe that it is also our social responsibilities to move to as many of those cities as possible within India to be able to provide employment and do our own little bit.

For example, today, our presence in Bhubaneswar is expanding towards 500 -odd individuals. Vijayawada has about 300 people. Gujarat is expanding, and we are looking at more Tier 2, Tier 3 cities to be able to drive some of the risk away, concentration risk that exists in large Tier 1 cities like Hyderabad, Mumbai, Bangalore, so on and so forth. So yes, GCC is for international. India domestic strategy is largely hyperscale, hyperlocal moving to a lot of cities rather than being present in one large city.

Moderator: The next question is from the line of Lalit Mohan Deo from Equirus Securities.

Lalit Deo : Firstly on the international business, excluding Ascent, so there we have seen that the AUM growth on a sequential basis seems to be around 9% to 10%, whereas if we just look at the revenue, so that seems to be broadly flat on a sequential basis. So just wanted to understand how the revenues in the international business will pick up in that segment, excluding the Ascent business?

Second question was on the Ascent business itself. Now when we are looking at improving margins in this business. So just wanted to understand like the margin improvement, will it be on both accounts, both on the employee expenses side as well as on the other expenses side?

And where do we intend to take this in each of these segments in the next 2 years?

Sreekanth Nadella: Sure. Thank you. I'll take the second question first. I think part of it I've already answered. Every acquisition that we have, every new line of business we have, we usually have a 3 -year strategy. The intent is that we challenge ourselves constantly to push each of those businesses to arrive at similar margin profile as the rest of the organization within 36 months.

Thus far, we had been vastly successful with the exception of one odd business lines for various different reasons. But by and large, we see a very good line of visibility in terms of Ascent getting that far within that time frame -- into the 36 -month time frame. What will contribute to that? I think every lever that is possible.

Part of that is just simple scale. That means as you keep expanding your revenue profile, a lot of your fixed overheads get absorbed and hence your margin expands, which is typically a symptom that you would have seen even national pension system, for example, for us. It's been a loss -making business for the last 4 years. Not just have we turned around. We're kind of looking at a very, very healthy double -digit margin in just a matter of a few quarters, which will be the same thing that will happen. So there is scale that will drive it.

Payroll cost, to an extent, I won't put my top bet in payroll cost optimization in Ascent, a business

that is designed, built to grow geographically with a strategic ambition to become a global fund ad

ministrator. We should not be cutting corners in the form of feet on street into the geographies

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having started so many countries' operations. In fact, I'd expect probably some amount of expansion in that, even though productivity will continue to significantly expand. So for the same quantum of work, we may need fewer people. But in general, we'll need a lot more people as we grow our business into this 30%, 35% kind of a clip year-on-year. It is probably the non-payroll expenditure where we may see immediate amount of traction in terms of optimization of costs. So for example, real estate costs, much of Ascent is also present in India and in Malaysia in terms of headcount, 200 out of 300 people are based in these two locations, which is where KFinTech also has a very strong presence. So we will be consolidating real estate costs, infrastructure costs.

As we all know, we are one of the largest data fiduciary in the country with over 8, 9 petabytes of data. The amount of support we can afford -- I mean, we can afford in terms of consolidating, whether it is data centers, whether it is license size, whether it is non-tech manpower, digital, UI/UX, so on and so forth is quite substantive. The last 6 weeks had been in that direction. Our focus to be able to identify the non-payroll cost synergies that we can drive them down and hence see a reasonably quick margin uptick.

Now obviously, many of these are contractual in nature. So we'll have to wait for the life cycle of that particular contract to end. Or if I have a multiyear contractual life cycle, we might probably look at a premature termination, but then be able to identify how we can optimize the cost based on the KFin's own structures. So yes, so basically, every lever that is there, we are constantly working on, including the upsell, cross-sell component of it.

I think on the first question was about domestic funds, if I'm not wrong, in terms of the AUM growth being there, but the revenue not necessarily translating into as much. We've known this beginning of this year itself. I think you probably would have seen a trend kind of through the year, which is a combination of a certain amount of extraordinary discounts that were given at the beginning of the year in the very month of April.

Obviously meant that the AUM growth need not necessarily have translated into the revenue growth into this year. But the base effect will end by end of Q4. As the base effect ends, what you would start seeing is growth of revenue nearly dovetailing that of the AUM growth into the coming year. So to that extent, it is expected, anticipated and has already been modeled into our books.

Lalit Deo : But, actually the question was on the international investment solutions including Ascent
Vivek Mathur: Sreekanth, I'll take over this question. On the international business, while we have seen that the revenue has gone up without Ascent for the GFS is about 5.7% sequentially quarter-on-quarter and a little more than 11% year-on-year. The AUM has come down slightly. And the bps -- AUM has gone up, but the bps has come down slightly from 4.73% to 4.13% YTD, December '25.

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That is largely because many of the funds are still on the minimum fee. And as they cross the minimum fee, the yield will come in, in terms of bps-based pricing. And we do expect with the newer contracts coming in, platform revenue coming in from international business that Sreekanth talked about earlier, the overall bps will improve as we go forward and start winning larger contracts, which Sreekanth alluded to earlier in his commentary. Does that help, Lalit?
Lalit Deo : Sir, just answer the one data you think that will help. Could you just give us a split of the issuer solution business between the same folios, corpor

ate actions in IPO ?

Vivek Mathur: Lalit, I didn't get you, can you speak...

Sreekanth Nadella: Sorry, the voice is a little muffled, not able to hear you very well.

Lalit Deo : So I was referring to that split between -- split of issuer solutions business between folios, corporate actions and IPO income.

Vivek Mathur: You want to break up in terms of how much is the percentage of revenue mix in corporate registry, correct?

Lalit Deo Yes, yes.

Vivek Mathur: So corporate registry, 47.6% of the revenue comes from folio maintenance, about 40.2% comes from corporate action and 12.2% comes from value-added services.

Moderator: The next question is from the line of Mohit Mangal from Centrum Capital Limited.

Mohit Mangal : Congratulations on a strong set of numbers. My first question is towards the yield. So you said that the yield contracted a lot in this quarter, owing to a shift in the mix towards the ETFs. So going forward, if this trend kind of continues, right, say may be for the next, say, 3 to 4 quarters, then how do you think we should look at the yield contraction versus the AUM growth? That's my first question.

Second question is towards the issuer solutions. So I wanted to know, I mean, say, considering a medium term of, say, 2 to 3 years, now that we already have about 168 -odd million folios, how do you think the growth would kind of span out in this segment? Yes, that's it.

Sreekanth Nadella: I want to just clarify the point about the yield correction. It is marginal. It is not substantive. I commented about the yield correction at the beginning of the year, right, when 7 -- 8 of large contracts went into renegotiation phase. This quarter reduction is extremely marginal, and that is on account of asset mix shift more towards gold, silver ETFs.

And hence, I'd expect the yield to stabilize to where it is now and probably even go up should this frenzy of the metals, ETFs, like everything else, there is seasonality and cyclicity. I expect good sense would prevail and over a period of time, the equities would come back to favor. So there is no significant yield correction. I just wanted to correct that particular math on that. My apologies, the second question was on what?

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Mohit Mangal : Issuer solutions. So basically, we have about 168 million folios. So just wanted over the next 2 to 3 years, how do you see this spanning out?

Sreekanth Nadella: No, it should -- see, if you see the folio expansion is a component of a number of demat holders, which we all know is continuing to expand over 25% thereabout. And a vast majority of Indians still do not have a demat account. And I expect that will continue to grow as the overall financialization of the team expands in India and the movement from savings into investments as a philosophical trend changes. That is one, so which is more demat accounts hopefully will translate into more participation in the secondary markets and hence more folios.

Second is of that, how many of the clients are the clients with KFin services today? And that is where I was stating that our market share has now gone to 51.4% in terms of the market cap of Nifty 500 companies. And as we win more and more companies and we transition more and more companies, consequently, the folios will continue to expand.

Third item is the market performance itself. Retail investors, as we all know, I'm actually speaking to the acquire, is generally a fairly risk-off approach when the markets do not give conducive returns over a period of time and which is what we are seeing. I think Indian markets have barely moved into the last 18 months.

And the first 12 months, the folio participation or the retail participation was still good. That was the previous year. This year, we have started to see a reasonable amount of movement away by the folios -- by the retail investor

from the secondary markets.

We still continue to grow because of the net new number of clients we have added and hence, the retail participation in those. So what I expect to see should the market turn around is actually a double whammy, which is a lot many more companies to go public and retail folio expanding and thereby the revenue expansion to be even faster clip than what it is at this point in time.

Not to mention, should the results be very good, so will the corporate actions be. So it's hard to predict. There is a lot of macros associated with that. But we believe that we have unlocked this -- what used to be a 10%, 11%, 12% kind of a growth momentum business into anywhere between 15%, 16% to 20% kind of a growth business year-on-year.

And if that were to fructify, that means the number of folios will have to expand at a faster clip, which is what I see will happen.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Capital Services Limited.

Devesh Agarwal : Yes. Sir, my first question would be on the AI emergence. Although, you did touch upon it, but you mentioned that it's more of a basically an opportunity rather than a risk. But what I wanted to understand what I always thought that one of the entry barrier for any third RTA to come in is the vast amount of data that you need to process and obviously, the initial cost, which would lead to losses. But with AI coming in, does -- it becomes commercial sense for a third RTA to emerge even if we have to do this activity for a new mutual fund or a digital-only mutual funds?

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Sreekanth Nadella: Great question. And something that I'm often asked about and something that we ask ourselves often enough as well in terms of -- as a part of our risk management, we have to consider the potential impact of a third entrant. I mean we should never be arrogant to think that there won't be a third or a fourth or a fifth entrant. I do believe a possibility always exists.

But world over, if you see the phenomenon, inevitably, it will end up with 2 or 3 consolidation.

For example, in our industry, whilst today, it may appear like there are only two RTAs, if we kind of take a step back and look at what was the situation prior to 2020, just 5 years back, there were several more RTAs. There were actually 8 RTAs when I joined this industry myself and even more prior to that, right?

What happened is basically consolidation. Consolidation happened because until and unless there is significant scale in this business, it's near impossible to get both ends meet, right? Even if you have very deep pockets, you want to burn cash for a decade, it would still be a very tough thing to accomplish in this business and also considering the fact that our own yields, what used to be a 6, 7 basis points on a yield, it's about 3.

For a third entrant to come in, obviously, there has to be a business case for anyone to take the risk and cut over. And if that does not give a 40%, 50%, 30% kind of optimization, it makes no sense for anyone because there's the cost of transition itself is way too high not to mention about the risk of transition, which can be quite catastrophic in the scale that we operate at.

So I would find it hard business-wise for anyone to enter into it. AI probably may reduce certain amount of cycle time on the tech development. But what we -- where we exist is in the crossroads of tech and domain. And it is truly the domain knowledge that we bring to the table that makes the most significant difference. Otherwise, today, if you see or not just today, even over the past number of decades, you want to start a bank or insurance company, you want to start an oil company, you want to start a B2C.

Many large enterprise players like SAP, Oracle, Microsoft, they always have enterprise solutions, right? And that's what you take. But for

this very nuanced business, nobody has been

able to create platforms like this. And that truly is our moat. So I don't think AI is going to take that domain competency away.

And even if it were to at some point in time, the business dynamics in terms of unless there is a massive consolidation and about somebody wins 15, 20 clients together, it makes no sense.

Winning new clients is not nearly going to cut ice in terms of even -- breaking even in the next 10 years for the newer team.

Devesh Agarwal : Very clear. And my second question was on the international business or the Ascent.

Historically, we have seen although we had a very strong client wins, but typically, I think these were smaller clients. So just wanted to understand the progress in terms of winning new mandates from a medium to large-sized clients.

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Sreekanth Nadella: That has truly been our focus. You're right. I mean many of these are -- these are very large logos in terms of names, but I think we need to respect the fact that these are relatively smaller geographies, right? I mean we're not exactly in the U.S. and Europe and Japan. We are in countries where the capital markets are buoyant enough, are pragmatic enough to embrace outsourcing and even offshoring, if I may.

But let truth be told, the total corpus of AUM is not that significantly large. And yes, of what is there, it is also true that we have managed through scoop out probably nearly all new AMCs and many of the small tier AMCs. But what we have seen in the last 18 months is that we started winning larger mandates, larger in the context of those geographies.

We should not equate them to large like our mutual fund houses, which are very -- probably on an order of 20x to 30x larger. But for example, we won one of the largest trustees-based deal last year, I mean, right Investment Managers, you might be aware, we have already explained. We have won a large pensions platform solution provider in one of the East Asian countries, which is also a material contract in the context of international business.

And these businesses typically, as I always call out, there is a maturity cycle. When you go into a new country where you are not known and it is a B2B in a highly regulated space, the acceptance of a third party from the standpoint of not just commercial, commercial is an easy thing, right? We can easily demonstrate that we're able to show a significant amount of money. But despite that, the conversion rate are a little tricky because of the risk in terms of transitions,

the same risk that I'm calling out as to how complex it will be to migrate from one to the other, the same risk exists when we have to win a mandate as well. And the first 3, 4, 5 years is largely about delivering exceedingly strong value to the limited number of clients we would have won, most of them could be small ones.

But it truly takes an amount of time for the large fund managers to stand up, take notice that, yes, there is a lot of value that we can unlock. We have already seen not once or twice or twice, but 100 different clients. And now is the time to move. And that is a conversation we are having with the medium and large tiered AMCs. And of course, the conversion, the sales life cycle is slightly longer, but this is a business that is not meant for quarter-to-quarter.

As you know, this is the organization, been here for 40 years. We are building the organization for the next 20, 30, 40 years. And the conversions will happen in terms of medium to large AMCs, where we have already seen the glimpse of it in the form of winning two large contracts in the last year alone, even as many are under a negotiation phase at this moment.

Amit Murarka : Yes. Just to add to Sreekanth's point, Devesh, this is Amit here. Look, I mean, Ascent, when we say that they won 47 funds this quarter, so that

doesn't mean that the fund activity has slowed down for this quarter for them and all. So I mean, overall, it's like more than 100 funds they have won during the quarter. But when we say 47 funds, one, it means that these are the number of funds which have gone live.

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They have -- which means that these funds have become active in terms of the launch and all. And hence, I mean, that these are the funds which you can see, I mean, in terms of the revenue recognition and also as November, December, typically, I mean, here from the fund launch perspective is a little less active quarter given that -- I mean, this period, I mean, people are more engaged in the new year's activity and all.

As we hit the Jan, Feb and all this quarter, I mean, we are seeing more aggressive in terms of the fund launches and also -- and this number will catch up. So to give a perspective, so Ascent did -- basically, they were on a monthly revenue run rate of around \$1.5 million last December 2024. Now as we speak now, they are more than \$1.9 million in terms of the monthly revenue run rate and they are well on track in terms of the growth, the guidance that we are envisaging for the company.

Devesh Agarwal : And lastly, if I see the asset mix for your international business, I see multiple categories. Now on an overall basis, we understand that the blended yields are somewhere around 6 to 7 basis points. But is there a significant difference between hedge fund AUM or public market or digital asset? The reason I asked is that we want to track if a particular segment grows faster, will that have a positive or negative impact on the blended yields?

Sreekanth Nadella: So see, I mean, from the blended yield perspective, so the asset as far as the AIF business or the private mandate business is concerned, I mean, it doesn't make a big difference in terms of whether it's a hedge fund or a private equity or, let's say, digital assets and all. So the yield structures are more or less the same.

But as we move into the public market funds and all, definitely, I mean, compared to the private market here, the expense ratios are also a little lower compared to what we see in the private market funds. So hence, the yield structures would also be a little more different. But it also depends upon the size and the scale of the AMC as well that decides the yield.

But yes, I mean, given that Ascent is largely into the private mandate side and today, if you see the portfolio of the international business is more treated towards the private -- the mandate side and all. I mean, the yield structures would materially not be different when we talk about different class of assets, whether it is the hedge funds or the private equity or, let's say, the digital assets.

Moderator: Ladies and gentlemen, we will take that as a last question for today. I now hand the conference over to Mr. Vivek Mathur for his closing comments. Over to you, sir.

Vivek Mathur: Thank you. It has been a great quarter with the integration of Ascent. And as we have seen that including Ascent, our year-on-year growth on revenue from operations is well within the range of guidance that we gave of 15% to 20% and the EBITDA margins are in the range of 40% to 45%. We believe that we'll continue to maintain that guidance going forward as well. Thank you very much for joining the call today.

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Moderator: Thank you. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

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Q3 FY'26 Earnings Conference Call"
February 16, 2026

MANAGEMENT : MR. SREEKANTH NADELLA – MD AND CEO
MR. VIVEK MATHUR – CFO
MR. AMIT MURARKA – CFO INTERNATIONAL
BUSINESS , HEAD IR AND M&A

MODERATOR : MR. DEVESH AGARWAL – IIFL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to KFin Technology 3Q FY '26 Earnings Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation continues. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devesh Agarwal from IIFL Capital Services Limited.

Thank you, and over to you, sir.

Devesh Agarwal : Thank you, sir. Good morning, everyone, and welcome to the 3Q FY '26 Earnings Call of KFin Technologies Limited. Today from the company, we have with us Sreekanth Nadella, MD and CEO; Vivek Mathur, CFO; and Amit Murarka, CFO, International Business and Head of Investor Relations and M&A.

I would now hand over the call to Vivek for his opening remarks. Thereafter, Sreekanth will share the key developments in the quarter. And after that, we'll open the floor for Q&A session. Thank you, and over to you, Vivek.

Vivek Mathur: Thank you, Devesh. Good morning, everyone. This is Vivek Mathur, CFO for KFin Technologies Limited. This time, I'm starting with the good news of successful integration of Ascent with KFinTech, and you would have seen the results, and I'll give you some color on the financials. And then after that, I'll hand over to Sreekanth for the business commentary. The overall performance for the quarter has the revenue from operations, which have grown to INR323 crores, which is 11.4% growth for the same quarter versus last year same quarter and a sequential growth of 4.5% quarter-on-quarter.

For the 9 months, this is without Ascent. If you look at including Ascent, our top line growth has been very robust for the quarter. It's 27.9% year-on-year for the same quarter and 19.9% sequentially quarter-on-quarter. So you can see the impact of Ascent's top line coming in where the growth has been sequentially without Ascent 4.5% and with Ascent 19.9%.

For the 9 months ended December 31, 2025, the revenue was INR906 crores, which is a 12.2% growth year-on-year without Ascent and INR954 crores including Ascent, which is an 18% growth year-on-year. The EBITDA has also gone up 14.6% year-on-year and stands at INR149.5 crores without Ascent and INR151.6 crores with Ascent.

And the growth year-on-year, including Ascent was 16.1% and sequentially 11.7% for the quarter. If you look at 9 months, including Ascent, we are at 12.5% growth for the 9 months in terms of the EBITDA at INR401 crores. So EBITDA margins have also been well within our guidance in terms of including Ascent, it is 40.9% for the quarter, which is a dip from the last quarter for the 9 months at 300 bps because of the integration that we have done.

There are charges related to purchase price allocation in terms of client contracts amortization and brand amortization of about INR2.8 crores for this quarter, which is the impact. And quarter -

on-quarter, you will see an impact of INR3.3 crores in terms of amortization in KFin Singapore because of the Ascent acquisition.

So -- but we'll continue to remain range bound. The EBITDA margin for the quarter without Ascent was 46.3%, and for the 9 months ended FY '26 at 44% without Ascent and 42% with Ascent. It is overall resulting in Core PAT going up sequentially by 8% and year-on-year by 11.8% without Ascent. And with Ascent, the growth in Core PAT means without the impact of the onetime hit of Labour Code, which is about INR8.6 crores.

And therefore, the Core PAT means without the onetime impact of Labour Code. So for the 9 months ended December '25, the year -on-year growth, including As

cent for the Core PAT for

the quarter was 9.1% sequentially 5.4% growth. And for the year, INR268.9 crores, it's an 8.6% growth year -on-year.

Our PAT margins at the end of Q3, including Ascent's are at 28.2% for the quarter, including Ascent's at 26.5%. Without Ascent for the quarter is 31.2% and for the 9 months, it's 29.9%, which is well within the range that we have been giving the guidance for. We are having cash and cash equivalents of INR487 crores without Ascent and with Ascent INR507 crores. And the diluted EPS is at INR5.30 with Ascent and INR5.44 without Ascent for the quarter and annualized 9 months is INR15.13, which is a growth of 5.5%, including Ascent.

It will be interesting to note the mix of the revenue change that has happened. The domestic mutual fund revenue for the quarter now contributes 59.8% of total revenue. International Investor Solutions is now 16.7%. So domestic mutual fund used to be in Q3 FY '25, about 71%, which has come down to about 60% now because of the acquisition of Ascent.

And the International Investor Solutions, which used to be around 4% is now in the range of about 16.7% in Q3 FY '26. Issuer solutions continues to be in the range of 13%, alternates about 5.5%, NPS and other services around 1% each. And GBS, which is a business which we are winding up is becoming negligible over a period of time. So our objective has been to move towards diversification, and it's a true reflection of how the future quarters are going to look like.

This time, we integrated Ascent effective 13th October 2025. So you will see the impact of Ascent on a going -forward basis on similar lines. As a result of a change in the ETF for metals, you would have seen that the domestic mutual fund yield has slightly come down by about 2.6%. And that is something which we believe is a phenomenon where there is lot of participation from the investor community in terms of metals, ETF metals and there is almost a 200 basis point shift in terms of our AUM mix towards passives, and that has come down a little bit on equity and debt, respectively. That's more to do with the market commentary that Sreekanth will cover. But this is what I wanted to talk about in terms of financial performance, including Ascent and without Ascent to start with.

Over to you, Sreekanth for the business performance and the developments.

Sreekanth Nadella: Thank you so much, Vivek. Very good morning, and a warm welcome to one and all. We felt it was a good way to segue into the business performance, unlike typically with the business commentary then falling into accounting, given there is an acquisition, there is a consolidation and then everyone is keen to hear in terms of with and without in terms of the progress and traction of the organization.

I wanted to make sure that we're level set and baseline the numbers. Now that we are reasonably familiar with the numbers. And of course, we'd be happy to take more questions around that. By and large, satisfied with the quarter performance. There are controllables and there are non-controllables.

I think as a management and as a Board of the organization over the past X number of years, we've been championing the cause of driving more and more attention to the controllable items beyond the vagaries of the market in order to derisk the organization from over concentration in order to derisk our investors in terms of predictability or lack of it given the uncertainties, both on macros as well as micros in terms of the financials.

I guess the headline statement is the fact that the mutual funds domestically for us today contribute to about 60%. Now that includes 6% of revenue, which is non -related to market, which is basically the value -added solutions and technology -driven outcomes we deliver to various clientele. If we take that aside, pure market -driven revenue

e now is down well below 55%.

And it is our intent and the stated commitment that we want as we grow other businesses much faster, would be able to reduce an overreliance on one asset class and one geography under 50% into the next couple of years. That said, our continued focus to win mandates in mutual funds and deliver exceedingly strong values for our clients to grow faster continues to be steadfast. If I were to draw some metrics to your attention, we won 2 out of the 2 new launches that have happened in the mutual funds in terms of mandates. We won prestigious mandate of Nuvama and Monarch. And of course, as we move forward, the entities will become operational, and I'm sure we'll be able to continue to add a lot of value to our clients. The overall market share of AAUM for KFinTech continues to rise from about 30% in 2020 to now 32.7%.

So there's market share gains even if there is a marginal dip in the equity side of it. And I'm sure everyone is respectful of the fact that, that is the pre-disposition of the clients rather than KFinTech in terms of where they see more focus, more traction and more growth to come. There were times when we had a lot more equity exposure. Now over the past couple of months also, there's been strong traction on ETFs, especially driven by the gold and silver, and that has given a marginal decline in the yield and correspondingly, the share of equity into the overall AAUM. Outside of that, in terms of the overall win rate, it's about 60%. We won 23 out of the last 38 mutual fund houses that have launched in our country. The market share in SIP continues to be strong, a little over 37%, which I always believe will be the critical determinant factor in terms

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of where I expect the overall market share to move towards to as this is the sticky retail book, and it tends to propel the overall AAUM into that direction over a period of time. Moving away from mutual funds, Issuer solutions once and also ran business, we've been calling out the importance of adding significant value in this direction to transformation as well as significantly elevated sales performance, including orchestrating several transitions into the industry. Happy to inform you that our current market share in terms of -- and of course, this is as measured by the market cap of the companies we manage on the Nifty 500 now is above 50%. It's about 51.4% to be precise.

We, at this point in time, while at the state, while at the time of release of the numbers, we're about 9,877 corporates. Happy to inform you that we just touched 10,000 corporates on the issuer solutions. Of course, about 9,000 plus are unlisted, and we hope they become listed at some point in time.

But the buoyancy in the IPO market in the previous 3 quarters definitely has helped despite the fact that the retail participation in the market had been tepid. Many retail investors did move out of the secondary market, which obviously will have a bearing on our financials. But in spite and despite of that, we clocked a very strong 22% plus year-on-year growth in the issuer solutions. The overall folios that we manage today puts us head and shoulder above biggest of the RTAs in the world. We manage roughly over INR35 crores folios at this moment in time. This is just India. And as the acquisition of Ascent as we drive forward international expansion, I'm very confident that we will be in the top 3 into the next 5 years in terms of the total quantum of investors, volume of transactions as we handle, and I'm pretty sure the revenues would follow soon after that.

Now these two being our traditional businesses, it had been truly our intent to orchestrate several new lines of businesses, one, to derisk the overall business from concentration; two, to capitalize on the momentum of various different asset classes, various different business

services and

various different geographies, all three of them, all three vectors, if I may, with an intent to drive faster growth and continue to create modes, all with the singular intent to become the first large global fund administrator based out of India.

What has that done? The acquisition that Vivek had spoken about adds about 328 additional clients in the form of Ascent. And also very happy to inform you that this seems to be a milestone quarter for us. We have touched 100 corporates in our own GFS business, which is KFin's organic international expansion. We've added 7 new logos into the last quarter, which gets the number to about 100, 328 being Ascent clients, getting the overall clientele to about 428, managing an overall AUM of now about \$41 billion, up from \$10 billion still about a quarter back, largely on account of the acquisition.

We continue to look at the Asian markets and the market-to-market gains have been less than tepid. And one area where India had performed exceedingly well over the past 3, 4 years in the form of market-to-market gains probably is also seeing sideways movement in the last 18 months.

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But I'm pretty hopeful into the coming quarters, the Southeast Asian countries market-to-market gains would be high, thereby contributing to faster growth of our international business in the form of AUM-driven revenue. Otherwise, much of the revenue growth had been on account of winning several new mandates literally every single month.

What had been probably the standout business performance for us, albeit on a very small scale is National Pension System. Very happy to inform you that not only have we broken even on this business, we have clocked a very healthy close to 30% EBITDA margin. We have also continued to grow 3x the pace of the industry.

The industry grew at about roughly 12%. We grew about 35% in the quarter that has just concluded, having hit yet another milestone of 2 million subscribers, thereby adding a revenue expansion and a margin expansion, which we believe will continue to be additive as the scale of NPS will see an organic and an extremely resilient growth given an extremely low churn in this portfolio.

Alternate investment funds and the wealth, the other lines of business continues to expand rather fast. We were at about 36% plus market share into the previous quarter. We have enhanced that to about 39% totally in terms of the alternate investment funds, clocking an overall AUM about INR1.8 trillion. As we speak today, we are inching close to INR2 trillion AUM being managed by us.

Mindful of the fact that unlike in the case of mutual funds here, a decent part of this AUM covers both transfer agency and fund accounting. So it's a full stack service, much like global fund administrators, how they provide for the rest of the world.

And we believe that it is extremely important for us to cover nearly all business services that are required for a fund manager so as to deliver to our committed goal of being an XaaS provider, which is everything as a service, which we created with a very simple notion that a fund manager should do what he or she does best, which is deliver returns to their investors.

If that being the North Star of any fund manager, then we believe that it is the duty of administrators such as us to be able to take the headache away in terms of technology, in terms of compliance, in terms of operations, sales, marketing, what have you, allowing them to deliver superior returns to their clients.

In terms of the overall performance of -- I want to just take probably a minute or 2 in terms of the Ascent demographics itself. As we all know, it's an entity that is present in about 18 different countries. About 9 of them have been reasonably newly orchestrated, which effectively means that they are yet to and will be firing in a relatively

short period of time in terms of their own growth vector.

Otherwise, currently, much of the revenue comes from 25 different geographies, Singapore being the largest, followed by Cayman, Middle East, Hong Kong and that part of the region. And as we have now opened offshore locations in the U.S., in U.K. and many countries into the

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Asian side of it, including Taiwan and Japan, et cetera, we expect through SG&A and feet on street, we'll be able to unlock value into each of these geographies, even as we have rather key focus in continuing to consolidate our current positioning in our growth geographies, and grow at a much faster clip. And of course, the entity had grown about 30% year-on-year with the potential to grow much faster.

It had been the -- pretty busy couple of months for us in terms of integration with Ascent, both at finance and accounting level. It's been a phenomenal job by our F&A and the M&A teams to be able to integrate an entity whose calendar year does not align with us, currencies do not align with us, accounting policies do not necessarily align with that of India.

Now that that's done, we have simultaneously worked on levels, one, to drive a higher clip of revenue in the form of upsell, cross-sell. There are close to 60 different products that we have identified in KFin Technologies that we've created, which have global relevance, which is something that I would expect Ascent to be able to leverage in terms of their faster growth elsewhere.

Similarly, many of these geographies are very large mutual fund markets. As we all know, U.S., for example, is spectacularly large in terms of mutual funds. We are identifying how to push the head start in terms of initiating our services in much of the other parts of the world beyond where we currently are present. And as we all know today, mutual -- KFinTech offers similar solutions

in Malaysia, Philippines, Hong Kong, Singapore and Thailand.

And clearly, there are 13 more geographies that we believe we can take things forward to. It had also been a very interesting quarter in the form of us opening a very large account in pensions in Southeast Asia, which also has a great relevance in Australia and into the Middle East, having won a large contract in the previous quarter about which we have announced already, but then we are into the midst of delivery. And we believe that there is a strong potential for driving pensions in addition to the core asset management solutions for mutual funds and alternatives per se.

In terms of cost management, we have laser sharp focus to be able to drive productivity, but in extremely scientific manner. We never take a knee-jerk reaction in the form of looking at the market correction, so on and so forth. It had always been our focus that even and especially during the tough times, investing, front-loading investments to drive value to capitalize when the markets turn up had been our mantra, and we'll continue to do so.

None of these conversations in today's world can be concluded without the strategy around artificial intelligence. Much like any other sector, we believe that our industry, too, is ripe for disruption for AI.

And as we always believed, it is not for somebody else to come and disrupt us, it is for us to disrupt our ourselves. And hence, our comprehensive strategy on AI, it cuts across both the generative side of AI as well as on the agent side of AI, has started to yield a certain level of comfort in terms of deploying it organization scale at enterprise scale. It should be very

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important for all of us to note that a lot of it is still to be tested at enterprise scale, even if it has a lot of relevance in B2C space.

We have, however, gone ahead and already created two platforms, which are AI native. And

both of them are interesting in the space of issuer solutions, one in the space of bond market and one in the space of Investor Relations. Both of them are about to be launched into the coming weeks. Very, very excited in terms of how we could do it. But the same substances, we managed to deliver them by reducing the cycle time of the delivery by about 45% to 50% thereabout. And typically, some of these platforms would have taken anywhere between 5 to 6 months. We managed to deliver them in about 3 months. The Gen AI part of it is already live in some of our hyperscale analytics platforms that we have given to the industry as well as to many of our clients. And we believe that we continue to deliver many such solutions for our corporates. The big thing, of course, is the replatforming of our core MF itself, as we all know, which has been built over the past 3, 3.5 decades. It is going in a sharp pace. We have gone live with some of the biggest business processes modules into the previous quarter, which gives us a great deal of comfort as we start driving the migration of existing clientele and delivering value at scale and at speeds that the industry had not seen.

Today, much of our technical -- technological infrastructure resilience and speed. Now we no longer speak in seconds. We speak in milliseconds in terms of responses to our digital ecosystem. There is still many a mile to walk in this direction, of course. But that said, I think it's been a very good quarter in terms of not just tech adoption, but pioneering some of -- even the untested technologies finally some of which we can't just speak yet about, but we will in due course of time.

So broadly, that's been a quarter for us. Very excited to look into the last quarter of this year. We continue to see a mix of headwinds and tailwinds, headwinds largely in the form of, of course, the market performance and continued outperformance of passives over actives, so on and so forth.

But the controllable parts of it, which is effectively new growth geographies, new growth business processes, new growth asset mixes, we believe will continue to provide a huge hedge, including hopefully some amount of currency hedge as well. So that's broadly the update at my end. So we continue to drive growth forward, keeping a very sharp focus on risk management and cost management at it. Thank you. We are happy to take questions.

Moderator: Thank you very much. The first question is from the line of Karthik Chellappa from Indus Capital Advisors. Please go ahead.

Karthik Chellappa: I have two questions. The first question is, in this quarter, if I were to look at our issuer solutions, we have seen a sharp margin expansion. And if I just look at the incremental EBIT on incremental revenue, that also looks pretty high. So just curious to see whether there were any

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nonrecurring items in this? And what drove the strength in this particular segment this quarter?

That's my first question.

Sreekanth Nadella: Thank you, Karthik. And as always, a pleasure to be talking to you. It's -- so there is no onetime item and extraordinary item. In fact, we are ruling the opportunity of not having such events.

Some of those were to have fructified in terms of mergers, demergers and rights issues, et cetera.

It had been a reasonably quiet 9 months in Corporate India. So hopefully, we'll have better quarters ahead of us where we get onetime.

But this particular quarter's growth on issuer solutions, Karthik, is just purely organic growth, which is, one, a compounding of several IPOs that we have done into the past year as well as into this year, which drove our annuity revenue. And Q3 traditionally, as you know, is always a bigger quarter into the issuer solutions in the form of corporate actions, Q2 and Q3, Q3 more pronouncedly into the December quarter. So in fact, we can

already see a reduction of corporate

activity into this quarter in the issuer solutions. So that's broadly it.

I think even in terms of the portfolio fee is a combination of two factors. I guess, winning several such deals and transitioning some large accounts into us at higher rates helped us to improve the throughput, though I would attribute much of the portfolio increment largely towards a reduced number of folios, which is because retail participation had come down in the last quarter. But the corporate actions revenue when distributed over a reduced number of folios, obviously, will semantically show to be a higher per price folio.

So I wouldn't read too much into that. I think the math would automatically adjust itself into the coming quarters in terms of the per folio pricing. But yes, I think this is just literally a combination of a fabulous number of growth -- amount of growth in terms of number of -- net new number of companies added into this business and the corporate actions that have taken on a smaller -- on a retail investor base.

Karthik Chellappa: Okay. Excellent. My next question is, if I were to look at our stand-alone on the employee expenses side, at least for the last 2 to 3 quarters, that has actually been rising in single digits.

While that has given us a very good operating leverage at a stand-alone margin level, I'm just curious to see how sustainable this is?

And to relate that to your point on how you're looking for AI an opportunity to disrupt yourself rather than somebody else disrupting you and investing a lot more in productivity-enhancing measures, whether the employee expenses rising in single digits for the stand-alone business alone is something we can sustain? Or do you think that should normalize as we actually gain in scale?

Sreekanth Nadella: Thanks, Karthik. No. So we continue to look at the payroll cost. We -- what we have done over a period of time is drove what used to be a significantly bottom of the pyramid kind of made it into more like a rectangle and then possibly it will go further up. It is counterintuitive. Everybody expects services industry to be like a traditional pyramid with a lot of individuals in terms of carrying out activities at an operations level.

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But a shift to a high-tech business almost always calls for senior and technically well-equipped individuals who will drive a lot of automation to reduce laborious manual activity. Part of this is actually not a reduction of cost as much as improvement of services, which we accomplish through removing the manual error element.

As we process crores and crores of transactions, today, we process a little over 1.5 crores transactions a day, almost \$300 billion worth of money gets settled on our accounts. We -- the margin factor is negligible. So basically, what we are doing is the count -- the pyramid is transitioning, the count probably will not grow much further.

And as this entire senior technically strong team tries to drive more and more automation straight through AI, I expect the payroll cost to probably come down, but that will have a compensatory cost escalation in the form of technology. Now some of it may be onetime, some of it may last more than a couple of years, but that is very much required as we as an organization trying to be a global entity and Indian mutual funds itself, today touching almost \$1 trillion, poised to cross \$2 trillion, \$3 trillion in to the next 5 to 6 years, the volume of transactions will expand in a phenomenal manner.

And with every transaction increase, the data exposure to us increases tenfold. So it is in that direction. So I think I draw comfort in the fact that we could keep the payroll cost around that number. It may remain to be so, but what you will see is probably the non-payroll cost

expanding. But all -- we will endeavor to keep our

margin ranges around 40% to 45% despite the cycles.

Moderator: The next question is from the line of Shrenik Mehta from IndoAlps Wealth.

Shrenik Mehta : I wanted to ask you some questions about the Ascent acquisition and how you're seeing this to become EPS accretive over a period of time. Currently, we obviously see that the EBITDA is slightly lower compared to the Indian operations. How do you see this evolving? When do you see this becoming EPS accretive?

Sreekanth Nadella : Thank you. I'll take the question. So on a cash basis, Ascent is already EPS accretive, notwithstanding certain accounting adjustments that were required in the form of deferred tax liabilities, et cetera. But by and large, it is, however, a fair observation that the margin of Ascent is well below that of KFinTech business. And rightfully -- so, KFinTech has been in existence for nearly 40 years, and Ascent is 5, 6 years into it.

And much like extremely fast-growing businesses, you would see the initial spring of growth largely coming in the form of negative margins. In fact, for the fact that they have already turned around the corner, both at EBITDA and at PAT level is a true mark of phenomenal leadership of the founders at Ascent in terms of not just expanding globally into 18 different countries, supporting some of the most complex fund structures into private equity, into hedge funds, into digital funds, so on and so forth.

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They have also managed to keep the cost very, very firmly in order to ensure that the margins do improve. And of course, it is only through the continued expansion of margins through, one, scale expansion and two, cost optimization. There will be a significant fructification in terms of the monetization of the overall asset for both the entities as well.

So I expect every quarter, there may be quarters which may be adversarial in terms of the market movements. But by and large, as you may have seen in every other business we have done so far, whether it is alternate investment funds, whether it is international, whether it is National Pension System, KFinTech too has seen the first 2 to 3 to 4 years steadily improving its margins, including the acquisitions that we have made, which were negative at the time of acquisition, but slowly gravitating towards our organizational EBITDA margins and now contributing pretty much to strong growth.

So whilst you do not see Ascent numbers kind of meeting KFinTech's into immediate future, but it is definitely a 3-year plan, thus we believe we can get that far. And in fact, at that point in time, we expect Ascent's margins to be even higher than that of KFinTech's margins in the context of faster global growth, higher yield that we derive and higher productivity given a fairly standardized fund administration that exists globally as compared to that of India. India continues to be extremely bespoke, and that's the reason why the AIF growth in India comes with probably slightly lower margins as against similar growth in the international markets. I hope I answered your question.

Shrenik Mehta : Great. Just another question in the same line. Are there any thoughts about establishing some kind of a GCC kind of an operation given that you will have far more expansion globally at a faster pace in the medium to long term?

Sreekanth Nadella: We will be -- in fact, work is already on. It's a great question. We have secured license from GIFT City and created a subsidiary in the direction. Our intention is to consolidate over time the delivery of all international business into that entity in Gujarat. And in addition to talent expansion that's happening and a phenomenal number of opportunities that are coming up in GIFT City.

As we all know, we are probably the only entity in GIFT City who basically is able to administer fund solutions for mutual funds, retail

fund solutions, international funds, India domestic AIFs and also issuer solutions. We have taken the first two companies that have gone public in GIFT City as the registrar and transfer agent.

Being located in GIFT City has imminent advantages over and above the opportunity there. Some of it is around tax credits. There is a 20-year tax credit that we will get, but it's still early days. But short answer to your question is, yes, we are thinking we are invested in creating a large GCC, especially for the international operations.

India operations, I guess, our strategy had been different as we have explained several times over, which is to move away from Tier 1 city into the Tier 2, Tier 3 cities. Part of that is cost, part of that is retention of talent. But above all, we are seeing a fabulous amount of talent

available in Tier 2, Tier 3 cities. And we believe that it is also our social responsibilities to move to as many of those cities as possible within India to be able to provide employment and do our own little bit.

For example, today, our presence in Bhubaneswar is expanding towards 500 -odd individuals. Vijayawada has about 300 people. Gujarat is expanding, and we are looking at more Tier 2, Tier 3 cities to be able to drive some of the risk away, concentration risk that exists in large Tier 1 cities like Hyderabad, Mumbai, Bangalore, so on and so forth. So yes, GCC is for international. India domestic strategy is largely hyperscale, hyperlocal moving to a lot of cities rather than being present in one large city.

Moderator: The next question is from the line of Lalit Mohan Deo from Equirus Securities.

Lalit Deo : Firstly on the international business, excluding Ascent, so there we have seen that the AUM growth on a sequential basis seems to be around 9% to 10%, whereas if we just look at the revenue, so that seems to be broadly flat on a sequential basis. So just wanted to understand how the revenues in the international business will pick up in that segment, excluding the Ascent business?

Second question was on the Ascent business itself. Now when we are looking at improving margins in this business. So just wanted to understand like the margin improvement, will it be on both accounts, both on the employee expenses side as well as on the other expenses side? And where do we intend to take this in each of these segments in the next 2 years?

Sreekanth Nadella: Sure. Thank you. I'll take the second question first. I think part of it I've already answered. Every acquisition that we have, every new line of business we have, we usually have a 3 -year strategy. The intent is that we challenge ourselves constantly to push each of those businesses to arrive at similar margin profile as the rest of the organization within 36 months.

Thus far, we had been vastly successful with the exception of one odd business lines for various different reasons. But by and large, we see a very good line of visibility in terms of Ascent getting that far within that time frame -- into the 36 -month time frame. What will contribute to that? I think every lever that is possible.

Part of that is just simple scale. That means as you keep expanding your revenue profile, a lot of your fixed overheads get absorbed and hence your margin expands, which is typically a symptom that you would have seen even national pension system, for example, for us. It's been a loss -making business for the last 4 years. Not just have we turned around. We're kind of looking at a very, very healthy double -digit margin in just a matter of a few quarters, which will be the same thing that will happen. So there is scale that will drive it.

Payroll cost, to an extent, I won't put my top bet in payroll cost optimization in Ascent, a business that is designed, built to grow geographically with a strategic ambition to become a global fund

administrator. We should not be cutting corners in the form of feet on street into the geographies

having started so many countries' operations. In fact, I'd expect probably some amount of expansion in that, even though productivity will continue to significantly expand.

So for the same quantum of work, we may need fewer people. But in general, we'll need a lot more people as we grow our business into this 30%, 35% kind of a clip year -on-year. It is probably the non -payroll expenditure where we may see immediate amount of traction in terms of optimization of costs. So for example, real estate costs, much of Ascent is also present in India and in Malaysia in terms of headcount, 200 out of 300 people are based in these two locations, which is where KFinTech also has a very strong presence. So we will be consolidating real estate costs, infrastructure costs.

As we all know, we are one of the largest data fiduciary in the country with over 8, 9 petabytes of data. The amount of support we can afford -- I mean, we can afford in terms of consolidating, whether it is data centers, whether it is license size, whether it is no -tech manpower, digital, UI/UX, so on and so forth is quite substantive. The last 6 weeks had been in that direction. Our focus to be able to identify the non -payroll cost synergies that we can drive them down and hence see a reasonably quick margin uptick.

Now obviously, many of these are contractual in nature. So we'll have to wait for the life cycle of that particular contract to end. Or if I have a multiyear contractual life cycle, we might probably look at a premature termination, but then be able to identify how we can optimize the

cost based on the KFin's own structures. So yes, so basically, every lever that is there, we are constantly working on, including the upsell, cross -sell component of it.

I think on the first question was about domestic funds, if I'm not wrong, in terms of the AUM growth being there, but the revenue not necessarily translating into as much. We've known this beginning of this year itself. I think you probably would have seen a trend kind of through the year, which is a combination of a certain amount of extraordinary discounts that were given at the beginning of the year in the very month of April .

Obviously meant that the AUM growth need not necessarily have translated into the revenue growth into this year. But the base effect will end by end of Q4. As the base effect ends, what you would start seeing is growth of revenue nearly dovetailing that of the AUM growth into the coming year. So to that extent, it is expected, anticipated and has already been modeled into our books.

Lalit Deo : But, actually the question was on the international investment solutions including Ascent

Vivek Mathur: Sreekanth, I'll take over this question. On the international business, while we have seen that the revenue has gone up without Ascent for the GFS is about 5.7% sequentially quarter -on-quarter and a little more than 11% year -on-year. The AUM has come down slightly. And the bps -- AUM has gone up, but the bps has come down slightly from 4.73% to 4.13% YTD, December '25.

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That is largely because many of the funds are still on the minimum fee. And as they cross the minimum fee, the yield will come in, in terms of bps -based pricing. And we do expect with the newer contracts coming in, platform revenue coming in from international business that Sreekanth talked about earlier, the overall bps will improve as we go forward and start winning larger contracts, which Sreekanth alluded to earlier in his commentary. Does that help, Lalit?

Lalit Deo : Sir, just answer the one data you think that will help. Could you just give us a split of the issuer solution business between the same folios, corpor

ate actions in IPO ?

Vivek Mathur: Lalit, I didn't get you, can you speak...

Sreekanth Nadella: Sorry, the voice is a little muffled, not able to hear you very well.

Lalit Deo : So I was referring to that split between -- split of issuer solutions business between folios, corporate actions and IPO income.

Vivek Mathur: You want to break up in terms of how much is the percentage of revenue mix in corporate registry, correct?

Lalit Deo Yes, yes.

Vivek Mathur: So corporate registry, 47.6% of the revenue comes from folio maintenance, about 40.2% comes from corporate action and 12.2% comes from value -added services.

Moderator: The next question is from the line of Mohit Mangal from Centrum Capital Limited.

Mohit Mangal : Congratulations on a strong set of numbers. My first question is towards the yield. So you said that the yield contracted a lot in this quarter, owing to a shift in the mix towards the ETFs. So going forward, if this trend kind of continues, right, say may be for the next, say, 3 to 4 quarters, then how do you think we should look at the yield contraction versus the AUM growth? That's my first question.

Second question is towards the issuer solutions. So I wanted to know, I mean, say, considering a medium term of, say, 2 to 3 years, now that we already have about 168 -odd million folios, how do you think the growth would kind of span out in this segment? Yes, that's it.

Sreekanth Nadella: I want to just clarify the point about the yield correction. It is marginal. It is not substantive. I commented about the yield correction at the beginning of the year, right, when 7 -- 8 of large contracts went into renegotiation phase. This quarter reduction is extremely marginal, and that is on account of asset mix shift more towards gold, silver ETFs.

And hence, I'd expect the yield to stabilize to where it is now and probably even go up should this frenzy of the metals, ETFs, like everything else, there is seasonality and cyclical. I expect good sense would prevail and over a period of time, the equities would come back to favor. So there is no significant yield correction. I just wanted to correct that particular math on that. My apologies, the second question was on what?

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Mohit Mangal : Issuer solutions. So basically, we have about 168 million folios. So just wanted over the next 2

to 3 years, how do you see this spanning out?

Sreekanth Nadella: No, it should -- see, if you see the folio expansion is a component of a number of demat holders, which we all know is continuing to expand over 25% thereabout. And a vast majority of Indians still do not have a demat account. And I expect that will continue to grow as the overall financialization of the team expands in India and the movement from savings into investments as a philosophical trend changes. That is one, so which is more demat accounts hopefully will translate into more participation in the secondary markets and hence more folios.

Second is of that, how many of the clients are the clients with KFin services today? And that is where I was stating that our market share has now gone to 51.4% in terms of the market cap of Nifty 500 companies. And as we win more and more companies and we transition more and more companies, consequently, the folios will continue to expand.

Third item is the market performance itself. Retail investors, as we all know, I'm actually speaking to the acquire, is generally a fairly risk-off approach when the markets do not give conducive returns over a period of time and which is what we are seeing. I think Indian markets have barely moved into the last 18 months.

And the first 12 months, the folio participation or the retail participation was still good. That was the previous year. This year, we have started to see a reasonable amount of movement away by the folios -- by the retail investor

s from the secondary market etc.

We still continue to grow because of the net new number of clients we have added and hence, the retail participation in those. So what I expect to see should the market turn around is actually a double whammy, which is a lot many more companies to go public and retail folio expanding and thereby the revenue expansion to be even faster clip than what it is at this point in time.

Not to mention, should the results be very good, so will the corporate actions be. So it's hard to predict. There is a lot of macros associated with that. But we believe that we have unlocked this -- what used to be a 10%, 11%, 12% kind of a growth momentum business into anywhere between 15%, 16% to 20% kind of a growth business year-on-year.

And if that were to fructify, that means the number of folios will have to expand at a faster clip, which is what I see will happen.

Moderator: The next question is from the line of Devesh Agarwal from IIFL Capital Services Limited.

Devesh Agarwal : Yes. Sir, my first question would be on the AI emergence. Although, you did touch upon it, but you mentioned that it's more of a basically an opportunity rather than a risk. But what I wanted to understand what I always thought that one of the entry barrier for any third RTA to come in is the vast amount of data that you need to process and obviously, the initial cost, which would lead to losses. But with AI coming in, does -- it becomes commercial sense for a third RTA to emerge even if we have to do this activity for a new mutual fund or a digital-only mutual funds?

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Sreekanth Nadella: Great question. And something that I'm often asked about and something that we ask ourselves often enough as well in terms of -- as a part of our risk management, we have to consider the potential impact of a third entrant. I mean we should never be arrogant to think that there won't be a third or a fourth or a fifth entrant. I do believe a possibility always exists.

But world over, if you see the phenomenon, inevitably, it will end up with 2 or 3 consolidation.

For example, in our industry, whilst today, it may appear like there are only two RTAs, if we kind of take a step back and look at what was the situation prior to 2020, just 5 years back, there were several more RTAs. There were actually 8 RTAs when I joined this industry myself and even more prior to that, right?

What happened is basically consolidation. Consolidation happened because until and unless there is significant scale in this business, it's near impossible to get both ends meet, right? Even if you have very deep pockets, you want to burn cash for a decade, it would still be a very tough thing to accomplish in this business and also considering the fact that our own yields, what used to be a 6, 7 basis points on a yield, it's about 3.

For a third entrant to come in, obviously, there has to be a business case for anyone to take the risk and cut over. And if that does not give a 40%, 50%, 30% kind of optimization, it makes no sense for anyone because there's the cost of transition itself is way too high not to mention about the risk of transition, which can be quite catastrophic in the scale that we operate at.

So I would find it hard business-wise for anyone to enter into it. AI probably may reduce certain amount of cycle time on the tech development. But what we -- where we exist is in the crossroads of tech and domain. And it is truly the domain knowledge that we bring to the table that makes the most significant difference. Otherwise, today, if you see or not just today, even over the past number of decades, you want to start a bank or insurance company, you want to start an oil company, you want to start a B2C.

Many large enterprise players like SAP, Oracle, Microsoft, they always have enterprise solutions, right? And that's what you take. But for

this very nuanced business, nobody has been able to create platforms like this. And that truly is our moat. So I don't think AI is going to take that domain competency away.

And even if it were to at some point in time, the business dynamics in terms of unless there is a massive consolidation and about somebody wins 15, 20 clients together, it makes no sense. Winning new clients is not nearly going to cut ice in terms of even -- breaking even in the next 10 years for the newer team.

Devesh Agarwal : Very clear. And my second question was on the international business or the Ascent. Historically, we have seen although we had a very strong client wins, but typically, I think these were smaller clients. So just wanted to understand the progress in terms of winning new mandates from a medium to large -sized clients.

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Sreekanth Nadella: That has truly been our focus. You're right. I mean many of these are -- these are very large logos in terms of names, but I think we need to respect the fact that these are relatively smaller geographies, right? I mean we're not exactly in the U.S. and Europe and Japan. We are in countries where the capital markets are buoyant enough, are pragmatic enough to embrace outsourcing and even offshoring, if I may.

But let truth be told, the total corpus of AUM is not that significantly large. And yes, of what is there, it is also true that we have managed through scoop out probably nearly all new AMCs and many of the small tier AMCs. But what we have seen in the last 18 months is that we started winning larger mandates, larger in the context of those geographies.

We should not equate them to large like our mutual fund houses, which are very -- probably on an order of 20 x to 30x larger. But for example, we won one of the largest trustees -based deal last year, I mean, right Investment Managers, you might be aware, we have already explained. We have won a large pensions platform solution provider in one of the East Asian countries, which is also a material contract in the context of international business.

And these businesses typically, as I always call out, there is a maturity cycle. When you go into a new country where you are not known and it is a B2B in a highly regulated space, the acceptance of a third party from the standpoint of not just commercial, commercial is an easy thing, right? We can easily demonstrate that we're able to show a significant amount of money. But despite that, the conversion rate are a little tricky because of the risk in terms of transitions, the same risk that I'm calling out as to how complex it will be to migrate from one to the other, the same risk exists when we have to win a mandate as well. And the first 3, 4, 5 years is largely about delivering exceedingly strong value to the limited number of clients we would have won, most of them could be small ones.

But it truly takes an amount of time for the large fund managers to stand up, take notice that, yes, there is a lot of value that we can unlock. We have already seen not once or twice or twice, but 100 different clients. And now is the time to move. And that is a conversation we are having with the medium and large tiered AMCs. And of course, the conversion, the sales life cycle is slightly longer, but this is a business that is not meant for quarter -to-quarter.

As you know, this is the organization, been here for 40 years. We are building the organization for the next 20, 30, 40 years. And the conversions will happen in terms of medium to large AMCs, where we have already seen the glimpse of it in the form of winning two large contracts in the last year alone, even as many are under a negotiation phase at this moment.

Amit Murarka : Yes. Just to add to Sreekanth's point, Devesh, this is Amit here. Look, I mean, Ascent, when we say that they won 47 funds this quarter, so that

doesn't mean that the fund activity has slowed down for this quarter for them and all. So I mean, overall, it's like more than 100 funds they have won during the quarter. But when we say 47 funds, one, it means that these are the number of funds which have gone live.

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They have -- which means that these funds have become active in terms of the launch and all. And hence, I mean, that these are the funds which you can see, I mean, in terms of the revenue

recognition and also as November, December, typically, I mean, here from the fund launch perspective is a little less active quarter given that -- I mean, this period, I mean, people are more engaged in the new year's activity and all.

As we hit the Jan, Feb and all this quarter, I mean, we are seeing more aggressive in terms of the fund launches and also -- and this number will catch up. So to give a perspective, so Ascent did -- basically, they were on a monthly revenue run rate of around \$1.5 million last December 2024. Now as we speak now, they are more than \$1.9 million in terms of the monthly revenue run rate and they are well on track in terms of the growth, the guidance that we are envisaging for the company.

Devesh Agarwal : And lastly, if I see the asset mix for your international business, I see multiple categories. Now on an overall basis, we understand that the blended yields are somewhere around 6 to 7 basis points. But is there a significant difference between hedge fund AUM or public market or digital asset? The reason I asked is that we want to track if a particular segment grows faster, will that have a positive or negative impact on the blended yields?

Sreekanth Nadella: So see, I mean, from the blended yield perspective, so the asset as far as the AIF business or the private mandate business is concerned, I mean, it doesn't make a big difference in terms of whether it's a hedge fund or a private equity or, let's say, digital assets and all. So the yield structures are more or less the same.

But as we move into the public market funds and all, definitely, I mean, compared to the private market here, the expense ratios are also a little lower compared to what we see in the private market funds. So hence, the yield structures would also be a little more different. But it also depends upon the size and the scale of the AMC as well that decides the yield.

But yes, I mean, given that Ascent is largely into the private mandate side and today, if you see the portfolio of the international business is more treated towards the private -- the mandate side and all. I mean, the yield structures would materially not be different when we talk about different class of assets, whether it is the hedge funds or the private equity or, let's say, the digital assets.

Moderator: Ladies and gentlemen, we will take that as a last question for today. I now hand the conference over to Mr. Vivek Mathur for his closing comments. Over to you, sir.

Vivek Mathur: Thank you. It has been a great quarter with the integration of Ascent. And as we have seen that including Ascent, our year-on-year growth on revenue from operations is well within the range of guidance that we gave of 15% to 20% and the EBITDA margins are in the range of 40% to 45%. We believe that we'll continue to maintain that guidance going forward as well. Thank you very much for joining the call today.

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Moderator: Thank you. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

Call: May 2026

May 07, 2026 CS&G/STX/ JQ2026/16

1) National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Symbol: KFINTECH 2) BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("LODR Regulations")

Dear Sir / Madam,

Further to our previous intimation bearing reference no. CS&G/STX/JQ2026/04 dated April 12, 2026, pursuant to Regulation 30 and other applicable provisions of the LODR Regulations, please find enclosed herewith the transcript of the Earnings Conference Call held on April 30, 2026, in respect of the standalone and consolidated audited financial results of the Company for the quarter and financial year ended March 31, 2026.

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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"KFin Technologies Limited

Q4 FY26 Earnings Conference Call"

April 30, 2026

MANAGEMENT : MR. SREEKANTH NADELLA – MD AND CEO

MR. VIVEK MATHUR – WTD AND CFO

MR. AMIT MURARKA – CFO INTERNATIONAL

BUSINESS AND HEAD IR

MODERATOR : MR. VEDANT AGARWAL – IIFL CAPITAL SERVICES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the KFin Tech Q4 FY26 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being

recorded.

I now hand the conference over to Mr. Vedant Agarwal from IIFL Capital Services Limited.

Thank you, and over to you, sir.

Vedant Agarwal: Thank you so much, Iqra. Good morning, everyone, and welcome to the Q 4 FY26 Earnings Conference Call of KFin Technologies Limited. Today from the company, we have with us Mr. Sreekanth Nadella, MD and CEO; Mr. Vivek Mathur, Whole -Time Director and CFO; and Mr. Amit Murarka, CFO, International Business and Head of Investor Relations and Mergers & Acquisition.

I would now hand over the call to Vivek for his opening remarks. Thereafter, Sreekanth will share the key developments in the quarter. And after that, we'll open the floor for Q&A session.

Thank you, and over to you, Vivek.

Vivek Mathur: Thank you, Vedant. I would request Sreekanth to give his opening remarks, and then I will cover the financial section.

Sreekanth Nadella: Excellent. Thank you. Thanks a lot, Vedant, for organizing this and for all the attendees, very good morning. Warm welcome to our Q4 results. You've seen the data. What I would do is over the next 15 -odd minutes, walk you through in terms of how the quarter had gone by. By and large, you are now familiar with the numbers. Hopefully, we'll spend a little bit of time in terms of how we see the upcoming year, and then we'll speak about the financials and then a little bit of Q&A.

You have the presentation with you. We kept the content familiar for you so that we don't have to spend too much time explaining as to what else. But by and large, a lot of metrics that we have been tracking to consistently for over the past 3 years since we went public, we've been in the uptick. We continue to be the single largest investor solution provider in India for mutual funds in the form of the number of asset management companies we manage.

By AUM, of course, we are second contender. Now that is a reflection in terms of how our clients grow. I guess, our performance is probably more attributed to the number of clients we win. So to that extent, we continue to have high win ratio into the last year. We won 4 new asset management mandates, and we have several more to come into the coming month to two.

In terms of the AUM itself, we continue to have a market share expansion in the overall AUM, while there has been a little bit of dip on the equity side of it, I'll explain to you in terms of why and then what we see in terms of remediation or the turnaround as to when could potentially happen.

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We continue to be one of the largest registrars in the form of the number of folios and consequently, the number of investors we manage, not just in India, globally, we should be among the top 5. And given much of the drive had been over the past 5 to 6 years, it augurs very well in terms of our market share expansion. So that's on the mutual funds, and we'll kind of deep dive more in terms of the growth percentages, the vectors, the basis points so on and so forth.

Issuer Solutions has been continually seeing quarter after quarter our market share expanding. At this point in time, we track to a little over 52% of the Nifty companies by market share in terms of market cap , by folios, it is about 45%, and by the account, it is slightly lower. But in terms of the net new client addition, we've been

having the highest in the industry.

We crossed 10,500 total corporate client as of 31st March. We aim to cross -- we aim to get to close to 11,500 into this upcoming year, both in terms of the listed, unlisted and as well as our new focus to expand into the SME markets as well, right, in addition to being the single largest region with provider as well as a bond market provider.

Largely, we've been -- these are our mature businesses, right, the mutual funds and the Issuer Solutions. And I know we've been guiding our entire community in terms of what are the new growth drivers, assuming a base case scenario of anywhere between 15% to 18% or 19% growth on the mature businesses.

How do we then get past 20%? If you see our last 5 years CAGR in terms of top line growth, we've been crossing 20% on a CAGR basis and we will have a quarter or two here and there, but by and large, we've been comfortable in accomplishing our own internal targets of 20% plus top line growth.

International business, of course, is our one of the biggest bet. You are familiar with the fact that we have acquired Ascent Fund Solutions in the month of October. The quarter that had gone by had been an excellent performance by the inorganic acquisition as well as KFinTech's own. I will discuss the financial numbers in a little while from now. We have added close to 499 clients overall in terms of the fund managers. And by funds, themselves it is substantially higher. It will

be anywhere around 900, 950 thereabouts.

Pensions, smaller business, but as I have explained in the previous quarter, it's a turnaround quarter in terms of us having broken even. And we continue to outpace the industry by a factor of 3. The overall pension subscribers in the industry have grown about 11% for the full year, including the last quarter.

We have grown little over 34% and that basically explains in terms of the superior technology solutions and the market share we are taking away from the current market leader and keeping a very distant third, fairly distant, if I may. 716 alternative investment funds, marking a 38% plus market share in the alternative investment funds continue to grow at a reasonable clip, both in terms of the count of the assets as well as on the AUM.

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Bearing in mind that a bulk of the AIFs we manage are Cat III funds, which have a direct public market movement from a secondary market standpoint in terms of the stock prices. Times like this, when we have pressure in the market overall, clearly, as much an impact there is on the mutual funds, there has been a certain amount of impact on the AIFs.

But then again, it's a matter of time the markets could turn around. And when that happens, we should see a significant uptick. So in that context, I guess, it's been a fairly stable performance, especially in the top line growth. We dropped a little over 23% year-on-year on the overall top line. And that includes Ascent, of course. And even excluding Ascent, we've grown a little around 11% thereabouts.

EBITDA growth about 5% and margins have compressed and one would expect it to given we have added nearly -- on an annualized basis, little over \$22 million of international revenue with little to no margin given the very early stage of the entity, but growing at a 30%, 35% top line growth. As I've explained in the previous quarter as well, as we consolidate and drive the synergies in terms of both cost optimization as well as driving big size or bigger sized clients will help us to drive the efficiencies.

For example, Ascent has won about 5 contracts -- 5 funds rather, which have a little over \$100 million in AUM, right? And that marks a rather quick turnaround in terms of the ability for the entity to bid for larger deals on the back of a stronger balance sheet and a publicly listed company strength and the technological capabilities that

that KFinTech is able to offer.

Our full year growth of a little over 19%. You will see that the core PAT has grown on an annual basis at 6%, but declined marginally or rather we have a flat PAT growth in the quarter. And the core, of course, is, in some sense, adjusted for a one-time exceptional item of the Labor Code-driven inflation that we have accrued in the context of the payroll. Adjusted for that, we've had a flat PAT growth.

Q4, especially we had two headwinds. One, a significant mark-to-market erosion in the case of mutual funds has impacted and that is the data is out there for everyone to see in terms of the total mark-to-market write-downs. But to a decent extent -- to some extent, at least it was partially offset by continuing net positive flows into the industry.

Issuer Solutions has been probably a little bit more tepid primarily on the back of two points.

One is a continual mass exodus of the retail investors meant that the retail folios have further come down in the case of Issuer Solutions as well as the fact that in the previous year, we have had a demerger of a large listed company, which had given a small bump up in the historical revenue for that quarter, which we did not have that. So in some sense there's a slight base effect impact. But we believe that both these will get neutralized from this quarter onwards.

Overall, our AUM has grown in line with the industry at about 21%, but that, of course, did not necessarily translate into revenues as they grown only about a little over 11%. Reasons we all know part of that was the pricing discounts that were given in the month of April 2025. And obviously, the base effect of that would get over by the month of 31st March, right.

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So clearly -- so that was one of the reasons why the overall AUM did not necessarily translate into the revenue, but there has been another two important factors. One is mark-to-market erosion, which has a larger impact on EBITDA and the PAT level because what goes from top line product directly goes from bottom line, especially if it is to be associated with mark-to-market.

Third one is there has been a significant expansion in the passives. I would still think without necessarily being 100% sure of it in terms of if it's a definitive trend or not. The metal ETFs, thanks to the tremendous rise of silver and gold, as we all know, into the Q2, Q3, Q4, had meant that the asset mix for us for equity has come down by 200 basis points into the last 2 quarters. We have -- in the month of April, very early trends point to a reversal of that, which means that the share of ETFs is coming down. And hopefully, the share of the actively managed funds will go up, which will drive the yield and the revenue corresponding to that.

We continue to win AMC mandates. We have more to announce into the coming months as we await -- whilst we have heard informal communications, we await for us to be able to announce the same. We have 4 out of the 10 top 10 fastest -growing AMCs by AUM with us. And I guess all of that will continue to augur very well. We do believe that in another quarter to 2, we might just end up having 5 out of the top 10 AMCs to be serviced by KFin Technologies.

Issuer Solutions, I briefly spoke about it. We have added about 740 -odd clientele, market share expansion from last quarter to now by a little about 80 basis points. We have continued to invest our efforts to orchestrate transitions. We have transitioned successfully Punjab National Bank, which has a very large retail folio base and as a net as well and many more to come, hopefully, in the coming times.

More importantly, we are awaiting the launch of several large IPOs into the coming quarters. We are all obviously awaiting the Jio IPO as well as several large ones. Many of those hopefully should happen into the coming quarter to 2, that will pu

t Issuer Solutions in a much better state

than what we have seen in the previous year. Many primary issuance have been withheld in the context of where the market is.

Of course, it is still anybody's guess in terms of which way the markets go. It is possible that it will all be hunky -dory in a few weeks from now or it could be worse. But we have assumed a fairly conservative estimate as we are moving into the coming year in terms of where we believe we will end up with high -level numbers, which we will speak about in a little while from now.

From an alternate investment fund standpoint, continue the similar expansion. The AUM has grown about 19% revenue larger than that despite the fact that there has been a mark -to-market erosion even in this case, given much of the funds we manage are Cat I II funds, right? And obviously, where there is an adverse impact and we still have a quarter with over 22% growth and margins still holding over 37% will mean that as the markets turn around, we should go back to much brighter days into the coming quarters .

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By and large, our solutions on technology, data, wealth have found strong resonance in the context of us winning our international mandates in Philippines, several more into the pipeline and not to mention the completion -- a very successful completion of our largest contract in international with the Philippines largest bank, fund accounting.

And that proof of concept basically now leads into the execution phase, which has pretty much started now. And with that included, we are looking at a pretty robust international revenue -- the organic revenue to grow a little over 60% plus into this year, and the overall international revenue to be a little over 70%, including that of Ascent, so to speak.

National Pension System, I'd like to believe we will continue to expand in the same trend that we have seen in the past 2 years. We have excellent partnerships with all the PFMs, the POPs and just as importantly, with the regulator. We have created the country's first gig economy pension platform. We have created the country's first health work and the health -related insurance unpledged -driven, I guess, withdrawal of the funds by any person needing to undergo surgery, so on and so forth by liquidating part of NPS.

So these are some very unique and important technological solutions, which are going to drive pensions into very fast growth in the coming year and it also obviously augurs very well that we have moved away from pricing at a brand level , but into a basis points, which is akin to that of our mutual fund business. So as the corpus of the AUM increases, we will partake in the gains and not necessarily be limited to the count of increase of the pensioners in the country itself. We have -- in terms of the overall industry -- I'll just quickly cover overall year performance, but more specifically about the KFinTech. Despite what could be considered as a very challenging year, I think we have continued to see a strong performance by the overall industry. The mutual fund industry AUM has still grown 21% and we expect a similar growth into this year as well on the back of a potential or a possible turnaround in the market, which we have not factored a whole lot. But given the velocity of the net flows continues to be strong and resilient and given our clients have been growing at a pretty fast clip, we should continue to see a reasonably robust performance this year as well.

The equity AUM, as I said, is a little bit of bother in terms of the market share coming down a little bit, but that is largely relegated -- two important factors from our assessment. One is many of our clients have been very optimistic about passives. Consequently, much of the passive fund movement and mobilization in the industry has happened with our clients. That obviously has a do

wnstream impact on the yield. But then again, as I said, this is probably capitalizing on the near -term trends of the metal ETFs. And we could see already in early April or rather for this month, even as of yesterday that there's been a reversal of that trend.

The second one, just in terms of the configuration of the funds itself, I think our clients seem to have lesser hybrid funds as compared to the clients of the top competitor. And if you saw the

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growth of the past 3 quarters in mutual funds, there's been a good amount of growth that has come through into the hybrid funds.

I'm sure it is a trend that our clients are -- have seen it and probably they would launch a lot more hybrid funds and then probably claw back into the market share that everyone's had, a lot more on the equity side as well. SIP growth continues to be strong. We hold a little over 37% of the market share in that space and continuing to grow. The number of demat accounts, of course, is more related to the Issuer Solutions.

Again, despite being challenging, 17% year -on-year growth is not a small number, which already has a very high base of a little over INR25 crore s odd demat holders within the country. But that has not necessarily translated into investments, into the secondary market by the investors. There has been a net erosion of close to -- almost 2 million folios in this year.

And in spite and despite of it, we have shown good growth -- decent growth, I would say, in corporate registry, only and only because we managed to win a substantial number of IPO mandates into the previous year, which has contributed to that, which otherw ise would have been a negative in terms of the folio erosion that has happened into the previous year.

And with the retail investors coming back, it could just very well be a scenario where we have a substantial net new client additions and substantial net new folio additions, which would drive the growth into the higher 20% numbers, though we have backed a little of 15% for the coming year.

Overall, domestic mutual fund, a little bit of color in terms of the market share, which I've already spoken about, 33 %-odd close to the overall market share. So we're continuing to expand, as you could see the trend from FY22 to FY26 , consistently from 30.3% to 32.5%. There's been a market share expansion even if it is a little slower into the coming quarter.

But this is how cyclicalities of the industries. Certain AMCs do very well for a period of 3 year, 4 years, 5 years, and then you will see a different set of AMCs perform very, very well into the subsequent cycle. And it would just very well be our client s into the coming year to two. But of course, that's not necessarily in our hands.

We still believe that winning the mandate is important, providing technological edge for our clients to grow faster is all that we have in our controllables and the rest is something that is dependent on how clients perform. Overall, I guess, given that our market share had been pretty resilient even during this time, we believe that as the industry grows, we'll continue to grow alongside or slightly higher than the industry into the coming quarters and years.

By and large, most metrics trend to positive, whether it is net flows, whether it is SIP in terms of the inflows that are happening. The transaction volume continues to see fairly largish growth in terms of the ticket size coming down, especially in the co ntext of retail SIP and a lot of other initiatives started by our regulator AMFI with a view to drive financial inclusion in our country.

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On the international investor solutions, clearly, after Ascent acquisition, you would see a significant and a dramatic expansion of the net new clients. What used to be 75 in the previous year now is arou

nd 500 clients. And even if you exclude the inorgan ic to the pure organic, client expansion has been quite substantial from 76 to little over -- around 110.

The combination of both your R TA as well as fund accounting, in the last 3 quarters, we have

announced large deal wins in the GFS. So it's not just account, but what you're now seeing is the wins of large deals. And it is with that confidence that we are looking at about a 60% plus growth in the GFS in the upcoming year. And obviously, mark-to-market still will continue to play a certain amount of role in it. And with any luck, it can be much higher than that should the markets turn around with macros improving overall, right?

In terms of the international portfolio itself, you can see Slide number 13, it has a very diversified mix, which offers the hedge right in terms of in years like this where the markets have been fairly tepid. The coverage is across hedge funds, public market funds, digital assets, private equity, so on and so forth.

It is possible that at any given point in time, some of these asset classes can have a hedge, for example, digital currency funds. It is also possible that the same can significantly outperform and, I guess, in some sense, overcompensate for its own as well as of the others.

Geographically, too, we are very well diversified now, 18 countries, as we all know, in terms of the revenue contribution outside of India, Malaysia, Singapore, Cayman Islands and Hong Kong are our larger geographies. Middle East was expanding quite rapidly. But obviously, with all that's happening in the last couple of months, it's a wait and watch.

But what nevertheless will happen is even if there is a downstream impact on the GCC side of it, much of those funds would be redomiciled into Singapore or Cayman or wherever. And, the good part about us diversifying the way we have is that it doesn't matter where it gets redomiciled or migrates into because we have a presence in all those geographies, which will mean that we will have a very little to no impact at all even if funds go to more outside of the Middle East, so to speak.

On the Issuer Solutions, we believe that the trend will continue to expand in terms of both the number of the clients and portfolios and the market capitalization, given there's been a significant renewal push at our end, and we have also leadership additions in this particular line of business to be able to capture times like this where, I guess, the resilience and the financial strength of KFin vis-a-vis other competitors in this space, especially on Issuer Solutions, we have a formidable strength, which we will -- you will start seeing in the form of the net new client wins as well as driving higher revenue and margins in this business.

AIF, as you could see, there's been a substantial improvement in terms of the number of funds, 593 moving up to 741. So it marks a little over threefold increase in as many years. And I hope the trend will continue both in terms of new fund launches and our continued win rate across domestic, international and in the GIFT City as well.

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The AUM itself slightly tepid in growth from the previous year, just brought about 19%. But again, just like in the case of domestic mutual funds, as I said, given much of what we do is passive funds, there has been an impact here as well in terms of the AUM growth. It couldn't have been more than 20% in a bad year like this. NPS, I've already spoken, wouldn't belabor much on that.

I'll spend a little bit of time on the -- how do we see the upcoming year, right? I mean we are looking in spite and despite of what's happening in the market and the global uncertainties we have, we believe that we have a reasonable line of visibility to get to about 23% to 24% top line growth into the coming year.

Now this isn't necessarily a guidance

, but as much as, I guess, our bottom-up projections internally, now these unlike in the past years, we will have to recalibrate, course correct nearly every month from here on, given everything that's happening in the market. EBITDA, we expect it to be around 16% to 17% and a PAT little around 10% growth is what we expect to see into the coming year.

Now as I said, this is a conservative base case, should the macros improve and if there is a quick turnaround. In some sense, even with a little bit of positive news late March, early April, we already saw the markets to perform much better, right? And if I look at April for us, we have seen a 2.5% thereabouts increase month-over-month.

And that itself should give us heart in terms of -- if the macros were to dramatically improve, we can see a very, very substantive tailwinds significantly enhancing both the revenue and the PAT numbers that I just spoke about. Even the stand-alone, the 27% I was talking about -- 24% I was talking about is broadly consolidated conversion. Even organically, we believe we have line of visibility to grow close to about 15% and the PAT a little over 11%.

Now the margin compression this year was obviously largely on account of two important factors. One obviously is the consolidation of accounts with Ascent, which we all knew that there was going to be a downstream drag into the overall margin. The second one, of course,

was a substantive mark -to-market erosion that happened in Q4 in conjunction with a reasonable drop in the Issuer Solutions because of the retail investors moving out.

Now all of these factors no longer will be applicable now. Given the mark -to-market movement has seen uptick, retail participation has improved in the month of April. And should this trend continue, we should have a much better quarter ahead of us.

Given this, the focus has been more in terms of controllables, in terms of effective cost management and tightening the belt in terms of the discretionary spend. We have -- we believe that we have enough levers that I've always been maintaining that if we see a protracted downtrend, we will definitely control the tap.

I still do not believe that we are in that region of having a definitive view that there is a protracted downturn given the volatility. But we definitely have ensured that we have at least all new projects are going to be scrutinized with a greater detail of approval mechanism, cost

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management in the form of payroll, non -payroll is something that has been significantly enhanced.

And despite that, with a little bit of tailwinds in the form of top line, that gives us as well as additional levers we have on the cost optimization. Hopefully, we will be in a position to beat the numbers that I just spoke about in the coming year as we ll.

So that's broadly from us. Broad summary, I think good top line growth, agreeable, I guess, bottom line growth, if you especially adjust for the one -time exceptional item of the labor growth driven cost inflation, which is nonrecurring in nature now.

We've taken hard some significant market share expansion and our goal to reduce the dependency on the domestic mutual funds to be below 50%. At this point in time, we are 58% to be specific. And there is a 3% value -added solution -driven revenue that we get from the MF clients. So if you exclude that, which is purely tech revenue, it is 58%.

And we said that we'll get to under 50% over a 5 -year period. We believe that we'll be able to beat that sooner than we had anticipated, given we are looking at a little over 70% plus growth in the international business into this year. With the other businesses growing much, much faster than the mature businesses, we should be able to have a much more diversified revenue and hence, much better managed risk profile as a business that we have today.

I'll t

ake a pause. I'll hand it over to Vivek to quickly consolidate the financial highlights, and then we'll take the questions.

Vivek Mathur: Thank you, Sreekanth. On the financial performance, let me start with revenue. The overall revenue grew in the year at about 19.3%. And for the same quarter versus last year, it has grown by about 23%. If you look at excluding Ascent, it has grown for the same quarter versus last year by 4.6%.

And if you look at sequentially; sequentially, there is a degrowth in terms of the overall revenue by 6.3% and excluding Ascent about 8.5%. That's mainly because of mark -to-market correction that happened in the second half of the year because of the geopolitical situation and movement of asset mix towards metals, such as gold and silver.

And whatever was perceived as mark -to-market gains through -- coming through the mark -to-market movement in the overall AUM growth was a little offset by the mark -to-market losses on the equity side. So that resulted in a subdued performance. And also in the Issuer Solutions business, the corporate actions were tepid because of the geopolitical situation in the last quarter.

And also there was an exodus of retail clients from the -- given the participation in the equity market. So that also resulted in a lower number of folios giving us income in Q4. So I will give you a flavor of how the revenue looks like at the end in Q4 on an overall revenue mix.

Domestic mutual fund gives 61% of the revenue. Issuer Solution now gives 10% of the revenue. AIF, Private Wealth Management, PMS gives 4.5% of revenue. GFS gives 4.5%, Ascent

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contributes 15% of revenue, NPS, Reval, Hexagram, are just about 1.5% each in terms of the revenue contribution. So that's the breakup of revenue.

If you look at expenses, in the expenses because of Ascent have gone up in terms of the overall expenses, looking like the employee expenses, including Ascent have gone up by 30%, but if you exclude Ascent, it has gone up only by 13%.

And the EBITDA margins, therefore, if you look at for the whole year, they have gone up slightly in terms of 5.1% growth and sequentially, 15.2% down for the reasons I explained because of the integration and mark -to-market impact and lesser action on the Issuer Solutions and similar impact because of mark -to-market on AIF.

But if you look at excluding Ascent, our margins were almost 42% in the quarter. And for the whole year, excluding Ascent was 43.5%. Including Ascent, we have maintained 40.7% EBITDA margin, which is a guidance we have been giving, although in the quarter , it was 37% because of the reasons I explained. But our range of 40% to 45% is something which we have maintained for the year.

And as Sreekanth talked about, we are working on various cost optimization initiatives and to improve productivity, leveraging technology investment and AI, which is coming to play, which will help us in terms of sustaining these difficult times if the mar k-to-market continues to behave in this volatile manner.

We also expect the mix of AUM to change as metals have corrected and retail investors continue to maintain a robust SIP, we do expect equity to come back. But irrespective of that, we are preparing ourselves to create the operating leverage by working on the cost optimization initiatives.

So the core PAT for the whole year went up by 6.2% at INR353 crores, including Ascent. And the increase was 8.1% for the year without Ascent. For the same quarter last year versus this year, there is a growth of 3.8%. And if you look at PAT margins, we are at 27.1% on a consolidated basis.

Without Ascent, we were at almost 30% margin, which is the guidance of 27% to 30% that we have been giving, and we have maintained that. If you look at the overall diluted EPS, it's currently at INR19.81 with Ascent and without Ascent, it is INR20.16.

We ar

e happy to take questions now.

Moderator: The first question is from the line of Karthik Chellappa from Indus Capital.

Karthik Chellappa: Two questions from my side. The first one is just taking a cue from the comment that was made on the asset mix as far as the domestic MF business is concerned. If we were to assume that the metal mix is more or less stabilized, so if possibly even declining and if that were to be the case for FY27 , can we say that our original expectation of domestic MF yields being down, let's say,

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about 4% to 5% year -on-year on a steady -state basis. Will that still hold true? Or are there any other variables that we should be keeping in mind? That's my first question.

Sreekanth Nadella: Good morning, Karthik. This is Sreekanth. I'll take that question. So the numbers that I spoke in terms of what our projections for the upcoming year assumes a continuation of similar asset mix as we have ended with the previous year. Though as I said, I do not necessarily believe that asset mix will be with ETFs almost at 23%. I believe the mix will be more in favor of actively managed funds this year. But in the base case of the numbers that I've said, we consider the continuation of ET Fs to be around the same number.

Karthik Chellappa: Excellent. And just to clarify, Sreekanth, your original guidance, which you just shared right now was at a consolidated level, you had expected a revenue growth of about 22%, 23% and an EBITDA growth of 16%, 17%, right, at a consolidated level?

Sreekanth Nadella: That's correct, Karthik. It's more towards 24% to 25% top line and yes, EBITDA around 16% to 17%.

Karthik Chellappa: Excellent. My second question is, as far as the Issuer Solutions is concerned, if I were to just look at this quarter, in absolute terms itself, both the revenue and the segment profits are down. Now you did allude to some factors which are transient. But if I were to exclude those and look at it on a steady -state basis, what is the expectation as far as the revenue growth for this particular segment is concerned?

Because what I see is , I do see the portfolios are weak, but they're still reasonably okay and so are the transactions. But it looks like it's the realizations which have actually taken a bigger hit driving the decline. So I was asking the question more in context of that ?

Sreekanth Nadella: Sure, Karthik. No, so I get what you're saying. So the folios may look decent in terms of growth, but that was largely because of a superior performance in terms of new wins. So the new wins have added a little over 2.5 million, 3 million folios, but the fact remains that all the existing clients will be lost over 1.7 million folios, right?

And that is largely in the context of retail investors not showing a lot of active interest in the secondary market given the mark -to-market write -downs over the past quarter or 2. Now that will change, right? I mean this is a seasonal business, markets will go up and down, but retail investors will come back to the moment they see here?

But why do you still see the drop in the revenue numbers? And there are two big reasons, right? I mean, three big reasons. One is the folio reduction as I told you. Second is the corporate actions. Traditionally, Q2, Q3, Q4 are the corporate actions quarters in India. Q2, Q3 more stronger than Q4 traditionally. But given, again, significant headwinds that the entire economy, especially at the financial level it is facing, the corporate actions declared by the corporate India have been far and few, right?

Now so that has impacted our revenues into Q4. And there is one -third item, which is a smaller impact, but nevertheless an impact, which is that we had orchestrated a very large demerger in

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the Q4 of FY25, which had a one-time historical

I bump up in revenue, which did not obviously have it. So that means there was a slightly higher base in the previous year.

Now that said, every year, we will -- we should see some mergers, demergers. Some of the demergers that were to have happened in the month of March have now been pushed to May. So which means that there is going to be a little bit of lag in revenue, but that will come in the upcoming quarter more or less, right?

Those are the three reasons, a little bit of folio erosion, corporate actions being extremely low into the Q4, which will change as the corporate profits of the country goes. And in general, once I guess there is a little bit of certainty coming back, then the companies will be more confident in declaring dividends and so on and so forth, which was not the case because everybody was in our cash conservation mode into the previous quarter.

Moderator: The next question is from the line of Rajit Aggarwal from Nilgiri Advisors LLP.

Rajit Aggarwal: Just to start off with a few clarifications. Now the number of new clients added in Ascent is about 62. I mean that's like 20% of what they had last quarter. So that's a big number, right? And what really changed in this quarter? And do you expect the run rate to carry forward?

Sreekanth Nadella: Absolutely, right? I mean the -- so again, just to put things into context, Ascent started about 5 years back. Today, they have -- the numbers are north of close to 800, 850 -odd funds, and they're increasing by the day. So until and unless we are adding 70, 80, 100 funds every year, we wouldn't be getting this fast. So to that extent, I would expect the trend to be even faster into the coming quarters and years. The same issues we face in India are being faced everywhere in the world as well, right?

I mean, so to that extent, despite a fairly distressed financial markets across the globe and fundraising activity being a little tepid and the same is the case with investment activities downstream, I think this amount of growth actually is slightly benign compared to our expectations. But I do believe that as the turnaround happens, we should see numbers higher than 60 plus that you saw in this quarter.

Rajit Aggarwal: That's wonderful. But at the same time, when we are talking about the EBITDA outlook for FY27, it doesn't seem to factor in much of an operating leverage that you were hoping to kind of see from this quarter or the next couple of quarters. So how do we look at the expense side of Ascent?

Sreekanth Nadella: See, I think if you see the -- if you split the EBITDA numbers for the stand-alone KFin and I'm kind of -- when I say standalone, of course, we have other subsidiaries also part of it, including Weble, Hexa etcetera. But excluding Ascent, our EBITDA margins this year too have been pretty strong, right, close to about 43%. We are expecting that number to go up into the coming year.

What we have been saying is KFin stand-alone in the past 3 years, we've always maintained we will be able to return 40% to 40% with EBITDA numbers. Now even after acquiring Ascent and

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consolidating Ascent's numbers, we are still looking at the same 40% and above. Now that obviously would not have been possible until unless there has been significant productivity-driven efficiency gains that are coming through.

For a business that has a significant growth potential, right, starting new geographies, getting into new asset classes, significant business development expenditure for us to win new mandates, so on and so forth, one would expect that expenditure will have a downstream track. So what truly is happening is a lot of productivity gains driven cost optimization is funneling and fueling the growth.

Like you mentioned, if you are winning these many number of mandates, that has to come largely in the form of significant BD spe

nd. So if you are looking at a fairly mature business, if you just take a look at only India business without having to try to be growing global and launching new businesses like well so on and so forth, you would see a significantly higher leverage than what you're seeing here.

I guess what I'm saying is the productivity is fueling the growth. Till such time we have a huge growth visibility, market share gains, we will continue to do it. And so long as the margins, as we have been maintaining -- getting at around 40% to 45%, hope fully more closer to 45% than to 40%. I'd like to believe this is a good strategy for us to fuel growth rather than just conserving the cash, using the productivity pack as well.

Rajit Aggarwal: Got it. That's very helpful, sir. And just a quick clarification on the numbers. And now I'm picking the numbers from the slides that you have shared on consolidated financial summary, excluding and including Ascent. So if you look at the EBITDA of Ascent and PBT and PAT, so the difference between EBITDA and PBT seems to have gone up for Ascent in this quarter. And similarly between PBT and PAT. So why is that happening if you can quickly -- I mean, is the depreciation somehow increased on A scent? And are we paying tax in Ascent despite net negative profit before tax?

Vivek Mathur: Yes, I'll take this question. This is Vivek Mathur. So there is an amortization of the assets that we acquired from Ascent, including the client contracts and the brand valuation, which was done, which is getting amortized over a period of time. And that is where you see the gap, and that is something which will remain consistent because it will be written off over a period of time. And this will actually sustain in terms of as the business grows and Ascent continues to grow that business and start creating operating leverage.

That's why to answer to your question as to why we are not seeing operating leverage, it doesn't come in 1 quarter or 1 year. It's a process which you will see in coming quarters. And when we acquired, we gave the guidance that you will have to be with us for 2 years, 3 years to see the impact of growth and operating leverage. And we are working on it. You see a good growth in terms of the revenue growth of Ascent and the new acquisitions that they are doing in terms of number of funds and number of clients . This over a period of time ...

Moderator: I'm sorry to interrupt. Sir, your voice is breaking.

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Vivek Mathur: Can you hear me now?

Moderator: Yes, this is good. Please proceed, sir. Thank you.

Vivek Mathur: Yes, that's it. So as we grow Ascent business, the operating leverage will kick in to offset the impact of the amortization and depreciation of intangibles.

Rajit Aggarwal: Understood. And is there a currency benefit in the top line of Ascent -- the top line growth of Ascent?

Vivek Mathur: So actual top line growth is 5%, but in INR, you will see about 8% growth. That's sequential

Rajit Aggarwal: Right, right. Sequential , we are talking about, yes .

Moderator: The next question is from the line of Jitark Shah from Union Mutual Fund.

Jitark Shah: Sir, just one question. Any thoughts you would have on the T ER changes...

Moderator: I'm sorry to interrupt. Can you please use the handset mode?

Jitark Shah: Hello?

Moderator: Yes, please proceed, sir. Thank you.

Jitark Shah: Sir, just one question. How are you reading the changes in the T ER norms effective this year?

And going forward, how are you anticipating the changes that will be passed on from the large MFs because most of them have been talking about managing the margins going forward. That would be helpful.

Sreekanth Nadella: Sure. Thank you. As we have given our narrative to the previous quarter, bulk of our contracts have been negotiated in the previous year, right? We have one each for this year

and into the

upcoming year. The negotiated contracts also bake into account the TER-driven reduction that the clients have been facing. And given that there is no net new impact that we have.

But at the same time, please do bear in mind that the AMC results that you have seen in the past 3 days, 4 days, 5 days, so they're all operating with EBITDA margins up north of 60%, 65%. So clearly, there is no yield pressure, margin pressure for the asse t management companies. And that's largely because registrars have been -- single -handedly been reducing the cost to serve, which is operations, is one of the biggest costs.

And against a 60 basis points average yield, our yield is just about 3%. I mean, so that 3 basis

points, that translates to less than 5% of the total biggest operating cost to be managed by us and reducing it year after year. So we have already passed on much of the benefits that go through into the previous year, and there is going to be no additional discussions on this topic from here on.

Moderator: The next question is from the line of Supratim Datta from Jefferies.

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Supratim Datta: I have three questions, starting with the first one. Based on your guidance of 24%, 25% growth, 16%, 17% EBITDA growth, it seems like you're building in for an EBITDA margin of somewhere around 38%, 39% in FY27 , including Ascent. Now previously, you had indicated that after Ascent integration also, you will hold on to a margin of somewhere around 40% at the EBITDA level. So just wanted to understand is there some new development that has happened because of which you moved that guidance?

And secondly, just wanted to understand what all is included in the guidance. It seems like the guidance includes an ETF AUM share of 23%, 24%. Does it also include the fact that the cost growth will remain as is? So just wanted to understand on the cost and AUM, what are you assuming? That's the second.

And lastly, on the Ascent side, there are -- based on your release, it seems like you have gotten \$600-plus AUM funds this quarter, assuming that you get somewhere around 10 basis points, 8 basis points to 10 basis points, that should add some around 4%, 5% to your revenues. Just wanted to understand, is that math correct? And when does this revenue start kicking in? Does it kick in over 2 years, 3 years? Or does it start kicking in from FY27 itself? So if you could give us some color on these three things, that would be helpful.

Sreekanth Nadella: Thank you , Supratim. So I'll address a few and I'll request Vivek to address a few of these. In terms of -- so first of all, it's not necessarily a guidance. As I said, we do not give formal guidance to the street in our projections. Basically, your math is right. I think you're looking at close to 39%-odd. We have estimated with a decent sense of conservatism coming from the hindsight of what happened in the past 2, 3 quarters in the markets.

As you know, we are in a business which has a very, very strong connect to the market. And we cannot -- and even the range that we give, obviously, is slightly broader than what you may like or even what I would like to give, but it's largely because of the vagaries that we have a dependence in the market and hence, our business cannot be looked at quarter -to-quarter, month -to-month as a business.

On a compounding year -to-year basis, we continue to look at a 20% top line growth, margins around 40% to 45%. You may have a transient quarter or 2 where there may be a dip or you will also see quarters where the numbers have gone to 48%, 50% thereabouts, but eventually averaging down to that. We still have a very strong visibility to 40% EBITDA into this year, right? If you work the math backwards, it's close to 39%.

But of course, the numbers that we spoke was at the time of Ascent acquisition, which is probably the last workshop that

we had was sometime 1 -year back. And obviously, the world was a very different place at that point in time, right? And we said even at that point in time, we'll still maintain -- try to maintain 40% to 45%.

And with the world being dramatically different today, we are still saying that we have the confidence to get that far. So I guess, in some sense, that speaks about the resilience of the business as well as our own capabilities to manage the cost in bad years or tepid years or years when there will be completely sideways movement.

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One must also understand that our business growth in non -mutual fund and Issuer Solutions, which is a mature business, comes at a slightly lower margin, which you're all aware, right? Because these are all brand -new businesses built over the last 3 years, 4 years, 5 years. And they are not necessarily at a business unit level contribute to the same margins as our mature businesses do.

So if you see years like this when Issuer Solutions and mutual funds slow down a bit because of the market vagaries, but our top line growth is still dramatically at 24%, that means that it is going to come with revenue coming from businesses which are not contributing to the same margin level, and hence, you will see a certain amount of margin pressures. But despite of that,

we are still optimistic to get to 40% and slightly above that.

But the math that you said, it would be somewhere around 39% in terms of numbers that I told you. Those are drop out of time, which are not exactly precise numbers. We are still aiming to cross 40% into this year. So that was the first on the guidance, I mean on the EBITDA numbers, I'm happy to take down if you want, and double-click on that.

On the Ascent Fund Solutions, on the new funds at \$100 million. The revenue will -- obviously, each of these contracts are in different regions for different clients and the start date for each of these is not exactly the same. One contract has already started late last quarter itself, in fact, third week of March, thereabouts. So you will be able to see full year's revenue for that. Of the remaining 5, 3 will be starting later part of this quarter and the remaining into the Q2.

Now these are obviously the deals that have already been signed. We still have a pretty steady pipeline of many more such \$100 million fund deals, which we are hoping to consolidate and track in the coming quarter to 2. So what you're talking about is the ones that we have already signed. Through the year, we'll sign more. And the timing of the launch obviously depends on a lot of things.

I mean you're all very proficient about these markets. So should the market look benign for fundraise to happen as well as for downstream investments, I'm sure the funds will launch sooner than later. It is also possible that if the macros were to materially be jeopardized then despite winning the contract, we might just have to defer the revenue because the client has yet to launch the fund. But we have factored, I think, a certain amount of revenue from all of these 6 funds.

So the precise numbers won't be able to diverge. But then it's fair to say that about 3.5 to 4 contracts worth of revenue would have been fully baked into this year, and it is possible that it can go all the way up to 6 if the launch soon enough and should we win more deals, which we are hopeful to, that number can go up even further from here. The other question, sorry, the third one was on the cost. My apologies, I could not get to note that down. Vivek, if you have, could you answer that please.

Vivek Mathur: Sure, Sreekanth. So, in terms of the cost optimization initiatives that we are taking, you will see that we are trying to protect 40% margin because Ascent adding almost 15% of the total revenue margins, which are just about 5%, 6% will go up to early teens. Still,

there is a lot of gap between

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core KFinTech margins and Ascent margins, and that operating leverage will come over a period of time.

Therefore, we are tightening our belt within KFinTech to create that operating leverage to protect 40% margin. On your point on Ascent bps, it is actually not 10 bps. Ascent is in the range of 6 to 7 bps and that is what you should factor if you're modeling anything. But, suffice to say that, Ascent will continue to win larger clients, more clients and 25%, 30% revenue growth for them is a good growth in an international market in a competitive environment.

We are working with them in terms of creating operating leverage and giving them enablement and capability to command premium in the market by developing solutions like simulation for wealth managers or for fund managers and LP/GP reporting, which we have been talking about that Hexagram team and Ascent team are working together. So we are working religiously in terms of creating that unique advantage, and you will see the results of that in times to come.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: Just a few questions from my side. First, if I look at your presentation and you have broken up the revenue into various streams. If I look at the alternative private wealth and PMS revenue, whether I look at quarter-on-quarter or I look at year-on-year, there seems to have been a meaningful drop. And in conjunction with that, also the OPE revenues, which you classify, if I look at sequentially, there has been a decent drop. Even Y-o-Y, it looks flattish to down. I'm just talking from a 4Q perspective. So just wanted to get some color on what's really going on out here?

Second, in terms of your Ascent new clientele, could you give some color -- I mean, would this be like small long-short funds, HFTs or these would be like large fund structures like one you had historically maybe in the last 18 to 24 months. So I just want to get some color on the clientele proposition. And the reason I ask this is because if I go back in time and look at Ascent yield, at one point, it used to be like 8 bps, 9 bps, now you're down to like 6 bps, 6.5 bps. So what's really going on out here?

Sreekanth Nadella: Let me address the second question first, and then we can talk about the other things. I think the yield is obviously a factor of, as I said, multiple things. Part of that is pricing. Part of that is asset mix, right? I mean, in years where you have -- for example, crypto in the digital currency funds is one of the bigger basket of the total fund solution that we -- Ascent does.

Now crypto, for example, have seen fluctuations up and down, and to a certain extent, that may either offset the goal with the growth of the yield of a more stable asset class or it can significantly enhance depending upon which way some of these move. So given that the asset mix drives a very important factor in terms of the overall yield, it is possible that intra -quarter or inter -quarter within the same year, you will see these numbers. But Ascent was always around 7 basis points.

I do not believe it was ever at 9 basis points thereabout. So with a plus or minus 50 basis points, you should see that movement, which can work in your favor or against you depending upon

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which asset class is performing in which manner. On the alternatives front, I am sorry. Can you tell us where exactly you're looking at? I probably missed that point. Because we do not...
Dipanjan Ghosh: I think looking at your presentation in 4Q '26, I see the alternatives private wealth and PMS revenues at INR16 crores. In third quarter, it was INR20.7 crores. In the fourth quarter of last year, it was INR18.3 crores. I'm quoting from your presentation?
Sreeka

nth Nadella: That is Slide number 22, right? Yes. So I'll take that. So basically, the alternatives, private wealth and PMS, there are three components, as you can clearly see, right, AIF, the wealth and the PMS. AIF is the larger part of it. And there, that is where you saw our continued market share expansion as well as the net new fund addition, nearly 24%, 25% AUM increase and equal number of increase in the form of the overall number of funds itself, both the AUM as well as on the funds. So AIF is crucial.

Private wealth and PMS was where there was a little bit of an impact, again, largely on account of mark -to-market, right? I mean you have funds which are -- all of these are directly linked to the market, and there's been a reduction, as you saw from Q1 to Q2 to Q3 to Q4, which with each quarter, there has been a markdowns in the valuation of the underlying stocks and that was the total AUM.

Also in the case of wealth, we have won 6 large contracts into the early part of the year. And wealth is more a platform play in some cases, especially when you go to the large wealth managers. But if you're dealing with a new age wealth manager, it is a full service model, much like how we do it in asset management space, right? So it is our platform, our people, we charge basis points on the outcome.

So the deals we have won into the early part of the year were platform deals, which meant that there was a slight uptick in the revenue for that quarter. Some of the other deals into the Q3, Q4 could not be materialized, again, because almost all entities have been on wait and watch and cash conservation model. We do believe that many of those deals that have been withheld for closure will get fructified into this quarter.

Moderator: The next question is from the line of Abhijeet Sakhare from Kotak Securities.

Abhijeet Sakhare: My first question is, if you could broadly indicate what were Ascent EBITDA margins in the fourth quarter? And, secondly related question is, the point around the depreciation or the amortization of intangibles, how do we think about the impact coming from there into FY27 and FY28 as well?

And secondly, there was also a Labor Code impact that came in the fourth quarter, wherein what you've seen across most of the other companies and sectors is that everything was absorbed in the third quarter itself. So some clarification there would be helpful?

Sreekanth Nadella: Sure, Vivek do you want to comment on that?.

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Vivek Mathur: Yes, I'll take that. So the Ascent Q4 margin was 8%. And what was the second question on the amortization that we have done . The amortization actually in KFin Singapore is valuation of the client contracts and brand against the goodwill that you pay and you get it externally valued, which is amortized over a period of 10 years.

And that is something which is around INR6 crores, which is having an impact on the PAT, consolidated PAT when you merge KFin Singapore Ascent with KFinTech. On the Labor Code, one-time impact, INR12.6 crores for the whole year, which will not be there from FY27 onwards. This was one -time impact.

Abhijeet Sakhare: Yes, and then, like when we think about FY28 as a year and then the delta between the EBITDA growth and the PAT growth, would you expect some convergence in the year 2028 between the

two numbers?

Vivek Mathur: In terms of EBITDA and PAT?

Abhijeet Sakhare: Yes. So for example, FY27, we are sort of indicating like a high -teen EBITDA growth and a PAT growth of low double digits or so. So the differential between the two numbers, how do we think about it from an FY28 perspective?

Vivek Mathur: Yes, it will narrow down. It will go in almost similar range because you would have -- if you look at FY28 over FY27, it would have been normalized.

Abhijeet Sakhare: Understood. Okay, that'll be all. Thank you.

Sr

Sreekanth Nadella: Also, I think what you would see is the trajectory of the acquisitions margins improving. From the time we started discussing, at which point in time it was a negative territory, by the time we acquired and to where we are today, it has already started contributing into the positive EBITDA territory and at a PAT level as well.

And the synergy plan that we have, which basically optimizes costs, which we already spoke about, whether it is technology, real estate, people, shared service functions, so on and so forth, those plans have been drawn out and have been put in place. So the effect and the impact of all of these, you will start seeing the higher margin contribution. And that obviously will reduce, I guess, the gap between revenue growth and EBITDA growth in the coming years.

Abhijeet Sakhare: Sreekanth, if I may, just one more question. At the time of the Ascent acquisition, I think the broad direction of thinking on the margin was that in about 3 years to 5 years by the time the transaction closes, the margin would reach somewhere upwards of 35%. That understanding still stays, right? I think that's not changed over the last couple of quarters, right?

Sreekanth Nadella: Absolutely, yes. In fact, when we said what we said that was obviously based outside in perspective of based on the due diligence information, now obviously, we work together. Now we are even more confident than what we said at that point. In fact, we'll try to move the number even beyond that.

Moderator: The next question is from the line of Uday Pai from Investec.

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Uday Pai: Just a couple of things. So we had launched the KRA business last to last quarter or it went live in the last quarter. Any update on that? Also, any update on the Aladdin platform integration that we had done? So any color on both these sides is something I was looking for. Thank you.

Sreekanth Nadella: Thank you, Uday. I'll take that. So the KRA platform, as you rightly said, went live late Q3, in fact, early Q4. So obviously, it's in early stages of business growth. We are extremely thrilled that in a very short period of time, we have closed contracts with a little over 25 asset management companies, large brokers, and have been chosen by AMFI to be the preferred partner in the objective of identifying the unclaimed assets that are lying in the country. This is an initiative from the Finance Ministry, given there is a significant amount of money that is held up in unclaimed money and then we are not able to track and trace. So our technology has been proven to be best-in-class and hence to be chosen. So you will start seeing the growth in the business from here on.

But that said, I think whilst our overall contracts have been very strong and busy in what we have signed so far, there has also been some industry shifts, I think, which I have already alluded to back in the day, where it is possible that the overall KRA revenue itself may have a little bit of impact across the industry.

In the context of the initiative that there will be a singular POS, point-of-sale, ID that is going to be leveraged for securing and fetching the KYCs, which effectively will then mean that a decent part of KRA revenue, which comes in the form of fetch costs probably will go away.

Now it is not yet operationalized, but that's under discussion. So expect, but that happens, obviously, there will be an impact on the overall KRA industry and not specifically to KFin. But if that were not to happen, I guess we will see a reasonably robust growth into the KRA business into the coming year.

As for Aladdin, the status has slightly moved ahead from what I've spoken last time, which is about the integration, right? This is exceptionally complex and a very large integration. We need to bear in mind that we are talking about the world's largest risk manage

ment platform on which

close to \$30 trillion, \$40 trillion worth of stuff gets orchestrated.

Integration with downstream systems, bear in mind, we are more a fund accountant in this conversation. Our platform is mPower. The front office system is Aladdin. So that needs to be integrated with this and training needs to be imparted, business development life cycle has to kick in to win the client. So it will take a little bit more time. We need to stay patient.

But what we have been gaining through this process is a phenomenal understanding in terms of how large international platforms behave, what goes into it, what drives their growth, what helps them to sell, how do they manage their internal operations so on and so forth. All of that is invaluable and experience that can't be quantified in numbers here, but that's something that will definitely reflect in our overall international expansion. But the direct

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integration as well as into the business development activity should start in a couple of quarters soon.

Moderator: Thank you. That was the last question for today. I now hand the conference over to the management for closing comments.

Vivek Mathur: Thank you, everyone, for attending the conference. I just want to reiterate what Sreekanth mentioned , that we continue to work towards creating operating leverage. We are taking a hard look at all our costs and in terms of enablement of whatever investments we have done in technology to leverage that and working closely with Ascent to gain more market share and create that operating leverage in the international business.

You will continue to see quarter after quarter the results of our integration with Ascent as they play out in terms of improving both the top line and the bottom line. Thank you so much for attending today.

Sreekanth Nadella: Thank you.

Moderator: Thank you very much. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

Call: Jul 2026

July 31, 2026 CS&G/STX/ SQ2026/19

1) National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Scrip Symbol: KFINTECH 2) BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 543720

Sub. : Transcript of Earnings Conference Call

Ref. : Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("LODR Regulations")

Dear Sir / Madam,

Further to our previous intimation bearing reference no. CS&G/STX/SQ2026/04 dated July 08, 2026, pursuant to Regulation 30 and other applicable provisions of the LODR Regulations, please find enclosed herewith the transcript of the Earnings Conference Call held on July 27, 2026, in respect of the standalone and consolidated unaudited financial results of the Company for the quarter ended June 30, 2026.

The transcript can also be accessed on the Company's website at the following link:

<https://investor.kfintech.com/financials/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KFin Technologies Limited

Alpana Kundu

Company Secretary and Compliance Officer

ICSI Membership No.: F10191

Encl.: a/a

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"KFin Technologies Limited Q1 FY '27 Earnings
Conference Call"

July 27, 2026

MANAGEMENT : MR. SREEKANTH NADELLA – MD & CEO
MR. VIVEK MATHUR – WTD & CFO
MR. RAM GATTANI – HEAD - INVESTOR RELATIONS

MODERATOR : MR. DEVESH AGARWAL – IIFL CAPITAL SERVICES
LIMITED

KFin Technologies Limited
July 27, 2026

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Moderator : Ladies and gentlemen , good day and welcome to KFin Technologies ' Q1 FY '27 Earnings
Conference Call hosted by IIFL Capital Services Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devesh Agarwal. Thank you, and over to you, sir.

Devesh Agarwal: Thank you, Aviraj. Good morning, everyone, and welcome to the Q1 FY '27 Earnings Call of KFin Technologies Limited.

Today, from the company, we have with us Mr. Sreekanth Nadella – MD and CEO, Mr. Vivek Mathur – CFO, and Ram Gattani – Head of Investor Relations.

I will now hand over the call to Sreekanth for his opening remarks and thereafter, we will open the floor for Q&A. Thank you and over to you, Sreekanth.

Sreekanth Nadella: Thank you, Devesh. Very good morning to one and all and thank you so much for taking time out this morning for our conference.

As we have published the results the Friday of the previous week, our narrative continues to be to double down on our strategy, which has been working exceedingly well, broadly to continue to grow the addressable market for the organization. And while doing it, diversify the risk that a singular asset class or a singular geography or a singular business process affords us.

As you could clearly see over the past five years, our revenue has increased manifold, even as the geographical diversification, asset class diversification, and the business process diversification has started to give the necessary yields and the resilience that is required in times like this with the markets not necessarily providing us the right kind of grip that is required.

In a quarter and an year that had gone by where the mark-to-market gains have been negligible or negative, our performance exudes confidence for us in terms of the future that lies ahead of us as the markets will improve.

As an organization, from a singular glance standpoint, we continue to be the single largest registrar and transfer agent in India in terms of the number of folios that we manage. Nearly every individual in India who has invested in a financial asset class has some connection with KFin Technologies, whether you are in the direct securities market in the form of IPOs, whether you are in the secondary markets, whether you are in mutual funds, alternate investment funds, pensions, private retirement schemes, so on and so forth. Our win record across all these asset classes and geographies is a testimonial in terms of the execution of the strategy that we have set for ourselves.

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As you could see from the mutual fund standpoint, the quarter that had gone by, we have our funds, in fact, have performed better than the industry average in terms of the overall AUM and even on the equity side of it. Similarly, is the case with the issuer solutions where nearly 80% by market cap of all the IPOs that have happened in the quarter that had gone by have all been orchestrated by KFin Technologies. Similarly, in terms of international fund solutions, both the revenue and the fund addition is superlative with the overall revenue growing at over 30% year-on-year on the international.

Ascent, our acquisition that happened in the October of the previous year, continues its stellar performance in terms of both new client addition as well as expansion of the AUM of the existing clients, notwithstanding the fact that the digital currencies have tapered down in terms of the overall mark-to-market in spite and despite of the overall A

UM and hence the revenue

corresponding to that has grown, and that is largely on account of expansion of the net new asset management companies and more importantly, the wins of large fund managers. In fact, the organization had won six new fund managers with a fund value of over \$100 million, so to speak. In terms of pensions, as we have been over the past four years, we continue our outperformance vis-a-vis the industry. Even as industry has grown at a certain percentage, we have grown nearly 3.5x of that particular growth, making us the second largest CRA in the country and in fact, thus allowing us a newer business lines as we have orchestrated across the globe in terms of getting into the pension fund administration beyond just in India.

The quarter that had gone by also on a qualitative aspect has significantly enhanced our ESG score to 63, which was 54 the preceding year, which means our performance is not just purely on the financial but also is summarily in terms of the overall overarching and the holistic work it takes, whether it is in terms of environment, social and the governance aspects of it, not to mention all aspects pertaining to the technology and cybersecurity where we have been rated among the highest around 810 on the Bitsight score.

We continue our focus in terms of new product innovation and deployment. Nearly every quarter, we try to develop and make innovative solutions, which not just in India, in fact, many parts of the world have not seen. I will call out one such thing in the mutual fund industry, which we have just launched. But before that, as you have already seen the headlines, our total revenue has grown over 30% year-on-year, consolidating Ascent. Excluding Ascent also, we have grown

nearly 10% thereabouts, EBITDA grew about 7% plus and the PAT, there was a marginal decline to flattish performance, largely on account of the depreciation amortization and several non-cash items, which we have already explained in the past.

What is also happening is to see the overall share of the non-domestic mutual fund business now stands over 40%, close to 40%, in fact. I think four years back, when this strategy was unveiled, there was a fair amount of skepticism in terms of if it is possible to orchestrate several such large businesses, but lo and behold, in a matter of four years, a near 40% of the revenue comes from businesses which are beyond.

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Now, these are young, fast-growing businesses. At an individual contract level, they are profitable, margin-accretive, but obviously with a fast-growing business, it always comes the addition in terms of transition-related costs, where the costs are incurred at this point in time, where the revenue will come in the future, and same is the case with the SG&A as well as the commission structures that are required to grow faster geographies and the addressable markets where it is much larger.

So, clearly, even at a contract level, if the margins are much higher, you will not necessarily see it in the consolidated business level simply because of the transition costs associated with that.

But the diversification story continues. We do believe that the fast outperformance of each of these businesses would mean the dependency on a singular business will come down to below 50% into the coming three years and if not, sooner.

In terms of international business, obviously with the Ascent's expansion, we have grown nearly 200% year-on-year. Even if you exclude Ascent, just the KFin's organic business has grown over 32%. This ties back to our, if not formal guidance, our confidence to continue to grow these businesses over a 30% clip.

This also is notwithstanding the fact that market-to-market gains, much of Asia, at least in the geographies we operate in, which unfortunately is not Korea, market-to-market gains have been

tepid, which effectively means that the growth had been largely on account of several new client wins, which shows, if not anything else, the genuine value that we are able to add to the larger fund administration ecosystem. And our right to win has been consolidating both in terms of the cost optimization we are able to offer and render to the various asset managers, but also the value that we are able to bring forth in terms of the frugal engineering capabilities and technological advances, which we are impacting currently in India, but we are also able to take it to the rest of the world.

And honestly, the cross-pollination works the other way around as well. There are several fund structures that get created elsewhere beyond India, which have a lot of relevance in India, and we are able to bring some of those solutions here, especially in GIFT City.

Issuer solutions, we have added 670-odd clients into the previous quarter. Clearly, our intent of mini-SME IPOs beyond the main board IPOs is a slight detour in terms of our strategy into the previous year, where we wanted to drive for larger market share. Many of the SMEs today can become medium-to-large-cap companies at some point in life. So, that strategy is working well in terms of adding several new logos, as well as unlisted companies.

It is also heartening, as I have already called out, in terms of the number of IPOs that have happened in the quarter gone by, and many an IPO that is to happen in the coming quarters, most of them are current KFin clients who would be going live. Our market share on the NSE 500 company stands at 50%. There is a slight reduction in terms of the market cap reduction for some of the clients that we currently manage. But of course, as the markets improve and change, the

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number would go back to the numbers that we were seeing in the previous quarter, which were around 52%.

We have also won the IPO mandates of Razorpay, Garuda, and the Pushp Brand, and there are several others as well. Of course, we are awaiting the large IPOs pending for Jio etc., into the coming quarters as well. The main board IPOs managed by us in Q1, in terms of market share by market cap, on issue size is roughly about 80%.

Moving on to the other businesses on the Alternatives, again, this is a line of business which we were very focused upon into the past four years, having created India's first fit-for-purpose alternative investment platform called XAlt. Our total consolidated count of the funds today is roughly around 731, and it occupies a share of about 37.3%. The wins that we have, which are yet to launch, if we add that, we believe that the market share will be closing in on 40%. We continue to win from all the existing clients in addition to some transitions, as well as winning

of several mandates, and the GIFT City continues to be our forte.

If you also recollect into the previous year, we have forayed into the wealth management business on a very high conviction basis. We created arguably one of the best platforms we have in India today called mPower Wealth for the wealth management industry. Very happy to inform you that we have won three mandates on this particular line of business, which are currently in the process of transition and deployment. In time to come, the revenues will be recognized, and we should also be closing in on one of the bank-based wealth management platforms, which opens the doors for much larger wealth management outfits, not just in India but across the globe.

I have already called out on the National Pension System. In the previous quarter, we have broken even. We continue to consolidate in terms of driving the margins in this line of business. It is no longer a loss-making, but adds to about roughly 15% plus in terms of the EBITDA. And in time to come, it should get to be one of the high

margin-generating business, largely in the context that it is a platform-based business that we have today, without necessarily needing the headcount that a typical operations processes and mutual funds and other businesses occupy. Scale is critical. The current growth vector gives us confidence that in the coming years, as the consolidation in terms of the primes continues, today we managed a little over 2.5 million pensioners in our country. And as I have already called out, we are taking this line of business elsewhere in the world, having won the BPI contract in the Philippines in the previous year, and also now pitching for large RFPs for pensions across the globe and not just within India.

I will just quickly spend a little bit of time in terms of the overall individual asset class performance into the previous quarter at an overall national level and I will call out in terms of how we have performed.

Mutual funds continue to grow on a year-on-year basis, even though there was a slight moderation of growth into the previous quarter in terms of the NFOs and obviously the market-to-market gains have been precious little as well. But the net flows, in spite and despite of it, are

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robust and something that gives us the confidence that as the market turns around, we should get back to very fast growth at the industry level, well past 20%, which is what we have seen post-COVID.

For the Q1, the industry had grown a little around 15% on the overall AUM, even as KFin Tech has grown a little over 16%, so it is 100 basis points fast growth at the overall AUM level. Albeit on the equity AUM side, though there has been a reduction year-on-year, but for the quarter that had gone by, our market share for the equity AUM is better by nearly 80 basis points compared to the overall industry, so to speak.

In terms of the other asset classes, continued interest in terms of higher-ticket asset classes such as PMS Alternatives is very, very welcoming. It is an area where we have consolidated significant position in terms of our capabilities. The recent circular that had come in the previous week, which many of you might have seen in terms of MF-only PMS, I expect it to be a harbinger for a significant amount of flows into the industry, very early days yet, but after SIF, this is yet another asset class that will drive both the financialization as well as movement of money into the structure, which is very, very lucrative should the investments be done properly.

The number of Demat accounts continues to swell, albeit I have to admit in terms of a deceleration of the net new folios into the industry despite IPOs being there. That has marginally impacted the issuer solutions' top line. We also know that Q1 is not a quarter where a lot of corporate actions happen. And in fact, I would even guide to slightly tepid corporate action movement into at least the next quarter, as you may have seen that several top-tier IT services companies have decided not to declare dividends, and that might change obviously within a quarter as well, but at this point in time, the visibility we have is that the corporate actions could be a little tepid into the Q2 based on the financial performance and the overall growth that many of the top-tier IT services companies see. But that is notwithstanding, many of the manufacturing, auto, others are back in the pink of health, and we expect corporate actions to be strong on all other businesses outside of IT services.

I will now spend a little bit of time on and throw color on the international business, one that is probably of more interest to a lot of you. The Ascent integration continues to be an ongoing activity. We have now thoroughly integrated at a function-to-function level, which is very, very critical in terms of improving the margins on a short, medium, long

-term basis.

What I mean by that is much of the finance functions, business development functions, et cetera, are orchestrated at the joint cadence amongst both the entities, thereby driving the upsell-cross-sell opportunities. To exemplify what I mean by that is, for example, as we gain strength-to-strength on, say, pensions as a line of business, the feet on street that our subsidiary has across

18 countries is proving to be invaluable in terms of, one, securing RFPs, two, positioning ourselves and gaining the right kind of support needed to be able to submit and win the opportunities. And likewise, many of our public market funds who are present for us in Malaysia, KFin Technologies Limited
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Philippines, et cetera, also have private mandates, which we are able to expose to our subsidiary, who are then able to go and win.

Similarly, many of our value-added solutions and services, including the wealth management platform, is a very important draw, is a very important solution in the bouquet of offerings that Ascent has in their geographies. Many of them are in discussion. Some of them are in advanced negotiation stage. Hopefully, in a quick time, we will be able to call out some of the wins that we are going to see in each of these.

As I called out, what is probably the most heartwarming performance is the win of six mandates of fund managers who are above \$100 million. As I have called out, our strategy had been largely to scoop up many of the small, boutique fund managers, but it is exceptionally important for our subsidiary to start looking at larger fund managers, as that provides the scale that is required and the efficiencies that drive the margin as against multiple fund managers contributing \$200 million. One client giving \$100 million kind of a fund obviously gives you a much higher margin profile. So, that is something that is going to start showing up into the margins in the coming quarters.

In terms of the margin of the entity itself, it had already turned the corner into the previous quarter, as you heard from the Q4 of the previous year. This year, too, it continues to be around 8.4% in terms of the EBITDA margin, and we believe that in quarters to come, we would expand that. We do believe that into the Q2, notwithstanding, we are working towards hoping to hit double-digit margin expansion by end of year, and subsequently, depending upon the pipeline that we have, continue to add at least finite basis points every single year from there on, and continue to get to the path of the profitability that KFin Tech currently enjoys at this moment in time.

In terms of the total funds themselves, they are distributed across the geographies. You have the presentation with you. We have shared. It is a well-spread out geographical expansion, which gives us a hedge both at a currency level as well as at a market corrections level, a third of the funds domicile between Singapore and Hong Kong, a third across Middle East and parts of Cayman Islands and U.S. and U.K. U.S. proven to be a geography which had given a significant attraction into the previous two quarters. Many of the new deals we have won are in the U.S. And as one would obviously fully know, U.S. alone is a \$70 trillion alternatives and public market funds. Even if you split it half, alternatives are roughly around \$35 -40 trillion. We haven't even scratched the surface as we grow strength to strength in terms of increasing the wins at higher size and higher ticket size, so will the reputation and the opportunity for us to follow in bigger RFPs will come through.

As is the case with the diversification geographically, it is the same in terms of the type of the funds as well. It is a near third equivalent splits between hedge funds, private equity, venture and the digital asset funds. I have called out already that the digital asset funds obviously

has a

direct bearing in terms of what happens in the crypto market. And as we all know, the crypto

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markets have taken a beating into the previous quarter and into this quarter as well. In spite and despite of it, this is the growth. As many of these asset classes tend to be cyclical and fluctuating, it is quite possible that digital assets also come back to think of health into the coming quarters, at which point in time it will be a force multiplier, which means in addition to the wins that we have had and the expansion of the asset classes at the hedge fund level, if the digital currency funds also grow by market-to-market growth in terms of the cryptocurrency values, it will add a significant expansion to the overall revenue profile itself.

The organization has, you know, we are to start our facility in Cayman Islands in terms of a substance requirement that has come through as a part of the regulatory requirements, which means that we are going to have feet on street in Cayman Islands as well. While that is obviously a near term cost that we have already baked in in terms of the formal set up, it is also true that it will help us to win a greater degree of funds, having a presence physically in a geography which has global funds transiting from that.

Let's spend a little bit of time on the wealth management. I have already called out three distinct wins in the wealth management side, but on the overall AIF itself, we have won 15 new funds into the previous quarter. These are the newer funds, but of course, the existing funds, capital

commitments and the drawdowns that continue to add to the AUM as well as the mark -to-market gains will continue to add the revenue. This business over the past four years has compounded over 60% and we believe that we have enough to continue to grow, if not at 60%, at least 40% for the foreseeable future and hopefully more than that.

We have won, on the technology side, you know, as I said, our big focus had been to differentiate ourselves through our technology capabilities. In a market where volumes are going to expand manifold and bespoke is the need of the hour, our solutions that we have created, especially on the big data solution side, have yielded us opportunity to bid and win a reasonably large investment management from a domestic -based entity's big data solutioning mandate, which is over INR 25 crore turnover or the revenue to be booked into the next 18 months as the delivery will start.

Likewise, there are several such smaller INR 3 crores to INR 4 crores to INR 5 crore kind of deals that we have signed into the quarter that had gone by. The previous year, given the uncertainty with the war that had started in the month of February meant that many a corporate has deferred their tech spend plans and that is one of the reasons why the Q4 of the previous year, we did not see a spike in some of these tech revenues.

What we have, however, seen is conversion of some of those deals into this quarter in terms of signing the contracts, the revenue of those which will come into the coming quarters as the delivery will start and that still leaves a fair number of tech opportunities, which have been negotiated, waiting the client signatures and accepting the macro scenarios, we should be in a position to close out those deals and getting into the delivery mode rather quickly. And these are all the controllable revenue streams that we are orchestrating . We have followed our strategies

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also, not just to diversify away from a singular asset class, but also to drive as much revenue as possible, which is controllable, right?

For example, you know, all the tech contracts that we signed have no bearing on what happens in the market. Some of the businesses in terms of wealth, et cetera, also do not

have a bearing

with the market. So , it is with that intent to reduce the unpredictability of our financial results, both for ourselves as well as you as a community and for our shareholders to drive that amount of predictability.

We wanted to get to at least 20% plus of the total revenue to come from controllable items. VAT today stands at roughly 6% of the total book. And if we add the other non -market related businesses , that will add to another 5 % to 6% broadly. So, we have another 8% to fill, which is something we are working very hard in terms of creating additional tech solutions that many corporate client, whether it is in asset management space, wealth management space, direct corporate space, other NBFCs, including data lake solutions for banking, insurance, et cetera, are involved as well.

mPower , which is effectively our order management system, middle office, back office solution for fund accounting and administration has been continuing to add a significant gravitas across the globe . Now being there in terms of 26 clients in India, 8 asset management companies, mutual funds use our particular platform, 8 pension fund managers use, which is nearly 60% of the total pension funds that exist in our country, as well as on the insurance side as well. We have a good pipeline in Malaysia, Philippines, Thailand for mPower installations into the coming months, even as our team extensively spending time to conversion of the deals by physically present, by being physically present there.

Pensions , I have already called out, nothing more to add, except that we have been in the front and center of the technological changes that are happening, whether it is the first one to have launched the platform for gig economy workers by onboarding Zomato, if you would recollect into the previous quarter.

Similarly, with the health tie -up that we have had in terms of Swasthya , as well as many different initiatives that the PFRDA has launched, we have always been the first and foremost in terms of creating the tech solutions that would take forward India to be a pensionable society . You know, this business has moved from INR 3 crore turnover to nearly about INR 17 crores in a matter of 3.5 years. We believe that as the scale consolidates, the revenue augmentation will be faster than what we have seen thus far, furthermore adding to the margin profile.

So, that is broadly the call -out. Q1 in terms of meets our expectations in terms of top line, despite a fairly benign market condition. In terms of the margins, we have taken certain initiatives into the Q4 . Very little of that has flown into the Q1.

Having said that, we have several strategic initiatives in terms of cost optimizations which we have initiated. Given there is a quarter delay in terms of fruition of those initiatives to show into

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the P&L, we expect Q2 onwards there should be sizable expansion on the margins. That is broadly the overall state of affairs at KFin Tech level, and I would urge Vivek to take you through broadly on the financial performance, and then we will throw the floor open for questions.

Vivek Mathur: Thank you, Sreekanth .

On the overall financial performance, as Sreekanth mentioned, revenue from operations has grown 30% year -on-year, and sequentially it has grown at 9.6% for year-on-year for the same quarter last year versus this year. Sequentially over last quarter , it has grown marginally about 1.6%, excluding Ascent , and including Ascent about 2.7%. So, if you look at the contribution of mutual fund revenue, it is fee -based revenue is just 55% of the total revenue, which used to be about almost 66% in Q1 of FY '26.

So, there is a shift in terms of dependency on market -driven business to a large extent, which is fueled by the Ascent integration, VAS revenue has not grown as much as the mutual fund A

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growth and resultant fee has been because of lack of decision -making at the client's end in terms of geopolitical situati on. Many of the clients also parked their funds in liquid funds as compared to equity, which also resulted in a mix change, and therefore the mark -to-market -driven growth and net inflows growth was not as robust as you would have seen in the past.

If you look at contribution of non -MF revenue, it has gone up to 38%, which was 24.5% in Q1 of FY '26. There is growth across various segment of businesses, while sequentially you would have seen that Q4 is a little better as compared to Q1. So, Q1 growth and se asonality for our kind of business because of lack of corporate actions in issuer solutions usually is tepid. But we have a robust pipeline of IPOs, as Sreekanth mentioned, and up in terms of main board IPOs. If you look at EBITDA margins, EBITDA has gone up overall at 7.1% year-on-year and 5.1% quarter -on-quarter . And this is something which we continue to work upon where the margins have come down because of Ascent integration. But without Ascent integration, they are good at 39.4%, while with Ascent, it is 34.2%.

Ascent is a relatively new business where they have invested in resources and infrastructure which are getting, we are setting it out where the growth in revenue and therefore the resultant margins will flow through in times to come. We have j ust completed nine months of integration with Ascent. And as we mentioned, it will take us a couple of years to really go beyond double -digit margins. So , you will see it becoming EBITDA accretive by the end of this year or early next year. But coming to E BITDA margin of KFin Tech level, it will take about three to five years.

On the PAT margins, the overall growth year-on-year is 2.6% and quarter -on-quarter 7.3%. PAT margins are 21% including Ascent and 26.6% excluding Ascent. So , there is no fundamental change in the guidance, both on the revenue as well as EBITDA and PAT margins. So, we continue to maintain that we have a robust pipeline of sales where revenue will continue to be KFin Technologies Limited

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in the range of 18 % to 20% CAGR . EBITDA margins wi ll be in the range of 40 % to 45%. We will maintain 40% threshold including Ascent by the end of this year.

And there is a lot of action in terms of cost optimization that has been taken, which will be visible from Q2 onwards. We have a healthy cash and ca sh equivalents of INR 687 crores at the end of June. About INR 200 odd crores will get utilized towards payment of dividend, which has been declared by the board. And we still remain a cash accretive business where about 51% of the EBITDA gets converted in to free cash flows.

So, that is pretty much about financial performance. Happy to take questions now.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Karthik from Indus Capital. Please go ahead.

Karthik: Two questions from my side. The first one is, if we move to this quarter in the domestic mutual fund business, despite a single -digit revenue growth and some element of yield compression year-on-year, we have by and large held on to our EBI T margins from the segment results.

So, what would be some of the cost takeouts or cost savings that we managed to accomplish in this segment, which has actually helped us get a better margin outcome? And secondly, if yields were to stabilize at these levels sequentially, is there a case that m argins in this segment have more or less bottomed out and there is a case for them to expand? That is my first question.

Sreekanth Nadella: Thank you, Karthik. Right. So, in terms of the non -MF, I think the first question is in terms of the margin expansio n because of certain cost optimization initiatives beyond mutual funds. As we have always maintained, technology is the

only scientific way we look to optimize our costs.

We have never done irrational cost optimization, doing knee-jerk reactions based on the margin expansion or contraction for multiple reasons.

Our transformational initiatives, whether it is XAlt implementation for alternatives, whether it is upgrading our Suprema platform for National Pension System, etc., these have scientifically proven to be the reasons for optimization at payroll level. We have given full-scale increments to our entire staff into this fiscal year. We have not done any ad-hoc interventions in terms of moving the cycles or anything like that. So, it is a very scientific basis on which we have optimized the cost, whether it is on payroll, on the non-payroll items, including movement in terms of away from the enterprise tech into open-source architectures.

It is very important if you recollect, and I have always called out, there are three important ways to optimize our costs. One is obviously automation straight through transformation driven payroll cost optimization.

Two, as the systems and platforms get better with the latest and greatest technology, what it will also do is optimization of non-discretionary IT personnel spend, which is something that we have also seen.

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Third thing it also does is effectively the non-payroll cost for IT, which is in the form of licensing, etc., which is where you end up paying top dollar to many enterprise tech, whether it is on the data side or on the application or on the license on the software side of it.

So, we have seen optimization across all of those three, but the bigger items are yet to come, right? In fact, if I call out to your attention, just 10 days back we have launched India's first, and I would argue probably the world's first, SIP to be done within three working days, end-to-end. 99.7% of the transactions today we are able to process within three working days, which until recent past is a three-week affair. It used to take 21 days in the industry, and we intend to bring it down to a singular day as well, even though we have dependencies on external parties, such as banks, for example, for mandate registration in the case of an SIP.

So, it is largely through very significant advancements in terms of our platforms, which has yielded a certain amount of marginal improvements in non-MF business, but that is still just a tiny sliver in terms of the overall optimization that is yet to happen, which as Vivek has called out, we will start to see in the coming quarters.

Now, the yield stabilization, of course, as we call out always, there is a misunderstanding in the industry that yield contracts or expands, or contracts mostly, only for discounts. That is not true. Yield is a factor of three distinct factors. One, of course, is definitely the pricing, and hence the discount plays a role. Second is the asset mix. We have seen in Q4, because of silver and gold ETF expansion, it has contracted.

In fact, if you see in Q1, whilst the sheen has gone away from the metals, but because of the geopolitics, a lot of money moved into liquid funds and not so much into the equity funds, especially on the large-ticket-sized institutional money. Now, that also has obviously impacted a certain amount of the yield. Third is which AMC growth is also just as important, given the telescopic pricing is how it is priced into this industry.

So, all these three factors tend to have an impact. I would probably argue that depending upon where the impact is higher, the contraction, and in fact, even expansion also is possible in some quarters, as we have seen in the past. But that said, I do believe that the aspect around the pricing-driven stability is there and will be there from here on. That is something that we are very confident.

The other two aspects in terms of which asset c

lass grows and which asset manager grows is

something that is obviously not in our hands. In this quarter, if you have seen, it is KFin Tech clients who have grown much faster than the overall industry. And that is the reason why even though the overall industry grew at 2.8% quarter-on-quarter, we grew 3.6%. That is a good 80 basis points over and above the industry. Now, that wasn't the case in the Q4 or in the Q3, so to speak. So, yield stabilization pertaining to the price, I do believe we will achieve rather soon.

The other aspects which are not in our control will continue to play some amount of role sometimes to the positive side, sometimes to the negative side. And hence, the overall margin

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expansion will be possible in mutual funds. Again, that is also one which is on the aspect of what happens with our clients.

What is controllable with us, obviously, is again the transformation of the overall platform. The SIP automation that I spoke about is the first big AI native launch that happened under FinEx as a transformation platform, which we have called out that we are doing in mutual funds. The next

big launch in the case of mutual funds transformation as a part of FinEx will happen by the end of this calendar, where we would have substantively automated at least three large processes, starting with non-commercial transactions, then moving into the purchase of a transaction, basically.

Now, these two will yield not just in terms of a significantly improved way of transacting in this industry, first of its kind in the world, as well as give us an opportunity to optimize costs, thereby improving margins. Sorry, I gave you a longish answer, but I just wanted to make sure that I call out that the margin expansion is a factor of multiple things, and the price stability driven yield is just one aspect of it.

Karthik: Thank you for the detailed response, Sreekanth. So, my second question is, if we were to look at our consolidated financials, excluding Ascent and including, the gap in the profit on an after-tax basis is about 47 million.

So, I am just trying to see how much of this loss narrowing is going to come from cost takeouts versus, let's say, revenue growth. And with reference to the cost takeouts, over what period of time can we actually accomplish this?

Sreekanth Nadella: Karthik, I missed the first bit. You are talking about at EBITDA level or at a PAT level?

Karthik: No, at a PAT level, let's say, if I compare 799 million with about 752 million, the gap is about 47 million. So, as this loss narrows, I am just trying to see how much of it is going to come from cost takeouts or cost savings, and how much of it is just going to come from the business growing at a much faster pace.

Sreekanth Nadella: I would say it is both, obviously. I mean, I can't necessarily attribute, here is the deal. I mean, Ascent is currently at about 7% to 8% EBITDA levels. So, clearly, a faster top-line growth at a volume and a value level will mean in absolute numbers, it will definitely take away the pain that is there under the EBITDA level into the PAT, which is largely some non-cash items in terms of amortization of goodwill pertaining to the contracts and the payments that we have made, and some amount of capitalization on account of a large platform built called One Constellation. So, obviously, the top-line faster expansion, even at an 8%, would mean that some of this will get negated.

Now, cost optimization is very, very critical. Now, cost optimization is what we are focusing more in KFin Tech, if I may, and at Ascent level, our focus continues to be to drive market share

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expansion and not necessarily to curtail the growth by putting constraints on the cost at this point in time.

So, we will do the heavy lifting from

the whole standpoint in terms of cost optimization

because many of our initiatives have already been under play, and that is where much of the cost will be taken out. For Ascent, the focus will continue to be to drive market share where the market exists and where our brand value is taking off quite well. This is the time that we capitalize in terms of winning several new mandates because, as we all know, as you win these mandates, they end to stay with you for life.

So, it is a combination of both, maybe a little bit more percentage weighted towards top-line growth. On the cost optimization, it will be more lifted by KFin Tech.

Karthik: And if I heard the opening remarks correctly, we are looking to go to double-digit margins for Ascent in about two to three years, right? Did I hear that part correctly?

Sreekanth Nadella: Yes.

Karthik: That's it from my side.

Moderator: The next question is from the line of Swarnab Mukherjee from 360 ONE Capital. Please go ahead.

Swarnab Mukherjee: Two, three questions. First of all, in terms of the yield, I mean, just wanted to understand, you highlighted that this is basically an outcome of the mix moving towards liquid. Is my

understanding correct, or would there be any other factor also? Because when I look at your disclosure, it shows that the equity AUM mix has been relatively stable quarter-on-quarter.

So, if you can throw some more color on that, that how much of this could be due to telescopic pricing, any renegotiation and mix change, that would be very helpful. If you could break it down and give us a sense that how should we think of it panning out over the remaining three quarters of the year? Because I think sequentially around 2% odd drop has happened already. So, that is the first question.

Second is, if I were to look at the international business, I just wanted to understand that ex of Ascent, there seems to be a sequential drop in revenue. So, was 4Q something of a higher base or some one-off was there? Or I think this is relatively a steady-state number we can think of. And related to Ascent, what you have mentioned in terms of the cost structure and the focus on the market share growth, just wanted to understand that this cost structure, how it is evolving when you had done the acquisition, what you had in mind, is this cost structure revolving in

same lines or is this beyond your anticipation? If you could throw some color on that.
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And then just one indication I wanted from you that you have mentioned a lot of deal wins in your press release. So, over, say, a next one year, how much augmentation in revenue should we expect from these deal wins, basically which are relatively bolt-on in nature? That's from my end.

Sreekanth Nadella: Certainly. So, your first observation on the yield is absolutely spot on. You are right. The equity share in the overall mix has not materially changed. What has, however, changed is a material movement from debt to liquid. Please bear in mind that debt asset class gives nearly 2x to 2.5x the yield that a typical liquid fund gives us.

So, while there hasn't been equity movement into liquid or passives, there has been a substantive movement from debt into liquid, and that has given a certain amount of correction. Also bear in mind that we have called out that one large contract is due for renewal this year. So, we have made provisions for that, even though we have not yet completed the negotiations. So, that is the reason why there is a 2% yield correction that happened in the Q1 even though the equity asset class remains stable.

In terms of the overall cost structures pertaining to Ascent, it is absolutely in line with our plan. In fact, it is better than our plan because when we enter into this financials, our intent was, in fact, our plan was that the subsidiary would break

even sometime later part of this year. Right

now, we have been working with them even before the contract got signed in terms of various optimization structures that permitted Ascent to actually break even in the previous quarter at about 8% EBITDA margin. And this quarter also they continue to be around similar EBITDA margin.

So, to that extent, it is better than anticipated performance in terms of the cost management aspects of it. And if I were to call out what are those, I have already spoken in terms of rationalization of support function structures, whether it is finance, whether it is HR, whether it is business development, et cetera, where we are lending the support and so that additional costs are not to be incurred. That typically happens when you have subsidiaries where you collapse the siloed ways of functioning at the support structures.

We have looked at several non-payroll items, especially on the technology side. For example, the cost or the license rates that a smaller entity would have vis-a-vis on the data partnerships with, say, someone like AWS or on software licensing, say, from Oracle or Microsoft standpoint. Obviously, it won't be as lucrative as it would be to work with a larger entity like KFin Tech.

Now, we have better rate structures with each of these partners, and hence we managed to do a contract innovation onto our larger contracts, thereby helping optimize a certain amount of costs.

We have also optimized costs on the real estate. Our subsidiary also is present in similar geographies as we are, whether it is in India, whether it is in Malaysia, so on and so forth. And we are able to consolidate office space and thereby optimize costs.

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So, there is a detailed breakdown, item by item, at every rupee, at every dollar level, which we are looking at, and we have optimized some of it. And some of these will be optimized in time to come because the contract closures for each of these not necessarily will fall on 1st of April. Some contracts are due sometime in October, some in January coming year, so on and so forth. As those contracts for Ascent would tend to expire, they would move into KFin's contract structures, thereby affording us even more optimization of cost savings, so to speak. So, I think that is probably the item around the Ascent.

And the third one, in terms of how do we see the bolt-on contracts that we are talking about, how will that improve? Well, these are episodic in nature, right? I mean, sometimes you end up signing a INR 20-crore deal in a single quarter, and then the quarter looks good. Sometimes, these are not annuity revenues, right? We are used to, from a KFin Tech or an asset management industry itself, is a reasonably predictable number because it is all annuity revenue for everybody, whether it is asset manager, whether it is us, so on and so forth. But having orchestrated a product-based pipeline, you will see a certain amount of vagaries, a certain amount of spike or no spike, depending upon whether we won the particular deal or not.

What I can tell you at this point in time is that we have, in the previous quarter, have signed deals worth roughly about INR 40 crores in total top-line, which some will be done in 3 months, some 6 months, some 15 months, so on and so forth. So, the overall revenue allocation into the quarters, this is not the call that we will be able to break down, but I am sure my team will be able to help you, for you to prepare better on that. I hope I am clear.

Swarnab Mukherjee: Yes, this is helpful. Just two other things that I wanted clarification on. One was that maybe 2% yield drop kind of has happened. We normally guide around maybe 3 -odd percent in a year. So, should we expect another 1% drop to play out, given that you have mentioned that you already provisioned for some, I think, contract changes that will play out?

And the international business exit of Ascent that, like, I think 4Q, there was a INR 19-odd crore kind of a revenue print that is coming to around INR 17 crore this quarter. So, this, although not very material, but just wanted to understand how should we think about it, how should we model about this segment going forward?

Sreekanth Nadella: So, on the yield piece, it is, I have already called out my apprehension in terms of guiding a number, because that automatically construes and assumes that the yield is dependent only on the discount. Which way the asset class moves and which asset manager grows and who does not grow has a material impact on the blended yield of the organization. So, I guess, probably conservatism would mean that maybe you can still stick to 3%, but it is quite possible that the movement away from debt to liquid may reverse itself and, in fact, the yield might even actually give you an upside surprise, right?

So, I will not be able to guide you on that, but I would let you model how you would want to model. From our standpoint, what is in control is definitely the pricing and the discount. The
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other two factors are well beyond our control, and they have an impact almost to the tune of 50 % to 60% on the total yield itself.

I have to admit, I didn't quite follow the second question. Vivek, if you have followed, would you mind explaining that, please?

Vivek Mathur: Yes, I think in terms of the sequential growth in the international business, the sequential decline that you talked about in the international business, I think that is more to do with the contracts that were in the pipeline which will get materialized in the coming quarters. So, this is not a fundamental change. This will continue to be in the range of a growth of over 25%, and that may be only a matter of time that you will see. This is just one quarter phenomena which will bounce back with the new deal wins that we have in the coming quarters.

Swarnab Mukherjee: This is very helpful.

Moderator: The next question is from the line of Arjun Bagga from DSP Mutual Fund. Please go ahead.

Arjun Bagga: Just, I think, again, one more question on the yield front itself. Since, I think we mentioned a couple of different reasons why this yield has actually come off on a quarter-on-quarter basis. Possible to share, like, what was the mix between, like, so I think the two key things which I read is one is this debt-to-liquid movement.

Second was the renegotiation provisions in the sense, like, it is not yet affected, but we are already providing for it. So, could it be possible for you to share, like, what is the mix of decline between the two of these?

Sreekanth Nadella: Yes. I think the debt-to-liquid is a substantive movement into the previous quarter. I think from a yield, the 2 % impact that you have seen, about 30 % of that impact is attributed to the movement from debt-to-liquid itself, okay, which then obviously means that it is about 1.7 % is net of the asset class movement. Now, what is that 1.7 % constituting of? Obviously, the provisions we have made for the negotiations that are pending for this year. That is obviously a little bit more than 1.7, but it got offset because of some amount of correction positively in favor of equity, having the ETFs movement into equity. So, it's a plus and minus at both ends. Sorry, the second question was, I missed on that.

Arjun Bagga: No, just that. And second question, so did I hear it correctly, that Ascent we are expecting margins, which was I think closer to 6 % this time, to be in double digits next quarter? And what was the reason for this decline, this Q4 to Q1 decline?

Sreekanth Nadella: No, no, not next quarter. I think we said double digits we will accomplish in the next 12 months. It can happen anytime in these 1

2 months, probably not necessarily in the upcoming quarter.

As I said, the digital currency funds have seen a certain amount of write-downs, markdowns, because of the crypto value coming down quite a bit, as you might have tracked to it. And
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obviously, that impacts the AUM and hence the overall revenue that you would get. And that got offset largely because of several new wins that the organization had seen and the launch of the funds, because in the case of alternatives, winning a mandate itself does not assure you of any revenue. The fund has to launch, capital has to be drawn. It is only then that you would

actually start billing your client. So, there is always a lag between win to the actual start of the fund. The start of the fund is entirely an imminent domain of the fund manager himself or herself. So, broadly, we are not looking at a double-digit expansion into the next quarter, but it is into the next 12 months, hopefully sooner than later. And the correction is largely on account of the AUM markdowns because of the digital currency funds not performing very well.

Arjun Bagga: That's all from my side.

Vivek Mathur: This is Vivek Mathur. I just want to add to what Sreekanth mentioned in terms of you asked the question about client discount provision. See, we are now trying to balance in terms of high amount of cost being incurred on the infrastructure in terms of servers, routers, laptop.

All of us know how the prices have gone up. So, we are trying to balance that. That provision was made assuming that we will have to offer something if the client grows and that we make and then if we don't offer discount, then we re lease it at the end of the year.

But given that there is high-cost pressure in terms of infrastructure to support our clients, we will be hard in terms of discount negotiations. Just wanted to lay that out.

Arjun Bagga: That's helpful.

Moderator: The next question is from the line of Abhijeet from Kotak Securities. Please go ahead.

Abhijeet: My first question was on Ascent. If you could highlight how many 100+ million clients we would have by now. And given that there was a similar comment last quarterly results as well about six new funds being added in that (+100) million category.

And second related question, in terms of these client wins, if it is possible to kind of give some color on whether these are totally new clients for us and these deal wins are kind of in a way reflecting some shift away from the existing incumbents that these clients were dealing with.

And last question on Ascent is, if there is any particular skewness in terms of product level breakup, like you mentioned about digital assets. So, while the contribution to AUM is 15%, is it the case that the revenue contribution is substantially higher?

And second question was on the deal win that you highlighted. You mentioned about INR 125 crore plus on the data lake side and probably there are a few more in the pipeline. So, if it is possible to quantify like a total contract value that you can see being visible in the next 12 months or so.

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Sreekanth Nadella: Sure, Abhijeet. So, let me answer the last question first. So, the INR 25 crore, that is a single deal. Or rather it's a deal with a single client and it has two separate contracts within that. One of it is large scale data normalization, rationalization. One of it is wealth, both for the singular entity.

It is an implementation. It is a PaaS platform implementation product basically. And that overall duration we believe is roughly about 18 months. And the implementation basically has already started into the previous month in terms of requirement gathering, what have you. And it is a milestone based payment. So, obviously as we hit various milestones, the

payments for those

will be recognized at that point in time. But suffice it to say that over the full 18 month period, we should be able to recognize the full revenue associated with that.

In terms of Ascent, the win names, of course, we are happy to publish in our separate call. My team will explain to you in terms of, what we spoke about in the previous quarter was about One Constellation, which is an onboarding platform, which basically and it is not necessarily in India. It is currently the contract is deployed in Hong Kong and as a partnership for Stanchart and Stanchart in turn basically does onboarding solutions for multiple other fund managers, including BlackRock. And it is that contract that is about a 6 to 7 crore contract.

And these \$100 million plus contracts that we are talking about, they are spread across the geographies. One of that is in the U.S., a few in Cayman Sites, so on and so forth. While the name of the contract itself is not very relevant, it suffices to say that these are transitions because no new fund manager starts at \$100 million. This is an accumulated corpus. So, the corpus is actually a transition away from incumbent into us. And the transition takes anywhere between three to five months, depending upon which fund manager you deal with.

Abhijeet: Just last bit, last quarter, there was not a guidance per se, but like an indication of high single, double digit sort of an earnings growth for this year. If you can kind of reflect that number for us.

Sreekanth Nadella: So, we have moved a couple of notches from there. And whilst, as you know, we do not necessarily give formal guidance, we have visibility for EBITDA growth closer to 20%, anywhere between 17% to 20%, and our PAT numbers anywhere between 12% to 15%. So, we are actually confident to deliver better results than what we had initially forecasted and guided.

Moderator: The next question is from the line of Madhukar from JP Morgan. Please go ahead.

Madhukar: First, sir, on Ascent, what is the dollar million revenue on a Q-o-Q, last quarter versus this

quarter ? Because while the rupee growth is pretty strong, but given that the rupee also depreciated quite a bit, I just wanted to know what the dollar revenue is and what the base currency is that you should be looking at. Also, can you comment on the yield that you are making on the Ascent business?

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Second, also for the Southeast Asia business, I think this was discussed earlier , Q-o-Q, there has been a decline in revenues, and my calculated yield works out to be about 5.3 bps. So , is that a fair number to look at? Is that the way we should be building this? Those would be my two questions.

Vivek Mathur: Sreekanth , I will take th is. Ascent revenue increased on a dollar basis from US\$5.7 billion in Q4 to US\$5.9 million, and that was, as Sreekanth mentioned, more driven by the increase in corporate solutions and some new client wins that they have. You know, there is a growth of 32% year-on-year. In Q1 FY '26, while we did not consolidate, they were at US\$4.4 million, and now at Q1 FY '27 , they were at US\$5.9 million. So, that gives you visibility in terms of absolute dollar growth as well.

In terms of bps on the GFS, while your assumptions are right, but there was growth in AUM in the Southeast Asia business which we have not seen in the past. That has actually helped us in improving the margins and the bps. And we hope that this trajectory continues and we are able to maintain those kind of margins in the future as well.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal Financial Services Limited. Please go ahead.

Prayesh Jain: Firstly, if you could throw some light on the contract that we had recently announced on Philippines government. When does that start flowing into your P&L and what

kind of profitability could be there on this business?

Second would be on your issuer solutions. If the kind of IPOs, large IPOs that are coming in, one of them already kind of closed in for you and a few large IPOs in the pipeline , do you think that this business could be growing a t a faster pace than the overall company level?

Third would be if you could give some indication on profitability of, say, mutual fund business, issuer solutions and others , it would be great.

And last piece, on the wealth management side, how does this kind of unit economics work in this business, whether it is AUM linked or whether it is a fixed contract? So, those are my questions.

Sreekanth Nadella: So, the first one is about the Philippines contract. No, we have not announced any win . I mean, there was a media leak in terms of us being identified as the highest bidder in terms of both technical and commercials. So, to that extent, that is where it is right now. So, it is still under discussions with the client. The client has not awarded the contract to anyone. Hopefully in time to come, we will have some news for you on that topic.

On the issuer solutions, of course, the IPO that had gone by, we have several in the pipeline, PhonePe, Zepto, Jio, Manipal Health, Razorpay. Many of these are very, very large marquee

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IPOs around the corner. We definitely obviously do hope that the IPOs happen sooner than later. And then it brings the energy back into the markets.

How will it impact the overall business? Obviously, the top line is expected to grow as these do happen. But at this point in time, as I have already called out the risk, which is slightly tepid corporate actions by the issuers. Now corporate actions, just so we know, is roughly about 30% of the total revenue that we get on the issuer solution side. If there is a material corporate action slowdown across corporate India, it will definitely impact our business. It may not help us to grow how we have projected to grow.

At this point in time, excepting the IT services industry, others have not shown any intent of slowing down on the corporate actions. So, to that extent, maybe there will be a tepid impact. But the broader recovery of retail investors coming back to the investment horizon is still not happening.

While the markets have seen some improvement, a large part of that is still institutional investments and not necessarily the retail investors coming back to the markets. Now, given our revenue model is that, which has certain unit price on the number of folios, it is but obvious that more number of retail investor participation is what is going to drive the growth of this business in addition to the corporate actions. So, to that extent, on both these counts, at this point in time, it is rather tepid.

Now, it can turn around. The indication of the IPOs and the success of each of these IPOs gives

us confidence that both the retail investors will come back. And hopefully the corporate actions as well kind of come to add to the certain amount of growth for our business. That is the second one. And my apologies, I think I missed the last one that you asked.

Prayesh Jain: I asked two questions. One was on the profitability of each of the segments, the mutual fund, the issuer solutions and others. And second was on wealth management unit economics as to how do you kind of earn revenue on that?

Sreekanth Nadella: The wealth management economics, and I think on the segmental profitability, it is good to connect with my IR team and they will give you the necessary details.

In terms of the wealth management platform per se, there are two types of submissions we have.

One, so we wanted to orchestrate effectively what we render as a solution and a service to the asset management industry, but for the wealth management industry.

As th

e affluence of individuals in India grows, anyone's ability to manage their own funds all by themselves comes down as a quantum and the corpus grows. When that happens, typically individuals reach out to professional wealth managers to drive the alpha for them. And that explains the growth of some of the marquee wealth management outfits in our country. Some of them are listed, as you already know, and many of them are starting on a day -to-day basis.

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Now, we provide not just the wealth management. Currently, the de facto model in the practice is that wealth management platform as a technology solution is offered on a licensed model to any wealth manager by the incumbents. Whereas, KFin Tech differentiates itself by not just offering the platform, but also rendering full service associated with that, much like how it is in the asset management industry. And hence, we are able to orchestrate a different commercial model.

In the first commercial model, it will largely be a fixed -fee contract. It is almost like a platform implementation followed by the AMC, which can be 20%, 25%, 35% of the contract value, depending upon the complexity. In the second model, we charge basis points on the assets under management, much like how we charged in the case of mutual funds today. Right? So, those are the only two models we have.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take that as the last question of the day. And I would now like to hand the conference over to Mr. Devesh Agarwal for closing comments.

Devesh Agarwal: On behalf of IIFL Capital, I thank the KFin Management for giving us an opportunity to host the call today. Before we conclude, Vivek, would you like to add any closing remarks?

Vivek Mathur: Yes, thanks, Devesh. I think, the crux of the call today is that we continue to maintain the trajectory of growth on the revenue in the range of 18 % to 20%. We will protect margins to the extent of 40% EBITDA margins. While growth impact, the guidance Sreekanth has given, that it will be better than what we had given in the past quarter, given that we have been able to show better growth in revenue, and we have worked really hard in terms of cost optimization. The results will be visible from Q2 onwards. And we remain bullish about growth in our international business, more through global fund administration and also through the platform business, whether it is pension or wealth management, which will maintain the trajectory of growth and profitability in the coming quarters. Thank you very much for joining the call today.

Devesh Agarwal: Thank you, everyone, for joining in today. Aviraj, you may now conclude the call.

Moderator: Thank you. On behalf of KFin Technologies Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.